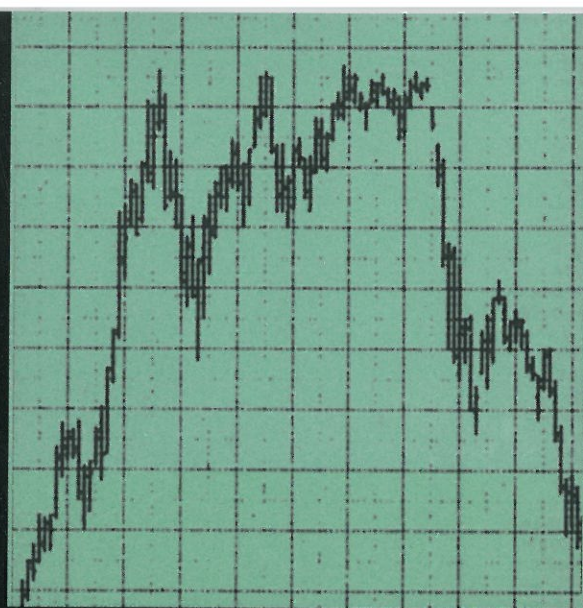




TRADING COMMODITY FUTURES WITH CLASSICAL CHART PATTERNS

BY

PETER LEWIS BRANDT

WITH BRUCE BABCOCK, JR.



Peter Brandt is a professional trader and earns almost all of his income from trading. An early exercise in putting his trading ideas into writing grew into *The Factor* newsletter.

The Factor, published between 1978 and 1989, was almost unique among market letters in describing the thought processes and market activity of a professional trader actually trading the markets. Peter's written trading plan, which he shared with subscribers, required that every trade be based upon a recognizable pattern from Edwards and Magee's classic book, *Technical Analysis of Stock Trends*. Over the years *The Factor* was one of the most educational and readable letters published.

Peter stopped publishing his newsletter at the end of 1989. He still trades his own account and manages a small amount of private funds. This book is his legacy to his trading friends and customers.



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Trading Commodity Futures with Classical Chart Patterns

Trading Commodity Futures with Classical Chart Patterns

by
Peter Lewis Brandt

with
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**To all those Factor subscribers who
provided support and encouragement
throughout the years.**

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FOREWARD

One of the books most recommended by commodity professionals is *Technical Analysis of Stock Trends* by Robert D. Edwards and John Magee. It is the authoritative resource on chart pattern analysis. This monumental opus was first published in 1948 and is now in its fifth edition (last revised in 1966). With the exception of a five-page chapter on commodities, the book is entirely devoted to the stock market. However, the authors, as well as all technically oriented commodity professionals accept its theories' general applicability to futures trading.

Peter Brandt, at age 43, may be the world's foremost authority on applying Edwards and Magee principles to commodity trading. Having known Peter and watched his trading since 1982, I can certainly say he is the purest practitioner of those principles.

Peter would want me to emphasize that he is a practitioner rather than a theorist. One of his staunchest precepts is that an effective commodity advisor should also be an active trader himself.

"I have a real problem with market letter writers who are looking at the market from an academic point of view—and that's most of them," he says. "How can you advise people on what to do in the trenches if you're not down there and maybe never were down there?"

Peter has been publishing an advisory letter, *The Factor*, since 1978. This year (1990), with some reluctance, he ceased publishing his letter as part of a career move involving a large money management opportunity.

An important part of *The Factor* has always been education. Because Peter has been a full-time trader himself for many years, he can relate to the problems faced by people trying to learn how to trade.

As he puts it, "My letter talks to people about what they are going through in their gut and how to overcome the pull of their emotions. That is a very important part of educating a trader. Most advisors cannot relate to their subscribers in those terms because they don't trade themselves."

Thus, when Peter retired from the advisory letter business, I thought it might be a good time to publish a volume of his collective wisdom. This includes both his unique approach to trade selection and management, and his insights into trading psychology.

The first section of this book is a collection of Peter's published thoughts which I rearranged and edited as a conversation between Peter and me. Peter then went over the manuscript and made changes and additions. We both hope you will find it both entertaining and educational reading.

The second section contains practical hints on using chart patterns to trade speculative markets.

The third section is a summary of the essential chart patterns and their pattern objectives. We do not intend this book to be a substitute for reading Edwards and Magee. It is an adjunct.

Since Peter's "Bible" for trade selection is the classical chart patterns described in *Technical Analysis of Stock Trends*, we suggest that you obtain the book and study it carefully in conjunction with reading this book. If you are going to trade with these methods, like Peter, you will want to keep it always handy for future reference. Peter likes to reread the appropriate sections before making any trade.

The fourth section contains Peter's "Best Dressed Lists" of trades between 1982 and 1989. Studying these carefully will have several beneficial effects. First, it will show you many actual examples of classical chart patterns in commodity charts over a long period of time. This will help you understand what you are looking for.

Secondly, it will give you a good picture of the great potential in adopting the Peter Brandt methodology for your own trading. As you can see, every year there are a good number of spectacular trading opportunities which can be identified with classical chart patterns.

Of course, chart patterns don't all work as well as those on the Best Dressed Lists. That's why you must keep your losses small when they fail. As you will hear from Peter, this kind of disciplined risk control is the essence of professional trading.

Although *Technical Analysis of Stock Trends* is not the easiest book to read, both Peter and I agree that we seem to find new ideas each time we reread it. Reading it thoroughly and understanding it will make the difference between guessing how to trade with chart patterns and following the correct methodology exactly. We shouldn't have to emphasize the importance of knowledge over guesswork.

You will find this book much easier to read and understand. I hope you enjoy it.

Bruce Babcock, Jr.

PREFACE

When Bruce Babcock called me with the idea for this book, my first reaction was to say no. Not that I wouldn't want to work with Bruce if I were to do a book. In fact, Bruce Babcock would be the first person I would want involved. Bruce's reputation for providing top flight trading systems and informational services to the futures industry is widely known and well deserved. It was that when Bruce spoke to me, I had just discontinued *The Factor* market letter after nine years. That action was part of withdrawing from public contact. The idea of doing a book appeared to run counter to my plans to retreat from a public position.

As I thought about the idea of collaborating with Bruce on a book, the concept made more sense. After all, a book on my trading philosophy would be a great epitaph to *The Factor*. Over the years, I put a lot of time and energy into *The Factor*. A book would be a great chance to make some final, important, reinforcing points to my ex-subscribers and the speculative public.

When I first started accepting subscriptions to *The Factor* in 1981, I did so because there was so much trash being peddled as market letters. I could not believe the garbage people were willing to pay for. Additionally, some of the track records the editors were reporting were clearly fraudulent.

I believed *The Factor* could provide more profitable trading recommendations than at least 80 percent of the other newsletters. Furthermore, there was not a single other letter at the time (nor has there been one since) that honestly presented the charting concepts of Robert Edwards and John Magee. But most important, I set as a priority goal of *The Factor* to provide education on the human element of trading.

One reason I discontinued *The Factor* was that all my goals for it have been accomplished. I believe strongly that *The Factor*—along with Bruce's *Commodity Traders Consumer Report* newsletter, which started publishing in 1983—helped establish some credibility and integrity in an industry where little previously existed.

The trading public's response to *The Factor* was terrific. In an industry where annual subscription renewal rates rarely exceed 20-30 percent, *The Factor* discontinued publication with 40 percent of its initial subscribers still on board. *The Factor* provided profitable trading recommendations for nine straight years. (Some might

consider 1986 as a small losing year depending on the size of the slippage/commission allowance). *The Factor* was consistently among the most profitable letters monitored by *CTCR*. More importantly, *The Factor* always had the lowest or near lowest drawdown.

It is fair to say that I was the most pure Edwards and Magee practitioner in the market letter business. I seriously regret that there are no other futures market letters today devoted solely to classical charting principles. This is a serious void.

There are four significant points I want to address before going any further.

First, I am a trader. This book is not just some theoretical dissertation on the markets. The ideas in it are more the "gut variety" than the "head variety."

Second, I base my approach to trading almost solely on the 1948 book *Technical Analysis of Stock Trends*, by Robert Edwards and John Magee. This book is not intended to replace that important work but simply to relate the experience I have gained trading with its classical charting principles. For those interested in the technical aspects of the markets, I believe Edwards and Magee is absolutely must reading (and rereading).

Third, I will never claim that classical charting is the only or even the best way to trade the markets. It is, however, the method that works best for me. Every trader has his or her own unique emotional or psychological make-up. Every trading approach has unique advantages and disadvantages. It is up to each trader to discover what best fits their temperament and financial situation.

Fourth, let me clear up some potential misunderstandings about the purpose of looking for patterns on market price charts. Classical charting is a trading approach. It is not a means for making price forecasts. Classical charting principles are useful only to highlight a certain defined trading opportunity. They are useful to traders, not forecasters or economists.

Classical charting principles DO NOT represent the Holy Grail. It is vital to keep in mind that over 50 percent of chart formations fail to deliver profitable trades. This may be an indictment of classical charting as a forecasting tool, but not as a trading tool.

Classical charting principles do not account for all market price action. Oftentimes, major and intermediate market movements will occur independently of recognizable chart patterns. Classical charting principles do not explain all the markets all the time.

The patterns described by Edwards and Magee are a way to view markets so as to find defined trading opportunities. When a speculator acts on these opportunities over an extended period of time, they provide an edge. Period.

So, in a very real sense this book is as much a study of the speculative process and a certain philosophy of trading as it is a look at classical charting principles.

In my experience over the years, I have noticed that there is a certain "conventional wisdom" about trading that floats around. It ranges from beliefs

about market interrelationships (that lower interest rates and higher stock prices should go together) to ideas about the best trading approaches (that a high percentage of winning trades is better than a low percentage of winning trades). Unfortunately, the conventional wisdom about trading is most often wrong.

I would not be surprised if some of the ideas in this book run counter to what you have learned and believe. In areas where I attack the conventional wisdom, I hope you will be open minded and consider my reasoning.

I am convinced that there can be no single "Complete Guide to Commodity Trading." The individual speculator seeking to understand the trading process will glean a little bit of knowledge from many different sources. It is my hope that somewhere within this book you will find some statement or idea that will become an important building block for your trading future.

Peter Lewis Brandt

Authors' Note

Some of the charts in the Best Dressed section are barely decipherable. When Peter created those pages for *Factor* subscribers, he gave no thought to the possibility they might later appear in a book. Because the charts are so old, it is impossible to recreate them in more readable versions.

We think there is value to be gained from including the same charts and comments that Peter created when the situations were fresh in his mind. You may be able to find your own comparable historical charts to get a clearer picture. Commodity Perspective's *Encyclopedia of Historical Charts* is an excellent historical chart reference.

We apologize for any difficulties the fuzzy charts may cause. The only alternative was to omit them entirely. We decided to include them in the interest of completeness. There are many legible charts in the book which make the points we wanted to make.

Peter and Bruce

PETER BRANDT'S BACKGROUND AND TRADING RECORD

Peter Brandt is a professional trader and earns almost all of his income from trading. *The Factor* newsletter grew out of an early exercise in putting his trading ideas into writing. He was a Conti broker at the time (1978), also trading for his own account. To enforce discipline on himself, he would type up his thoughts about a trade and carry them with him as long as the trade was open. When his fellow brokers found out about it, they asked for a copy. Then he began sending it to customers as well. In 1982, he decided to go public but limited circulation to 250.

The Factor was almost unique among market letters in describing the thought processes and market activity of a professional trader actually trading the markets. Every one of its recommendations appeared in Brandt's personal account. Peter's written trading plan, which he shared with subscribers, required that every trade be based upon a recognizable pattern from Edwards and Magee.

He used small stops and always had a specific objective suggested by the particular chart pattern. Each letter analyzed the markets Peter was currently watching or trading and often included some thoughts on the psychology of successful trading. Over the years *The Factor* was one of the most educational and readable letters published.

The son of a lobbyist and public relations man, Peter Brandt grew up in Minneapolis. He received a degree in journalism from the University of Minnesota, but after graduation went into advertising in Chicago. Watching his father and brother dabble in silver coin futures in 1973, Peter started reading the *Wall Street Journal*. Then one day he stopped by the Board of Trade.

"The shouting and yelling really captivated me," he says. "Up to then my only trading had been in a couple of cheap stocks. I read up on commodity trading and discovered the magic of leverage. I decided I wanted to trade commodities for the money, which could bring independence."

He concluded the best way to learn was as a broker. After knocking on numerous doors, he landed a position with Conti. With almost no training, they gave him a desk and a file of "old leads." He signed up a few speculative accounts but knew almost nothing about the markets.

"I listened to the research broadcast," he explains. "They would come on the

hotline and recommend this or that. It didn't take long before all my accounts were burned up. So I opened some more, and pretty soon they were burned up, too. I decided I had as good a chance to call the markets as those research guys."

Since Conti's technical men seemed to be doing better than the fundamentalists, Peter started investigating all kinds of technical analysis. He "stumbled upon" Edwards and Magee and read it one weekend.

"It made a tremendous amount of sense to me. Not only did their approach pinpoint how to enter a market, it also indicated how to *get out*. I had already concluded that because it is impossible to be right more than about half the time, the really important question is what happens when you are wrong in a trade."

Peter bought his first chart book and began "working the charts," finding out what did and did not work. At first, because he was still a broker, he was "looking for trades." This caused him to see formations that turned out to be incorrect interpretations. He has come to the conclusion that there are only ten to twenty "ideal trades" a year.

"My dilemma as a trader is that I like trading. I would probably improve my bottom line if I traded less."

In 1980, he quit Conti and became a full-time trader. In early 1983, he left Chicago for the north woods of Minnesota where he works from his home and lives with his wife and two sons. He loves the woods and the lake next to his house.

In August, 1984, Peter suffered a very serious back injury in a fall. He was almost killed. After a long period of convalescence and rehabilitation, he has been able to resume some of his favorite recreational activities. He water skis (in the summer), and likes hunting and fishing.

"In California, if you don't have a Mercedes, you're out if it." [Uh oh—B.B.] "Here you're out of it if you don't have a pick-up with a dog and a bundle of wood in the back."

"I never viewed *The Factor* as *the* ideal or ultimate approach to commodity trading. It was a reflection of my trading style, and writing it was excellent discipline for me. When I started it in 1978, I had no thought of becoming a serious newsletter publisher.

"When I decided to broaden the circulation and charge a subscription fee, I saw the existing market letters as mostly terrible. Junk! As long as I was going to write one anyway, I decided I could make it a little more splashy, do a better job than a lot of the others, and generate a little extra income."

The Factor's trading was spectacular in 1982, generating over \$44,000 in closed profits on only 52 trades. In 1983, *Commodity Traders Consumer Report* started publishing and *The Factor* was one of the original advisory services it tracked. [The following discussion includes a deduction of \$100 per trade for slippage and commissions.]

Between 1983 and 1989, *The Factor* had only one losing year. In 1986, it lost \$2,900, which was 43 percent of the \$6,800 margin required. During the six

profitable years, *The Factor* returned an average of 49 percent of minimum required margin. Its trading was consistently conservative. It averaged only about one trade a week. During its most active year, it had only 65 trades. The minimum yearly number of trades was 46 in 1986 and 1987. Its drawdown was always among the lowest of all the services *CTCR* monitored. Since 1985, when *CTCR* began calculating largest month-end equity drawdown, *The Factor's* largest drawdown was \$6,635. In most years, it was under \$4,000.

Thus, Peter Brandt and *The Factor* proved that one could trade the commodity markets conservatively and over a long period of time return a respectable return with remarkably small risk.

Bruce Babcock, Jr.

A CONVERSATION BETWEEN BRUCE BABCOCK AND PETER BRANDT

Ingredients For Success

Peter, let's start out with what you consider to be the components of a successful trading approach.

Before you even get to that, you have to define the purpose of the markets. The sole purpose for the existence of capital markets is to reallocate wealth from the many to the few. This is the primary function of markets, whether economists want to admit it or not. If this function is not satisfied, the markets would cease to exist as we know them. Since that is the reality, to be successful you must align yourself with the few rather than the many.

Have you an outline of the key ingredients for success?

There are six components of a successful trading approach:

1. A METHOD FOR IDENTIFYING TRADES. It could be based on classical charting, moving averages, retracements, Elliott Wave, Gann, seasonals, cycles, etc., etc. But one must have a methodical way to look at and study price. In my own trading I can look at a chart and say immediately, "There is a trade here," or, "There isn't a trade here," or, "There may be a trade here, but the market has to first do such and such."
2. A METHOD FOR ENTRY. It is not enough to have a market opinion. One must also have a systematic way to enter a trade.
3. A METHOD OF ESTABLISHING AN INITIAL PROTECTIVE STOP LEVEL.
4. A METHOD FOR TAKING PROFITS AND/OR MOVING PROTECTIVE STOPS.
5. OVERALL MONEY MANAGEMENT RULES. These include such things as:
 - a. The percentage of capital risked per trade
 - b. Treatment of highly correlated markets
 - c. Trading into major reports

6. PATIENCE AND DISCIPLINE. Once all of the above elements are established, then the trader must have the patience to wait for a qualifying trade and the discipline to execute again and again. It is hard to execute a trading plan after eight straight losing trades, but you must continue to follow your plan. It is difficult to ride a winner after a large drawdown, but you must be able to do it.

What are the most important ingredients?

To learn to rely on yourself and trust your own approach. Exclude the outside noise. Accept the inevitability of being wrong. It's much better to be bounced out by a close stop than to take a big loss. Conserve capital during the bad times by limiting losses to no more than one percent of capital. I CANNOT EMPHASIZE ENOUGH THE IMPORTANCE OF THIS IDEA. Have a written plan and very specific guidelines for trade selection and profit taking. Develop the discipline to take the trades that conform to your guidelines but go against your gut feeling. Those turn out to be most of the good trades.

How long do think it takes for someone to progress to a point of relative competence as a trader?

I firmly believe that it takes a minimum of three to five years for a person to learn enough about speculative markets and the speculative process to become a successful trader.

I also believe that every successful trader has his or her unique approach to trading. I have not known two successful traders that operate in the exact same fashion. They all have found a special niche that seems to fit their own personality.

The major problem is that the vast majority of individuals (80-90 percent) either burn out their pocketbooks or their emotional will to continue trading before they figure out the rules of the game. This is a cold and harsh reality, but a reality it is.

How reasonable is it for a person to anticipate becoming proficient enough to earn a living from trading?

One thought that crosses the minds of most novice traders is "Wouldn't it be great to get to the point in trading where I could quit my job and trade full time for a living?" Importantly, it IS possible for a novice trader to become a full-time trader. I know, because starting with less than \$3,000 in the 1970s I did it. And perhaps my biggest thrill with *The Factor* is knowing several early subscribers who are now full-time commodity traders.

This is not to say that becoming a full-time trader should be the only logical goal. For some, the goal may be just considering commodities as an investment vehicle for

above-average returns on a part-time basis. For others, trading may be an intriguing hobby in the same vein as photography, flying or fishing (but hopefully, a self-supporting hobby).

What advice do you have for a person who really wants to become a professional trader?

Assuming the goal of a person is to make trading a full-time thing, I believe it takes five elements.

First, commodity trading must be exciting or fun for you. If it is not, then nothing else matters. Simply the lure of riches is not sufficient.

That is a lot like writing, isn't it?

That's what I hear, although I'm hardly a professional writer.

Second, one must come to a thorough understanding of the mechanics of the markets—orders, margins, etc.

Third, one must develop a solid, specific game plan including all the aspects I previously listed, such as trade identification, entry and exit procedures and money management rules. Since there are many ways to skin a cat and every full-time trader must have his or her own unique style, a person must make some decisions about what his style will be. As I said, a person should plan on something like three to five years of trading to develop a sound, "personalized" approach.

What about capital? How much do you need in your trading account?

I was just getting to that.

Fourth, one must be properly capitalized. There is a myth that full-time traders have accounts of \$500,000 to \$1,000,000. Some do, but most do not. I believe that a person can be a full-time market operator with between \$50,000 and \$100,000.

The fifth element is not so easy to describe. I use several phrases for it, including "pulling the trigger," "a leap of faith," and "the concluding commitment." They all have the same meaning. It refers to the level of discipline necessary to execute your game plan with enough consistency to make a living.

Another way to consider this fifth element is that it is a matter of "transferring hypothetical strategy into real time market conditions."

The reason why this fifth element is the most difficult to achieve is that it deals with the basics of human nature. Fear and greed become the real enemies.

Let's look at an example. Assume that you have a game plan that calls for a five-

contract position when a particular market situation develops. Your game plan also calls for the placement of protective stops at a certain level and specific provisions for taking profits (let's say 60 percent of profits at the objective, 20 percent of profits on a lower close after the objective is reached and 20 percent of profits using some simple moving average).

Now, all of a sudden that precise market situation presents itself, and a significant price move takes place. But when you go to check your P&S statements, you find that instead of making \$20,000 as your game plan would have done, you only made \$4,100. What happened?

Here's what happened. When the signal came, you had just taken 6 straight losses in other trades, so you put on only 3 contracts instead of 5. You were afraid this next signal would also result in a loss.

By the second day of the trade you had a \$500-per-contract profit, and you were concerned that you might lose that. So you sold a contract thinking that you would buy it back if the market retested the breakout level. No retest occurred.

The market continued to advance for two more days. Then the market became really choppy for seven days. On the seventh day of the choppiness, you bailed out of another contract when the market made a seven-day low on the close. You were now down to one contract.

The next day the market gapped higher and closed limit up. The next day after that it opened sharply higher again and you thought, "I'm missing out here; I better buy back a contract." You did. The market immediately started down.

You sold out of the latest contract for a \$400 loss but still held one of your original contracts. The market kept going up. Finally, six weeks after you put on your initial position the market reached your objective and immediately had a sharp one-day selloff. You unloaded your final contract on the selloff for a \$3,200 profit. The market then stabilized and pushed \$1,000 per contract beyond your objective before a final high was made.

You add up the score. Even though your initial stop was never in jeopardy, you made only \$4,100. You calculate that your game plan would have made \$24,200. You become very frustrated—and for good reason. You kick yourself and the family dog and promise to yourself that you will never, ever violate your game plan again. Two months later you find another way to cheat on your rules.

It sounds familiar. What is the solution?

Unfortunately, there are no easy answers to these questions. What does amuse me, though, is that so much time and attention is spent by people in the industry looking

for new trading techniques and systems and so little is said about the real issue—the human element.

If there were a secret to successful trading (there is not), it would be in this area. Ask a hundred novice traders what they need to do to become successful and the most common answers would deal with trading techniques as predictive tools. You would hear about such things as speed lines, stochastics, relative strength and other such nonsense.

Ask a hundred proven traders what they need to do to be more successful, and almost to a man (or woman) they would say they already know what to do to become even more successful. They just have a hard time doing it.

This is what it comes down to. To be a successful trader one must conquer one's self. Richard Dennis said that being successful in trading is a matter of "swimming upstream against human nature." This is where the real battle line is drawn. And there is no easy answer to this problem. Even to the professional trader, it is a constant struggle. This is where the real war takes place. It is not in finding some new way to use the relative strength index.

The phrase I keep coming back to as describing the best solution to the problem is "the leap of faith." It is at this point when a person says, "I know how to trade—now I'm going to do it and let the chips fall where they may." This is the fifth, final and most important ingredient to successful market speculation.

The success we're talking about is not directly related to some dollar level of profitability. Success may mean being successful for one month (and not making any money) or being less than successful another month (and making a 20% return on capital). Except in the really long term, success as I see it is not an absolute rate of return or profit per trade. Instead, it is how you trade the markets in relation to what your game plan is (what you are supposed to do). That's what you should concentrate on in the short term. FOLLOW YOUR PLAN. Your actual profits will depend on what the markets had to offer during that time.

Creating A Trading Plan

We should talk more specifically about a game plan.

I am sure our readers have heard about as much as they want to hear from us and others about the importance of having a game plan. It is all fine and good to talk about having a game plan—but what the heck does it really mean? I think a lot of people pay lip service to the concept of a game plan without fully understanding its elements. A trading plan is the disciplined repetition of well-defined rules.

Do you have a list of components for a proper game plan?

A game plan must include the following components:

1. A METHOD FOR IDENTIFYING A PROSPECT TRADING SITUATION. A set of standards a market must satisfy before being considered for a trade. Here you may use classical charting, cycles, wave principles, computer programs, etc. The important thing is that you are consistent.
2. A METHOD FOR ESTABLISHING A POSITION once a candidate situation is identified. This is the timing aspect. There are two components to a trade entry: market direction and timing. They both have to be correct for the trade to work. Being correct on direction only is not enough. I have heard so many times someone tell me about how they knew some market was going to go up—and it did. That and fifty cents will buy you a cup of coffee. An assumption about future price direction is meaningless without some money-management-conscious method for establishing a position in the market.
3. A METHOD FOR ESTABLISHING THE INITIAL STOP.
4. A METHOD FOR MOVING STOPS AND ACCEPTING PROFITS. This may be based on a moving average, a trendline, a dollar amount, etc. Again, the importance is consistency.
5. OVERALL MONEY MANAGEMENT RULES. The reference here is to such items as trading into reports, the percent of capital risked per trade, etc.

Is any element more important than the others?

The novice speculator spends the majority of time, money and effort on the first area—that of trade selection. This is the least important of all the aspects of trading. Sure, a sound method for determining a trade is necessary. But based on the premise that there is no Holy Grail, the real payoff in trading comes from the money management area.

Is there an overall philosophy to keep in mind in creating your trading methods?

The standard test of any trading method is whether it cuts losses short and lets profits run. All good trading plans are based on these two concepts.

In terms of your trading methodology, what would be an ideal trade situation?

At about the same time as you are completing a large pattern on the daily chart, there is a smaller pattern being completed or an important trendline is being broken. You see confirmation on the weekly chart, and the public is thinking the opposite way.

The Factor Trading Plan

Maybe it would be helpful, as an example, to describe the trading plan of your former newsletter, The Factor.

1. The Factor attempted to identify clearly defined classical chart formations (based on Edwards & Magee and Schabacker's books) on daily charts. The "measured move" of these patterns represented a profit potential of \$2,000+ per contract with a reward/risk ratio of at least 3 to 1.
2. The chart pattern should have developed over a period of at least four weeks. Ideally, the completion of the daily chart pattern should also have significance on the weekly chart.
3. The trade should have been in the direction of the major trend. In this regard, I used a long-term moving average.
4. Once a tradeable pattern was identified, I established an entry procedure relative to pattern breakout. I sometimes attempted to pre-position or anticipate a pattern completion if sufficient technical evidence warranted such a maneuver.
5. I believe in small losses (rarely exceeding \$500 per contract). Thus, I used tight stops. If a market did not go my way immediately, I wanted out. The result may have been that I was stopped out, after which the anticipated move occurred. Such is life. I have no time for an indecisive pattern breakout and no patience with a loss. If a market doesn't break out the way I like, I forget the trade (no matter what the market subsequently does) and go shopping elsewhere.
6. If a move gets going immediately, I am hesitant (but at times too quick) to advance my stop protection. Sometimes I ended up sacrificing significant open trade profits. In general, I don't believe in the concept of trailing stops. I am hesitant to move my stop until the market reaches its objective. This requires that I be willing to give back open profits.
7. The premise of points 5 and 6 is that success on only 20 or 30 percent of my trade selections can provide a net profitable bottom line. I play a simple numbers game. It is no more complicated than that. If, over the course of a year, I can be right 40 percent of the time, it will be a fantastic year. At 30 percent, it will be a good year. At 20 percent I will probably lose money.
8. My primary goal with *The Factor* was a *long-term* net profitable bottom line with a minimum "worst series" drawdown. The point here was to keep subscribers alive while they evolved as traders. To repeat, large losses are the most counterproductive outcome you can have.
9. It was not my intent with *The Factor* to catch every major move.

That, in a nutshell, was my trading plan with *The Factor*. It is also the way I conduct my personal trading and the way I manage accounts.

Do you consider yourself as predicting future market direction?

No. I am not trying to out-guess or forecast the markets. I am just looking for market situations that meet certain guidelines—with the belief that over time these specific market situations and certain money management rules will produce a net trading profit. I realize that any given trade is more apt to be a loss than a profit—and that statistical probabilities must periodically produce a series of losses.

We keep talking about “chart patterns” and “classical chart patterns.” How would you define a chart pattern?

Generally speaking, a commodity market is either in a follow-through trending phase or in a consolidation phase. During a strong trending period, markets proceed from one price level to another with very little interruption. During a consolidation period markets move in both directions without producing any meaningful or sustained price change.

In the 1940s, Robert Edwards and John Magee observed in their book, *Technical Analysis of Stock Trends*, that during periods of consolidation, prices, when plotted as a bar chart, tend to form one of twelve recognizable patterns with distinct boundaries.

The importance of the patterns is that depending on which one the market creates during its consolidation, you can determine the direction and magnitudes of the next substantial trend with some degree of accuracy.

You indicated that ideally you want to see a pattern take a minimum of four weeks to form. Is there any significance to the time the pattern takes to complete itself?

The longer the period of consolidation, the greater the magnitude of the subsequent trend.

Once you identify a trade, how do you enter your position?

I try to jump in at the moment and price when a chart pattern is completed. It is at this breakout point when price penetrates the boundary of the developing chart formation that I want to initiate a trading position.

What kind of order do you use?

I usually enter positions using stop orders. The appropriate price can be identified

in advance. It is good discipline to put your order in before price actually gets there. Once it gets there, the market can move rapidly. You don't want to hesitate or second-guess yourself and miss out.

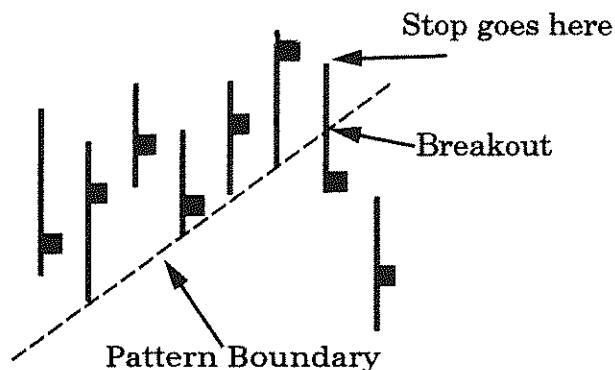
Where do you place your stop-loss order?

Once a market completes a well-developed chart pattern by penetrating a boundary and I establish a trading position, I assume that the market will not reenter the completed pattern, but will trend to its price objective with minimum interruption.

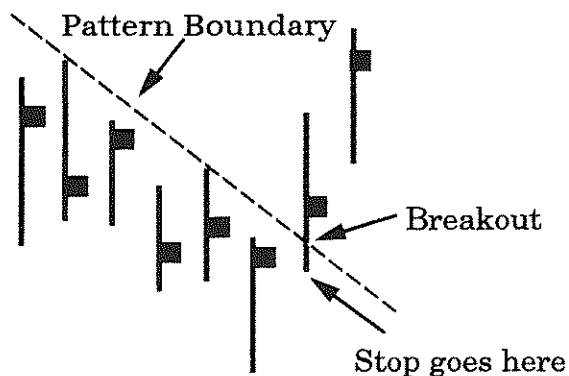
Can you be more more specific about your stop placement?

I normally use what I call the *Last Day Rule*. Under some circumstances, market conditions may dictate a different kind of protective stop.

When the market completes a chart formation with a downside penetration of the formation boundary, the Last Day Rule specifies that prices should not trade back above the highest price of the last trading day within the pattern. Thus, I place my stop just above the high of the last trading day within the pattern.



The opposite is true when a market makes an upside penetration of the formation boundary.



What do you do when prices gap through a pattern boundary?

Good question. That happens quite frequently. When prices gap through a boundary, I may place the initial stop in relation to the last closing price within the formation. For long positions, place the stop below the last close within the formation. For short positions, place the stop above the last close within the formation.

What do you do when the Last Day Rule results in too big a stop for good money management?

This is one of those circumstances I referred to as suggesting an alternative protective stop placement. Keeping losses small (in relation to total capital) is the most important consideration. When the dollar risk of the initial stop as determined by the Last Day Rule is too big, I use a simple money management stop. A money management stop is one that is placed so as to keep the loss below a given dollar amount.

Do you do anything when the market creates a conflicting pattern going the other way while you have an open position?

You think of everything. Yes. In the event that a separate chart formation develops that is contrary to the direction of a position, I move the stop to the breakout point of the intervening chart pattern.

What happens to the original pattern if the intervening pattern fails?

If stopped out on the reverse trade because the intervening pattern fails, I often reinstate 50 percent of my original position.

If a minor intervening pattern develops calling for only a retest of the major pattern (remember, most such hesitations will become continuation patterns), I may protect half my original position at a point where this reversal pattern breaks out. If this pattern fails, I may reinstate 25 percent of my original position.

Do you use open stop orders?

Yes. For promotion of good discipline, I recommend that you enter stop-loss protection using open orders. An open order stays on the floor until it is executed. You do not have to renew it every day. By the way, I most always use open stop orders for entry.

After you enter and place your protective stop, what's next?

I wait for the market to reach the pattern profit objective. This often happens with astonishing speed.

Do you exit when the market reaches your objective?

Not necessarily. I usually try to move my stop so as to ensure a maximum profit while allowing for the basic trend to continue.

How do you do that?

Over the years I have tinkered with a variety of methods for allowing a market to travel beyond a target. I cannot honestly tell you, Bruce, that I am 100 percent buttoned up on this matter. The two methods that seem to work best are: 1) Moving the stop to a very short-term moving average that will trail the market, and 2) Moving the stop to just below the low on the day the target was reached (on a long position) or just above the high on the day the target was reached (on a short position).

What about pyramiding?

I will add additional positions, but the pyramid position must be based on its own chart formation, Last Day Rule and profit objective. Some traders add positions just because they have an accumulated open profit. I think this is a foolish idea.

Would someone with enough capital to trade multiple contracts trade any differently?

They could. More capital allows more flexibility. For instance, assume you were trading the breakout of a minor chart pattern that was preliminary to the breakout of a major chart pattern. If you could trade three contracts instead of one, you might enter protective stops as follows:

Contract 1: Get out whenever the position shows a loss after the close.

Contract 2: Get out whenever price closes back inside the minor chart pattern.

Contract 3: Get out using the Last Day Rule.

Upon completion of the major chart pattern, you should protect all three positions with the Last Day Rule as applied to the major pattern.

Are there entry considerations that might suggest trading more contracts initially?

Yes. If the pattern is an extensive continuation pattern or if the pattern is a reversal and other technical indications exist (such as completion of several patterns at the

same time or penetration of major trendlines or a development on the weekly chart), you could initiate a larger initial position. All things considered, I prefer never to risk more than one percent of my capital on a given trade (which includes all contracts).

Is total expected yearly profit a legitimate part of the game plan?

Of course. Many traders (especially novice traders) view the commodity markets as a “rags to riches” opportunity—the chance to make a killing. Sure, fantastic profits can come from trading. Some of the stories of turning \$10,000 into \$1,000,000 in a year or two are absolutely true. I know some of the people involved.

Such “fast profits” are one of the major appeals of commodity trading—and the industry plays off this. Exchange advertising campaigns, various trading contests and even *Commodity Traders Consumer Report* to some extent, all promote the volatility aspect of futures trading.

I have previously gone on record in opposition to this type of publicity. In my opinion, an appeal to quick and large profits is symptomatic of the extremely short-term thinking of the futures industry and may actually be harmful to the industry. The commodity markets have been labeled as wild speculation, and the industry has embraced this idea.

In the hands of a careful individual, commodity trading may be no more risky than the stock market. The financial community categorizes commodity trading a speculation and stocks as an investment. Ha, ha! This is a joke. If stocks are an investment, then so are commodities. The fact is that both stock and commodity trading are speculation. Whole life insurance is an investment. T-Bills are an investment. The home you live in is an investment. But anything capable of depreciation resulting in capital loss is a speculation.

In my way of thinking, there is absolutely NO difference between buying 1,000 shares of a \$25 stock and putting \$25,000 into a commodity program. You may get dividends in the stock market, but commodity traders can hold interest-bearing T-Bills. A \$25,000 account in the hands of a professional trader should be considered as more like a growth stock than anything else I can think of.

A commodity account properly traded is not like some new bio-med or hi-tech stock that might go from \$20 to \$80 in two years—or might go to \$2. It is more like a typical growth stock that could go from \$30 to \$70 over two to four years if the market is right. But in a properly traded commodity account, just like a growth stock, it is not possible to pin-point those six or eight weeks over a four-year period that will represent the increase.

Thus, the real point I am trying to make here is that while commodity trading can be a higher risk deal, it doesn't have to be if you don't try too hard to get rich quick.

In creating profit goals for yourself, keep your aspirations relatively small. Plan to compound your modest profits over time. Go for consistency rather than quick riches.

Money Management

Peter, you listed Money Management Rules as fifth on your list of components for success. I know you don't consider money management as fifth most important.

That's right. Actually, I regard it as the number one priority. Novice traders spend the bulk of their time, energy and money seeking improvement on the trade selection part of the equation. But money management—not trade selection—is the single most important trading element. I'd rather have great money management and mediocre trade selection than mediocre money management and great trade selection.

The vast majority of market advisory services are absolutely useless because the editors have no sense of money management skills. I have followed the tables in *Commodity Traders Consumer Report* enough to know who could be successful trading their own personal account and who could not. I will tell you that most market letter writers could not be successful in trading their own personal accounts if their lives depended on it. And these guys want traders to pay pretty hefty subscription fees. But there are a few real gems among market letters.

Of what value is the most profitable advisory letter if, during a drawdown period, your trading account is crippled? I say it is of no value whatsoever.

Do you have some specific money management ideas you could discuss?

Limiting the loss and maximizing the profit potential on any given trading situation is just one element of money management in an overall commodity trading effort.

Here are some other money management principles I endorse:

1. Margin commitment to a given trading situation should be limited to 15-20 percent of total trading capital. By trading situation, I mean the whole position devoted to a particular market.
2. Margin commitment to all trading situations should be limited to 50 percent of total trading capital.
3. The loss on a given trading situation should be limited to one percent of total trading capital.

Amateur traders seem to be hung up on having a high winning percentage. It's connected with their ego need to be right. How do you feel about a high winning percentage?

Pros are willing to be wrong even as much as 80 percent of the time. Novice traders can't handle that kind of batting average.

If given a choice between two equally profitable trading systems, one correct 70 percent of the time and the other correct 30 percent of the time, the novice trader will select the 70-percent system while the professional trader will select the 30-percent system. The reason for the professional trader's selection is that the 70-percent system has no room for error while the 30-percent system has obviously better money management rules.

Maybe you better explain that?

To achieve a very high winning percentage, it is necessary to grab quick profits. This lowers the ratio between the average win and the average loss. If the winning percentage drops, it becomes a catastrophe. When you have a high average-win-to-average-loss ratio, a drop in effectiveness is not so disastrous. Having a high winning percentage will probably not increase overall trading profits anyway. It is strictly a matter of ego.

What about the importance of minimizing commissions?

This is a direct way to improve your bottom line without any need to increase your trading effectiveness. Pay as low a commission rate as you can. Every dollar saved here goes directly to your bottom line. I think you should keep annual commission expenses under 10-15 percent of total capital.

Any final word on money management?

Murphy's Law rules the futures markets. You will inevitably start following an advisor, a system or a self-developed trading plan at absolutely the worst time. Plan on it.

Psychology

Let's switch gears from trading to psychology. We both know that this is what separates the pros from the also-rans.

Absolutely. I remember some comments you made a number of years ago in introducing your *Computer Trading Tutor* book. I thought they were worth quoting in my newsletter. Here's what you said:

"Contrary to popular superstition, successful commodity trading has nothing to do with trade selection tools. This is where almost all traders place their greatest emphasis. They are wasting their time.

"It is no wonder that traders start buying trading systems. What they are really looking for is a trading method which will be good enough to overcome their own psychological ineptitude. Unfortunately, no such system exists or will ever exist.

"There are three essential ingredients to a successful trading plan: (1) Trading with the trend instead of trying to pick tops and bottoms; (2) Having the patience to wait for high reward/low risk trades; and (3) Having the discipline to cut losses short and let profits run. What separates the very few consistent winners from the many losers is solely the mental toughness to be able to follow the above rules. While it takes some knowledge to be able to judge risks and potential rewards, this is easily within the ability of most chronic losers. It is not the problem.

"Computer-assisted trading is a good example of a new capability which, on the surface, looks like it will be effective enough to rescue a trader from his lack of discipline and patience. I want to come clean right at the beginning of this book and confess that it is not. There are many things a computer system can assist you with in your trading . . . it cannot by itself call your broker and place the orders to enter and exit. It is the inability to do these tasks correctly which leads to year-end losses."

Well put, Bruce. I call it pulling the trigger.

Thanks for the plug. Why is it that even professionals find it so hard to stick to their rules?

I've been kicking this thing around for 15 years, and at some point I've been exposed to just about everything. What continues to amaze me year in and year out is the degree to which the market rubs my nose in things that I should have learned before and don't seem to be able to get through my thick skull.

I guess the bottom line is that successful speculation is an uphill run against basic human nature. When we screw up, it is only because we are human.

How do you learn from your past mistakes?

It is said that we can learn from our past mistakes. But I believe that a person can also learn much from past victories.

For instance, some years ago I sat down and went back over two years worth of my own personal P&S statements. I identified my ten best trades based on profit per contract. I then ran 5 and 15-minute bar charts to find out what type of price behavior took place around the breakout points where I established my positions in these ten trades. Single contracts in each of these ten trades produced an astounding

total profit of \$58,198. But the real highlight of these trades was as follows:

1. Only two of the ten trades experienced an intraday loss in excess of \$300 per contract. Three of the ten never were even out of the money by as much as a minimum tick.
2. Only one of the ten trades ever had a loss on a close.
3. All but one of these trades were official *Factor* hotline trades.

These numbers reconfirmed the validity of a trading strategy aimed at identifying possible trades and exiting very quickly if the trade does not immediately start to work. It is this type of trade that will put in the bottom line for a trader.

What about the possibility that the markets during those years were an exception?

Obviously, the markets of 1990 are different from the markets that produced the above ten trades. The principle of classical charting is that in any market in any year, certain geometric chart configurations will produce—with limited hesitation—a certain move.

You must remember that the original observations of Richard W. Schabacker (upon whose early writings Edwards and Magee based their book) are over half a century old. Classical charting principles, perhaps more than any other trading methods, have withstood the test of time. Classical chart trading will have losing weeks and months and even marginal years. But I believe that for the trader who is willing to take meaningful positions at the breakout points of major chart patterns and guard those positions closely—time will be an enormous ally rather than an enemy.

What other tips about self-analysis can you give us?

When push comes to shove . . . when all the fundamental jawboning of the day is long forgotten . . . when all the day-to-day emotions of watching profits (or losses) rise and fall are finalized on a P&S statement and placed in a file drawer . . . when what we feel about a given trade becomes such history that we cannot recall that particular trade any more . . . when all of these things pass . . . the serious chart trader can then ask some important questions.

A year from now can we review every execution we made on a completed chart and say with no regret that:

1. The day and price we entered made sound technical sense?
2. The day and price we liquidated made sound technical sense?
3. Our degree of commitment (in relationship to capital) made sound money-management sense?

If you are a serious chart trader, can you make the above statements about every trade for the past year?

Can you account for every single execution you made in the markets based on a specific procedure you intended to follow?

Can every execution you make be explained by a preconceived plan to react to particular market behavior in a specified manner?

Will every trade you make in the next year have similarity of reason?

None of these questions has anything to do with whether a trade was profitable or not. Even if you can honestly (and there is no time in trading for anything else but complete honesty) say Yes, Yes, Yes to all the above questions, there is still no guarantee of sizable trading profits in any given future time frame.

But I can promise you this. If EVERY execution you make in the markets conforms to a preconceived plan, then you can consider yourself to be a professional trader. Sooner or later the profits you are looking for will come. If I didn't believe this, I would figure out another way to make my living.

How can traders avoid second-guessing themselves?

This is one of the most universal traits of traders. Whenever you have a successful trade, you always wish you had traded more contracts. It's easy to look back with hindsight and say, "I should have used a wider stop on this trade," or "I should have handled that trade in such and such a manner."

There are three major problems with "coulda-woulda-shoulda" thinking:

1. It serves no useful purpose.
2. It is easy to trade a market after the fact.
3. The "C-W-S" trade may not have been consistent with the profile of the trading approach. In other words, it is fine to be able to see that a given market went from point A to point B, but were there signals consistent with your particular trading rules? Did the market set up right according to your trading plan? If not, there is no reason to second-guess yourself.

It's just as easy to second-guess yourself before a trade as after, isn't it?

And how! The ironic thing is the most profitable trades are often the ones that are absolutely the hardest to execute. You can find every reason not to take them and no good reason to pull the trigger. The most profitable signals are the ones that are the hardest to justify at the time. That's why you must take every single signal your plan generates regardless of how you may feel about it at the time.

Everyone eventually goes through a trading slump. How do you handle them?

I have traded the markets long enough to have had many serious trading slumps. I know that I will be in many more slumps in the future. The futures markets are no place to be cocky.

There are two important points to make:

1. A speculator will never make it in the markets without a disciplined game plan. I promise you this. And I can also promise that every approach to the markets will experience troubled times.

I have developed confidence in my approach to trading during the good periods to be sure. But I have gained even more confidence in my approach by trading it through and out of a prolonged slump. The good and bad times have got to go together.

2. With proper money management, it is possible to go through a prolonged slump without destroying your account. Big losses (\$2,000+ per contract) will kill you. Small losses will not.

At one point during a recent slump I had a series of 49 contracts traded with only 5 profitable contracts. During this period I was right only 10 percent of the time. But the dollar drawdown never exceeded \$4,500. Have you ever had a loss that big on one or two or three trades in a row? It took me 49 trades to dig a hole that deep.

The bottom line is this: Stay disciplined even during bad times. Keep your losses small, and when you get a profitable trade, let it run. You may not end up with all the money in the world with this formula, but over time you will not lose money. And if you believe the industry statistics, just not losing money will place you ahead of 80 percent of all speculators.

I believe in the premise that to make an account grow, you must first learn to hold an account together. Capital preservation has priority over capital appreciation. Trade long enough, and you are bound to get lucky.

Have you ever had a losing year?

Unfortunately, the answer is yes. 1986 was the first and only losing year for my personal trading. It was also the worst year ever for *The Factor*. At the time I recalled some advice given to me in the early 1970s. "Sooner or later every successful trader is going to have a year where he doesn't make any money." I didn't believe it. In 1986, I found out it is true.

There is no approach to the markets that's immune to having an unsatisfactory period. How little a trader loses during the bad times is a better test of trading skills

than how much a trader makes during the good times. Unless you are willing to live through the bad times that every approach will bring, you will never enjoy the good times.

Do you think it is useful for a trader to pay attention to news?

It is a preoccupation of many stock and commodity traders to read reasons into large price changes. These reasons tend to do with matters of economics or politics. For instance, a strong advance in Copper on a particular day might imply an improvement in business conditions.

If this type of thinking isn't dangerous enough, some analysts and traders will combine many markets into enormously complicated scenarios. This whole set of markets will be expected to confirm an unfolding macroeconomic/political situation. What poppycock!

But before one is too quick to pass judgment on the fundamentalist, many a technician will also review a set of charts and think, "Now it is all coming into place." I am not condemning such a thought process. I am sure that being a chart-book economist can be fun. But if such is your practice, I suggest that you do not take yourself too seriously. You see, it may be the one market which doesn't seem to fit that will produce the most meaningful trade. Trust your game plan more than your analysis.

How can we keep our egos out of our trading?

Unless you are willing and able to take losses with limited emotional response, you will never be a successful trader. If you take losses personally, perhaps you shouldn't trade.

Is there a danger that a trader can place too much emphasis on risk control?

One lesson I learned over the years was that there is a fine line between the importance of risk management on one side and taking too little risk on the other side. In order to turn in satisfactory performance (per contract traded), you must be willing to take enough risk at the same time as you guard against taking too much risk.

Advanced Concepts And Principles

What chart service do you prefer?

Commodity Research Bureau's.

Why?

Primarily the length of their charts. Your daily chart should go back at least ten months. It is good practice to draw in the two or three most significant patterns for the past year. Then ask yourself, "Is what I'm looking at now as significant as the two or three things I've already drawn in?" I always like to go back and reread Edwards and Magee's discussion on the formations I am looking at.

Do you look at weekly charts?

Definitely. I always like to see the daily chart pattern in harmony with some longer-term pattern on the weekly chart. I have also found it advantageous to make sure my trades are in the direction of the long-term trend.

What is your opinion of trailing stops?

After using them for many years, I finally decided the concept of trailing stops has no validity whatsoever. I now hold my positions until the market hits my initial stop, reaches the profit target or generates a reverse signal.

Do you use such technical studies as On-balance volume, RSI, Stochastics, etc., in your analysis or trading?

No, I do not. Call me old-fashioned if you wish. I would take that as a compliment. I don't use any of these technical studies because they complicate the entire trading process. I believe a trading approach should stand in the simplest possible form. When I look at a chart I am looking at *price* in its simplest form. We trade just price—so let's study just price. Such technical studies are derivatives of price and should not be confused with price itself.

What if my charts say buy but some indicator says sell? Then what? Do all my indicators have to agree with the charts? Or only 80 percent, or just 50 percent? With the tight stops I use, if some indicators kept me from putting on one good trade, they must also keep me out of five or six bad trades to be advantageous.

One of the big buzz words of the 1980s was "optimization." How do you feel about optimization?

No trading approach can be optimized.

No set of trading rules can be optimized.

No set of entry rules can be optimized.

No set of exit rules can be optimized.

No set of money management rules can be optimized.

No trading approach can be optimized.

Trading results cannot be optimized.

Optimization is a fool's dream.

Have I made myself clear?

Miscellaneous Ruminations

Your approach is very selective. How do you feel about always-in-the-market approaches that seek to catch every major move?

Unless one's game plan is based on a diversified portfolio using moving averages or a similar methodology, it is absolutely impossible to catch every major move and at the same time stay patient and disciplined. I prefer the selective approach because it makes it easier to control losses.

As a former broker, do you have an opinion about taking advice from brokers?

Don't ever ask a broker for his or her opinion. EVER.

Brokerage firm research stinks! Most of the analysts have had no trading experience. They just crunch numbers. They talk to each other every day so there's a tremendous herd instinct. They're all bullish at the top and bearish at the bottom because they are afraid to stick their necks out.

Traders should avoid brokerage firm opinions. They are positively detrimental to successful trading.

How long a period is necessary to judge the effectiveness of an approach?

The result of any given trade or any given day or any given week or any given month is totally and absolutely meaningless. A method can only be judged over longer periods of time . . . the longer the better.

What is the significance of the Friday close?

If a position shows a loss on any Friday close, that loss will normally get larger. During my trading career, if I had gotten out of every trade that showed a loss on Friday afternoon, my bottom line would definitely have improved.

How important is luck in trading?

The average trader has a 50/50 chance of being as right on any given market situation as the best advisor available. However, the best advisors will be more disciplined and have better money management over the long pull. Thus, luck is crucial in the short term, but meaningless in the long term.

I will always remember your admonition concerning asking someone for his opinion. Will you repeat it for our readers?

If you're interested in another person's opinion, never ask him what he thinks. Instead, ask him his actual position, at what price he will admit to being wrong, and his target.

Peter, you don't like the terms bullish and bearish. Why not?

I'll tell you a little story. In the mid-1970s when I entered the business, I met a guy who was a floor trader in Soybeans. He had a mansion on Lake Michigan and a new "Benz." He was quite successful.

One day he told me he was very bullish on Soybeans. I bought some Beans. They went up 15 cents over the course of several days and then went down 30 cents. I took a loss. My friend hadn't taken a loss but commented afterwards, "Wasn't that move in Beans great!"

I found out later that he usually traded Beans for a penny or two many times a day. He never took a position home. However, he had kept a position overnight on this recent trade and took a 10-cent profit. For him a 10-cent profit was huge. He was very bullish on Beans (relative to his normal time and price perspective), and from his point of view, he was right. When I bought Beans because he was bullish, I didn't understand his time and price perspective so I kept my position too long.

Market opinions usually don't mean anything because every trader's time and price perspective are different. It would be more meaningful if I were to say, "I am bearish on Gold and here is where I go short and my profit goal is \$65 per ounce and I am risking \$7 per ounce. But if I am unwilling to share the details of a trading strategy, then there is no reason even to say I am bearish.

One of my favorite possessions is the baseball cap you brought me at the Los Angeles seminar we did together in 1983. It says on the front, "Beware of Fundamentals." Wearing it is a great inside joke. Please talk about using fundamentals in trading.

Conventional wisdom based on fundamental considerations in commodity markets is almost always wrong.

By necessity, fundamental news and events at major market tops are nearly

unanimously bullish. Fundamental news and events at major market bottoms are nearly unanimously bearish.

There will often be occasions when trades signalled by your plan will be totally contrary to *known* fundamental understanding. Don't worry.

I have found that some of the biggest moves in history flew right in the face of widely known fundamentals.

Are there any trading systems you would avoid?

Any system that takes large losses in relation to total capital.

I know you have a CQG computer system. How do you feel about watching the markets during the day?

I know I should turn my quote screen off during the day. My bottom line would improve. Why do I sit and feel compelled to watch markets during the day when it's just not consistent with the way I want to trade? You tell me.

One of the favorite fads among commodity analysts is working from a supposed "relationship" between two markets. Which commodities are involved varies from year to year. What is your opinion on this?

Attempting to create interrelationship scenarios among different markets is a trap to avoid. "Let's see, if Bonds do this then Gold will do that, and Crude Oil will do this, and the Dollar will do that, which all means that the economy will be in such and such a condition." What a joke. Trade every chart on its own merit.

I have seen so many of these so-called relationships come and go over the years. Any sacred interrelationship between several markets will eventually dissolve.

Richard Dennis was probably the outstanding commodity speculator of the early 1980s. Before finally burning out, he may have made more money than any commodity trader ever. Peter, I know you like to quote Richard Dennis because his philosophy is very similar to yours.

That's right. Here are some quotes I saved from interviews in *Intermarket* and *Futures* magazines.

Intermarket —

"... people are overly attracted to strategies that get near a hundred percent success rate. You can come up with techniques that have close to that success rate and lose tons."

"I can lose every day for a year and presto, I hope to make it up in one or two days."

"Being inner-directed is a lot better for traders. Many people go home at the end of the day thinking, 'it's nice to have made a profit.' I try to tell people that's one of the worst things to try to judge yourself by. The other thing—correct in my opinion—would be to go home everyday and know exactly what you did. 'Did I do everything I was supposed to do? Did I get out of losers?'"

"... concentrate on ... form, ... thinking about ... having a strategy, asking 'how is this all going to end?' ... You cannot be directed by the result, it seems to me, and do the right thing. It's not a good guide. I don't think the results will tell you a hell of a lot. What it applies to is that you need an idea of what you're doing and some confidence in it."

"Stocks are a different animal ... futures markets aren't very much a respecter of value. You trade them like that. Even if you're right most of the time, I'm not sure buying value in futures is a viable strategy."

Futures —

"I am relaxed at what I'm doing because I have a plan. I know what I want to do, and I'm really trying to execute it. I think most traders do too much thinking on the spot. They should come in with 90 percent of the decisions made ..."

"I learned everything the hard way. You're looking at the most anti-intuitive trader in the world."

"If you look at all my trades for a year, I suppose that all the profits are in five percent of the trades."

"No loss should be so big that it makes a difference. That's just a good trading principle. The secret to trading, I think, is what you do with the wrong positions, not with the right ones."

"When you have a position, you put it on for a reason, and you've got to keep it until the reason no longer exists. Don't take profits just for the sake of taking profits. You have to have a strategy to trade, know how it works and follow through on it."

"You've got to create your own ideas of what's supposed to happen and trade according to that."

"You don't get any profit from fundamental analysis; you get profits from buying and selling. So why stick with the appearance when you can go right to the reality of price and analyze and forecast it better."

"I learned it's a lot harder than it looks. I mean that. All the rules sound simple, but doing it day by day is difficult. It takes stick-to-it-iveness to do it right. To follow the

good principles and not let fear, greed and hope interfere with your trading is tough. You're swimming upstream against human nature."

What about all the high-priced, Holy Grail systems being touted? It seems like this kind of con game may have peaked for now, but it will probably come back in a few years.

There was so much garbage peddled to commodity traders in the 1980s. I think the tremendous amount of time, money and effort that was expended in search of the one "magic" approach is an absolute joke.

Each day a given commodity exchange transmits to the world the open, high, low, close, volume and open interest for a particular market. It is amazing the number of ways the same set of numbers can be massaged. It is paramount to remember that any given system or approach just basically recalculates the same few numbers in a different manner.

The personal computer has only proliferated the number of ways that the same set of numbers can be torn apart. The language of today includes such phrases as moving average cross-overs, relative strength, demand index, Fourier analysis, Gann angles, parabolics, filtering, detrending, payoff matrix and the like. All from the same small set of numbers.

At the risk of sounding old fashioned, aren't we getting carried away?

Please don't take me wrong. I am not against different methods to study a market. But all these various market studies are not worth the paper they are printed on unless a trader has the ability to pull the trigger and uses common-sense money management rules. The only value any given approach has is in its ability to provide structure.

I am of the school that the fewer times in a year that one trades the better. I cannot help but think that all the new computer software will only provide more excuses for a trade. Therefore, in the end it will be self-defeating.

There is no magic approach! But traders still seek out that one system that will provide magic results. They probably always will.

Peter, over the years I have spoken to you in connection with various articles in CTCR and asked you to prognosticate about upcoming market opportunities. You have been the only analyst who has consistently refused to make any predictions. Why?

I can't make those kind of predictions because my methodology reacts to the market rather than anticipates. I try to avoid gazing into the future because it only distorts

my ability to look at the markets objectively. I don't want to have any expectations for the markets. We should be in the business of trading not forecasting. I'm a trader not a predictor.

This attitude is related to the psychological error of seeking ego satisfaction from each trade, isn't it?

Yes, indeed. A successful commodity trading program must be based on the simple premise that no one really knows what the markets are going to do. We can guess, but we don't know. Taking credit for a good trade is as foolish as taking blame for a loss. The best a commodity trader can hope for is an approach which provides a slight edge. Like a gambling casino, the trader must earn his profits by exploiting that edge over an extended series of trades. But on any given trade, like an individual casino bet, the edge is pretty meaningless.

You have been trading since the 1970s. Do you think the markets have changed their personalities since then?

No matter how much the markets may look like they're changing (and you always hear people say so), they really don't change. You constantly have to be on your guard against trying to modify your system because of what you perceive to be changing markets. What's really going on is that the people who claim the markets are changing are probably just having problems with their trading.

I liken this constant tinkering with your system to over-flying an airplane. There is one instrument on the flight panel called the vertical speed indicator. It tells you how fast you're going up or down. It is the most unreliable instrument in the cockpit. If a pilot attempts to chase the vertical speed indicator, he's going to be all over the sky.

There is no perfect approach to the market. Any approach is going to have ups and downs. Dealing with that is one of the most important psychological battles in the trading war.

Where does trading fit into your life?

Health, good friends, a family that cares for each other and a relationship with God are more important than all the money in the world.

Thanks, Peter.

PRACTICAL TRADING HINTS

The first section of this book dealt with my philosophy of speculative trading. Some of the ideas were more than philosophical views, they were realities I learned the hard way.

The following section provides examples of the various chart patterns and their projected targets. As I have pointed out, you should study them in conjunction with *Technical Analysis of Stock Trends* by Edwards and Magee.

The final section is a reprint of my "Best Dressed Lists." They contain the ten most outstanding examples of classical charting principles during each year from 1983 through 1989. These charts are more than simple history. They can provide you with points of reference against which you can judge future price developments.

This section deals with some practical aspects of using price charts for trading. Here we will dive into the nitty gritty of chart trading.

Perhaps the best way to do this is by presenting the most frequently asked questions by *Factor* subscribers over the years.

Do you use intraday (hourly, 30-minute, etc.) charts?

I do not look at intraday charts to find trading ideas. I will only use an hourly chart when I have already identified a candidate trade on the daily chart. An hourly chart may provide the ability to fine-tune my entry level.

Intraday charts can pose a real danger for a position trader. It is easy to lose sight of the forest by looking too closely at the trees. One runs the risk of becoming too short-term oriented.

Further, during the course of an on-going move, intraday charts will always provide an excuse for taking profits too soon. As long as an existing trade does not show a loss, the job of a trader should be to find reasons to stay with the trade, not reasons to get out.

What are your views on day trading?

Unless you are a local floor trader, I am against day trading. On the floor, one can buy at the bid price and sell at the offer price. Transaction costs are minimal. Profits in trading come from exploiting some small edge or advantage. My edge over local traders is that I am willing to hold positions overnight. But for the trader watching a computer screen and paying anything over \$20 per round turn, there is no edge in day trading.

The local floor traders have the edge, and to compete head-to-head with them is stupid. When I do day trade, it is by accident. I am taking a loss during the same trading session in which I established a position.

Another argument against day trading is that it requires decisions to be made quickly during the trading session. It thus becomes too easy to get caught up in the emotions of the moment.

How do you avoid misidentifying a chart pattern or seeing a pattern on a chart that doesn't really exist?

This question raises a number of related issues. Always remember that classical charting is an art not a science. It is highly judgmental. Two equally qualified chartists may well differ on the interpretation of a given price sequence.

There are two steps needed to become an expert in the art of classical charting. The first is to read the Edwards and Magee book over and over. Some standards for what is and what is not a chart pattern have to exist and *Technical Analysis of Stock Trends* provides those rules. For example, probably 80 percent of the patterns identified by the novice trader as double tops or double bottoms do not meet the requirements listed by Edwards and Magee.

The second step is experience. When a person trades the charts long enough, insight will come.

Correct identification of chart patterns is extremely important. If the correct identification of a chart formation results in a successful trade less than 50 percent of the time (a rough guess), it is important to be as accurate as possible so as not to reduce the odds even further.

There are three major causes of misidentifying chart patterns. The first is having an emotional or fundamental bias toward a particular market. If a trader is bullish on Gold, for example, he is likely to take some liberties in interpreting the Gold chart in order to find a bullishly-inclined chart development. A chart trader must always be on the alert so as not to "stretch" a chart to fit his bias.

The second cause is over-analysis. If I study enough charts of a given market

(monthly, weekly, daily, hourly, bar, closing price, point and figure, candlestick, etc.), I will eventually find some reason to trade.

The really good, tradeable chart formations have a way of popping out at you without much study. As a matter of fact, in my experience, the most profitable trades are those with obvious patterns that lead opposite to any pre-existing bias I may have.

The third primary cause of misidentification is what I call "diagonal analysis." This is a somewhat difficult concept to explain, but I will give it a try because it is so important and yet little known.

The most reliable chart patterns usually have horizontal symmetry—when drawn on a chart page, the boundary lines are horizontal. In a "horizontal pattern" the entire formation develops within a defined horizontal trading range. As a general rule, horizontal patterns include the head and shoulders, rectangle, descending and ascending triangles, flags, pennants and the rounding or sloping patterns.

"Diagonal patterns," on the other hand, are not enclosed in a horizontal trading range. Their important boundary lines are diagonally drawn. Diagonal patterns include trendlines, wedges and channels. **DIAGONAL PATTERNS ARE FAR LESS RELIABLE AND FAR MORE EASILY MISIDENTIFIED** than horizontal formations.

I could draw a diagonal pattern on every page in a chart book if I looked hard enough. A major problem for the novice chartist is that he or she finds too many diagonal patterns. One reason for this is that beginners like to draw trendlines.

Naked trendlines (not part of a larger pattern) are far and away the most unreliable of all classical chart developments. Is it a coincidence that they are the easiest to draw on a chart page? I generally do not like trendlines. Down trendlines in particular have no technical validity whatsoever.

Give a monkey a chart book, a pen and ruler and sooner or later the monkey will draw a trendline that appears to make sense. The attention to trendlines is an important, if not the biggest, pitfall for a novice chartist. If you resolve never again to draw a naked trendline, you will be making a quantum leap in your charting capabilities.

If a market has had a false breakout, will you attempt to re-enter the trade on another breakout from the same formation?

It all depends on how the market breaks out the second time and how much potential I think the market has for a sizable move. But generally speaking, I have little patience with a market that is sending false signals.

Do you trade failure patterns?

[A failure pattern is one in which the market initially breaks out of a pattern in one direction, but that breakout is false and the real move is in the opposite direction.]

In some cases I do.

Failure patterns have many subtleties. The big problem is determining when a failure pattern is occurring rather than just a much bigger congestion pattern. The danger in trading failure patterns is that a person can get whipped around within a developing trading range. That is why I am hesitant automatically to go long if a short position on a pattern has failed to work. In about 80 percent of the cases, the market will simply build a bigger pattern and NOT move strongly in the opposite direction.

I do, however, consider a failed head and shoulders to be a separate and very tradeable chart formation in its own right. That is a special case not mentioned by Edwards and Magee.

Do you record and use volume or open interest?

This is a key question. The volume rules in *Technical Analysis of Stock Trends* do NOT apply to the futures markets. The reason is that in common stocks, volume always relates to the fixed supply of shares at a given time. Futures do not have this restraint on open interest.

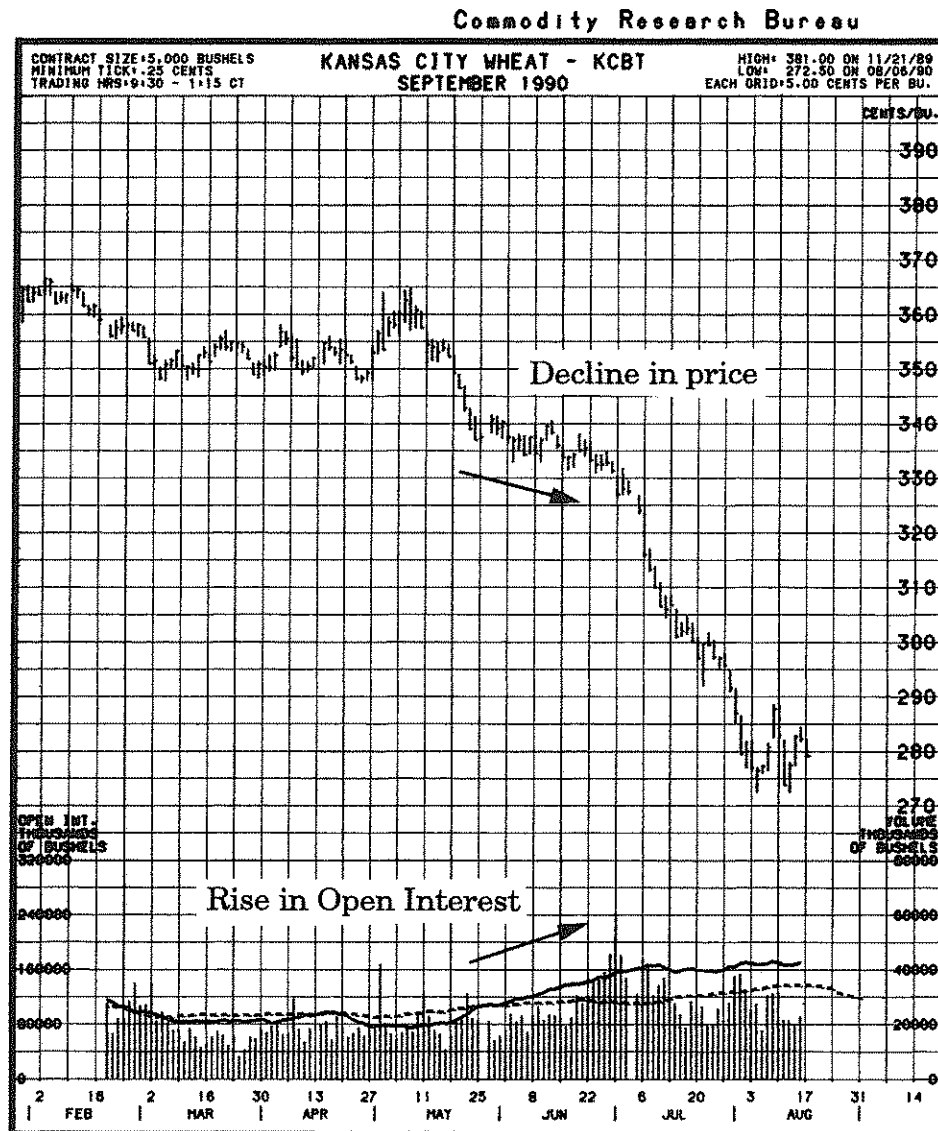
I have seen many major bull advances in commodities without an expansion of volume. And I have seen many false breakouts occur on expanded volume. So I do not consider volume in futures to be as important as Edwards and Magee considered volume to be in stocks.

One thing I have noticed in futures is that big, big volume usually means the beginning of a move or the end of a move.

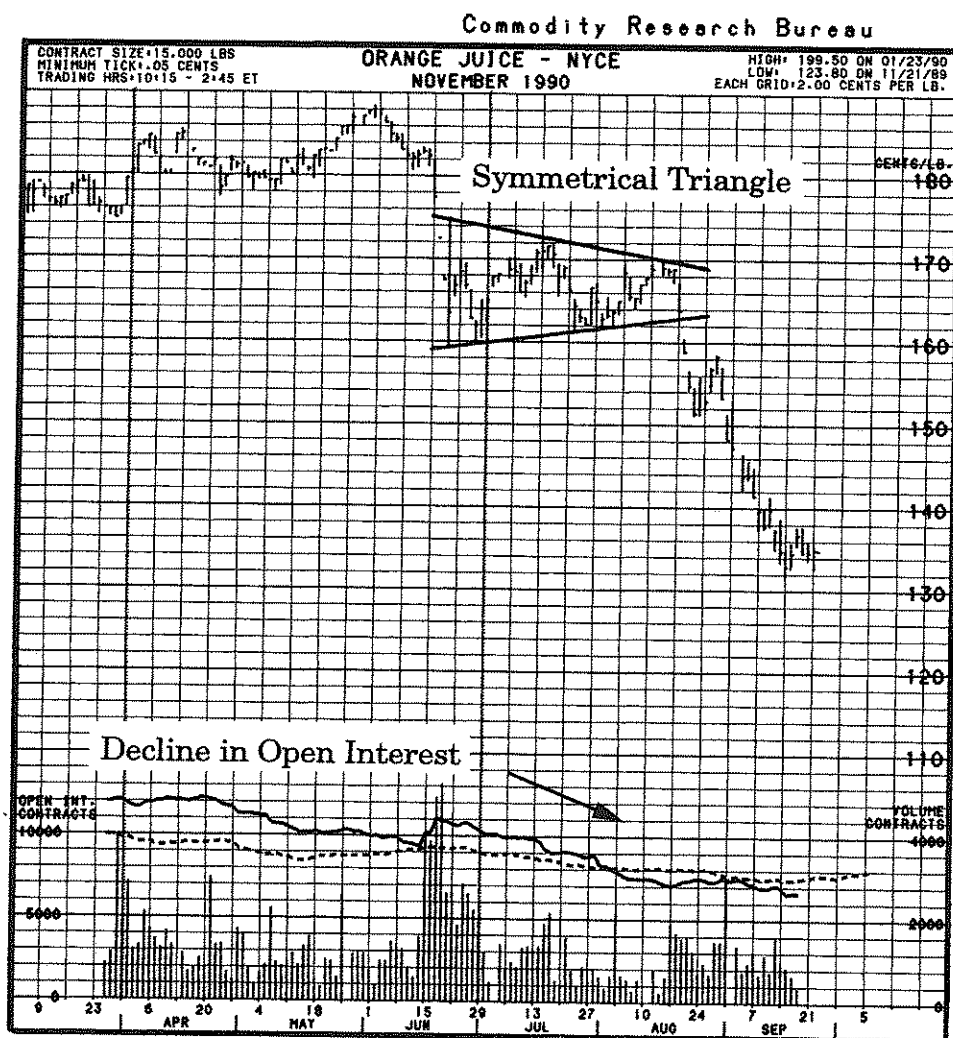
I have not found the day-to-day changes in open interest to be very meaningful either. One analytical problem is the drop in open interest that accompanies the expiration of a delivery month.

Here are a couple of things I have noticed about open interest that appear to be important.

1. An increase in open interest in a down-trending market nearly always forecasts further price decline.



2. A sharp decline in open interest within a pattern will usually result in a more dependable breakout.



How do you view gaps?

Gaps do not have nearly the importance they once had. This is especially true in the financial markets where a large 24-hour global trade has developed. A daily bar of Japanese Yen futures, for example, only shows a 7-hour slice of time.

Are there any markets that do not respond to classical charting rules?

Absolutely. I have found that all the livestock markets are poor chart markets. They do have some great moves from recognizable patterns. But there are also many false signals. I believe this is because the floor traders are responsible for such a large portion of their total daily trading volume. Lumber, Soybean Meal and stock indexes are also poor chart markets.

I am reluctant to trade Cotton, Orange Juice and Palladium. These markets chart fairly well but execution is poor because trading is thin. For example, floor traders in Cotton routinely run stops by 30 to 50 points. Thus, I may experience a total skid in Cotton of 60 to 100 points going in and out. That makes it more difficult to control risk and is a good reason not to trade such markets.

Do you trade spreads?

Spread charts—especially intermarket spreads—respond to the rules of classical charting extremely well. The only real problem with trading intermarket spreads is that it is impossible to use intraday protective stop orders. That makes risk control more uncertain.

CHART PATTERNS AND TARGETS

This section contains examples of the various patterns drawn on actual commodity charts over the past few years. The broad arrows represent price targets. These are examples only and do not necessarily represent actual trades.

There is nothing sacred about a target. The move out of a pattern can fall short of a target or far exceed it. A target is only a guideline. As a general rule, I determine a target by projecting the width of a pattern in the direction of the move.

Examples of each of these patterns follow:

Head and Shoulders Top

Head and Shoulders Bottom

Head and Shoulders Failure

Rectangle

Diamond

Symmetrical Triangle

Ascending Triangle

Descending Triangle

Pennant

Flag

Rising Wedge

Falling Wedge

Running Wedge

Rounding Bottom

Rounding Top

Island Bottom

Island Top

Double Top

Double Bottom

Triple Top

Sloping Top

Megaphone or Expanding Top

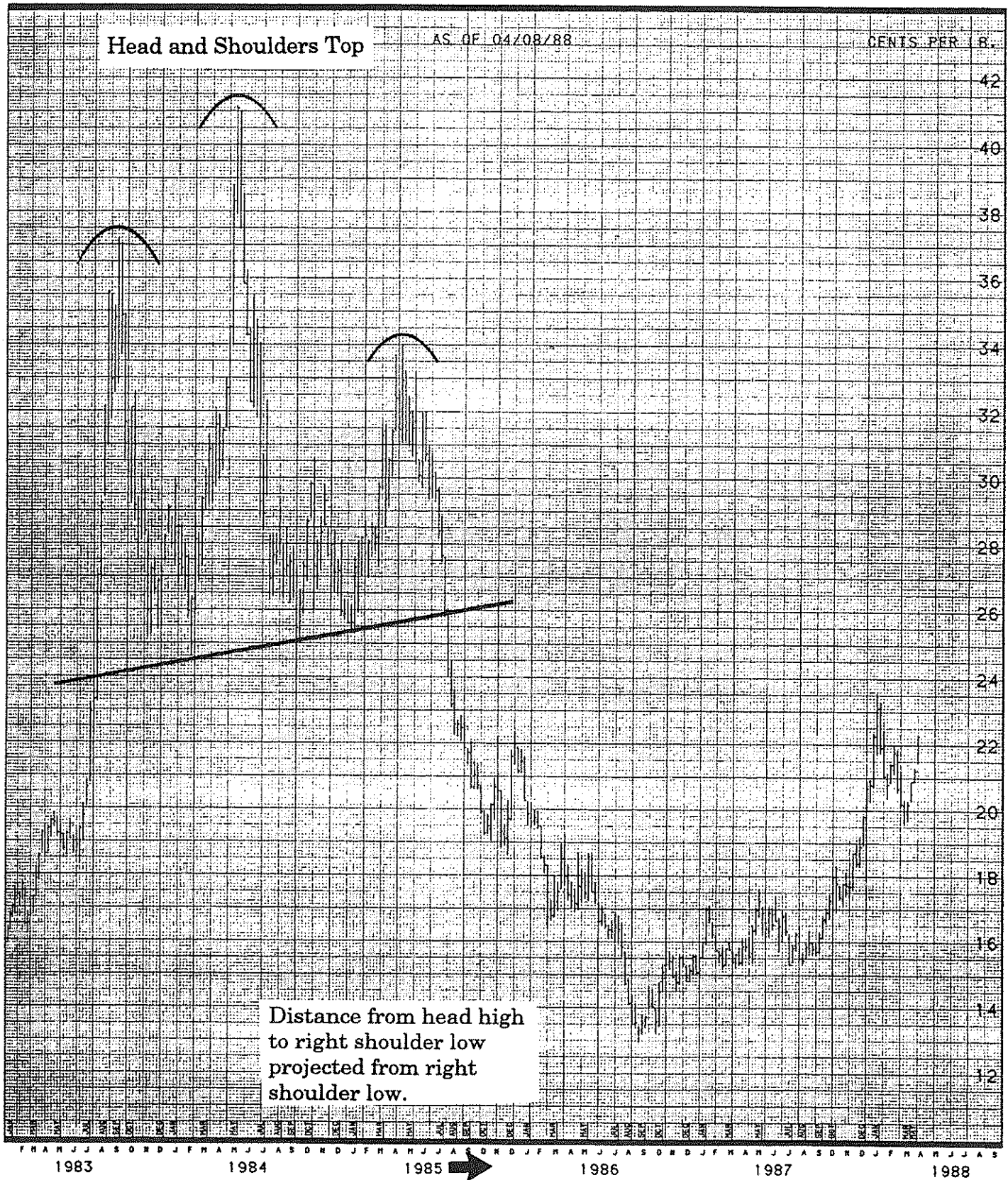
Channel

SOYBEAN OIL

WEEKLY NEAREST FUTURES

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CHICAGO BOARD OF TRADE

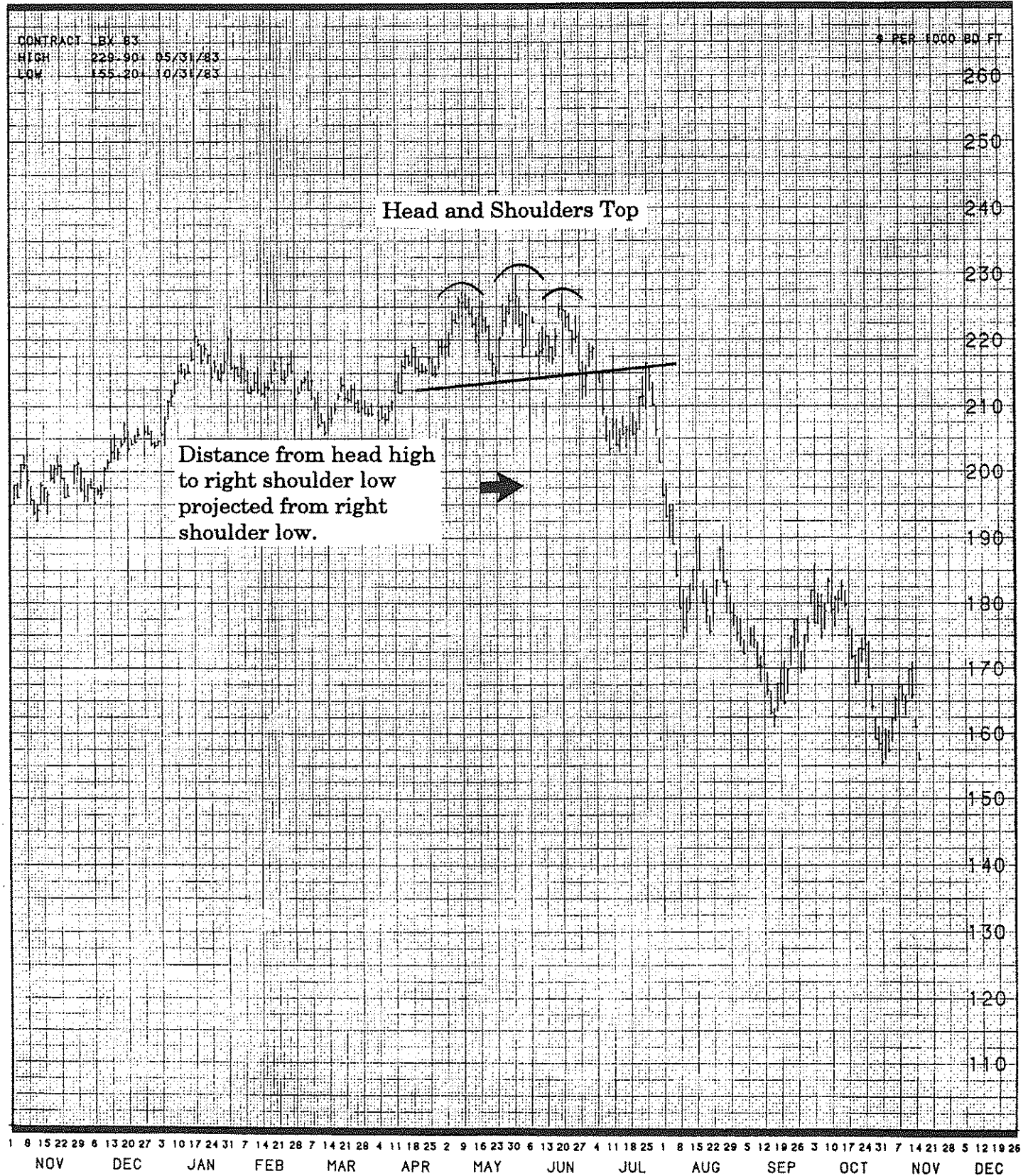


LUMBER

NOVEMBER 1983

CHICAGO MERCANTILE EXCHANGE

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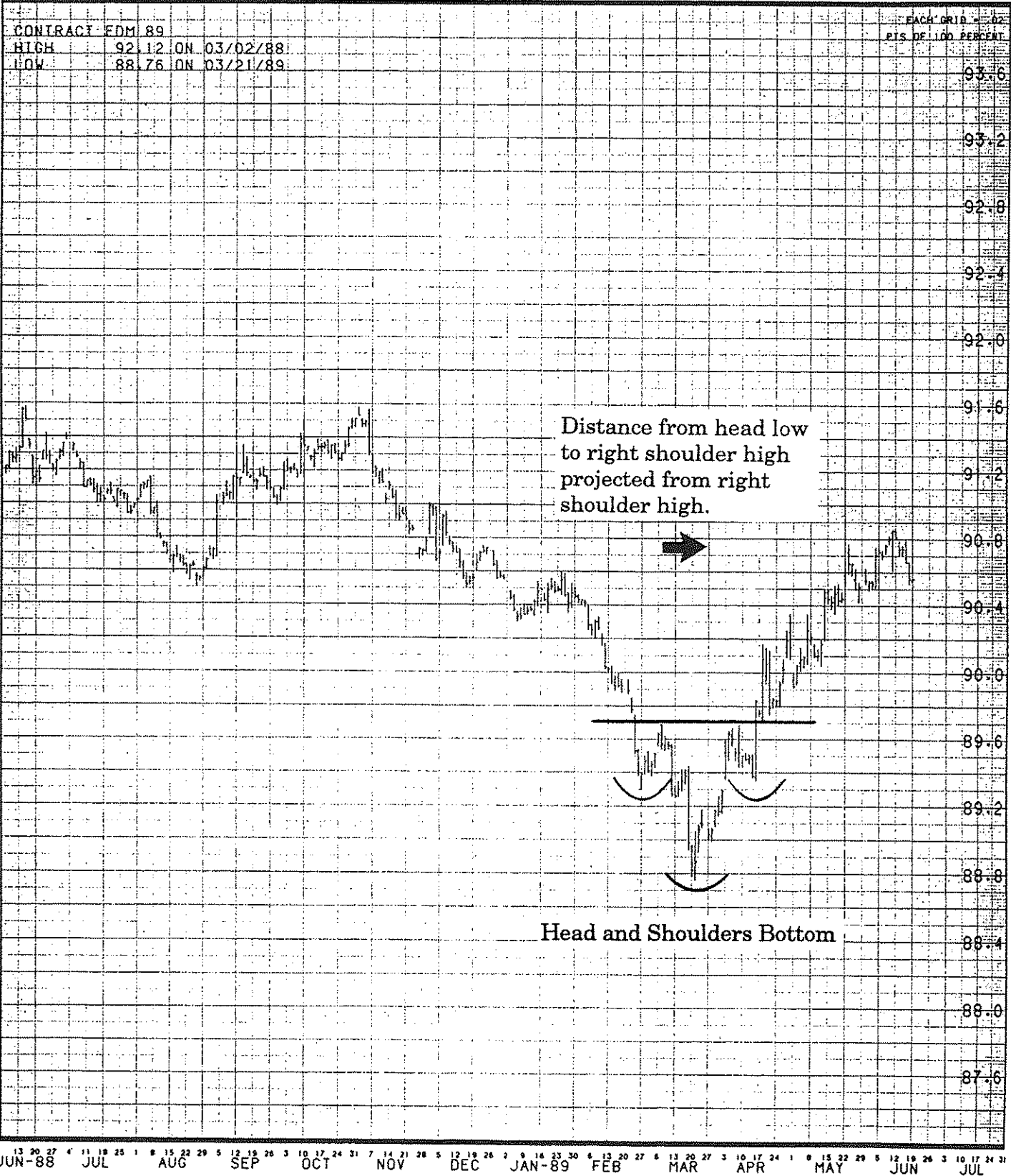


EURODOLLARS

JUNE 1989

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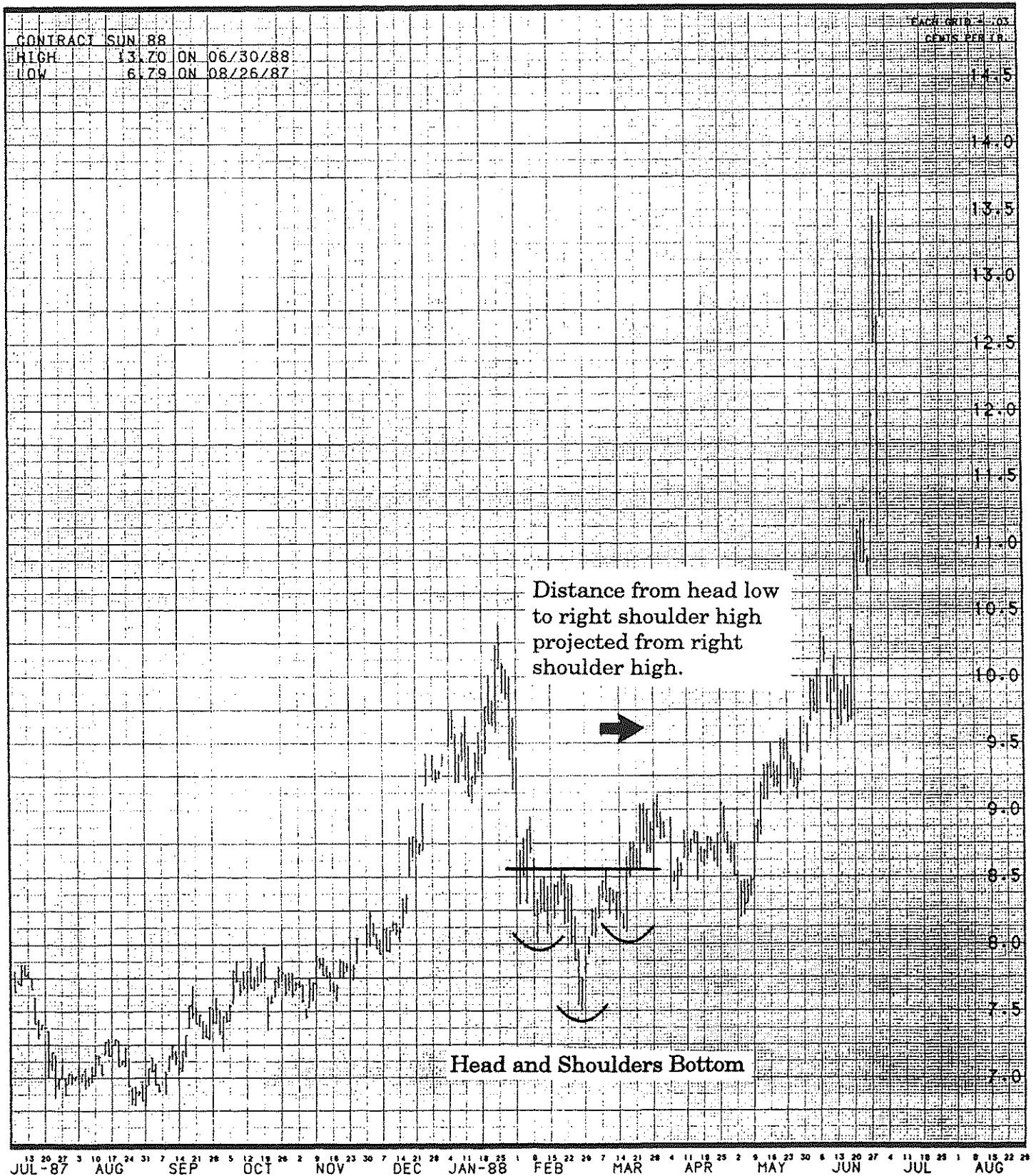


SUGAR #11

JULY 1988

COFFEE, SUGAR AND COCOA EXCHANGE, INC.

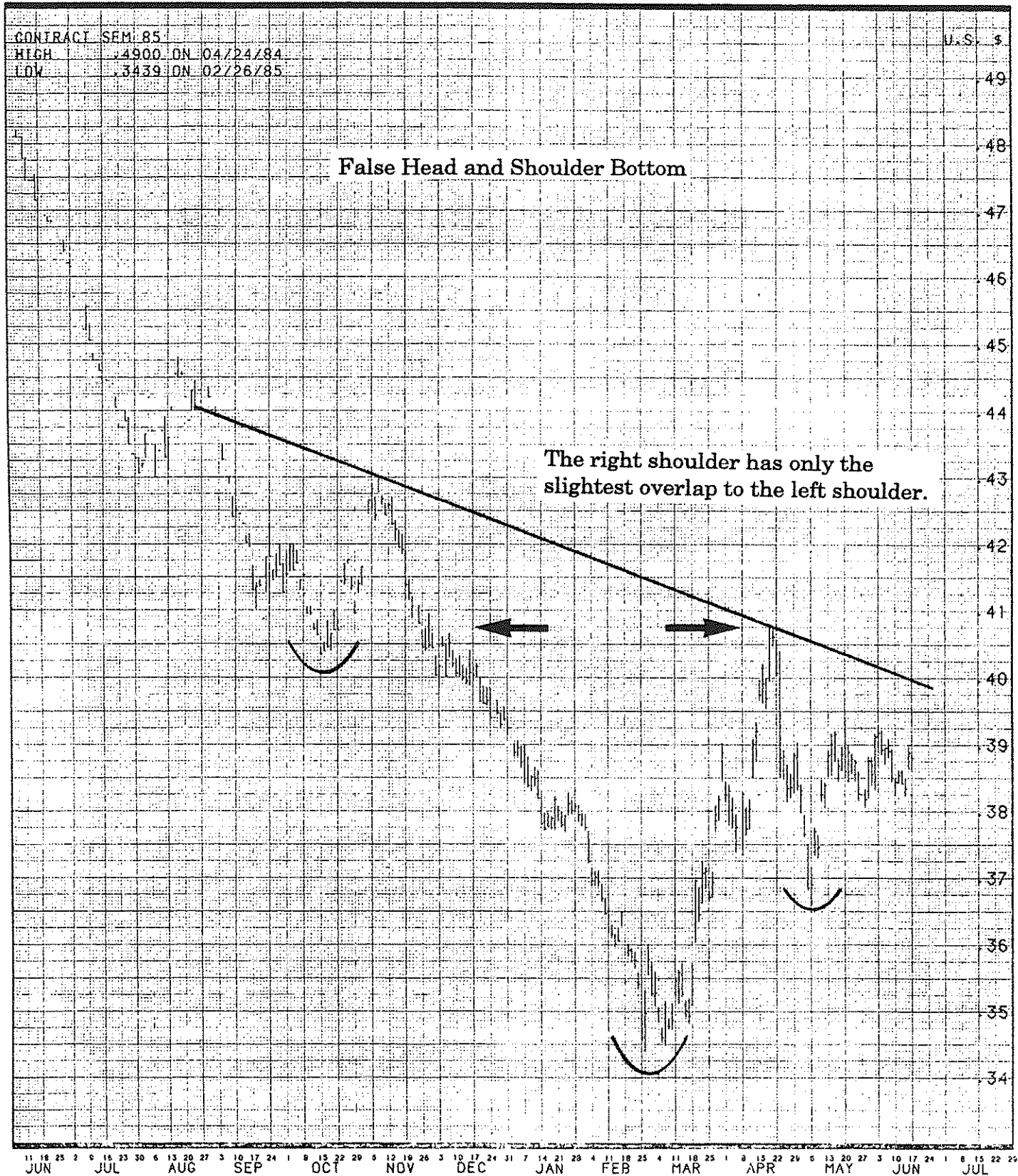
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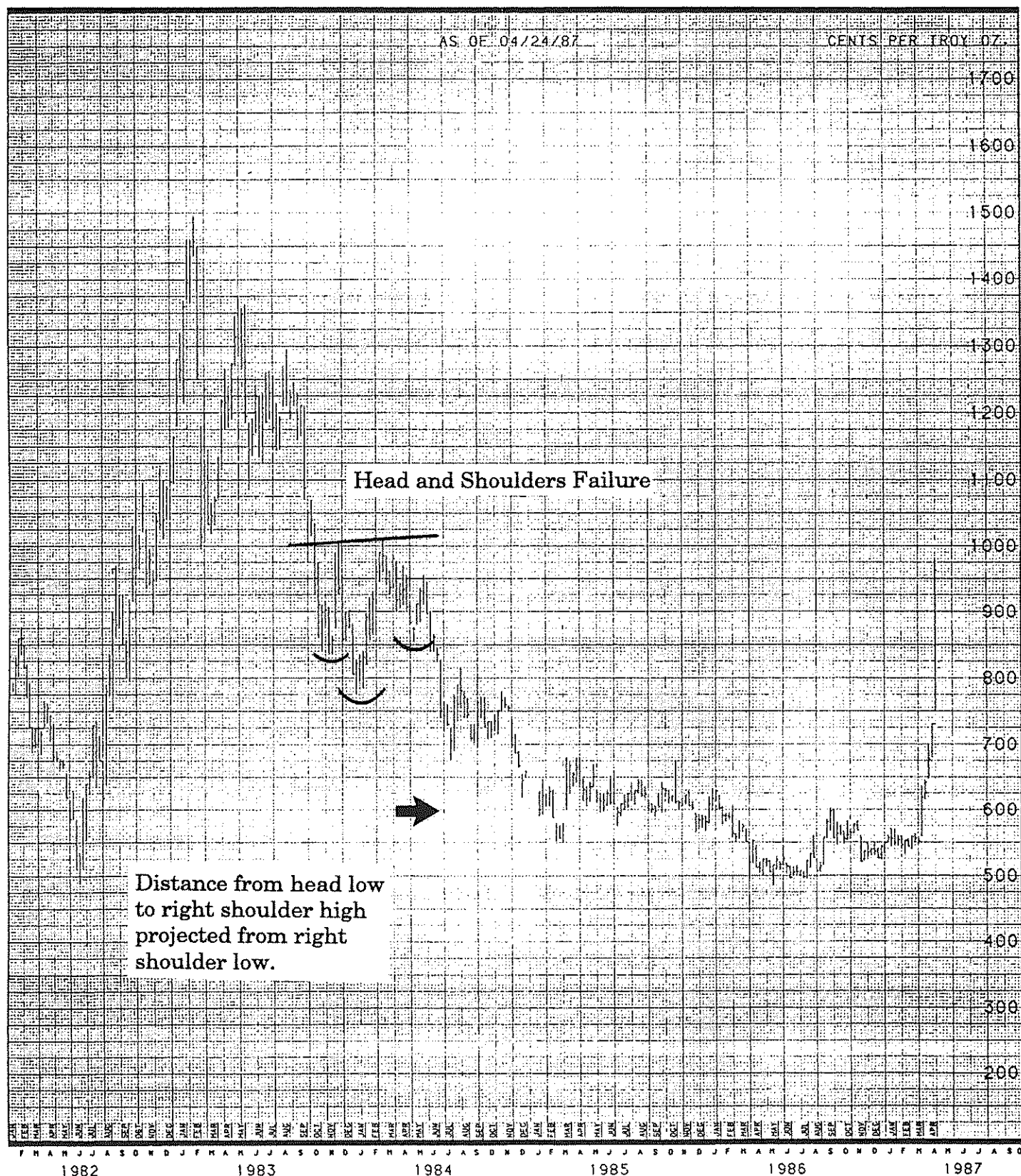
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AS OF 04/24/87

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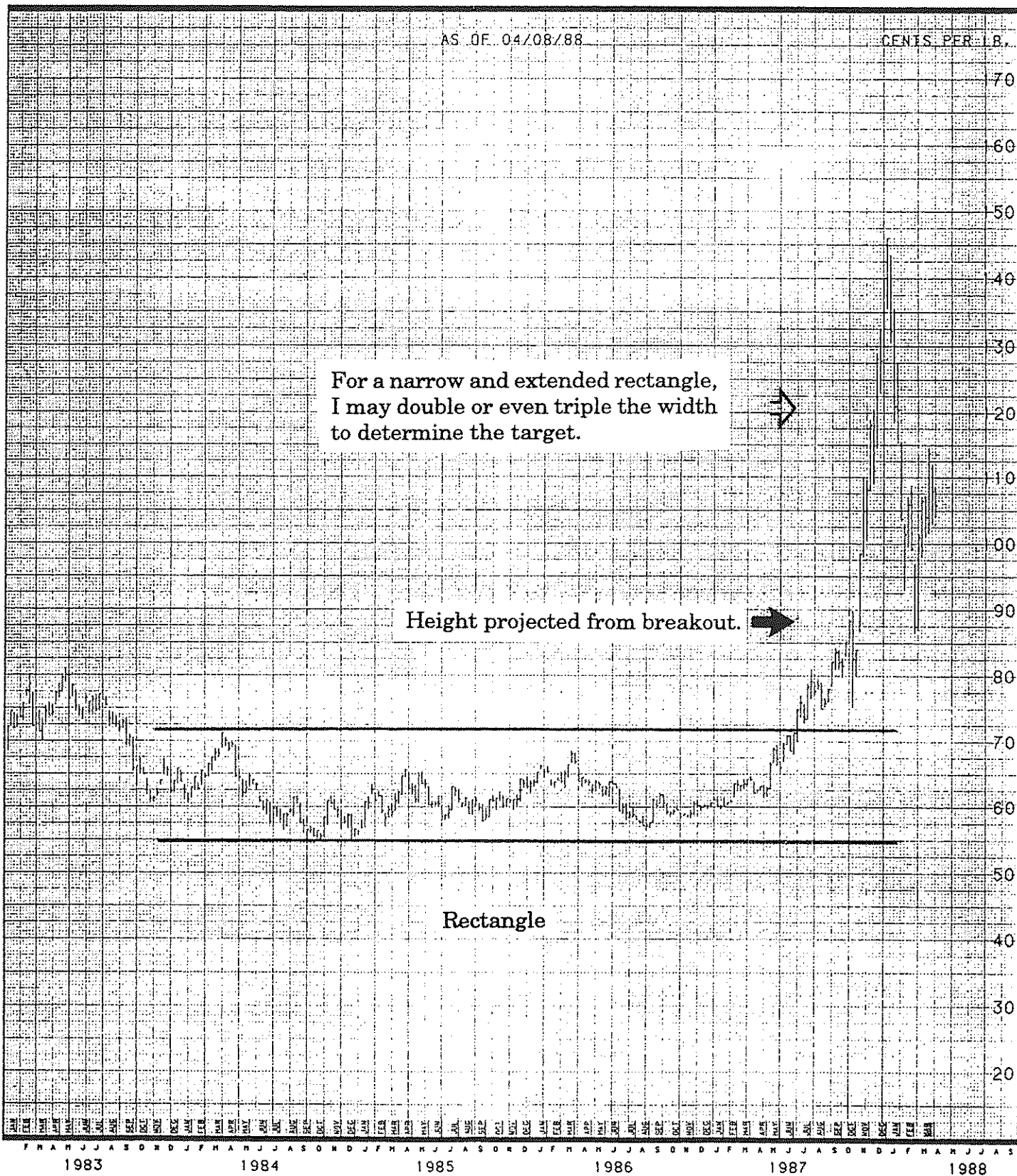


COPPER

WEEKLY NEAREST FUTURES

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COMMODITY EXCHANGE, INC. NY

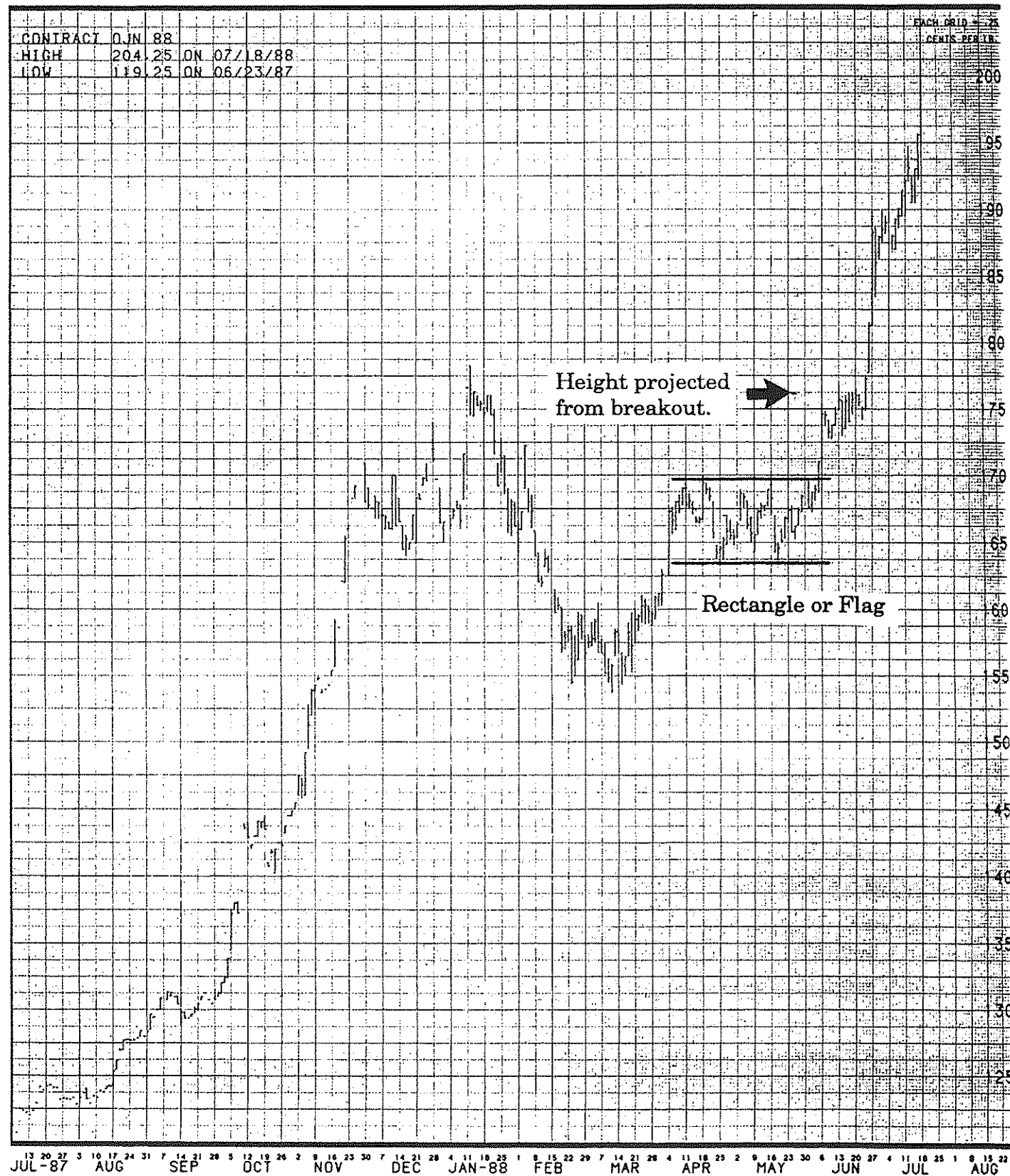


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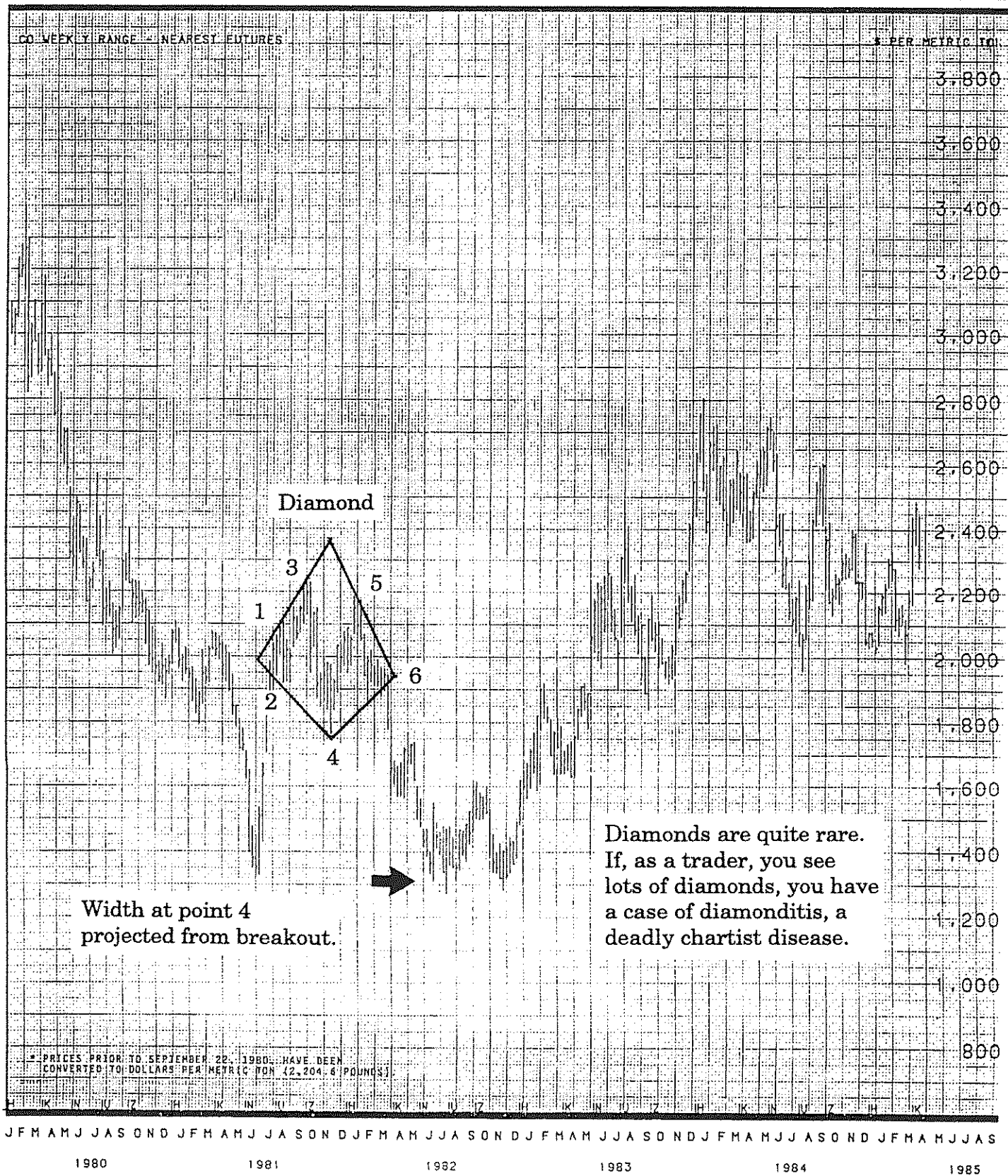
NEW YORK COTTON EXCHANGE

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WEEKLY HIGH, LOW--FRIDAY CLOSE

COMMODITY PERSPECTIVE/CHICAGO, ILLINOIS 60606

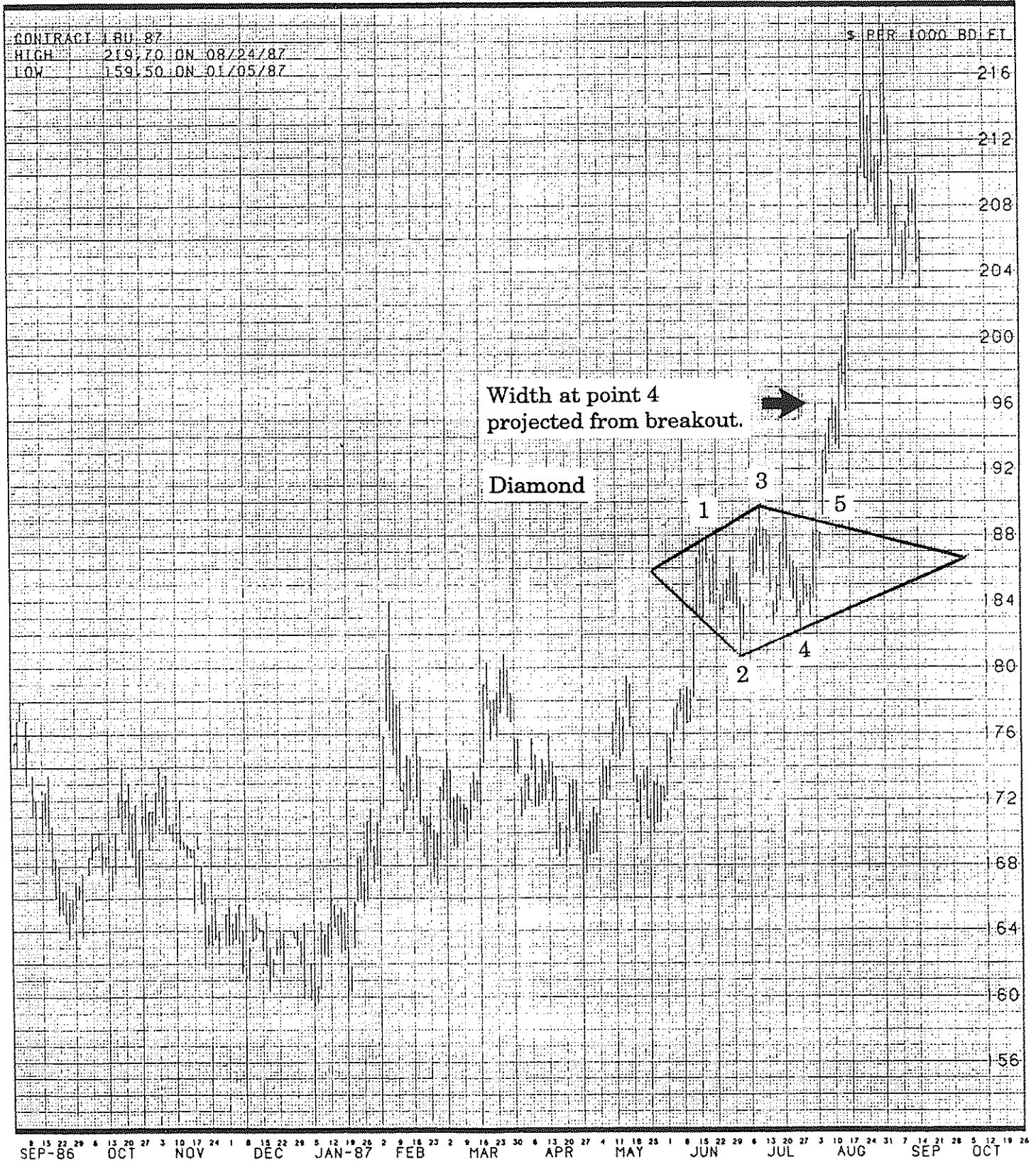


LUMBER

SEPTEMBER 1987

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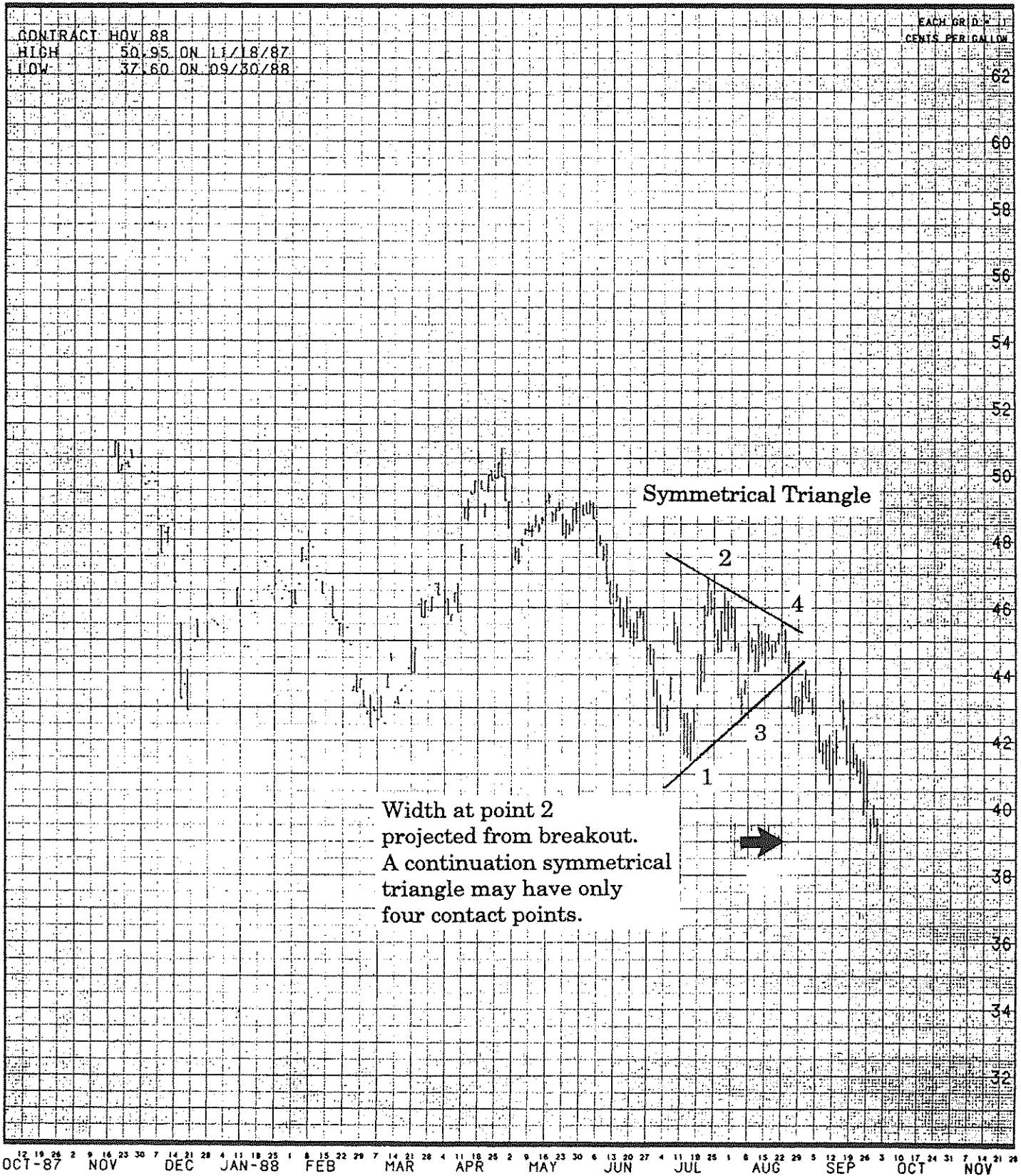
CHICAGO MERCANTILE EXCHANGE



HEATING OIL

OCTOBER 1988

NEW YORK MERCANTILE EXCHANGE

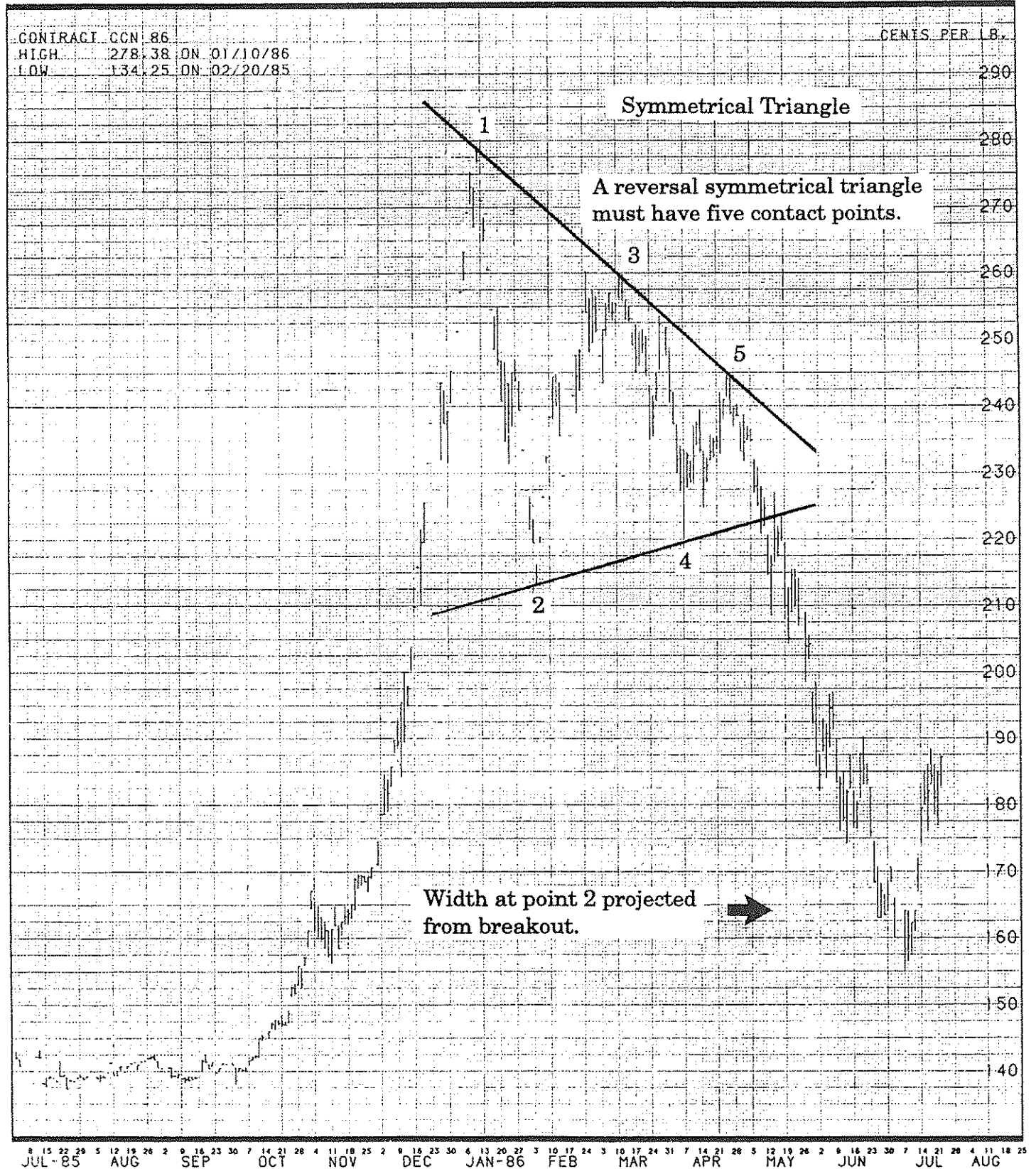
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COFFEE

JULY 1986

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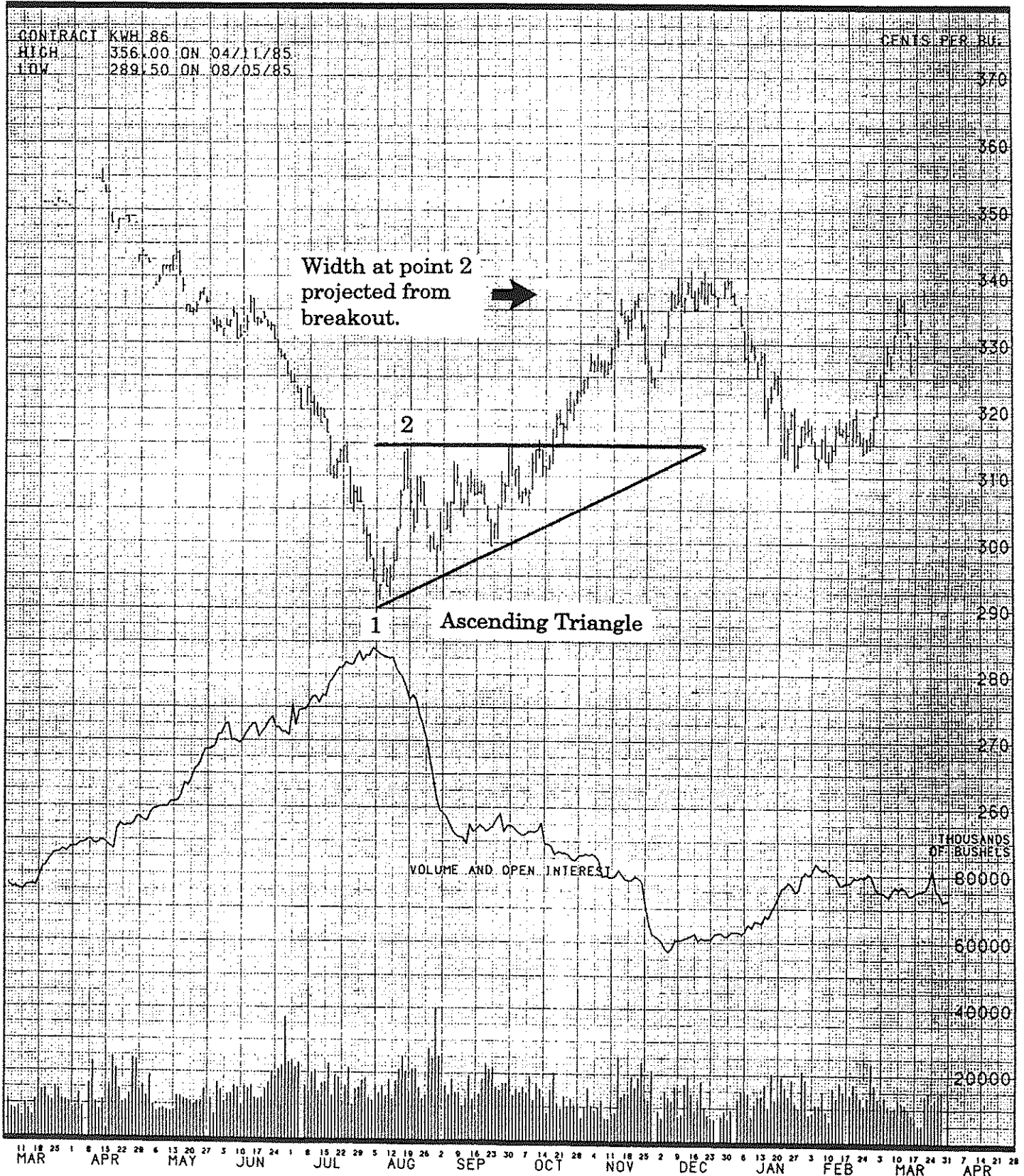


KANSAS CITY WHEAT

MARCH 1986

KANSAS CITY BOARD OF TRADE

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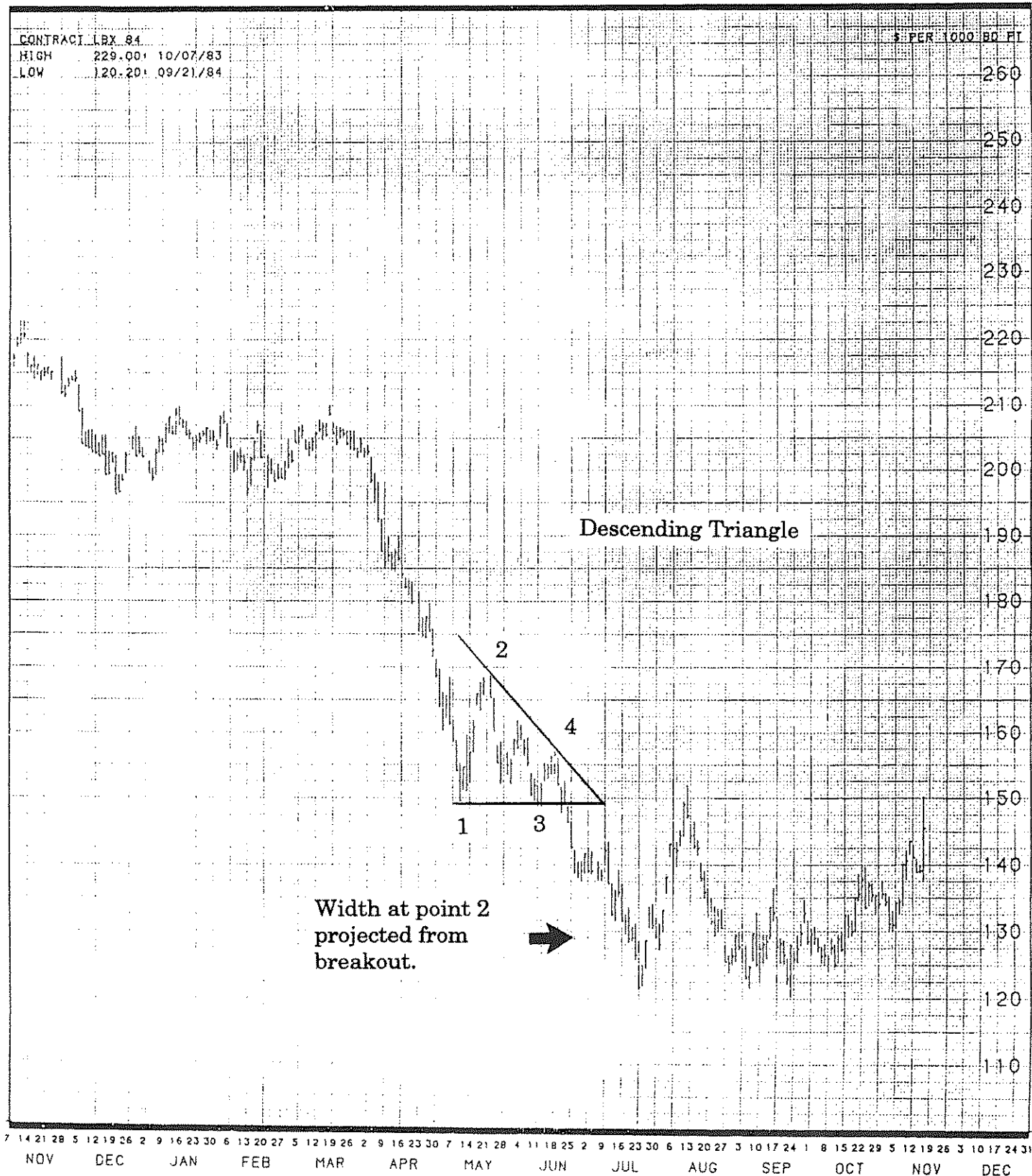


LUMBER

NOVEMBER 1984

CHICAGO MERCANTILE EXCHANGE

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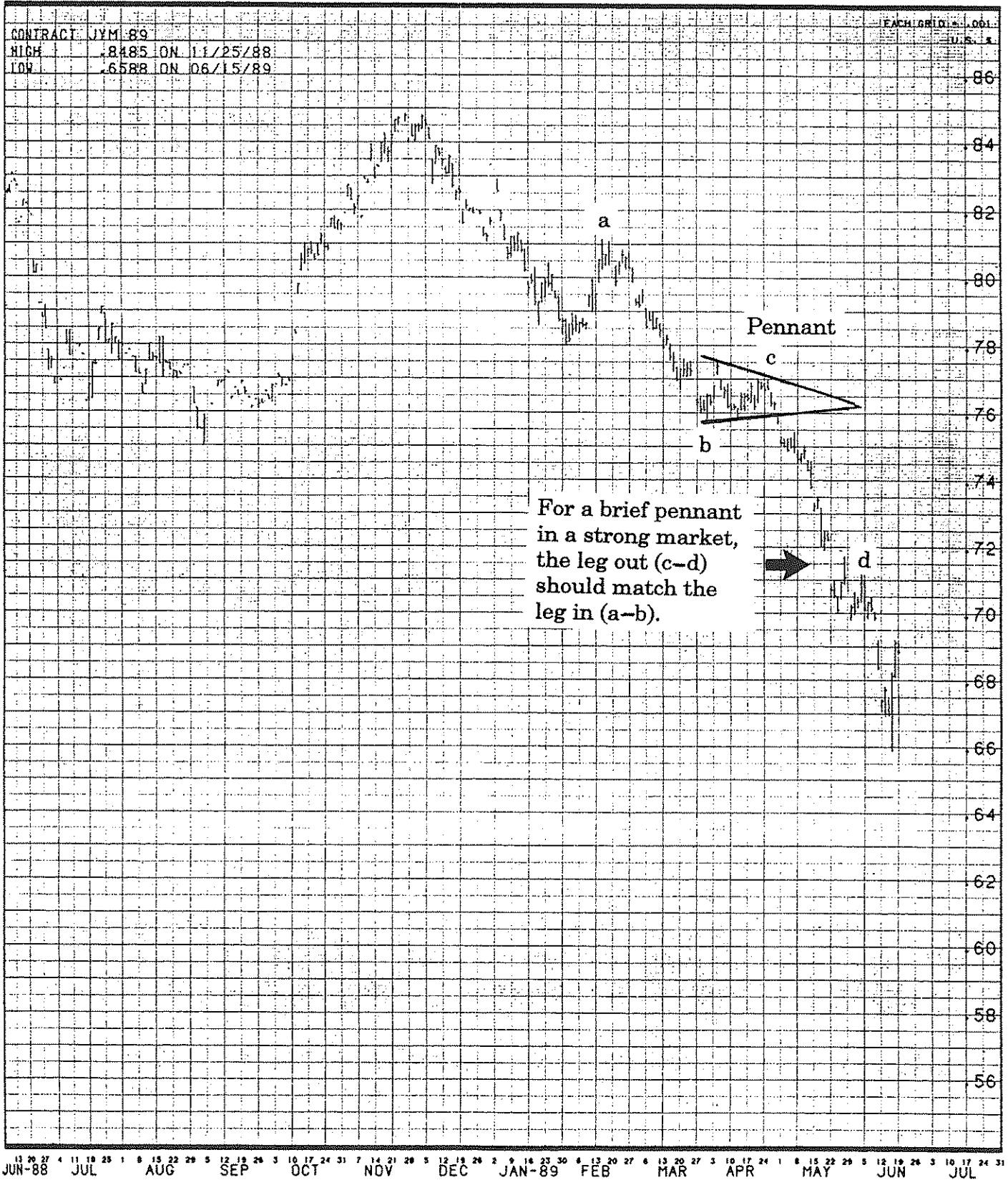


JAPANESE YEN

JUNE 1989

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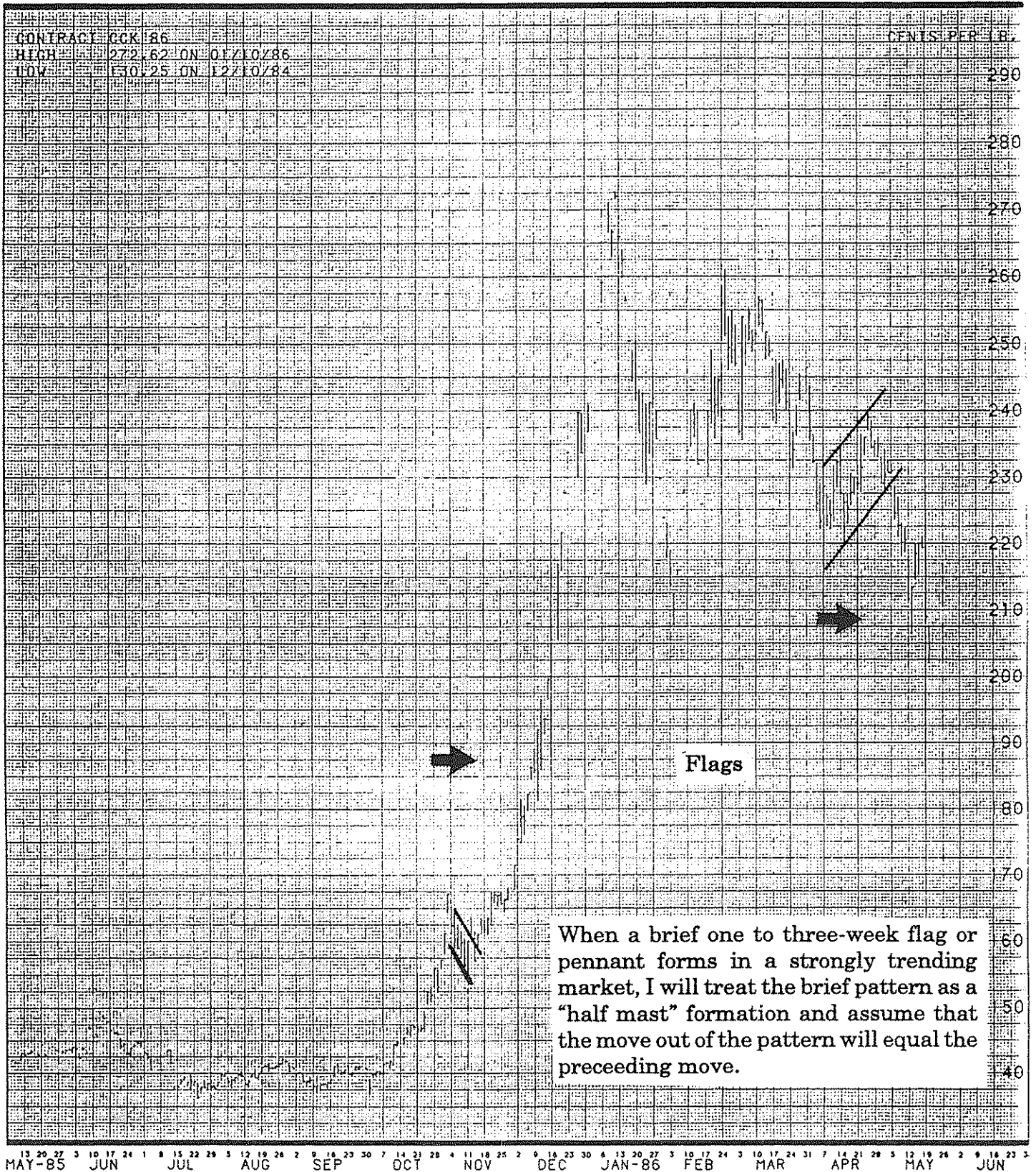
INTERNATIONAL MONETARY MARKET



MAY 1986

COMMODITY PERSPECTIVE/CHICAGO, ILLINOIS 60606
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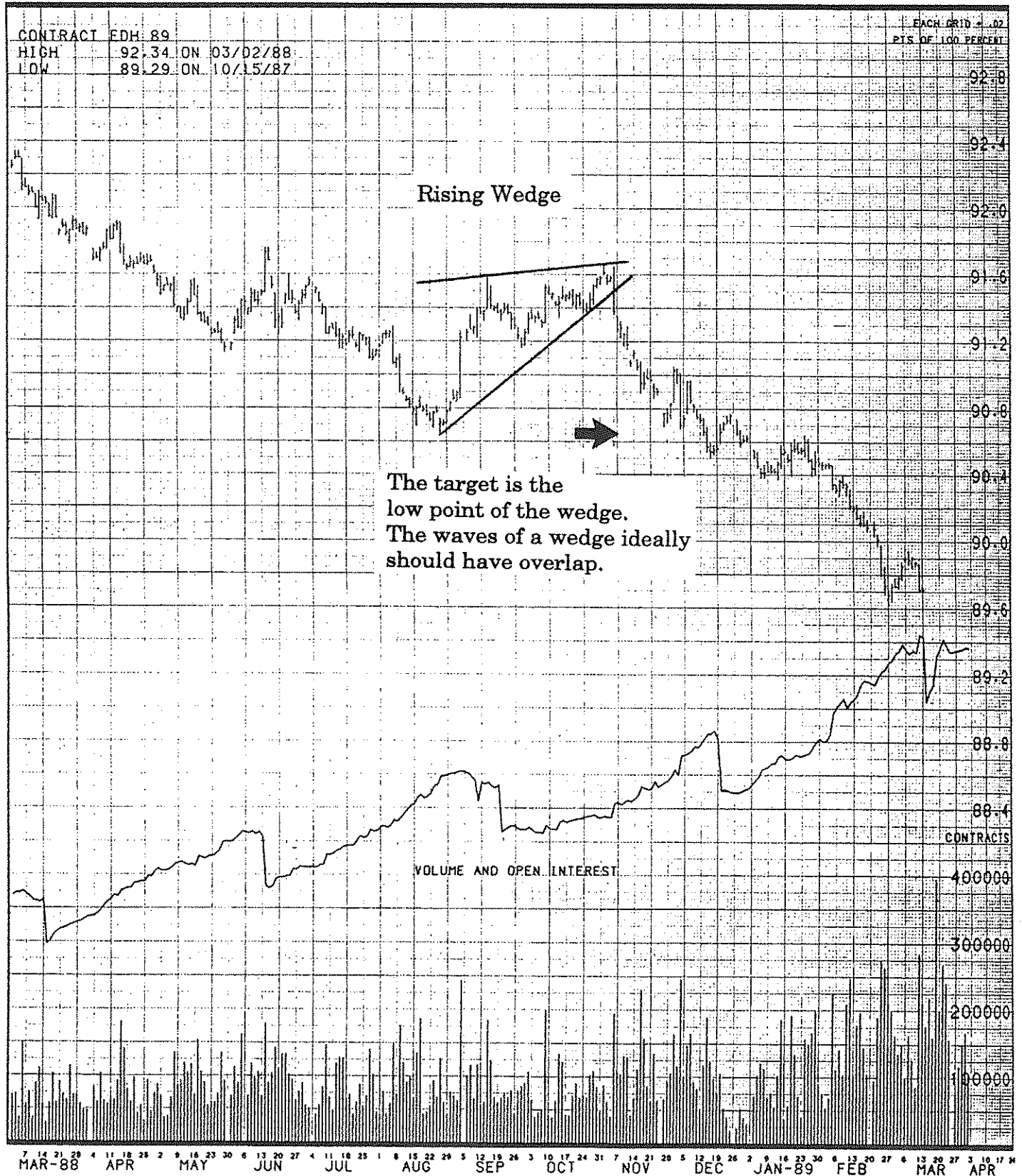
COFFEE, SUGAR, AND COCOA EXCHANGE, INC.



EURODOLLARS

MARCH 1989

INTERNATIONAL MONETARY MARKET

COMMODITY PERSPECTIVE/CHICAGO, ILLINOIS 60606
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10 YEAR T-NOTES

MARCH 1987

CHICAGO BOARD OF TRADE

COMMODITY PERSPECTIVE/CHICAGO, ILLINOIS 60606
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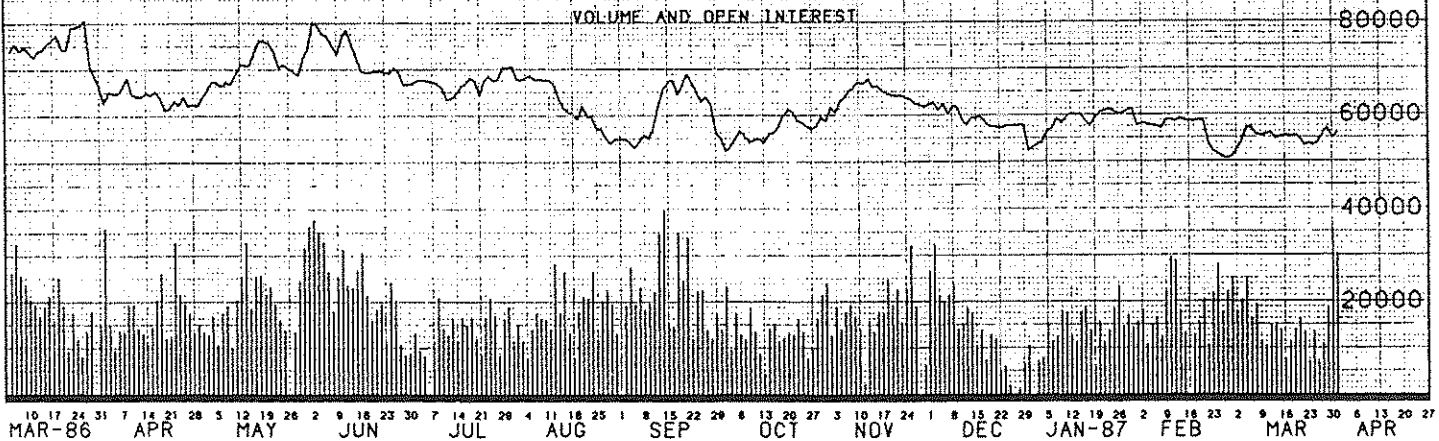
CONTRACT TYH:87
HIGH 105-06 ON 03/05/87
LOW 87-01 ON 01/13/86

PIS - 32NDS OF 100%

Is this a valid Rising Wedge??

No, because the waves do not overlap.

VOLUME AND OPEN INTEREST

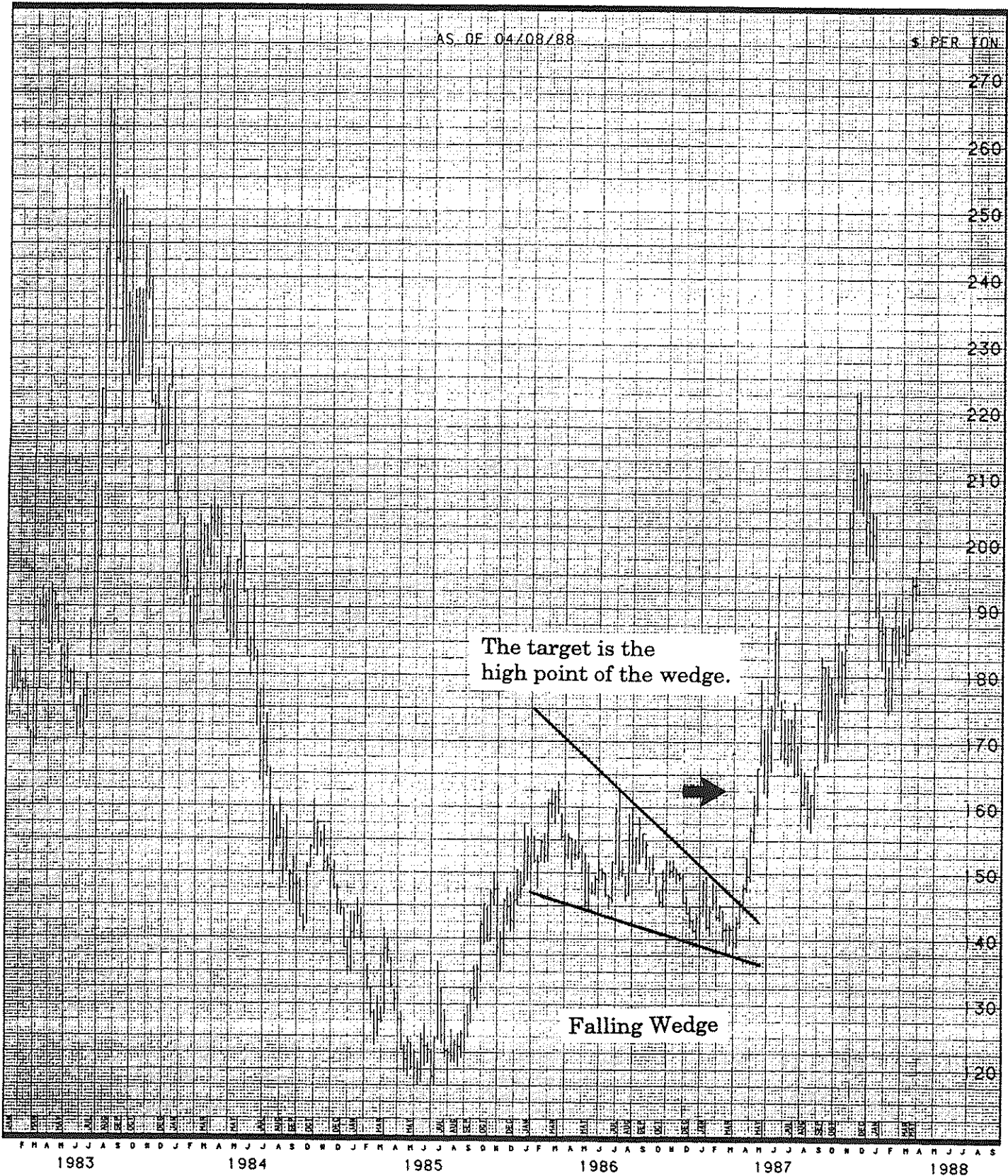


SOYBEAN MEAL

WEEKLY NEAREST FUTURES

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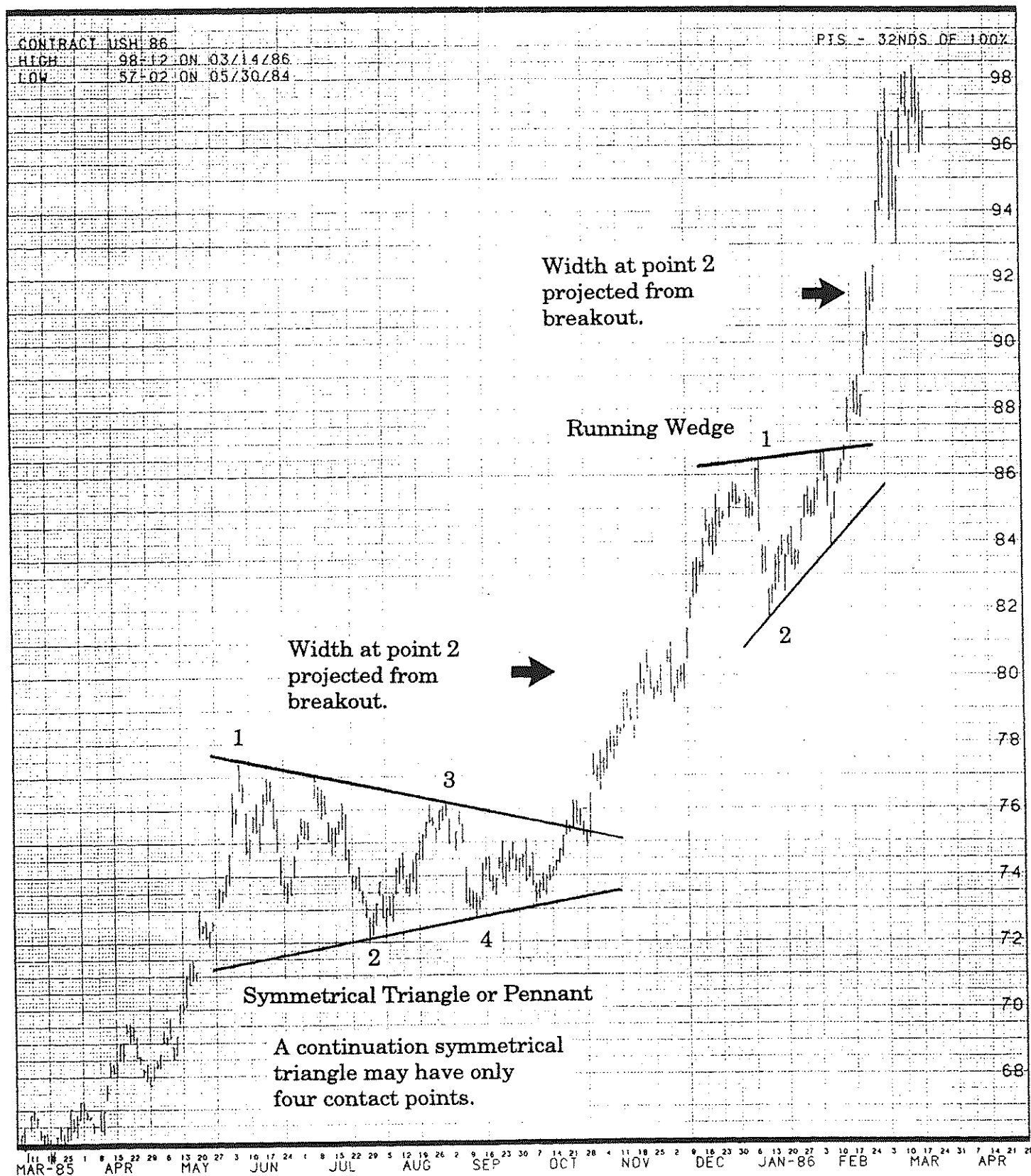


TREASURY BONDS

MARCH 1986

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CHICAGO BOARD OF TRADE

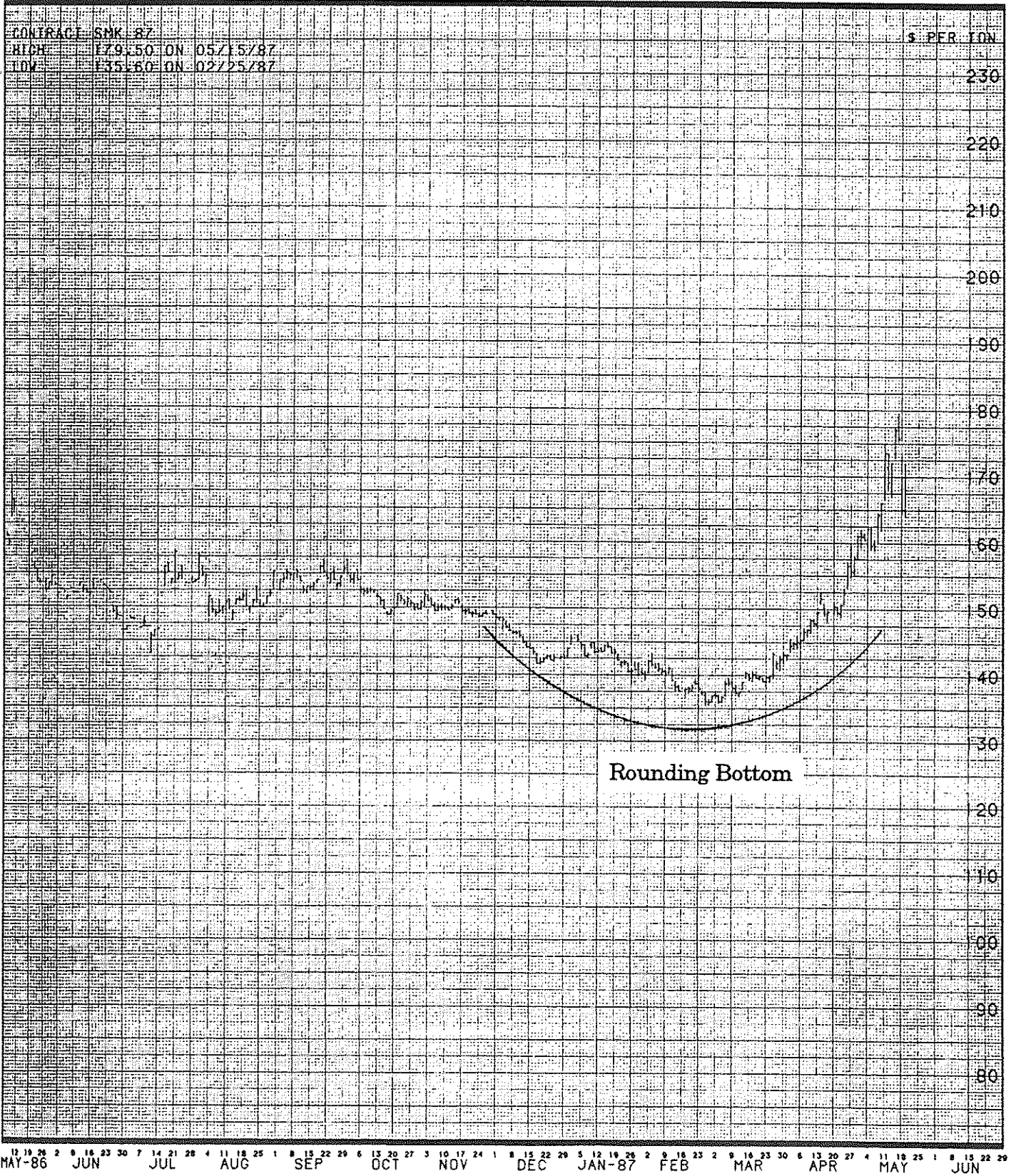


SOYBEAN MEAL

MAY 1987

COMMODITY PERSPECTIVE/CHICAGO, ILLINOIS 60606
1-800-521-5271 • IN ILLINOIS 1-312-454-1801

CHICAGO BOARD OF TRADE

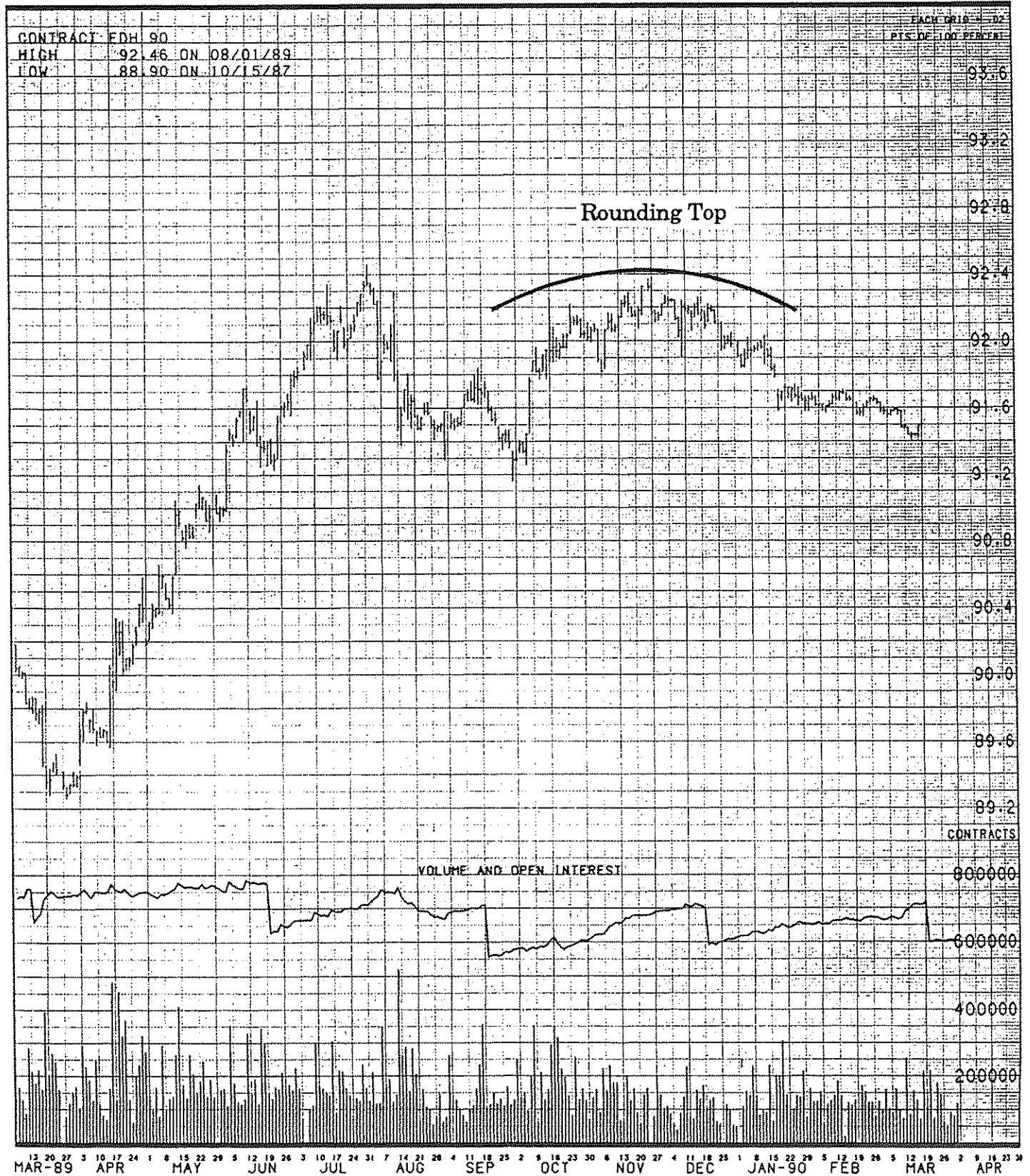


EURODOLLARS

MARCH 1990

INTERNATIONAL MONETARY MARKET

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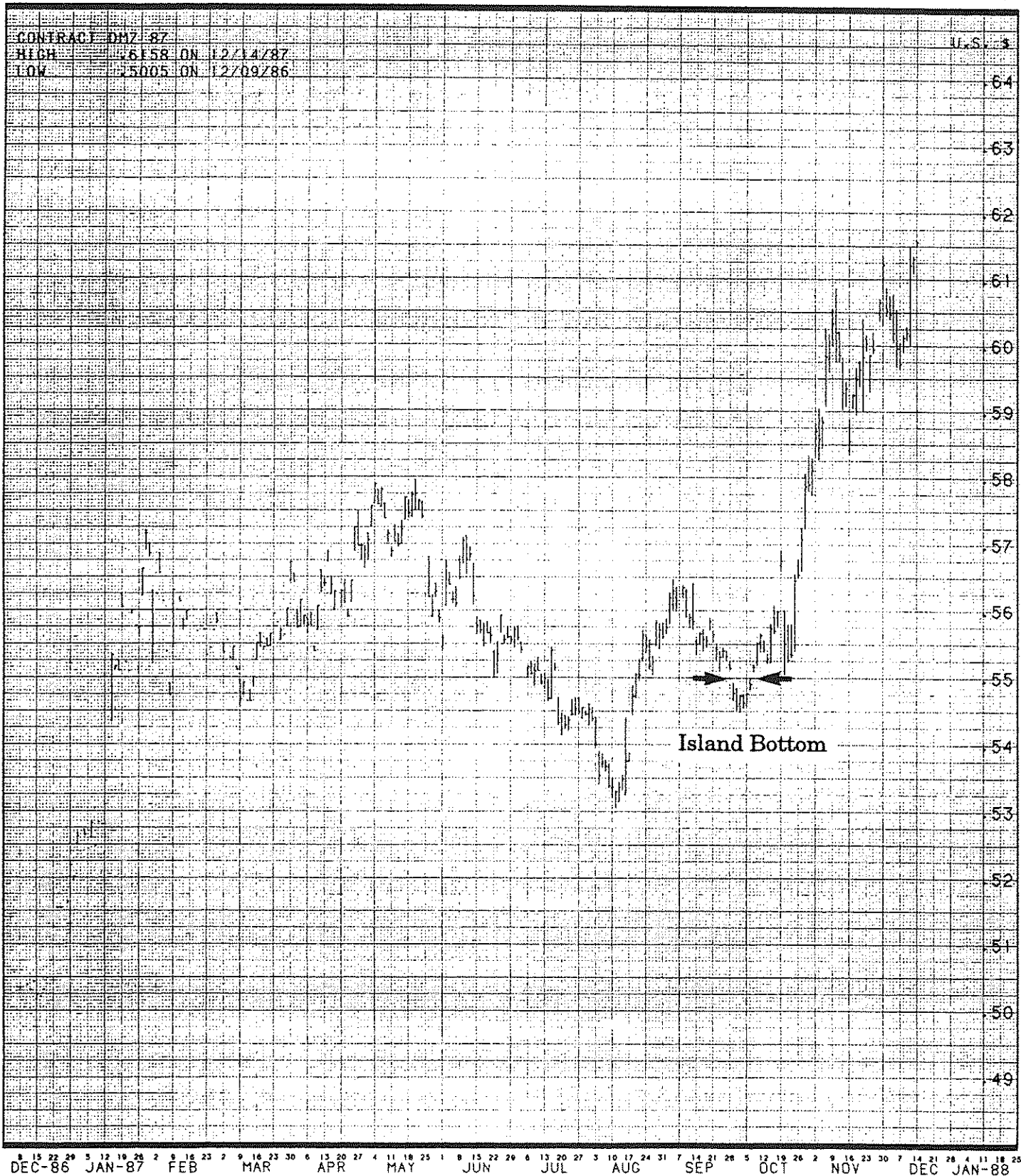


DEUTSCHE MARK

DECEMBER 1987

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INTERNATIONAL MONETARY MARKET

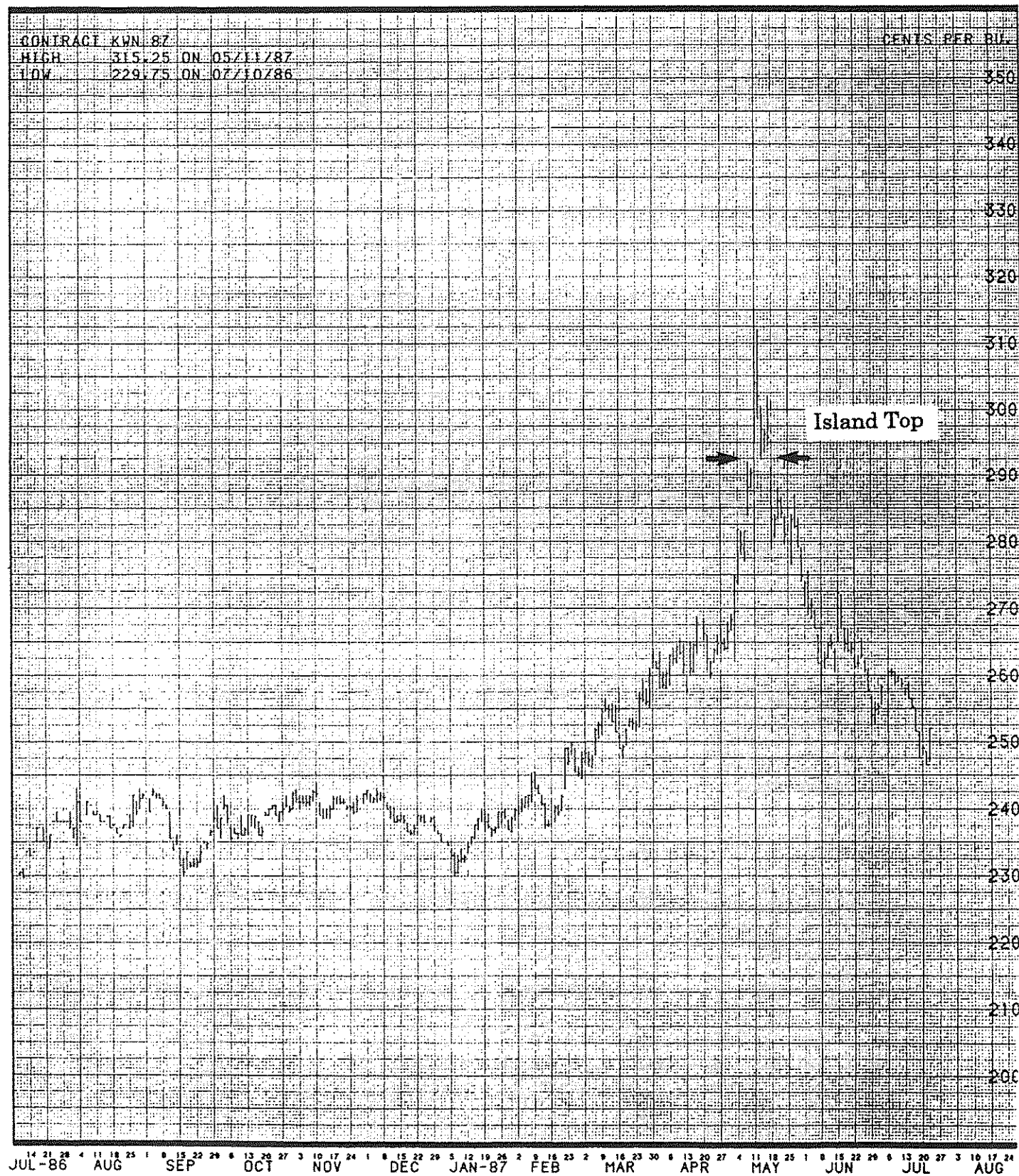


KANSAS CITY WHEAT

JULY 1987

KANSAS CITY BOARD OF TRADE

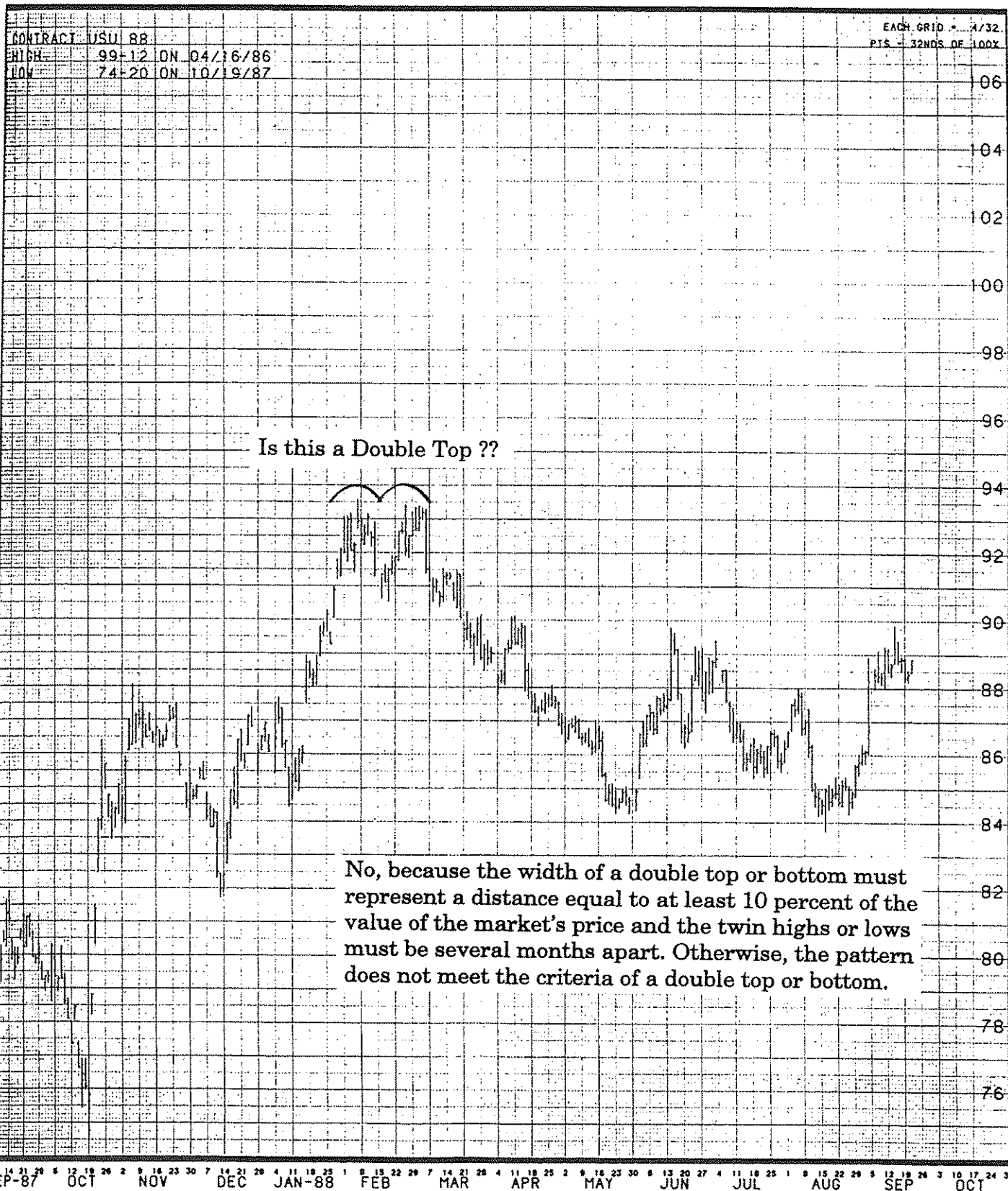
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T-BONDS

SEPTEMBER 1988

CHICAGO BOARD OF TRADE

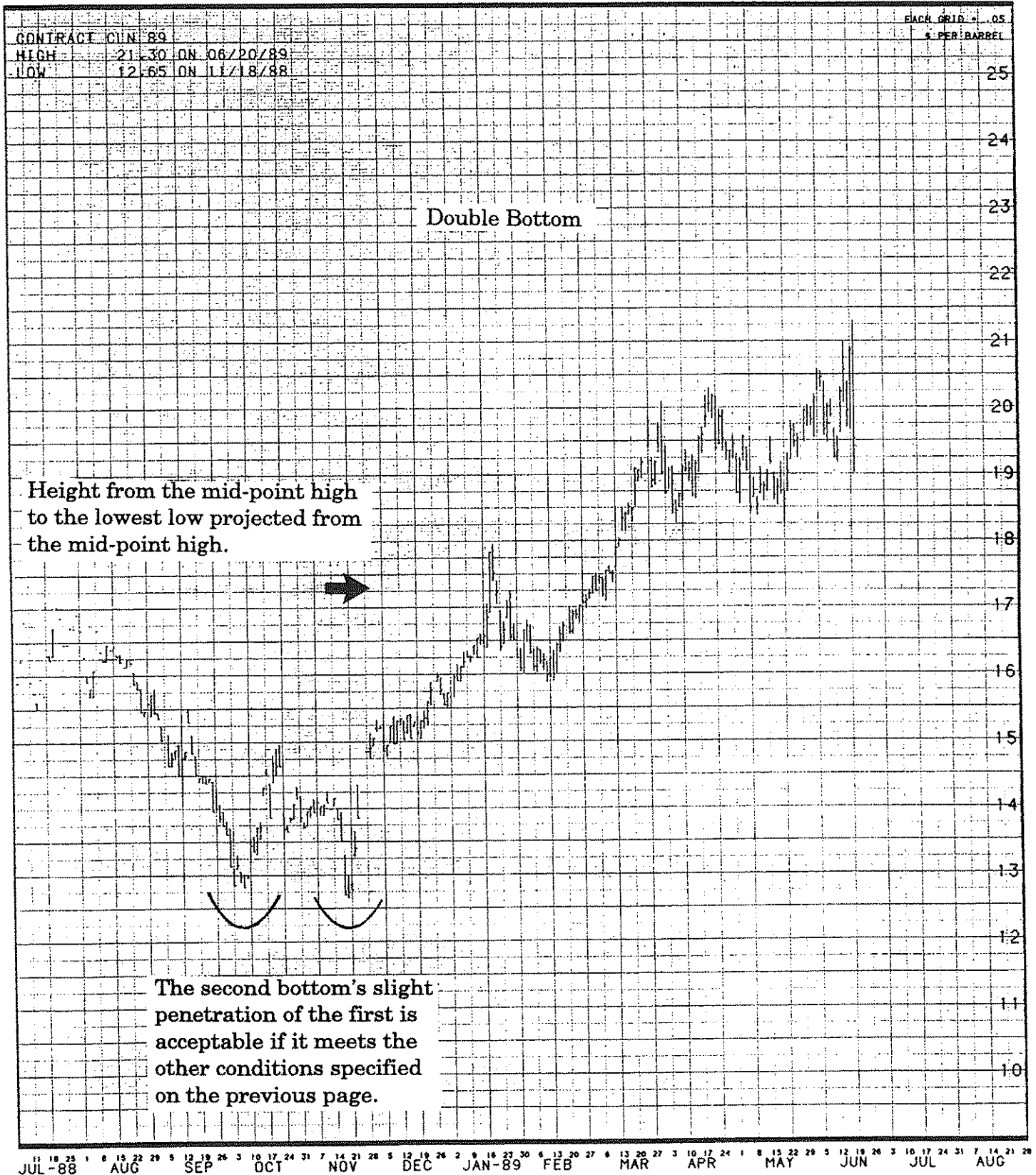
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LIGHT CRUDE OIL

JULY 1989

COMMODITY PERSPECTIVE/CHICAGO, ILLINOIS 60606
1-800-621-5271 • IN ILLINOIS 1-312-454-1801

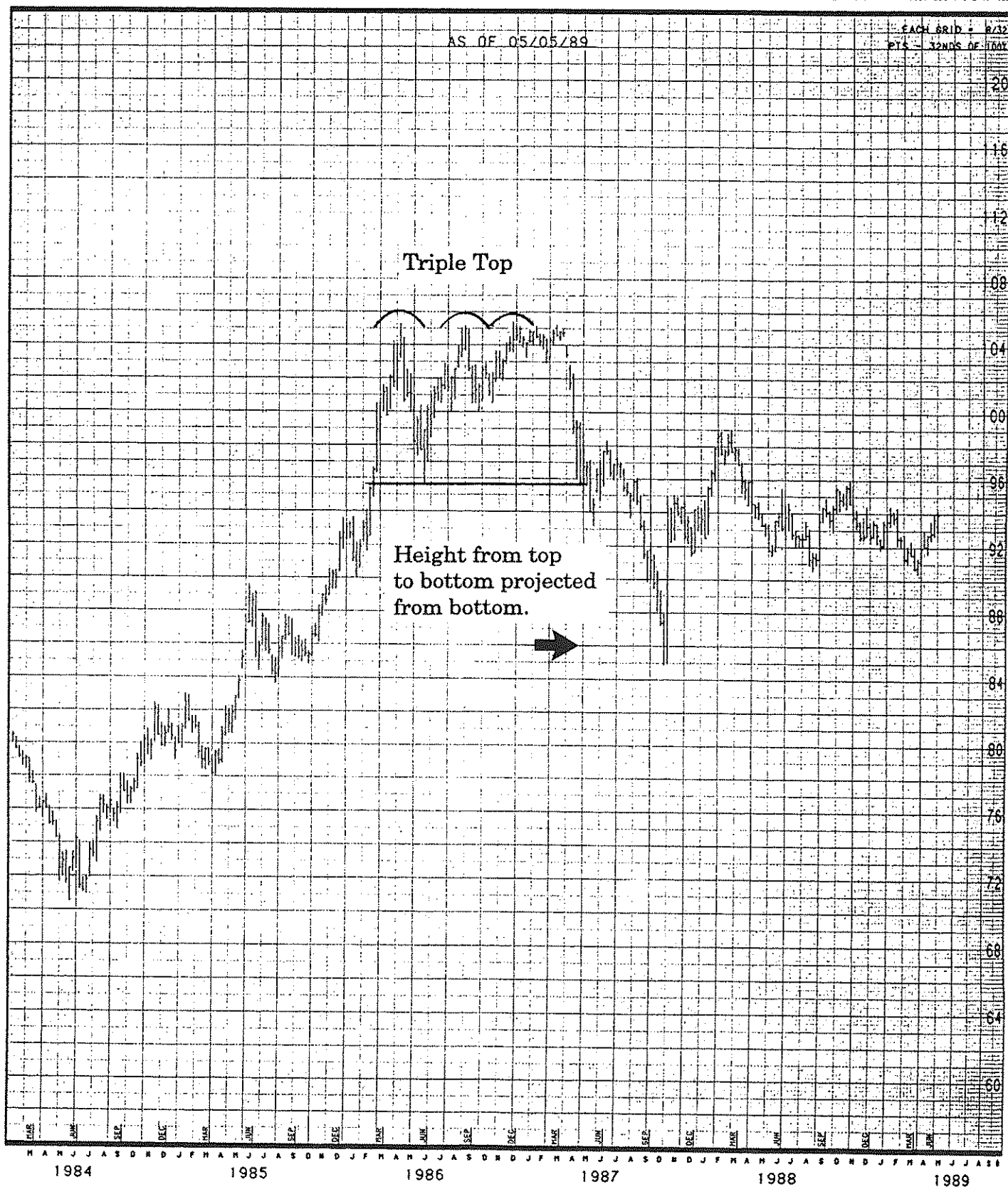
NEW YORK MERCANTILE EXCHANGE



CBT 10-YR T-NOTES

WEEKLY NEAREST FUTURES

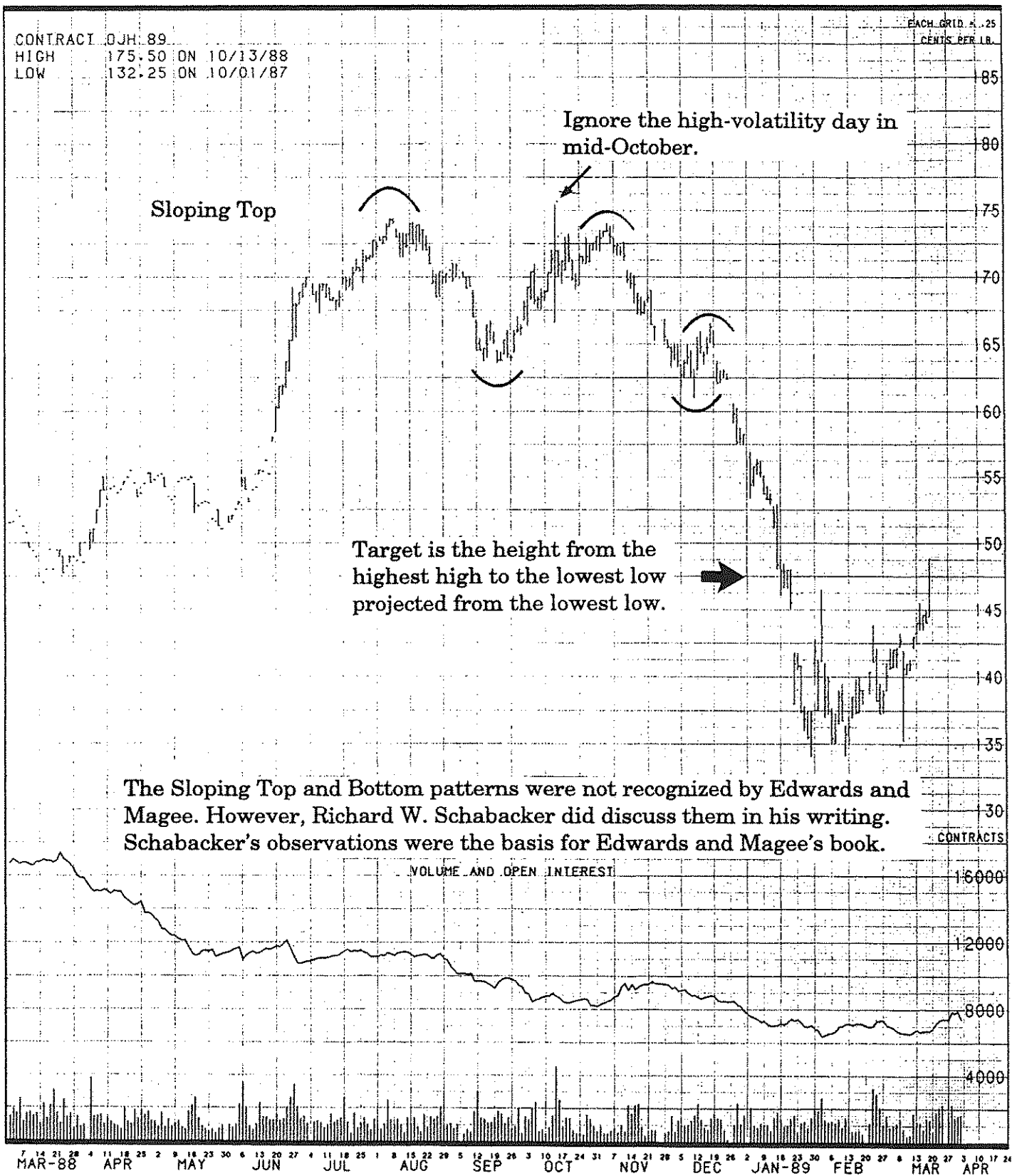
CHICAGO BOARD OF TRADE

COMMODITY PERSPECTIVE/CHICAGO, ILLINOIS 60606
1-800-621-5271 - IN ILLINOIS 1-312-454-1800

NEW YORK COTTON EXCHANGE

CONTRACT	0JH	89		
HIGH	175.50	ON	10/13/88	
LOW	132.25	ON	10/01/87	

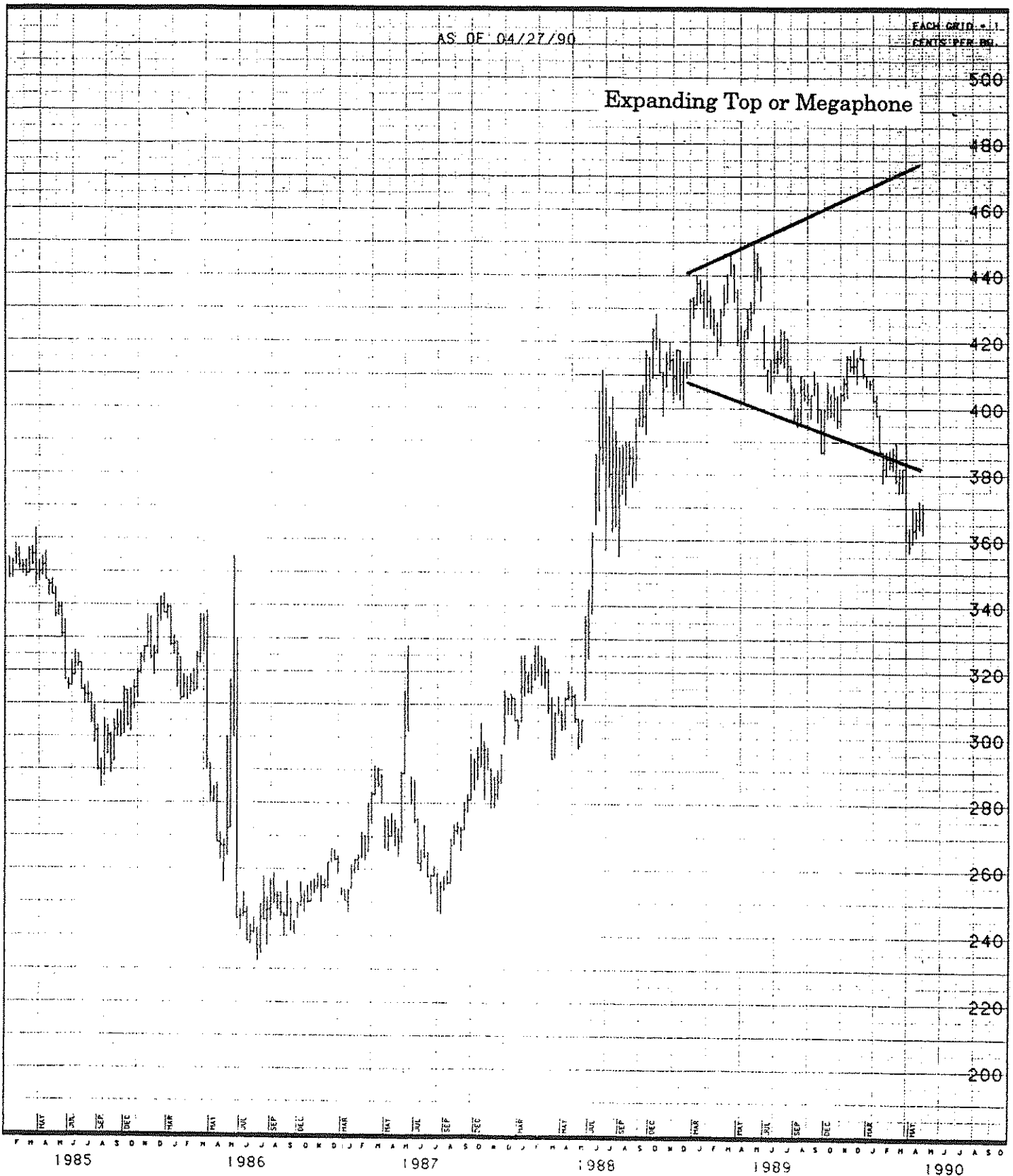
EACH GRID \$.25
CENTS PER LB.



KANSAS CITY WHEAT

WEEKLY NEAREST FUTURES

KANSAS CITY BOARD OF TRADE

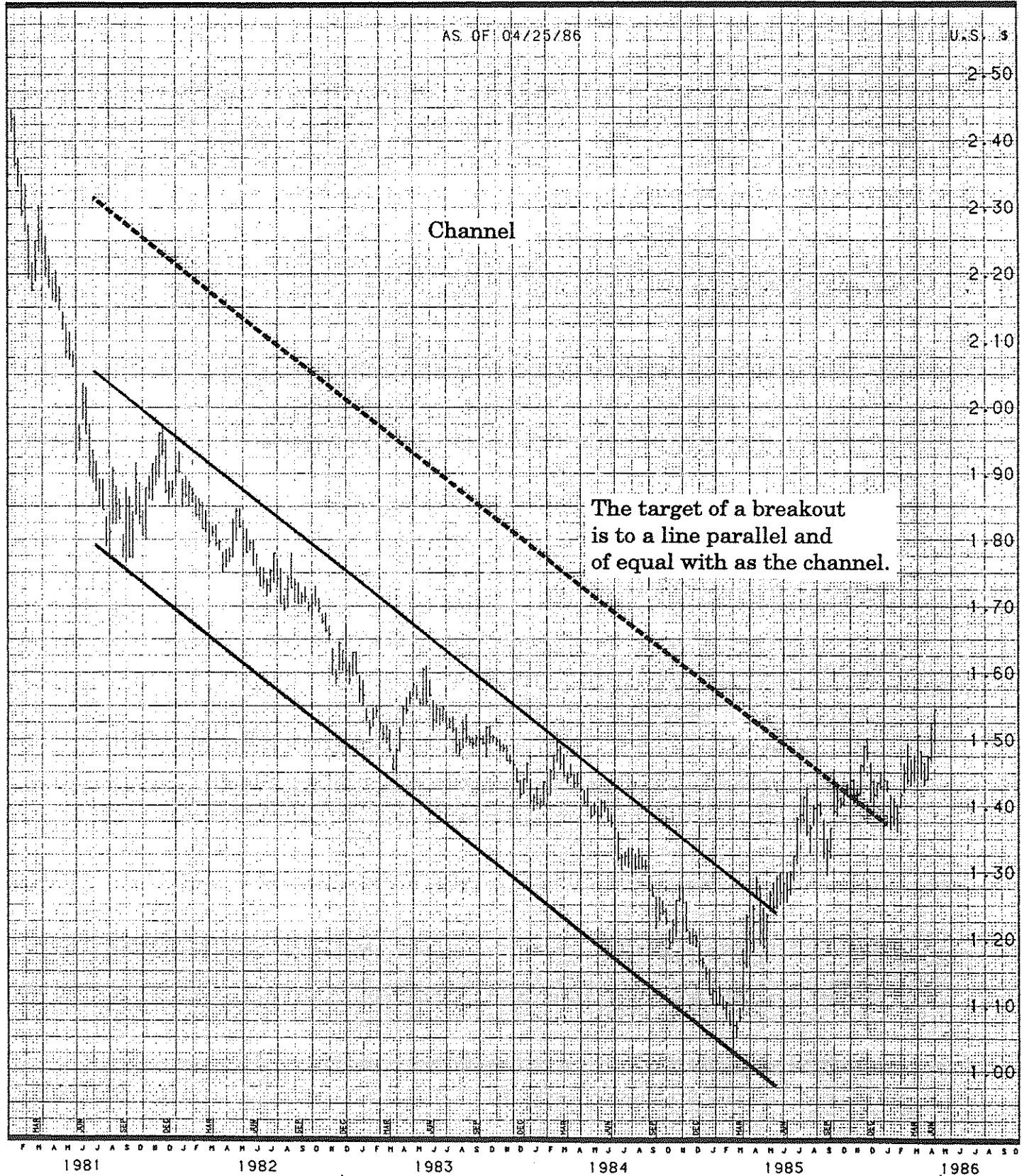
COMMODITY PERSPECTIVE/CHICAGO, ILLINOIS 60606
1-800-621-5271 IN ILLINOIS 1-312-454-1801

BRITISH POUND

WEEKLY NEAREST FUTURES

INTERNATIONAL MONETARY MARKET

COMMODITY PERSPECTIVE/CHICAGO, ILLINOIS 60606



There are three instances where I will use something other than the width rule for establishing a target. The first is a narrow and extended rectangle. In this case I may double or even triple the width to determine the target.

The second is when the completion of a daily chart pattern also completes a more major pattern on the weekly or monthly chart. In this case I will use the objective as determined by the longer-term chart.

The third is a brief one to three-week flag or pennant that forms in a strongly trending market. In this case I will use the brief pattern as a "half mast" formation and assume that the move out of the pattern will equal the preceeding move.

THE FACTOR

Ten Best Dressed List
1982-1983-1984

Written in June, 1985

Introduction

As many of you know, I love to fish, and do so nearly everyday for an hour or two. My fish of preference is the Walleye. A local fishing pro has said that "to understand the ways of the Walleye, you must study and understand the behavior of the very largest Walleye - for they are the best of the species."

If we use classical chart configurations as a basis for making trading decisions, it is also suiting that we too understand those trades that represent the "best of the species."

This document contains those market situations that I consider - in retrospect - as the "10 Best" examples of classical charting principles for the years 1982 thru 1984.

I used only two criteria to select these examples:

1. A "no question about it" extremely well defined chart formation.
2. An eventual move to the objective (of at least \$2,000 per contract).

Whether or not The Factor was successfully involved in the trade at the time was not an overt consideration.

A table at the end of this document lists some important information about each selection. These trades are not listed in any sort of rank order.

Summary

The following points summarize those market situations selected as among the 10 best each year:

1. These trades were all very profitable - the type of trades that - if caught - would have made a trader financially independent.
2. All the formations were clearly developed and substantial. There could have been little mistake in pattern identification.

3. In nearly every case, something of importance was also taking place on the weekly chart.
4. These trades broke out and went. There was no doubt. Of the 30 market situations, only 4 ever closed with a loss - the greatest being for \$500 for 1 day.
5. While the moves to the objectives might have hesitated along the way, in no case was there a clear signal that the objectives would not be reached.

Discussion

These trading situations represent the type of trades I want to be involved in. These are the types of trades that represent the "payoff." These are the types of trades that will represent the profit part of a trading program. Everything else, as far as I am concerned is either a trade made in the discovery process of finding these trades or a trade made just "playing" around.

The more a trader can concentrate on these types of market situations the better off he or she will be at the end.

These trades also reinforce for me the attitude that "if a trade goes right away, then fine," but if a trade does not go right away, then get out. Major trades do go right away. Trades that hesitate have no promise.

Authors' Note

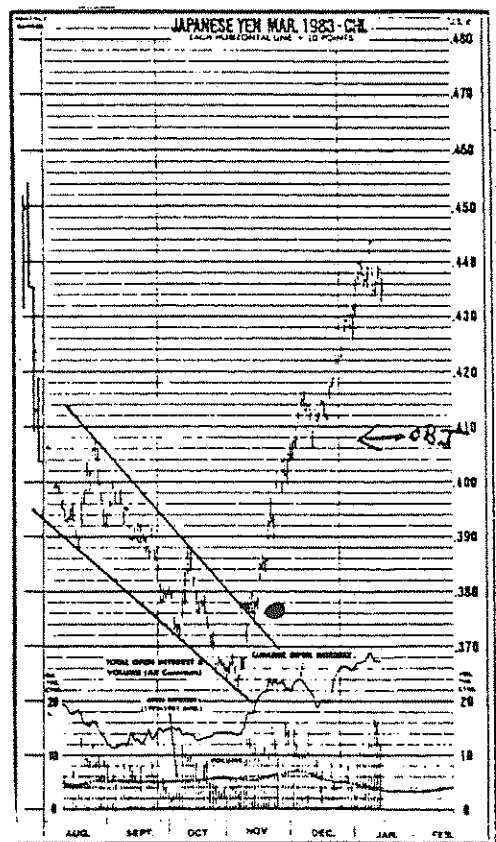
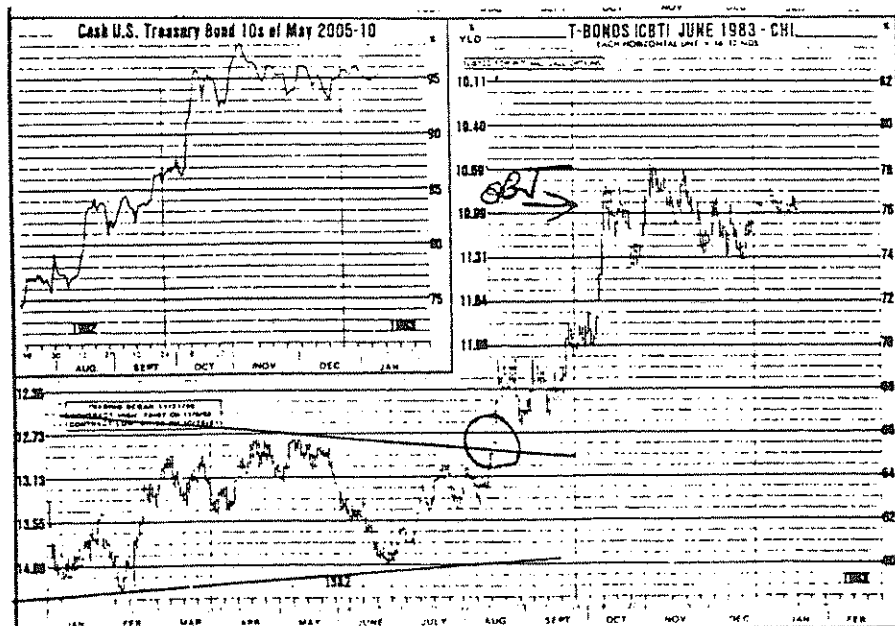
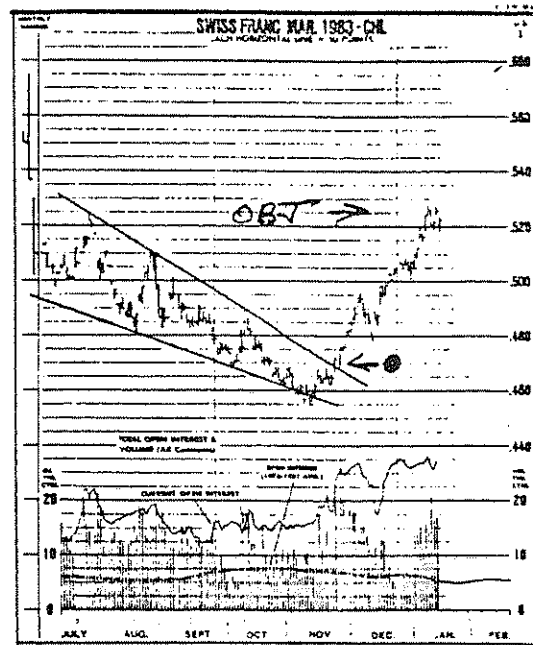
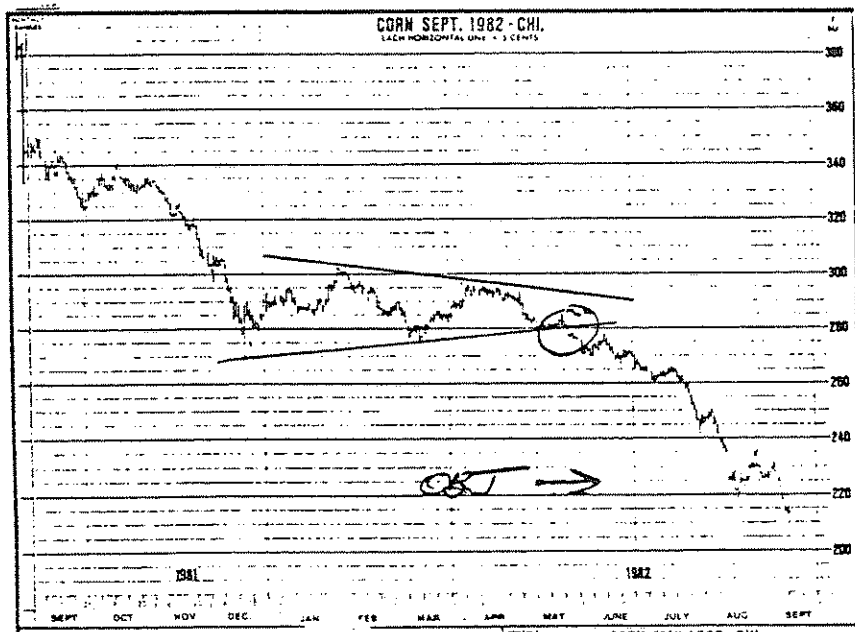
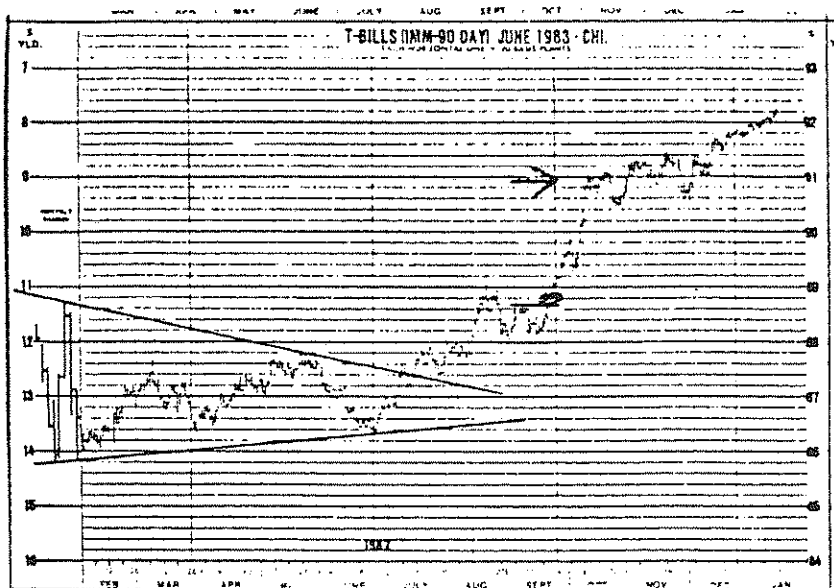
Some of the charts in the Best Dressed section are barely decipherable. When Peter created those pages for *Factor* subscribers, he gave no thought to the possibility they might later appear in a book. Because the charts are so old, it is impossible to recreate them in more readable versions.

We think there is value to be gained from including the same charts and comments that Peter created when the situations were fresh in his mind. You may be able to find your own comparable historical charts to get a clearer picture. Commodity Perspective's *Encyclopedia of Historical Charts* is an excellent historical chart reference.

We apologize for any difficulties the fuzzy charts may cause. The only alternative was to omit them entirely. We decided to include them in the interest of completeness. There are many legible charts in the book which make the points we wanted to make.

Peter and Bruce

1982



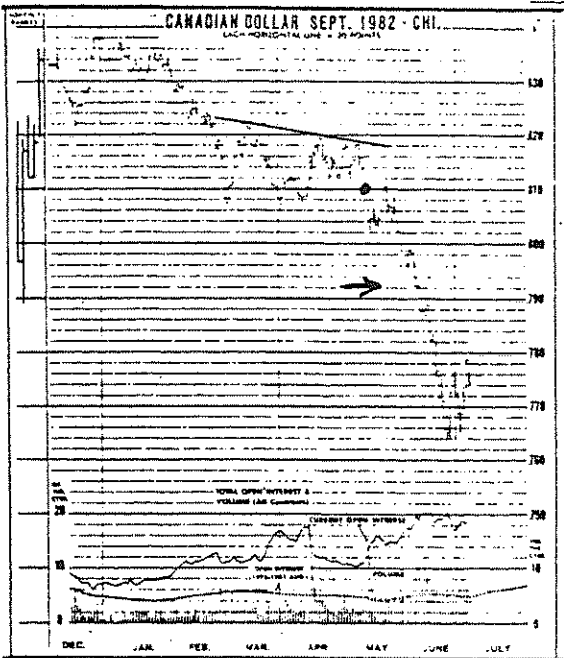
SUGAR NO. 11 JULY 1982 - N.Y.

CONTRACT COMPLETED:
JUNE 30
HIGH 25.50
LOW 23.50

Cash Sugar (World Raw) No. 11 N.Y.

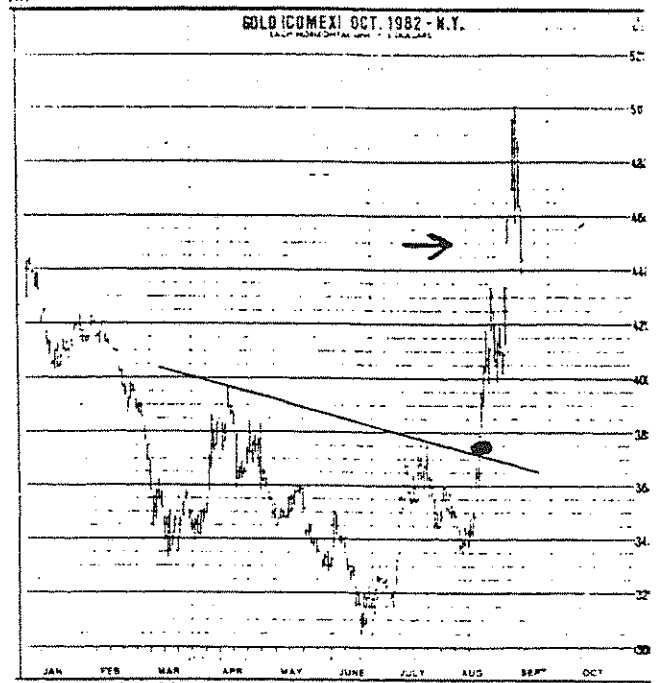
CANADIAN DOLLAR SEPT. 1982 - CHI.

EACH HORIZONTAL LINE = 25 POINTS



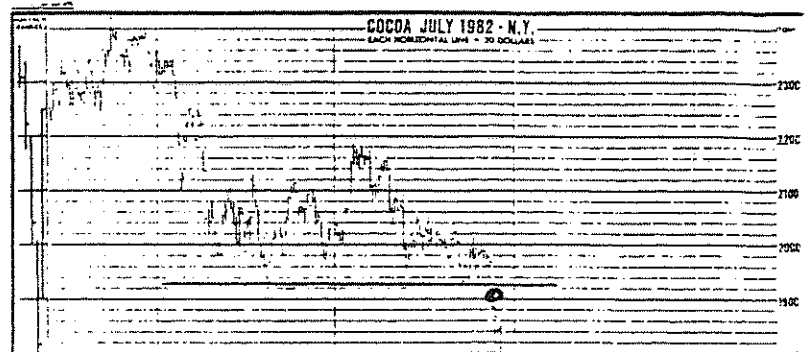
GOLD COMEX OCT. 1982 - N.Y.

EACH HORIZONTAL LINE = 100 DOLLARS



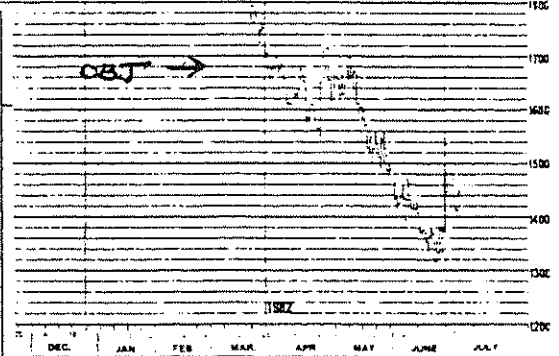
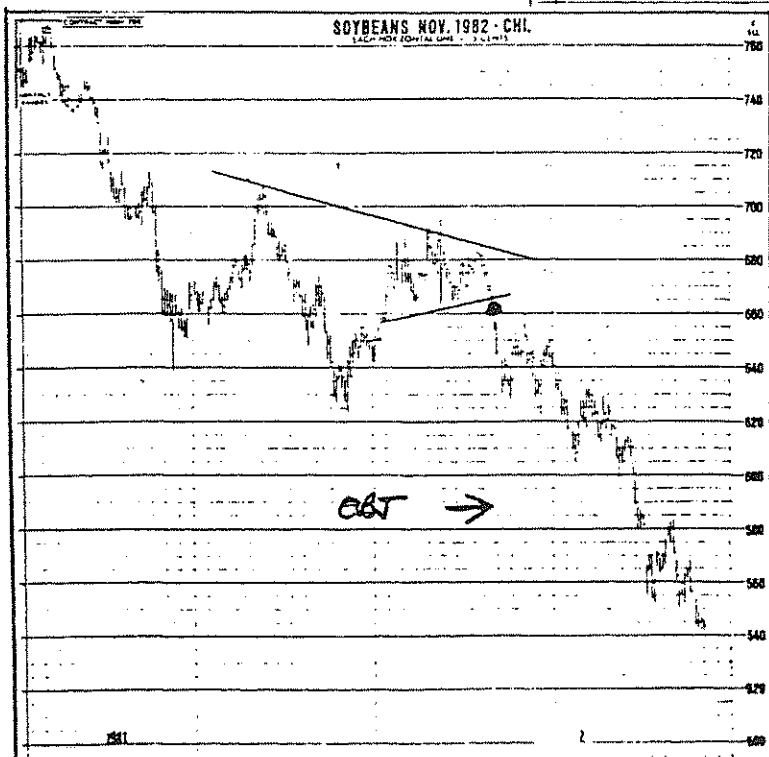
COCOA JULY 1982 - N.Y.

EACH HORIZONTAL LINE = 30 DOLLARS



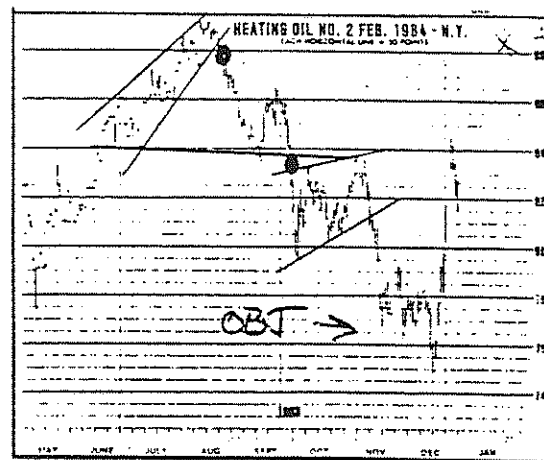
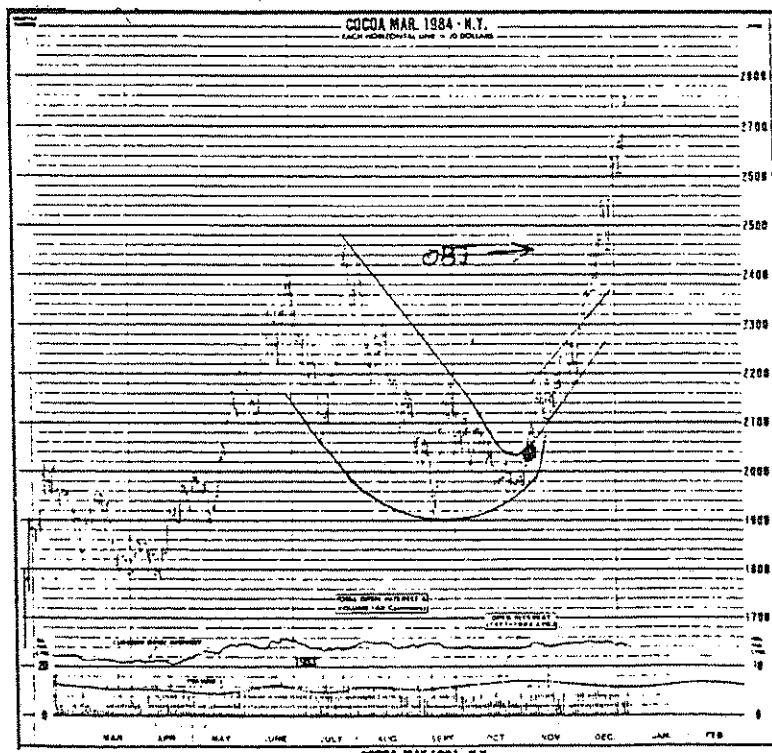
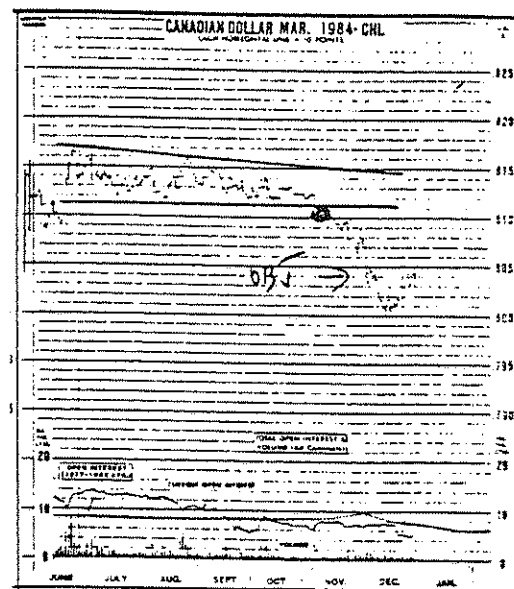
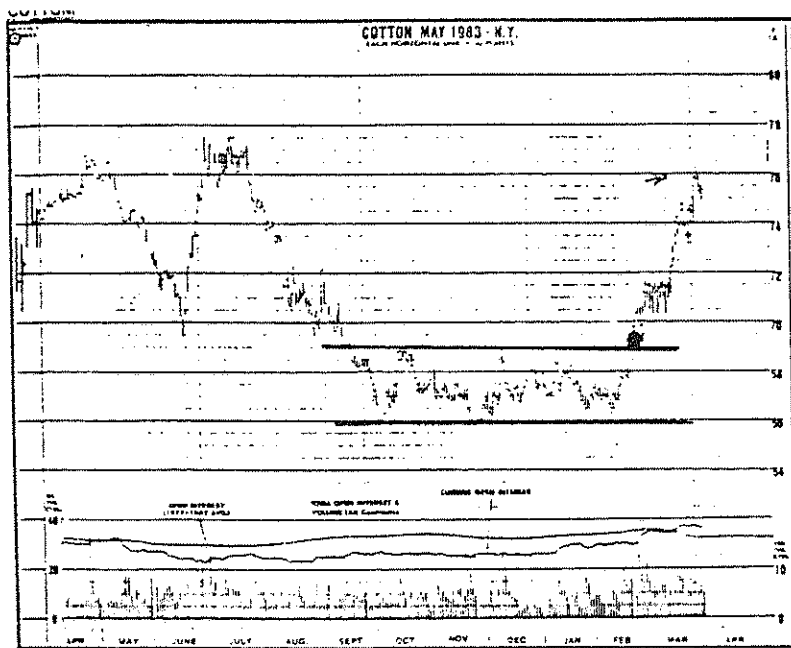
SOYBEANS NOV. 1982 - CHI.

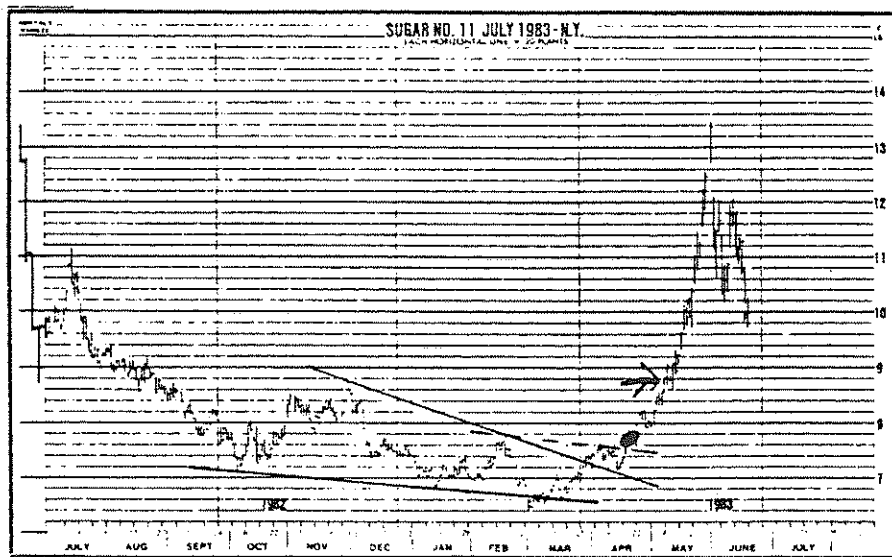
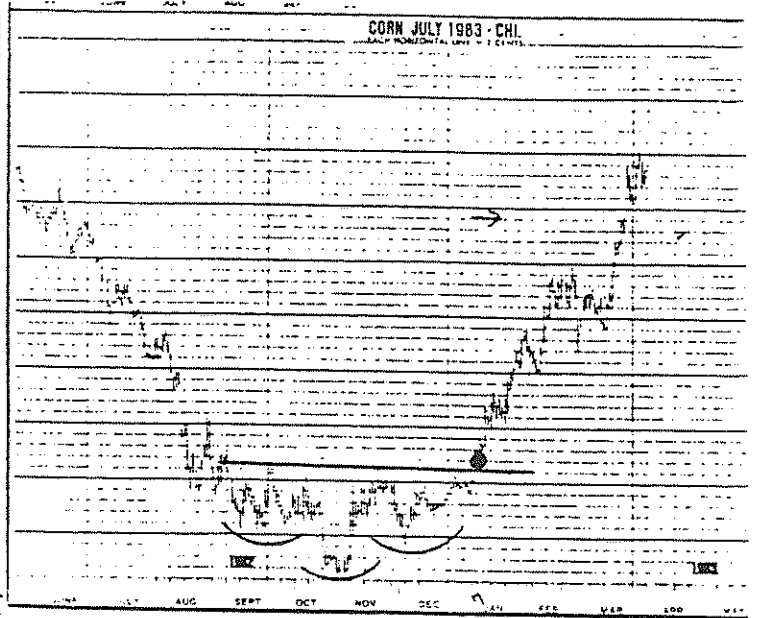
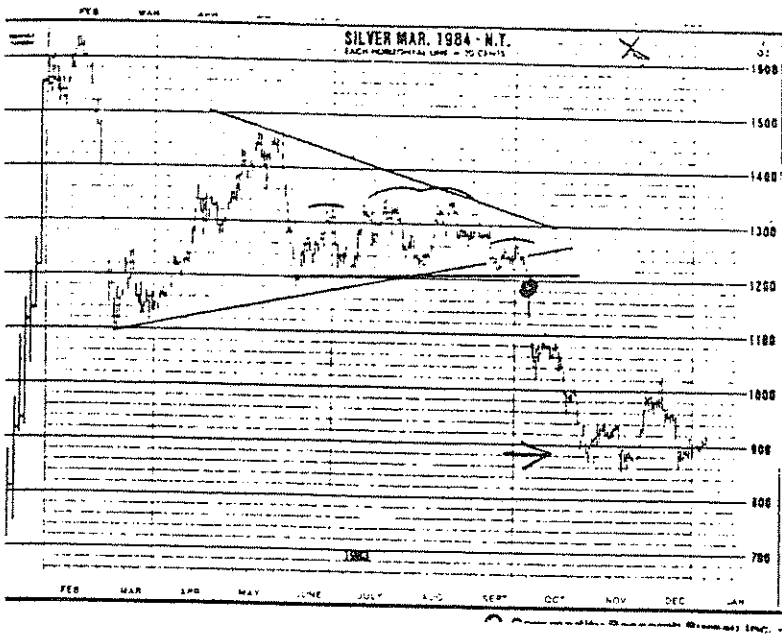
EACH HORIZONTAL LINE = 5 CENTS



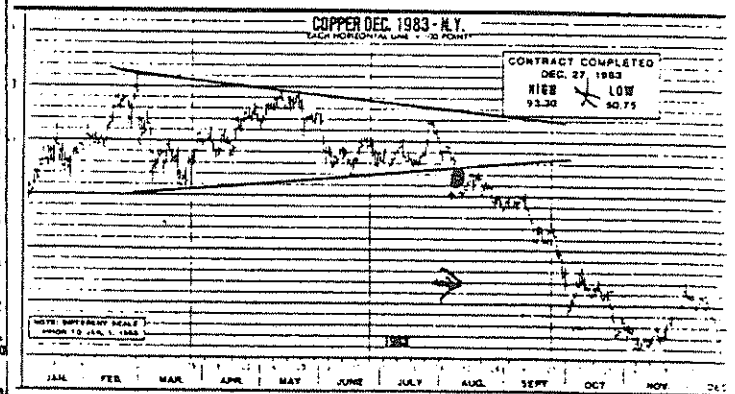
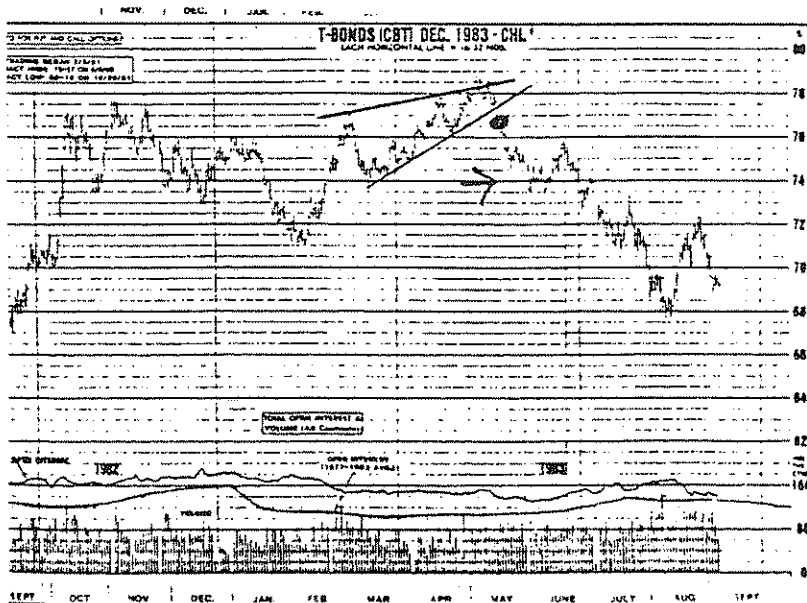
1982

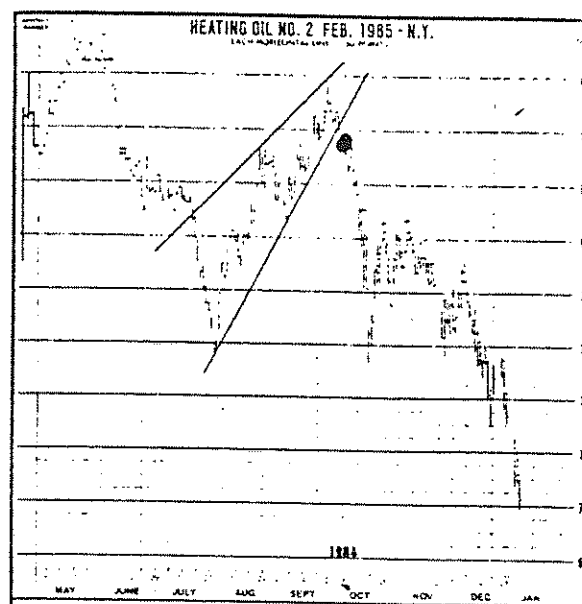
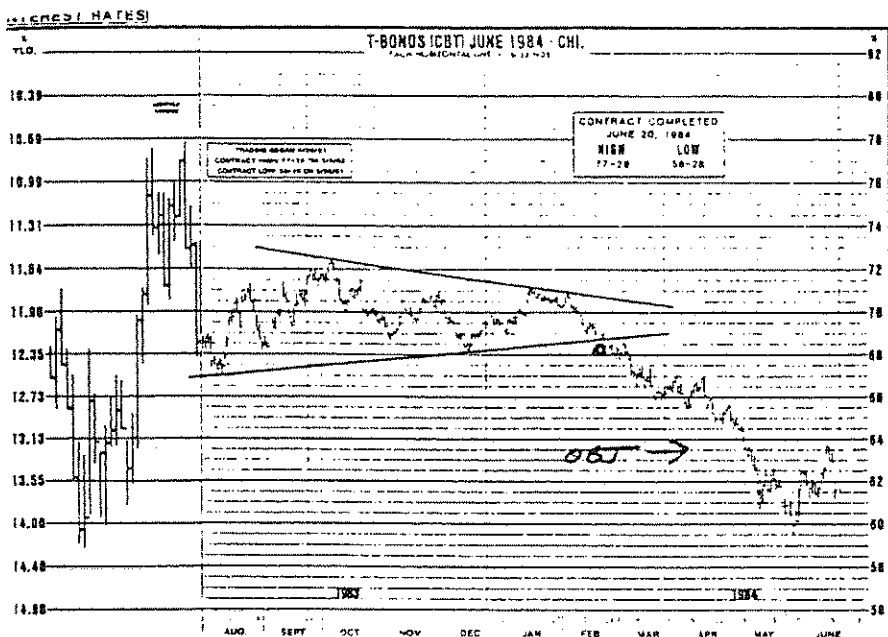
1983



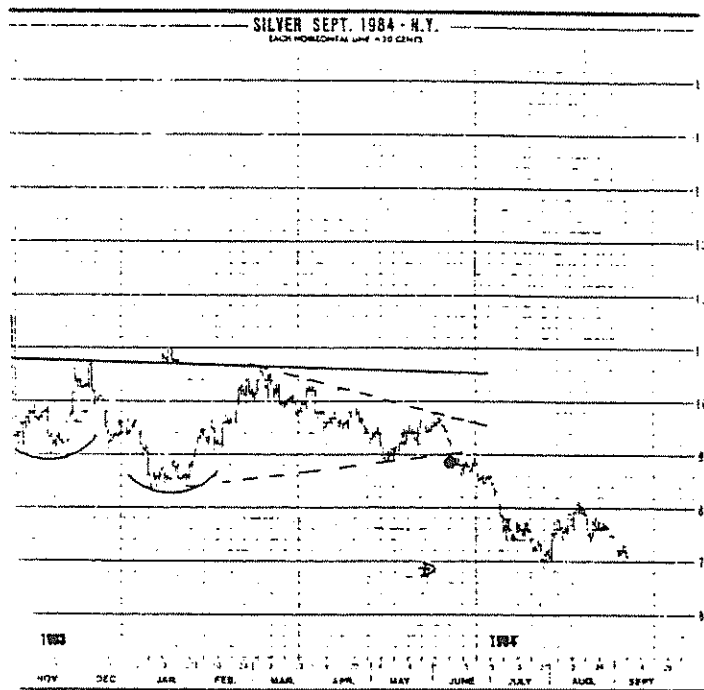
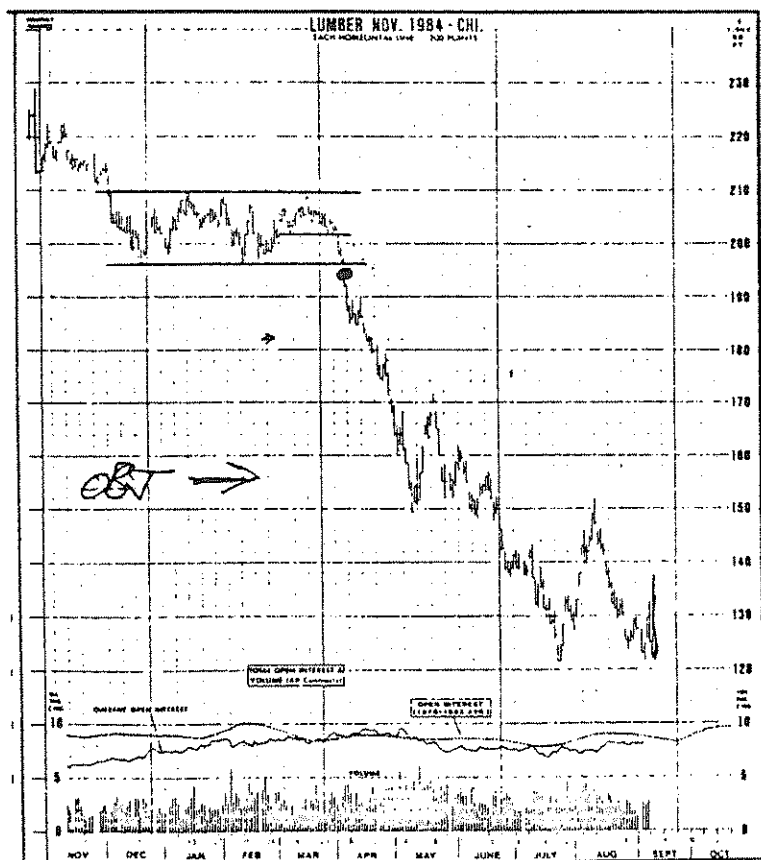


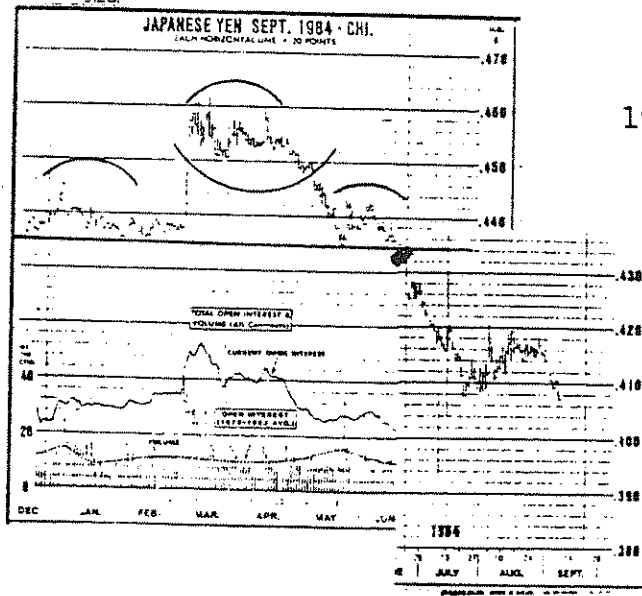
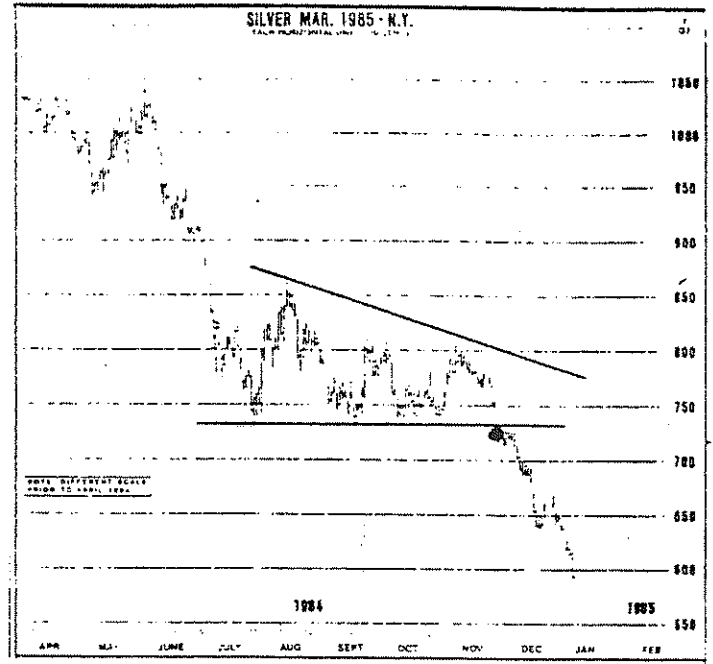
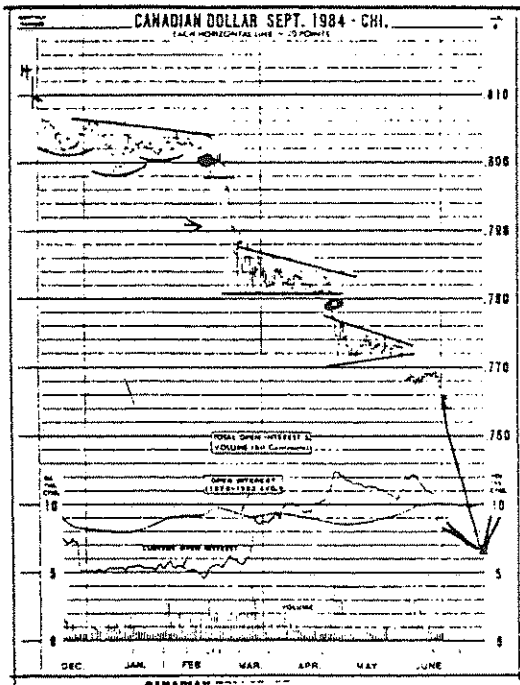
1983



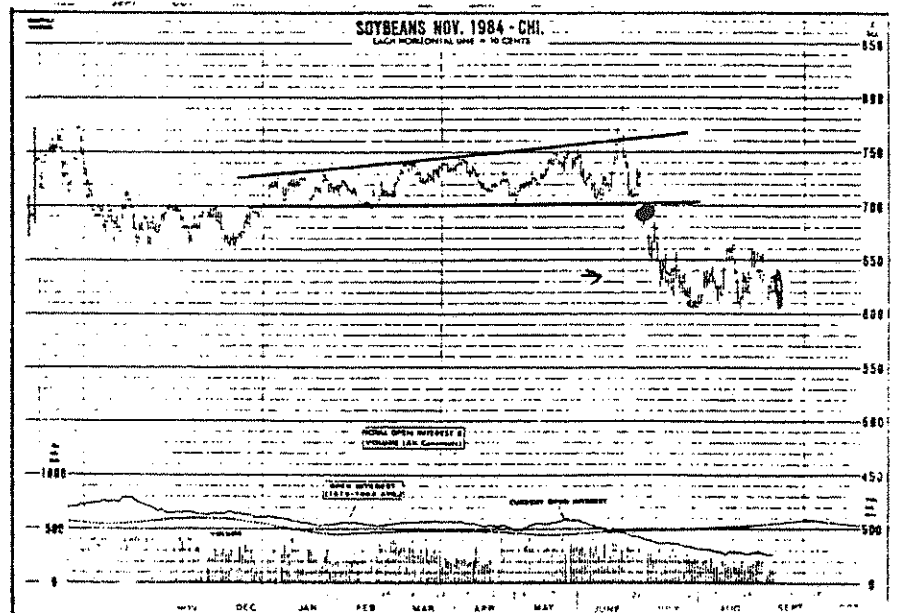
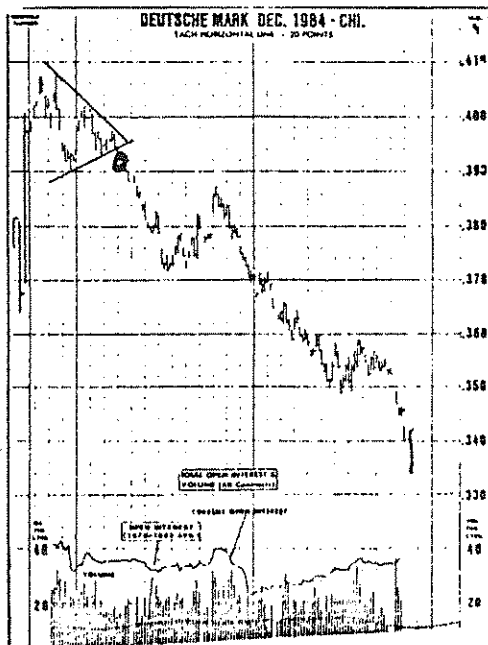


1984

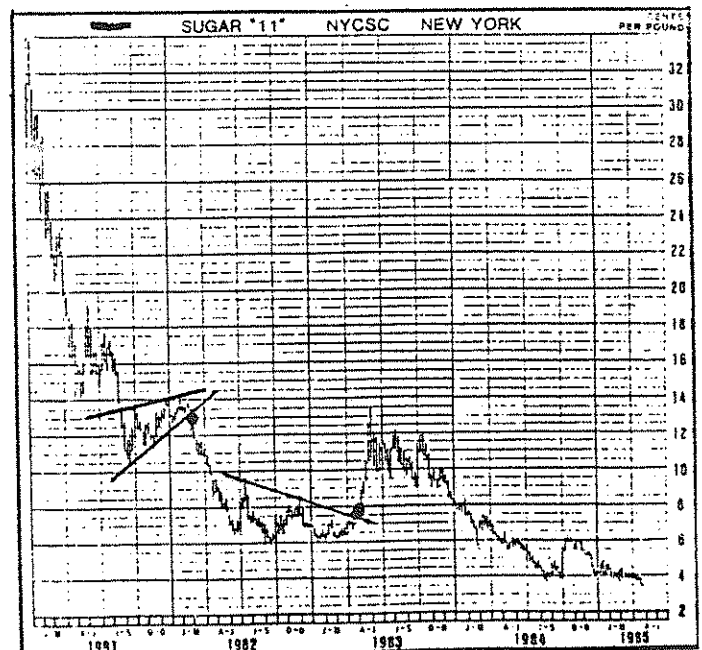
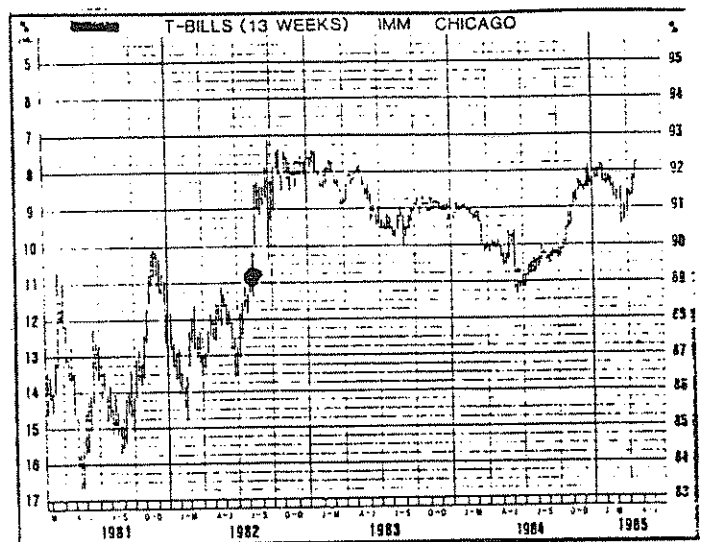
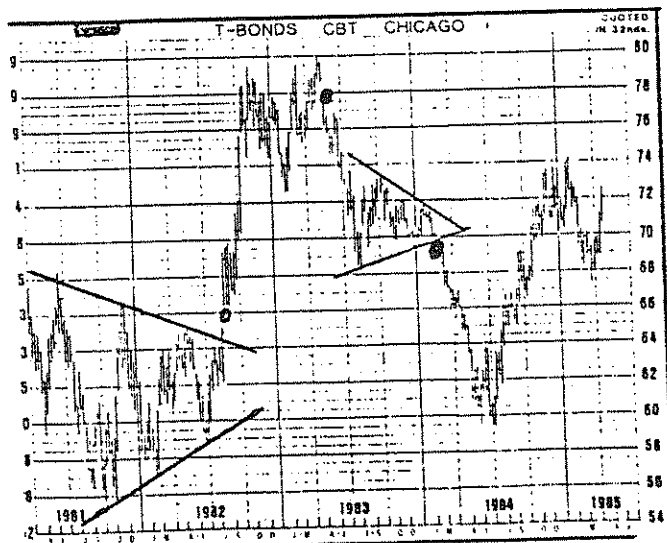
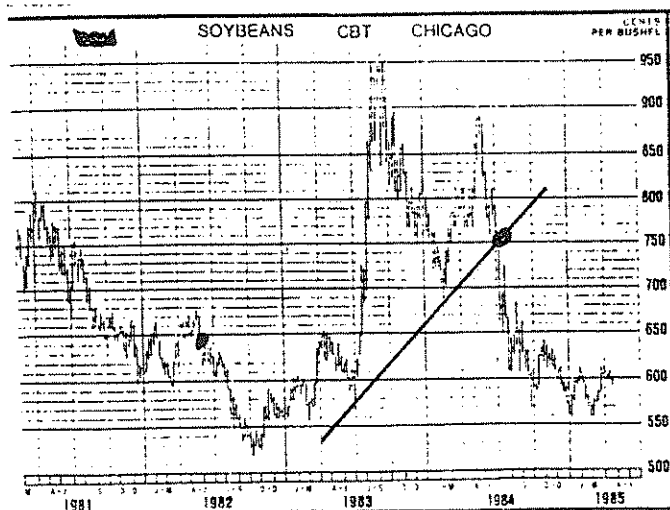
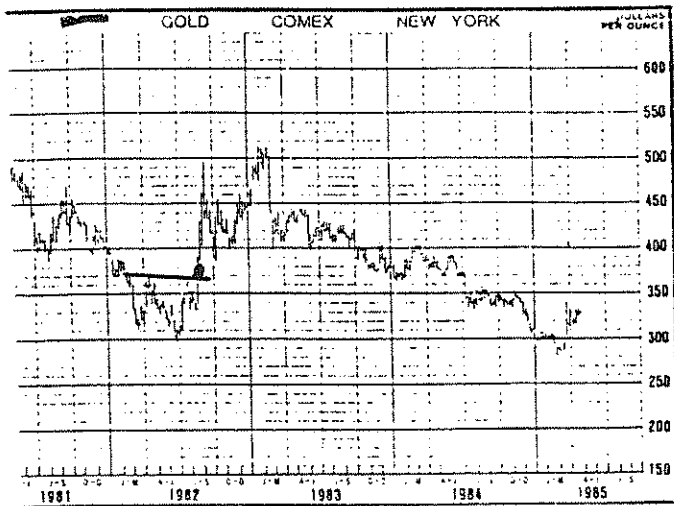




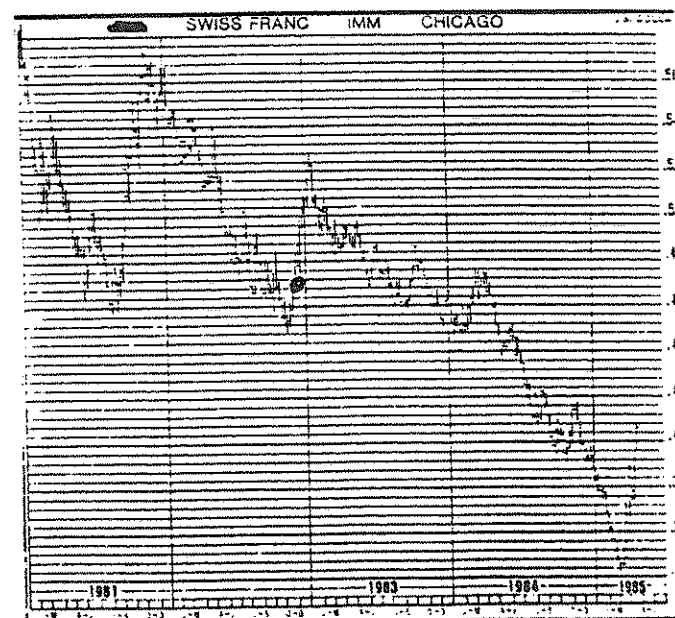
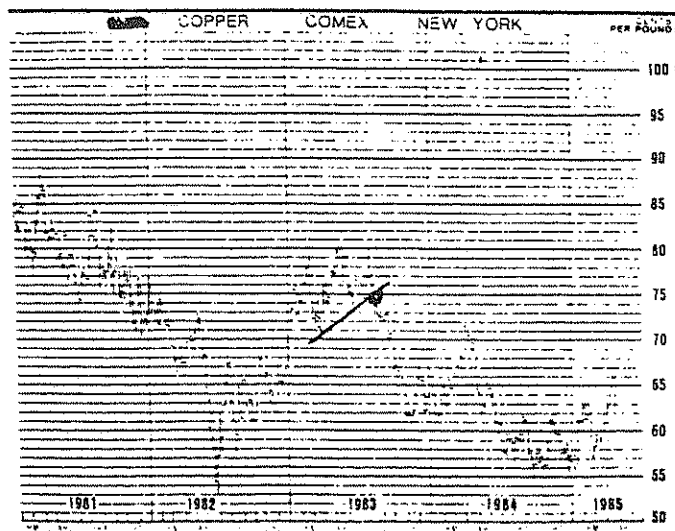
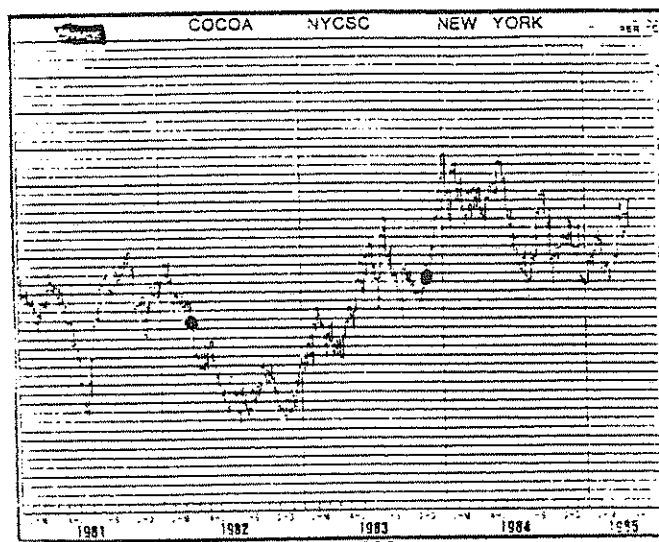
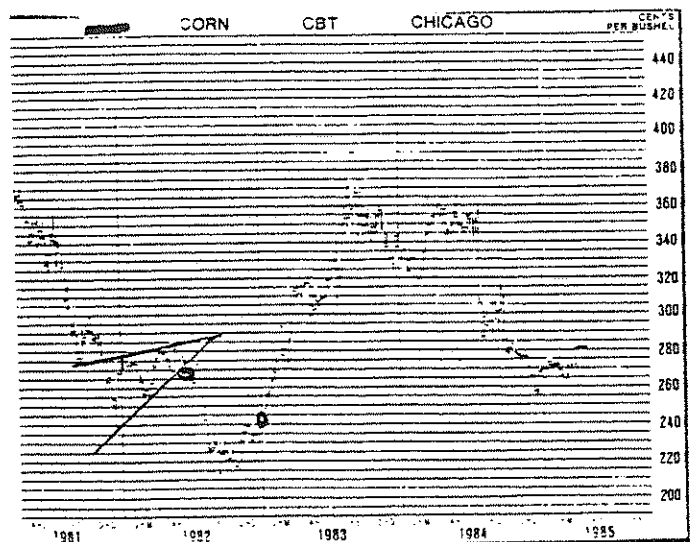
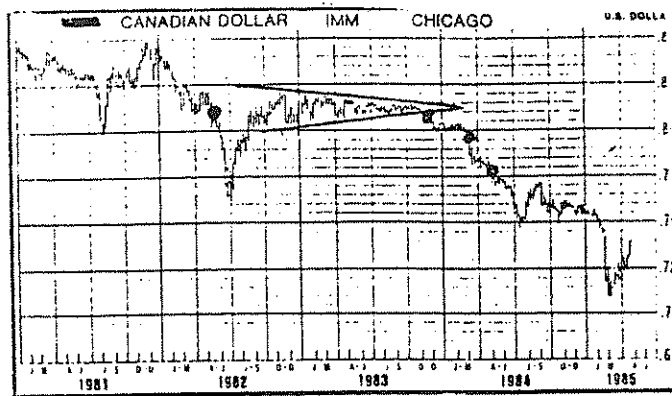
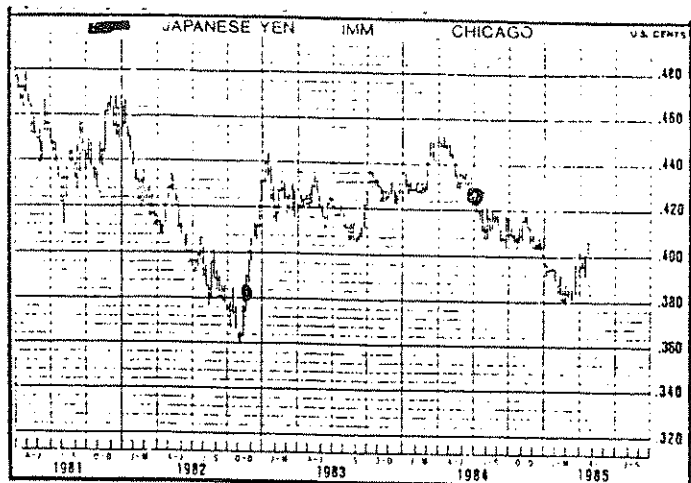
1984



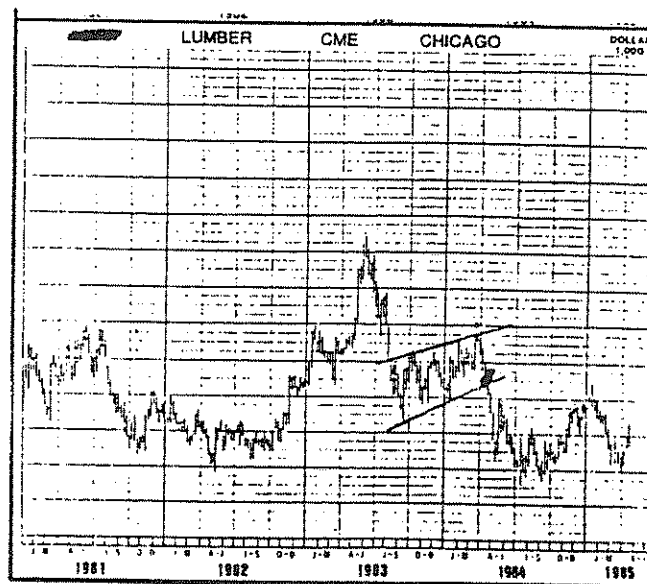
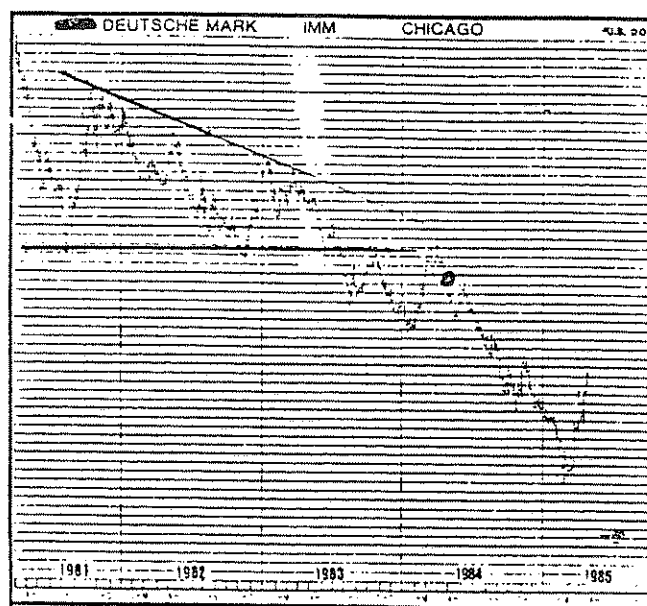
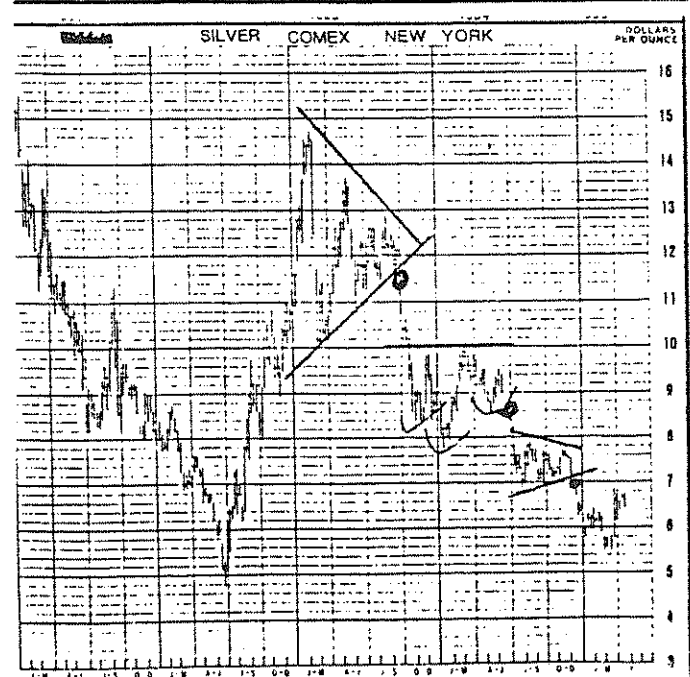
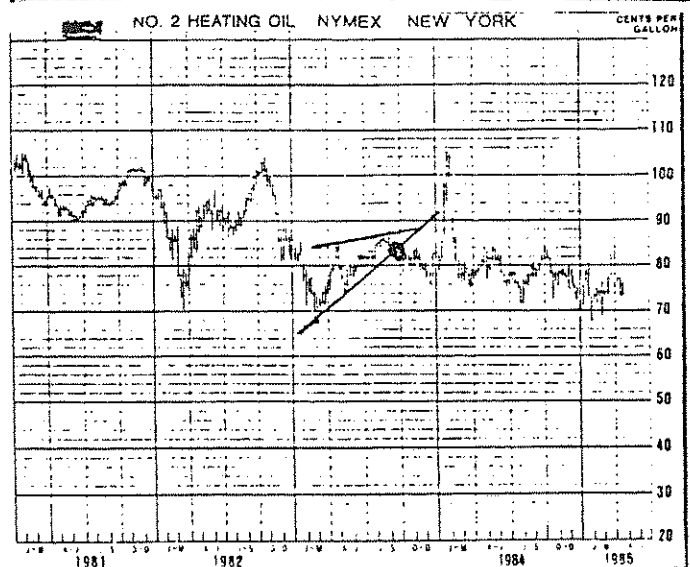
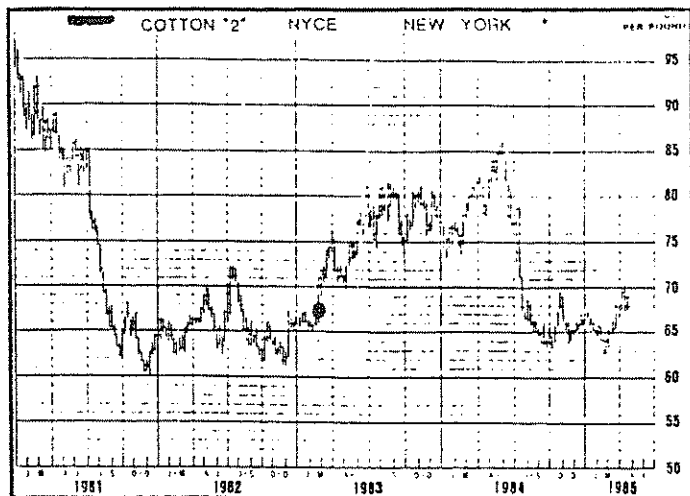
WEEKLIES



WEEKLIES



WEEKLIES



<u>YEAR/Trade</u>	<u>+/-</u>	<u>Daily Pattern</u>	<u>Worst Intra Day Loss</u>	<u>Worst Closing Loss</u>	<u># Days</u>	<u>Profit Potential</u>
1982						
T-Bills	+	Compound Fulcrum	**	-	-	\$5,000
Corn	-	Symmetrical Triangle	**	-	-	2,750
T-Bonds	+	Symmetrical Triangle	\$500	\$500	1	10,000
Swiss Franc	+	Wedge	**	-	-	6,100
Japanese Yen	+	Wedge	400	250	1	3,750
Gold	+	Head and Shoulders	**	-	-	7,000
Sugar	-	H & S Failure	**	-	-	4,600
Canadian Dollar	-	H & S Failure	**	100	1	3,800
Cocoa	-	Head and Shoulders	**	-	-	2,100
Soybeans	-	H & S Failure	**	-	-	4,500

**Less than \$300 per contract

Note: Profit potential based on profit taking procedures as listed in The Factor Trading Manual. Per Contract.

<u>Year/Trade</u>	<u>+/-</u>	<u>Daily Pattern</u>	<u>Worst Intra Day Loss</u>	<u>Worst Closing Loss</u>	<u># Days</u>	<u>Profit Potential</u>
1983						
Corn	+	Head and Shoulders	**	-	-	\$2,400
T-Bonds	-	Wedge	**	-	-	2,500
Sugar	+	Head and Shoulders	**	-	-	3,580
Silver	-	Head and Shoulders	**	-	-	10,300
Copper	-	Symmetrical Triangle	**	-	-	2,500
Cocoa	+	Horn	**	-	-	4,000
Cotton	+	Rectangle	**	-	-	3,000
Heating Oil	-	Wedge	**	-	-	4,200
Heating Oil	-	Head and Shoulders	**	\$200	2	1,890
Canadian Dollar	-	Descending Triangle	**	-	-	1,000
1984						
Soybeans	-	Right Angle Broadening	**	-	-	3,500
Silver	-	Descending Triangle	**	-	-	5,700
Yen	-	Head and Shoulders	**	-	-	2,875
Heating Oil	-	Wedge	**	-	-	2,730
T-Bonds	-	Symmetrical Triangle	**	200	1	6,000
Lumber	-	Rectangle	**	-	-	5,000
Silver	-	Symmetrical Triangle	\$500	-	-	8,000
D-Mark	-	Symmetrical Triangle	**	-	-	2,000
Canadian Dollar	-	H & S Failure	**	-	-	2,200
Canadian Dollar	-	Descending Triangle	**	-	-	2,700

**Less than \$300 per contract.

Note: Profit potential based on profit taking procedures as listed in The Factor Trading Manual. Per contract.

THE FACTOR

Ten Best Dressed List
1985

Written in April, 1986

Introduction

Each year at about this time I publish the "Ten Best Dressed" list -- featuring those 10 market situations from the previous year that were the "best" examples of classical charting principles.

The two criteria I use to select the "Ten Best" are:

1. A "no questions" about it extremely well defined chart development.
2. An eventual move to the objective of at least \$2,000 per contract.

Whether or not The Factor was successfully involved in the market situation at the time is not a consideration.

A table at the end of this document lists some important information about each selection. These situations are not listed in any sort of rank order.

Summary

The following points summarize those market situations selected as among the best for 1985.

1. These trades were all very profitable - the type of trades that - if 100% captured would have made a trader very financially independent.
2. All the formations were clearly developed and substantial. There should have been little mistake in interpretation.
3. In every case, something important was happening.
4. These trades broke-out and went. There was little doubt. While some false signals could have been given in the development process, when the final signal was given it was "all go."

Concluding Comments

It is good in trading (and in life) to periodically step back from the hustle and gain a renewed (and larger) perspective of what we should really be doing -- of what our correct game plan should be. Reviewing "last year's" markets can never put one dollar into our pockets. But a review of history can help us place the types of trades we should take into the proper perspective.

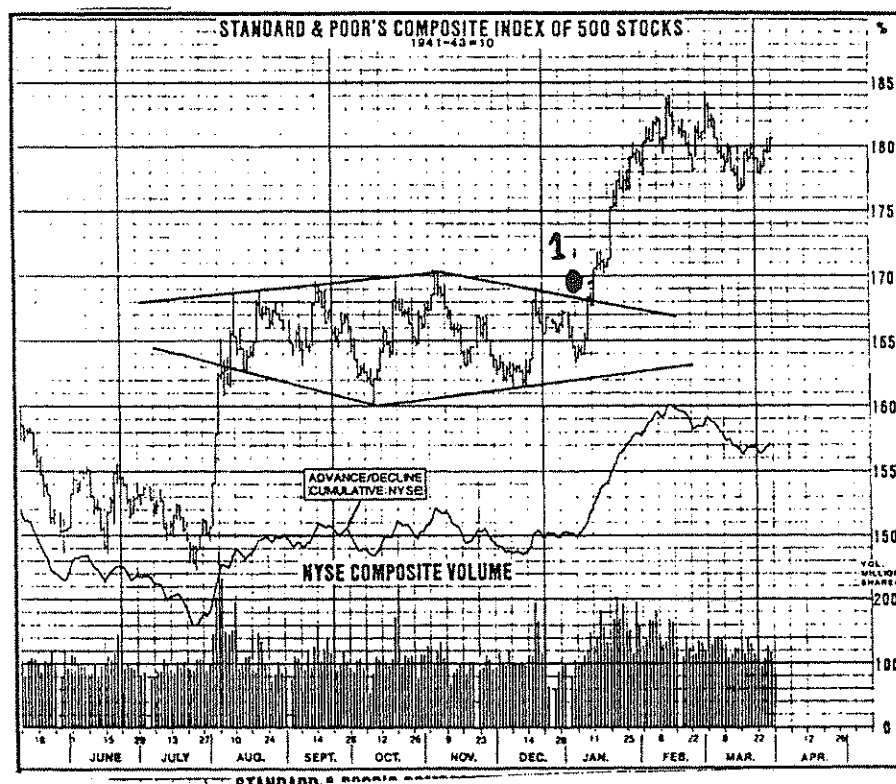
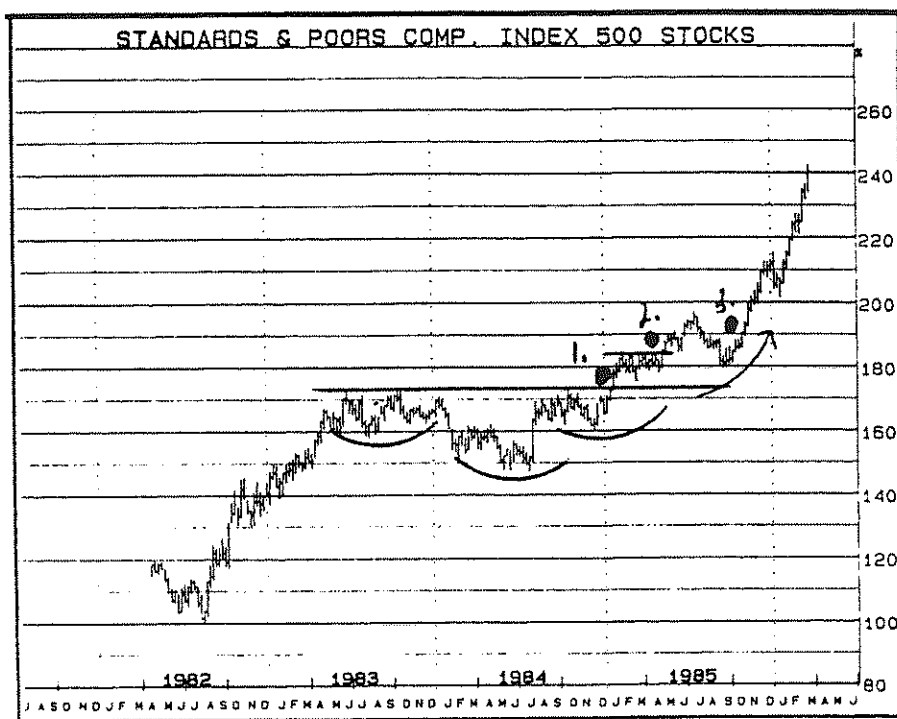
The types of trades featured in this document are the types of trades I want to be involved in; the types of trades I would like to limit myself to; the types of trades that represent the payoff.

The more a trader can concentrate on the types of trades featured herein, the better off he or she will be at the end of the game.

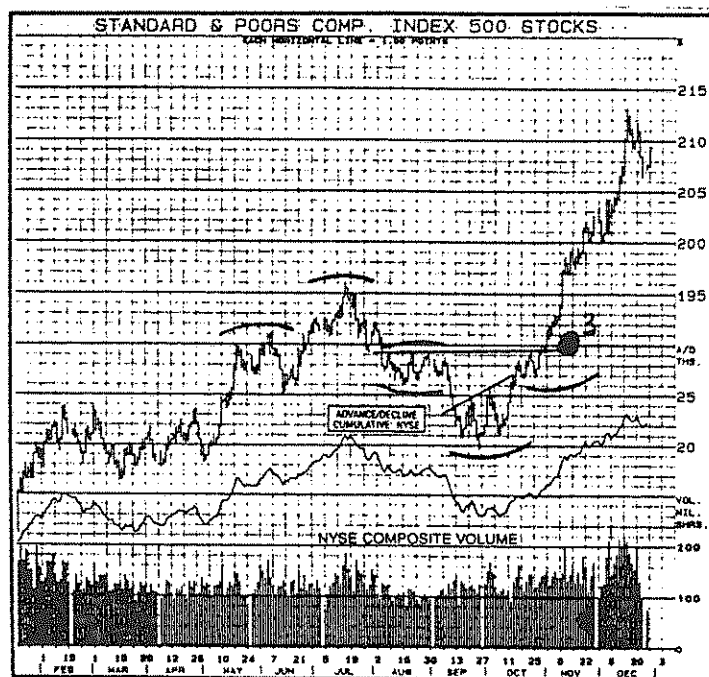
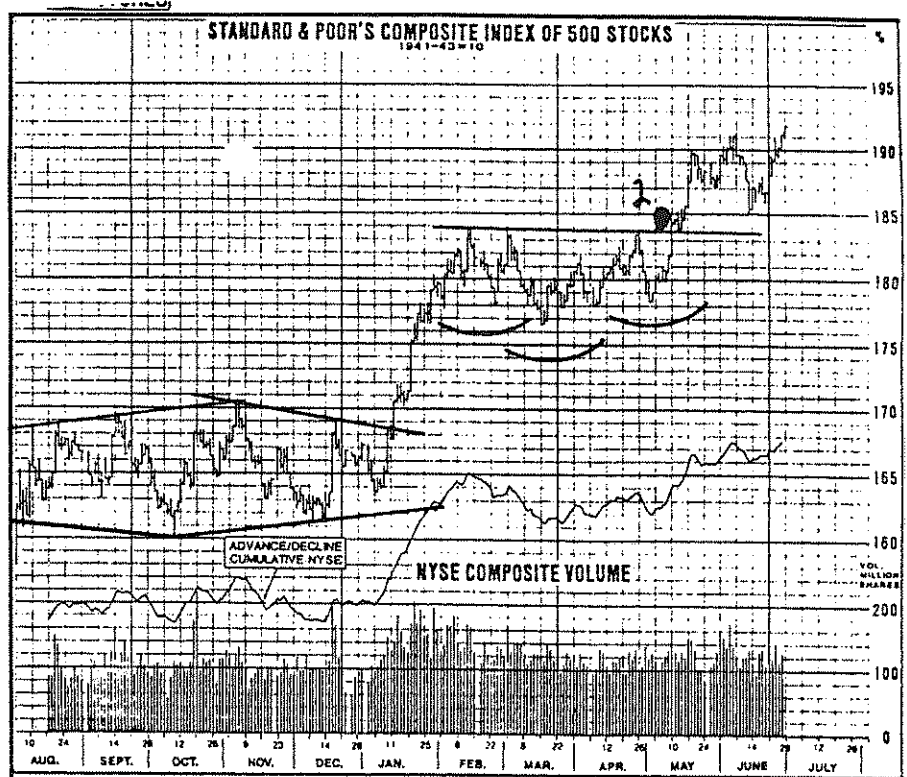
But I, like so many other traders, find myself getting caught up in the emotions and excitement of the day-to-day markets to the extent of becoming involved in so many other types of trades (lowering my standards) and in the process missing the types of trades I really want.

It is vitally important to have goals and objectives in trading. I am NOT talking here about dollar goals, but goals as to the conditions necessary in the market in order for us to place a market bet. A trader should develop a very clear picture of those things necessary for a market to qualify as a candidate trade -- and then work very hard to limit trading to those situations. Patience and discipline are so important, and I find that sometimes these are commodities (qualities) I could use more of.

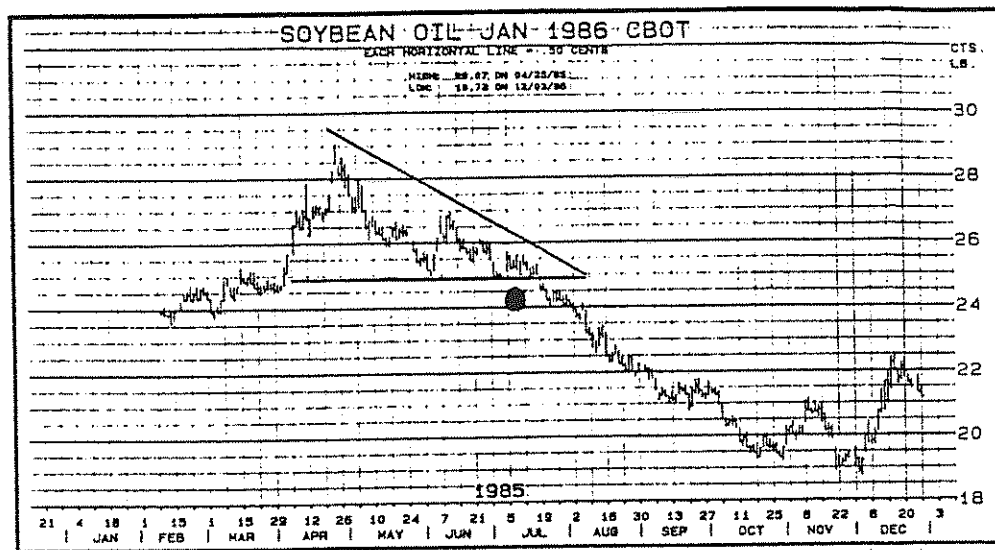
Of course, lest one every become too self-critical, it is important to remember that we will never be perfect in either our market analysis or execution. We will never be able to claim perfection. But without a roadmap (and proper perspective of the types of trades we seek) we will also never be able to claim progress. Progress is what we seek.



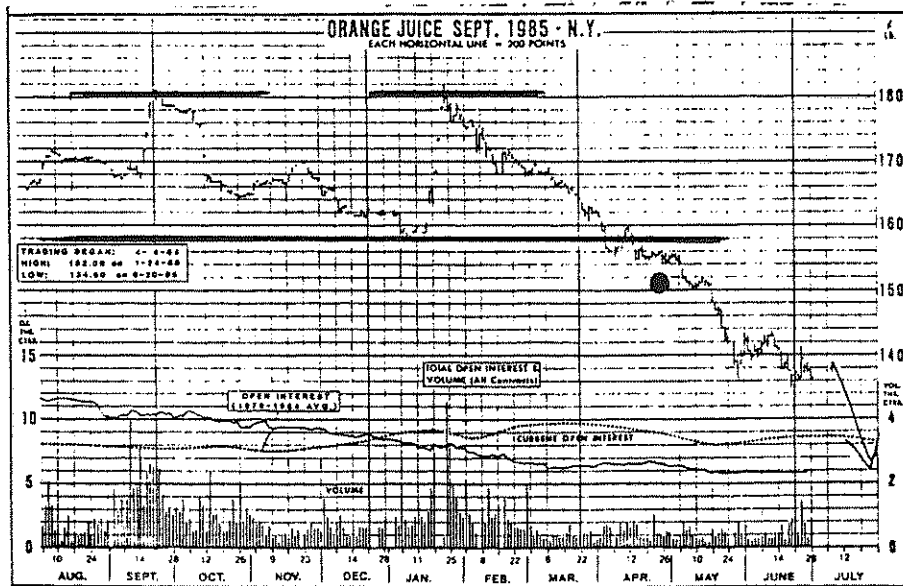
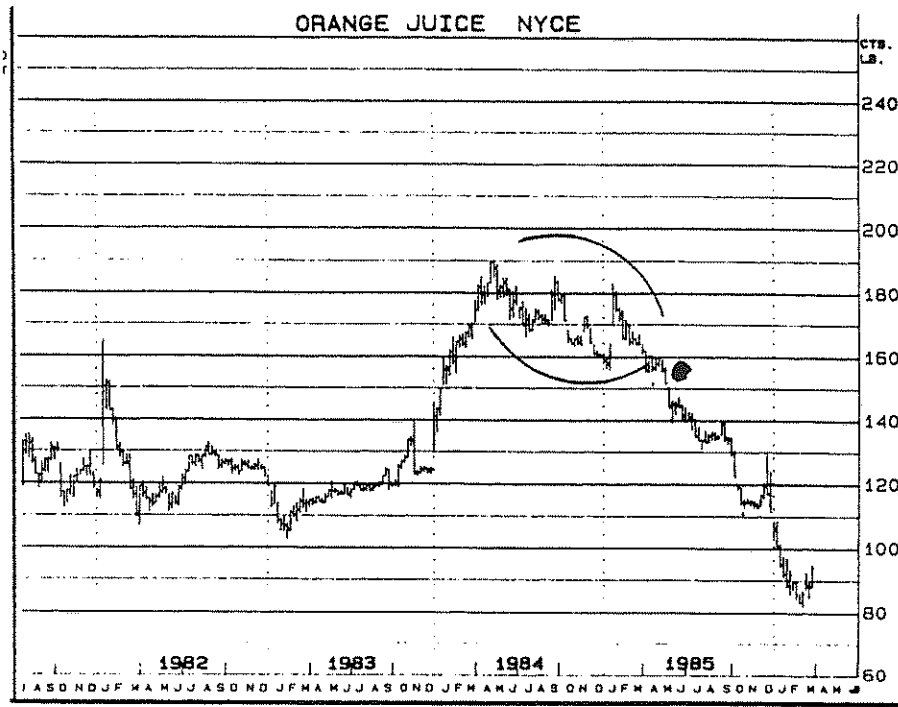
This market situation was actually a series of three continuation patterns on the daily chart. The weekly chart displayed a 1½ year continuation head and shoulders bottom. The right shoulder was a diamond on the daily chart (#1).



The daily chart (#2) was a continuation H&S. #3 was a combination small head and shoulders bottom and head and shoulders top failure.

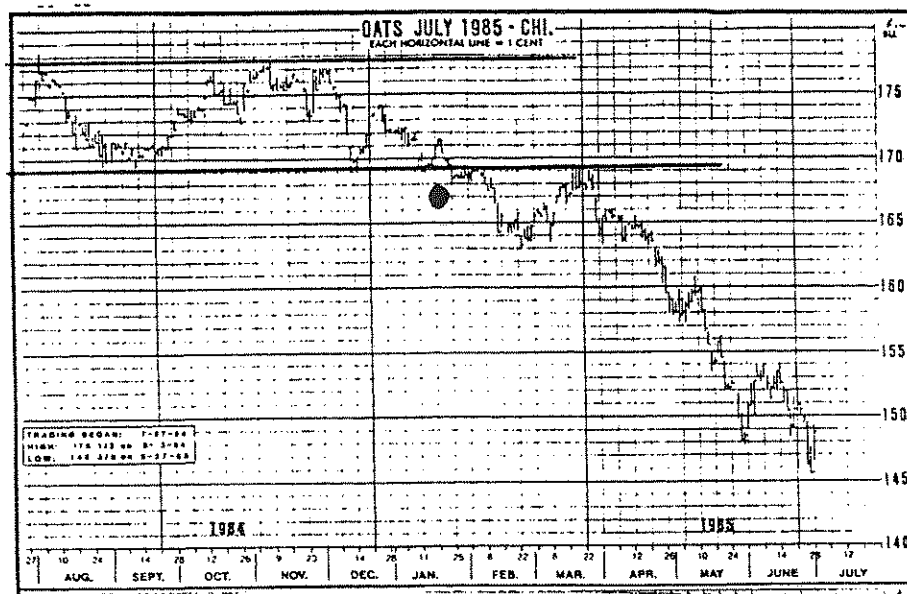
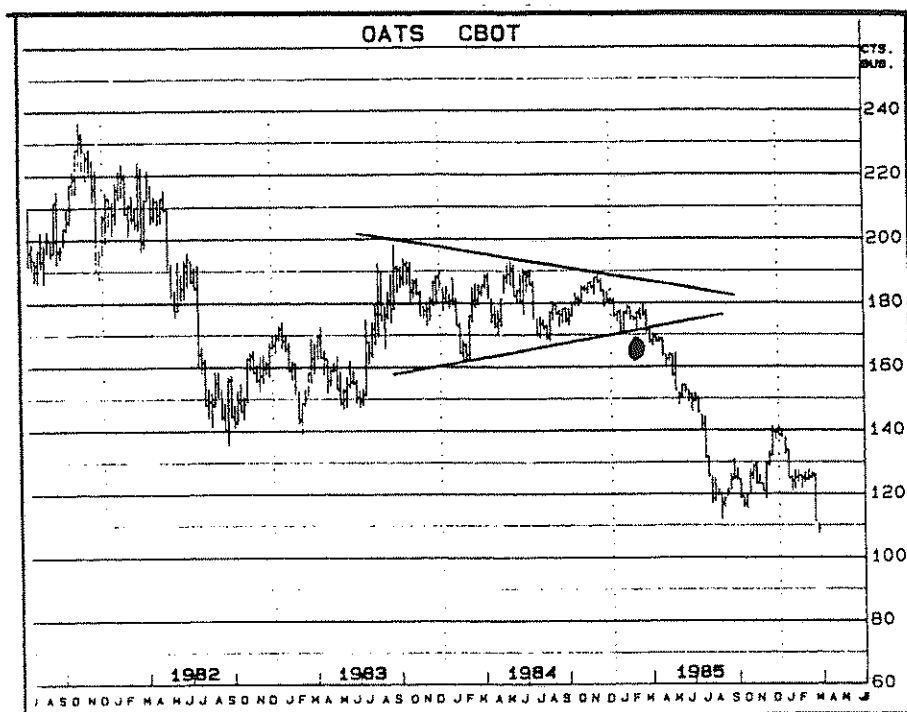


DAILY CHART: Descending triangle.



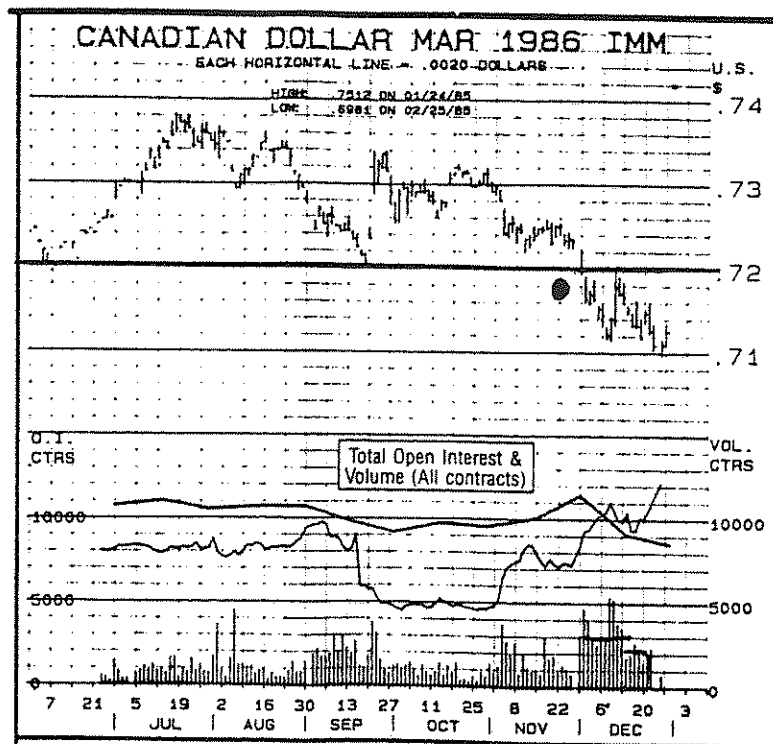
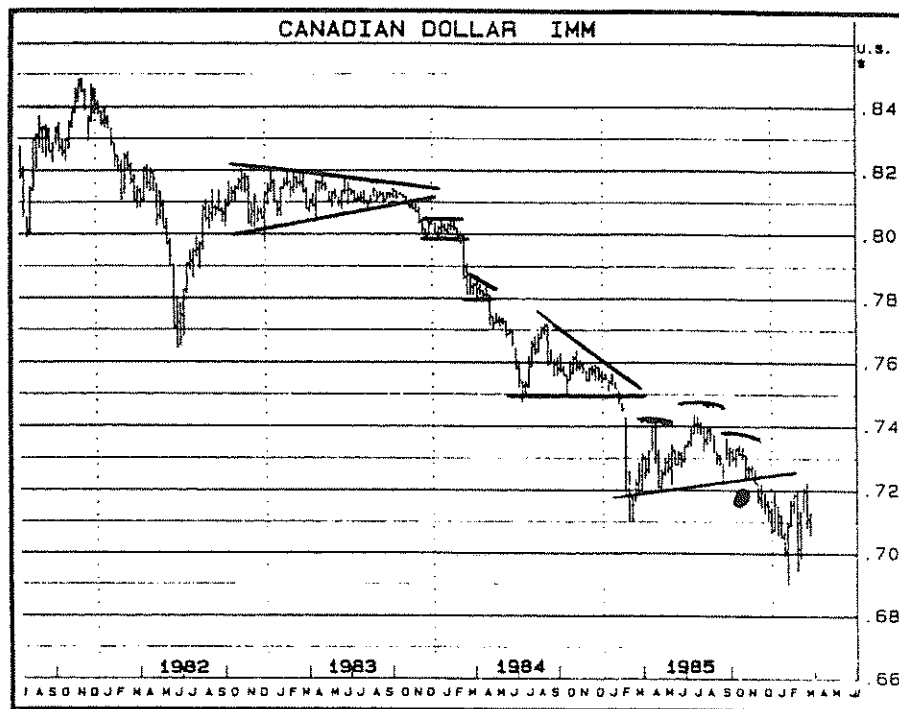
WEEKLY CHART: Slooning ton

DAILY CHART: Double ton



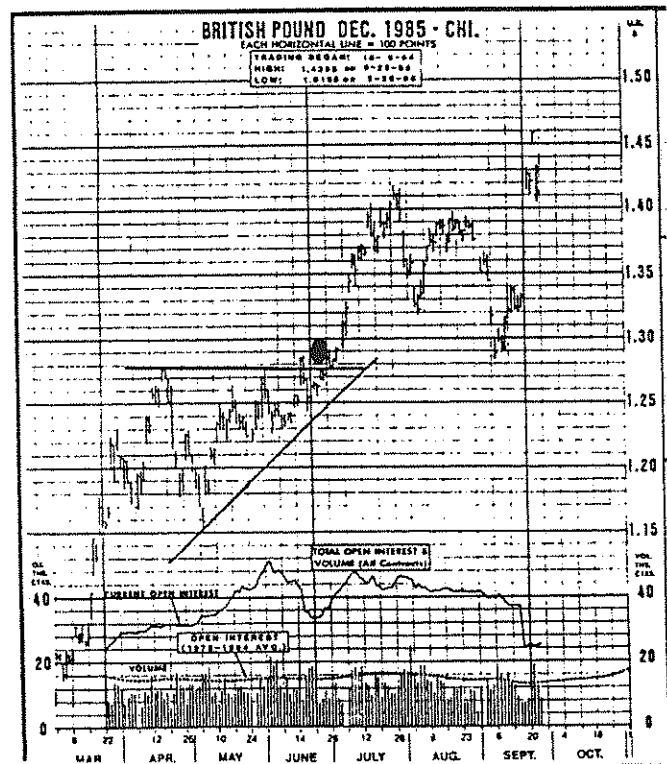
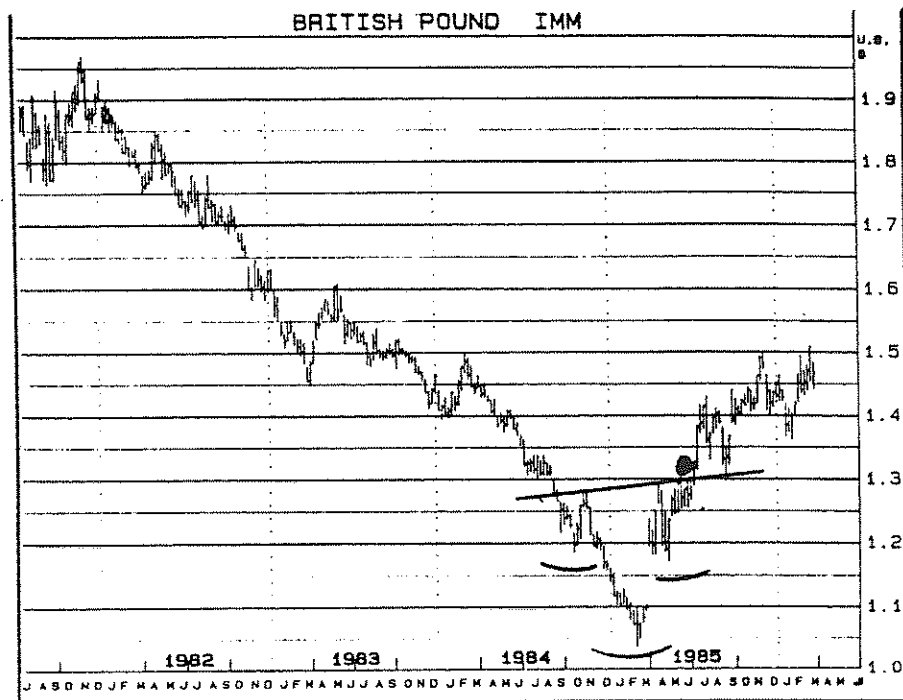
WEEKLY CHART: Symmetrical triangle

DAILY CHART: Rectangle



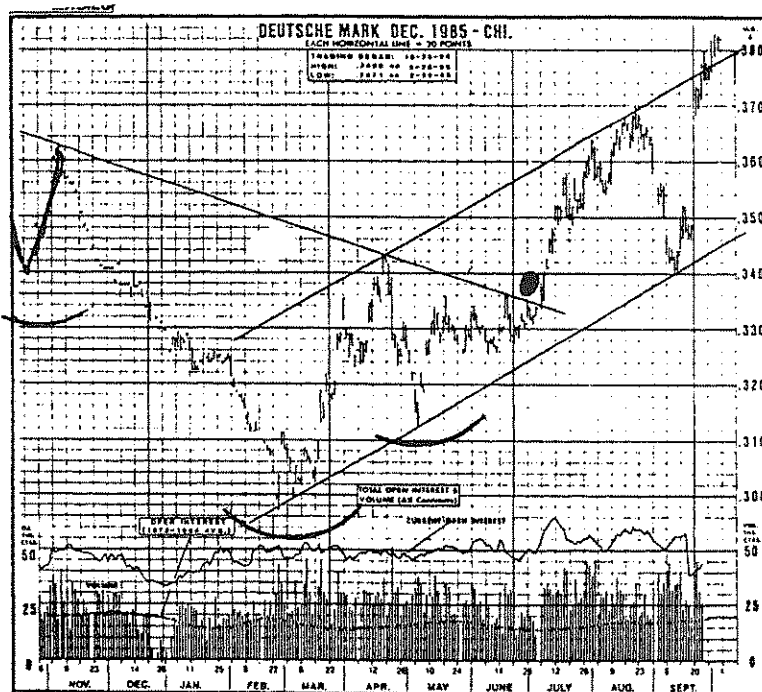
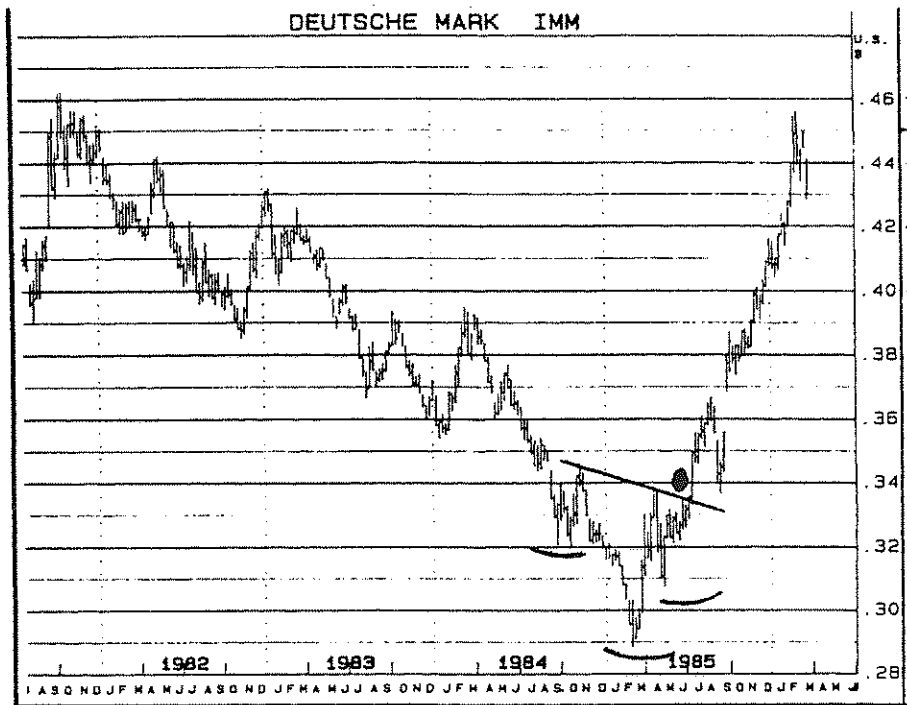
WEEKLY CHART: Continuation head and shoulders

DAILY CHART: Double top

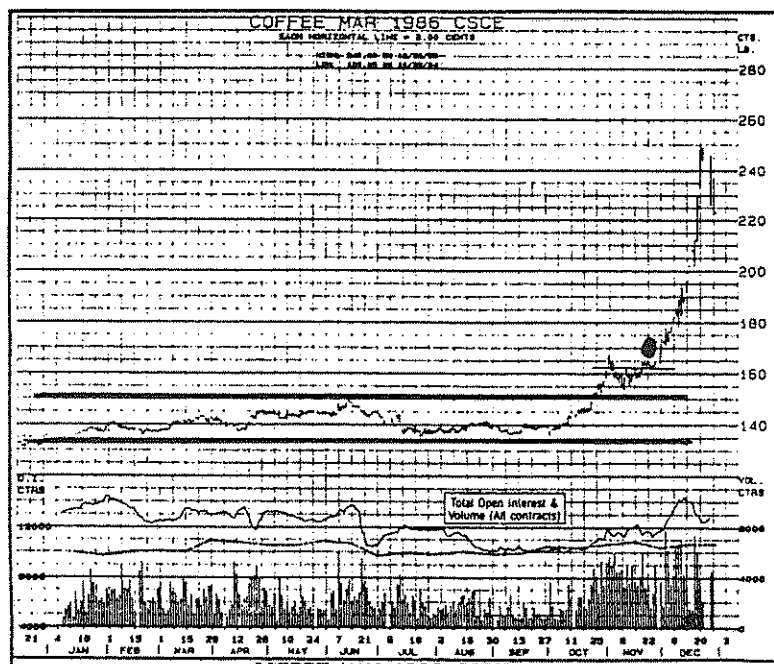


WEEKLY CHART: Head and shoulders bottom

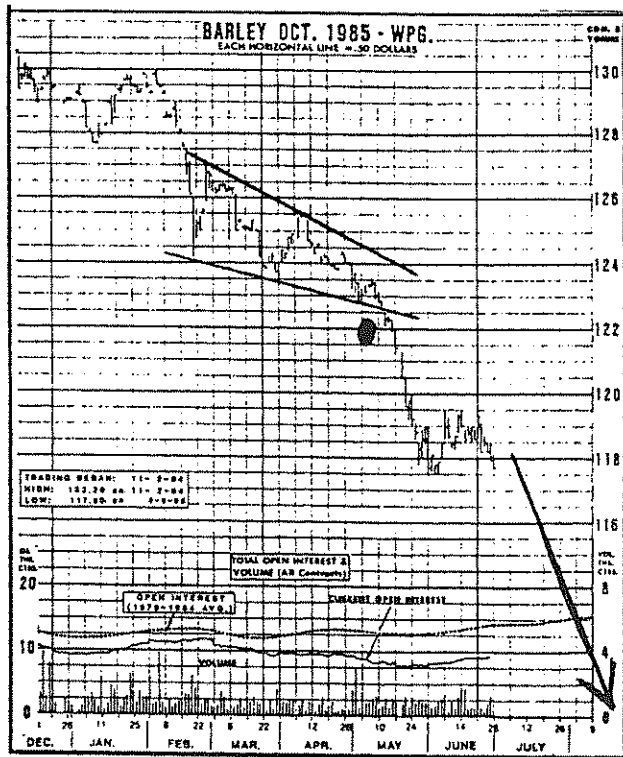
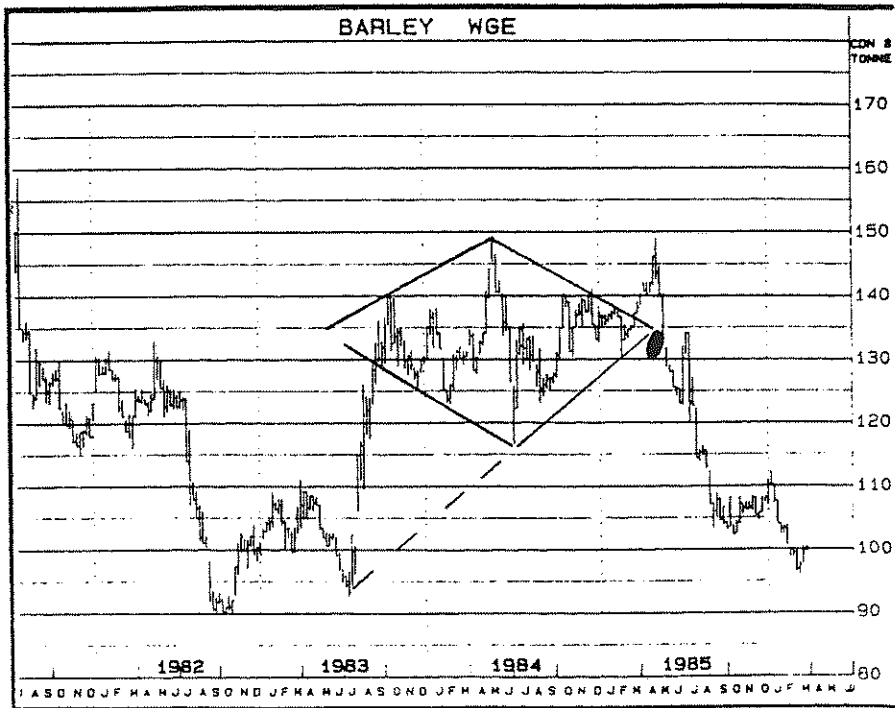
DAILY CHART: Ascending triangle with a one-day out of line movement.



WEEKLY AND DAILY CHARTS: Head and shoulders bottom

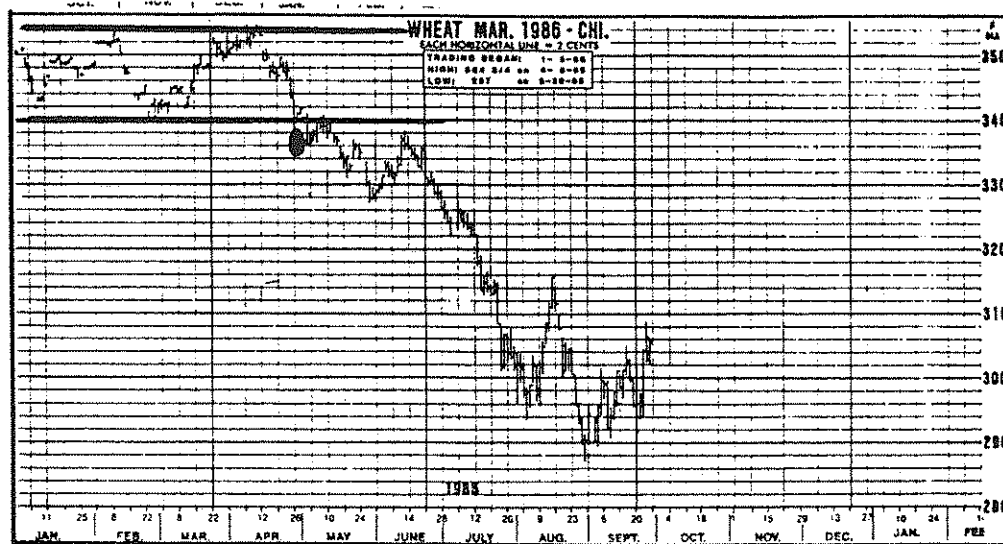
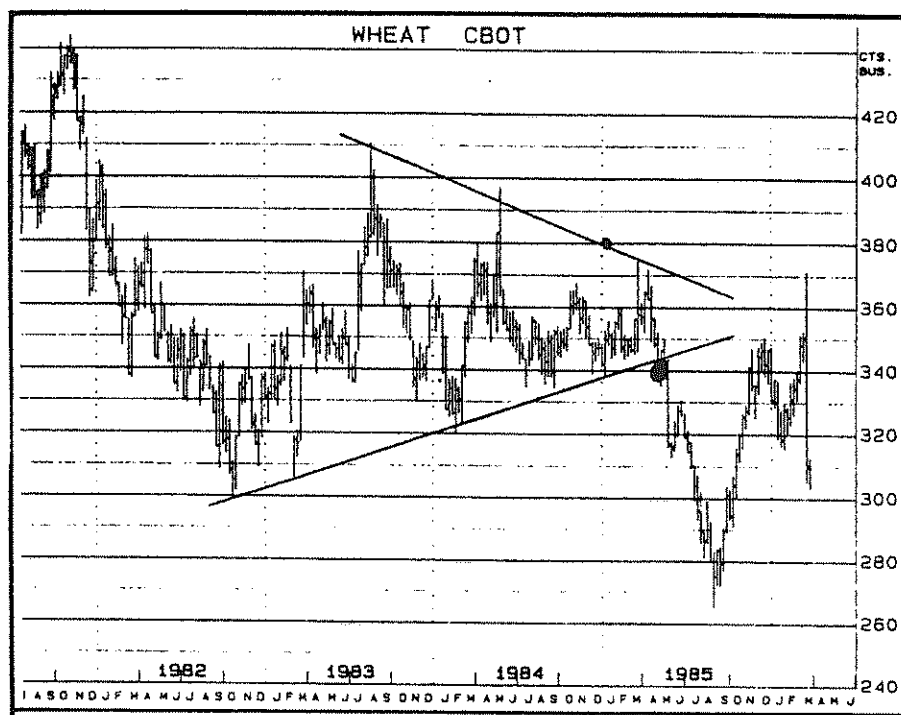


DAILY CHART: Rectangle and small "W" continuation pattern



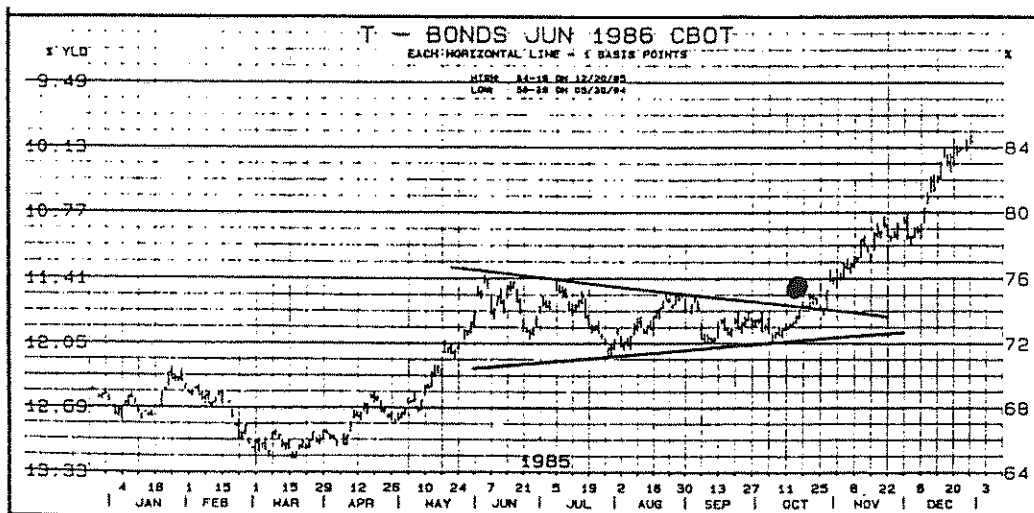
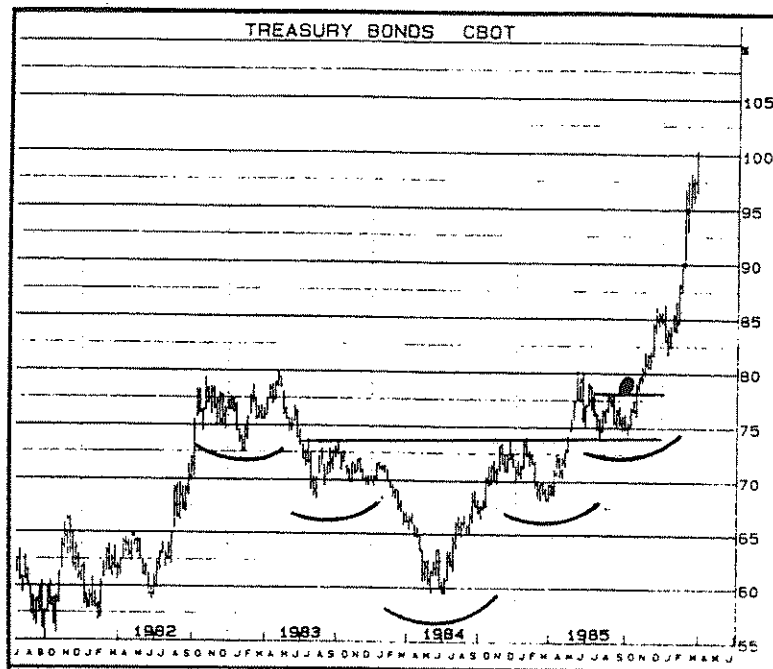
WEEKLY CHART: Diamond ton

DAILY CHART: Downside falling wedge



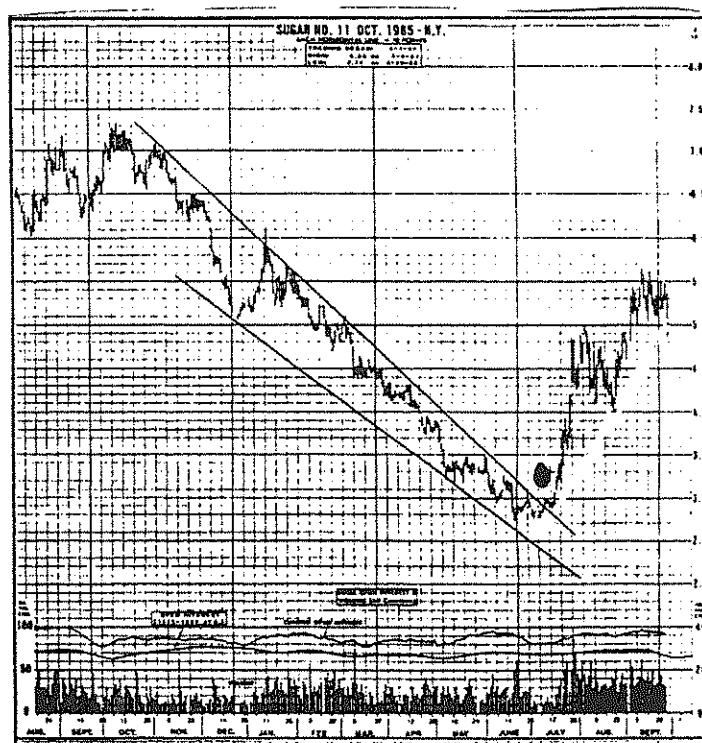
WEEKLY CHART: Symmetrical triangle

DAILY CHART: Rectangle

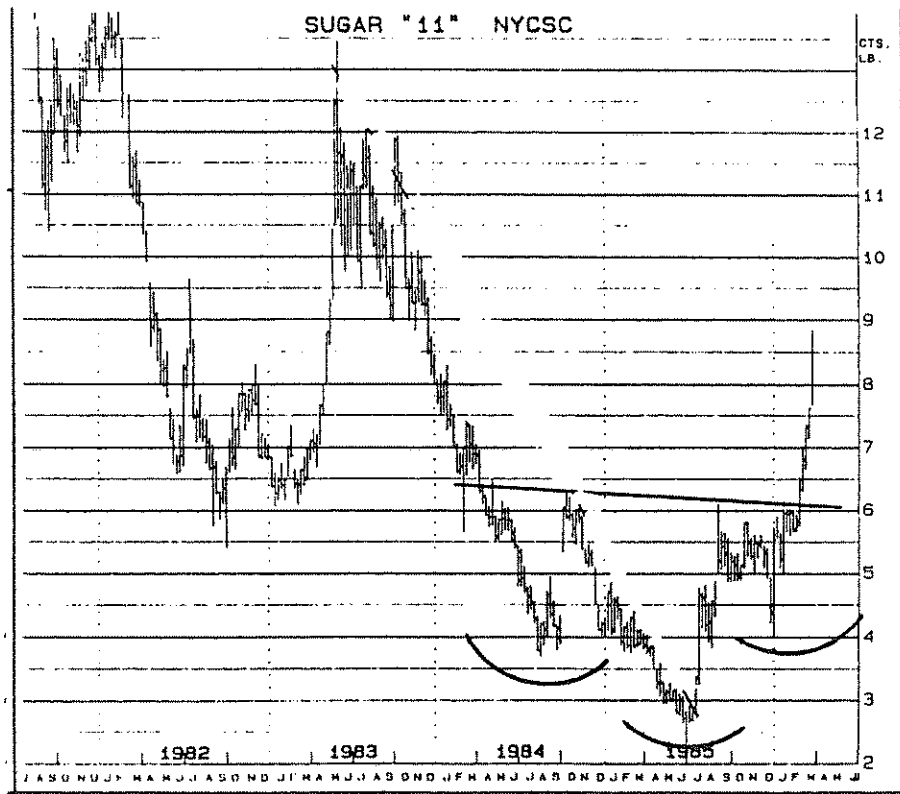
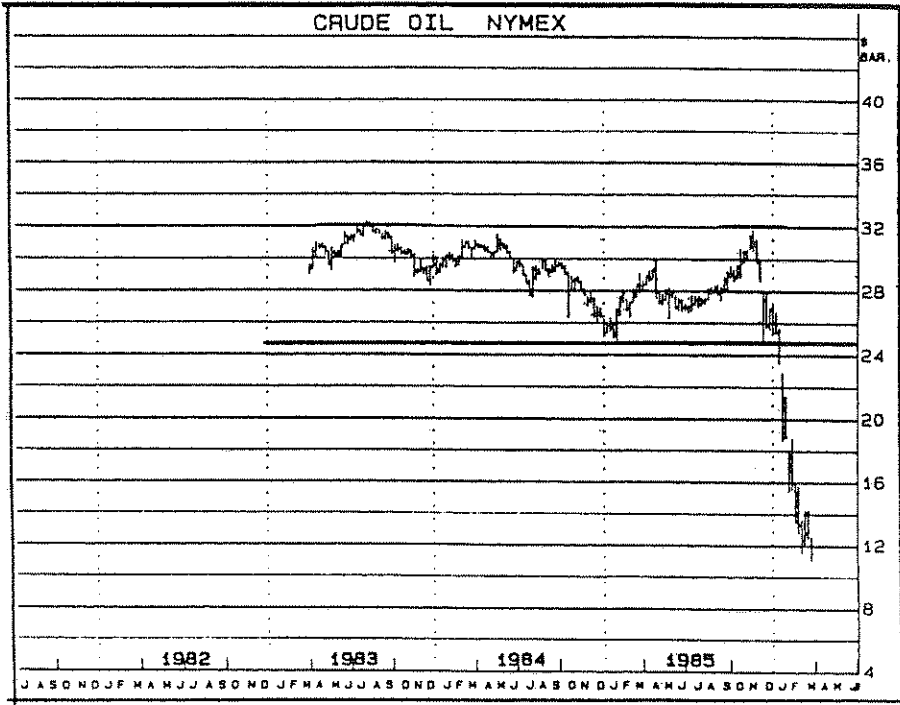


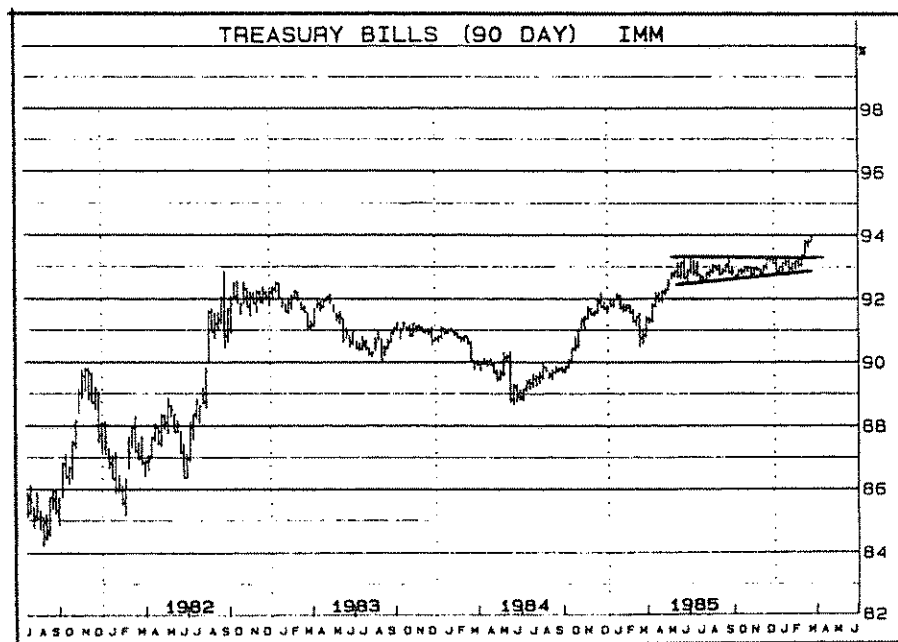
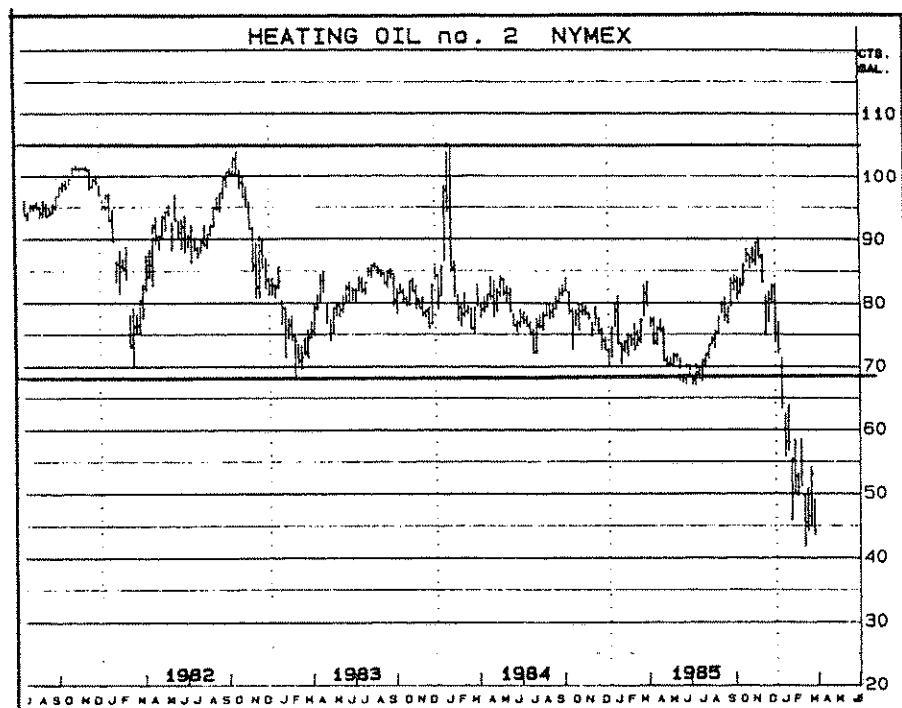
WEEKLY CHART: Multiple continuation head and shoulders

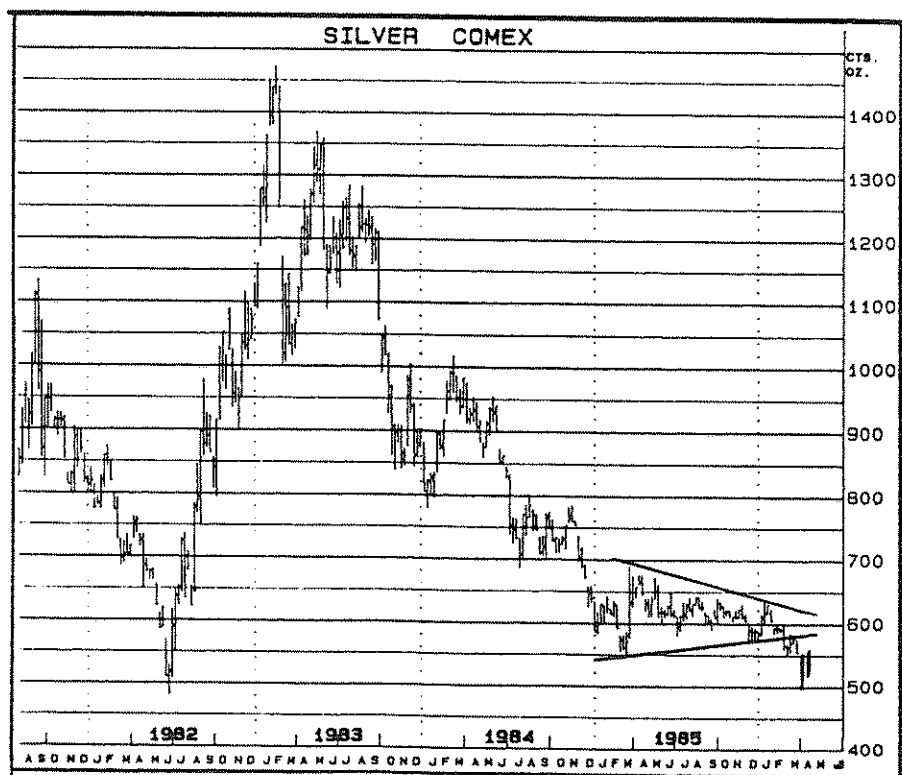
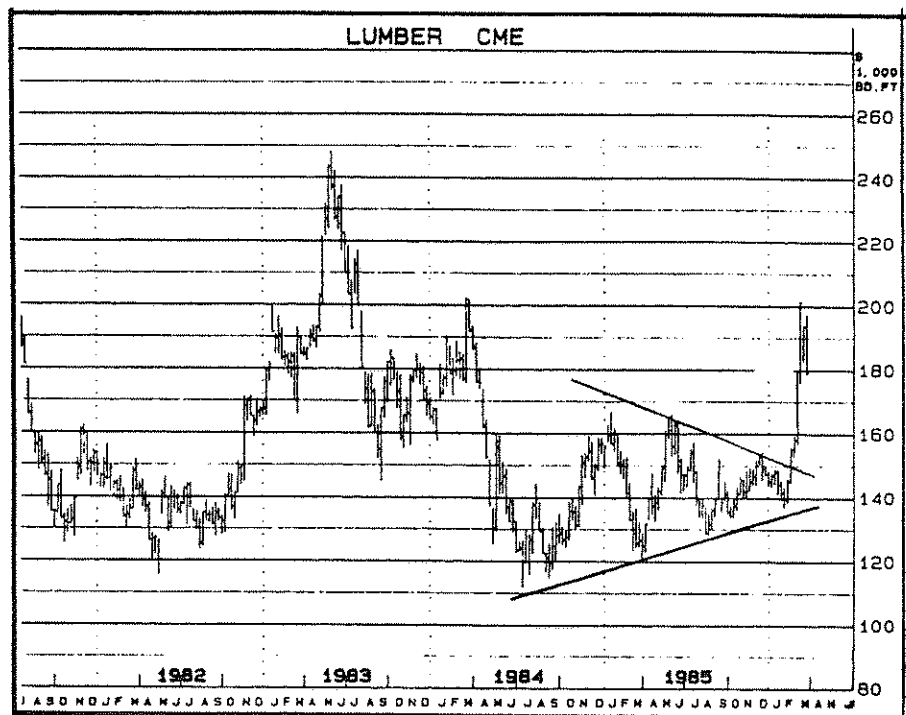
DAILY CHART: Symmetrical triangle



DAILY CHART: Falling wedge







1985

Market	+/-	Daily Pattern	Worst Intra Day Loss	Worst Closing Loss	# Days	Profit Potential
S&P 500	1.	Diamond	\$500	\$300	1	\$5,000
	2.	Head and shoulders	350	300	1	5,500
	3.	Head and shoulders	**	-	-	8,700
Soybean Oil	-	Ascending Triangle	**	-	-	3,000
Orange Juice	-	Double Top	300	300	3	4,800
Oats (2 units)	-	Rectangle	**	-	-	3,500
Canadian Dollar	-	Double top	**	-	-	2,200
British Pound	+	Ascending Triangle	**	175	1	2,750
D-Mark	+	Head and shoulders	**	-	-	3,750
Coffee	+	Rectangle/W	**	-	-	16,500
Barley	-	Wedge	**	-	-	N.A.
Wheat	-	Rectangle	**	200	2	2,200
T-Bonds	+	Symmetrical Triangle	312	-	-	8,000
Sugar	+	Wedge	**	220	3	3,300

**Less than \$300 per contract.

Note: Profit potential based on profit taking procedures as explained in
The Factor Trading Manual of trailing stops once objective is reached.

THE FACTOR

Ten Best Dressed List
1986

Written in January, 1987

Introduction

Every year at about this time (since 1982) I publish "The Factor's Ten Best Dressed List".

Enclosed is the 1986 edition.

The Best Dressed List displays what I consider (in retrospect) were the ten most outstanding examples of classical charting principles.

As in the past, the criteria for selection were as follows:

1. Well-developed and clearly defined,
"no question about it" pattern development.
2. A measured move objective of at least
\$2,000 per contract.
3. A decisive breakout with no pattern
reentry.

Also as in the past, whether or not The Factor was involved was not a consideration.

Discussion

These examples represent the type of market moves we should strive for and concentrate to capture (and limit ourselves to) in our trading ventures.

The ideal and perfect year - in my opinion - would be one whereby we only trade 10 to 15 times, but yet catch at least 80% of what proved to be the Best Ten.

That is a mighty tall order! But yet it must be our goal. And that is the goal I have set for The Factor in 1987.

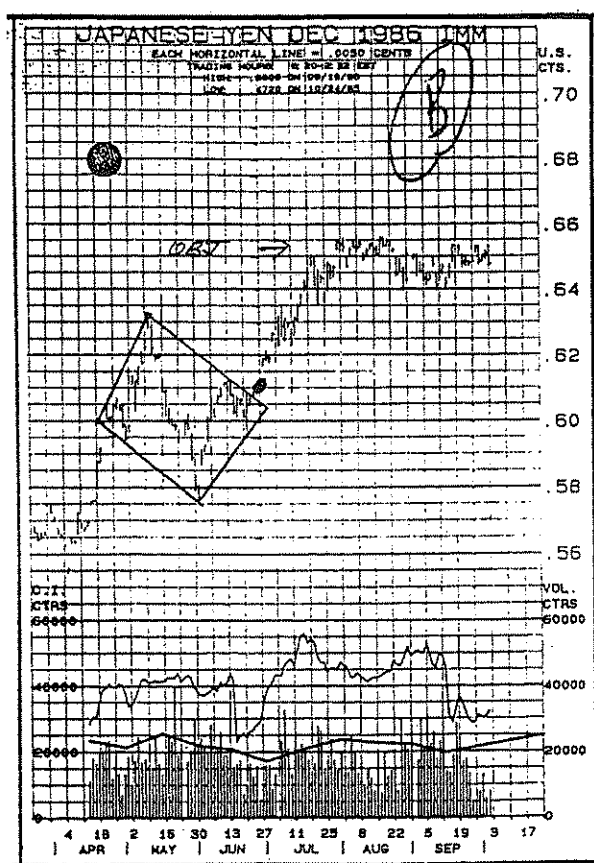
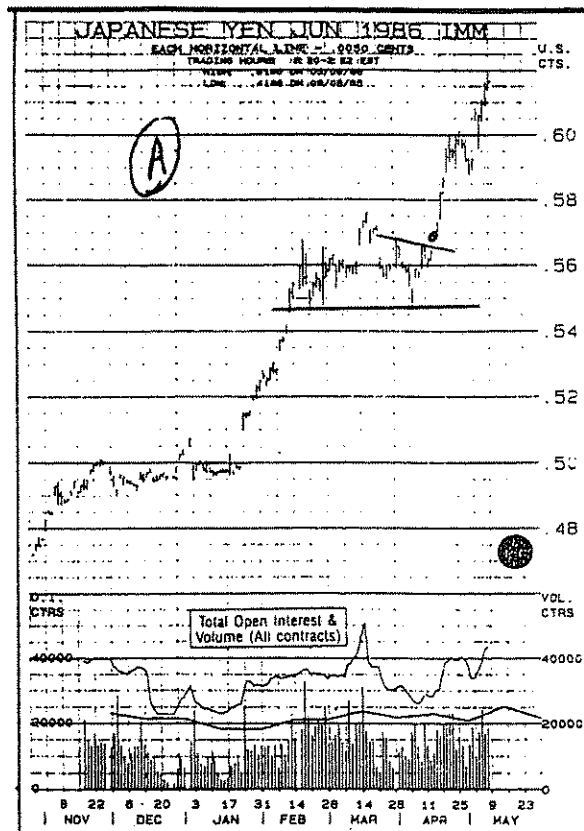
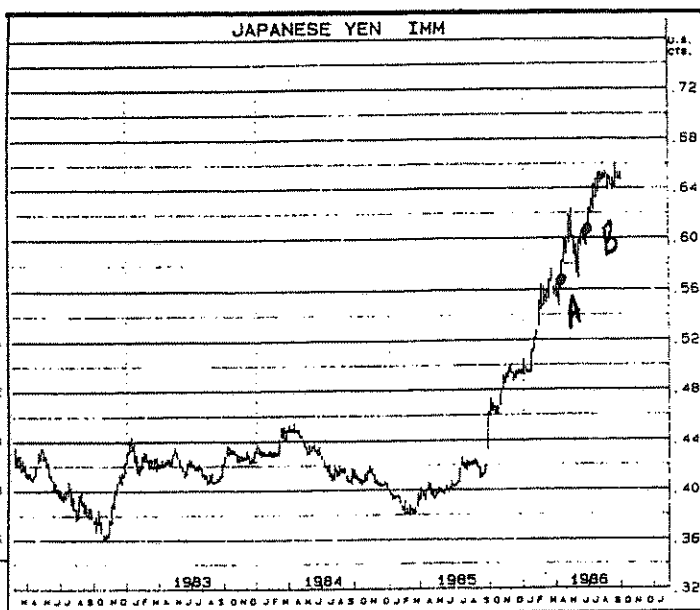
Perspective

A review of last year's charts will never directly place a dime in our pockets. One might say it is an exercise in futility. But I don't think so. A constant review of past market behavior allows us to refocus on the type of trades we want to be involved in (readjust our standards) and to reorient ourselves as to what our game plan should be.

Report Card

The year 1986 was not a great one for me personally or for The Factor Hotline. And the reason is simple --- I didn't score on the big trades.

In past years The Factor has participated on average, in 40-50% of The Best Ten. That wasn't the case this year. The Factor Hotline didn't lose any money this year because of an orientation for small losses. But small losses are only part of an overall game plan for success. A few large profits are also needed along the way.

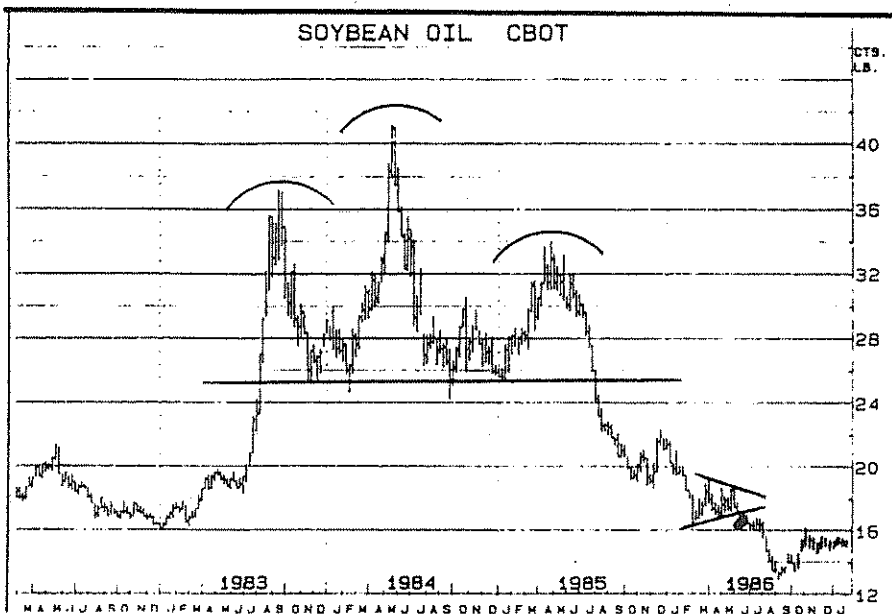


JAPANESE YEN

This selection into the Best Dressed List of 1986 is actually two back-to-back continuation patterns within the context of a run-away weekly chart up-trend. On April 16, the advance both negated a possible 9-week H&S top and completed a smaller 3-week H&S bottom formation. This was a rare, but bullish development. Then on June 27 the market completed a 10-week continuation diamond.

Lesson: In a strong up-trend, the human tendency is to focus on picking a reversal, as if to say "the market has gone too far too fast". Continuation patterns can be very fruitful.

SOYBEAN OIL CBOT



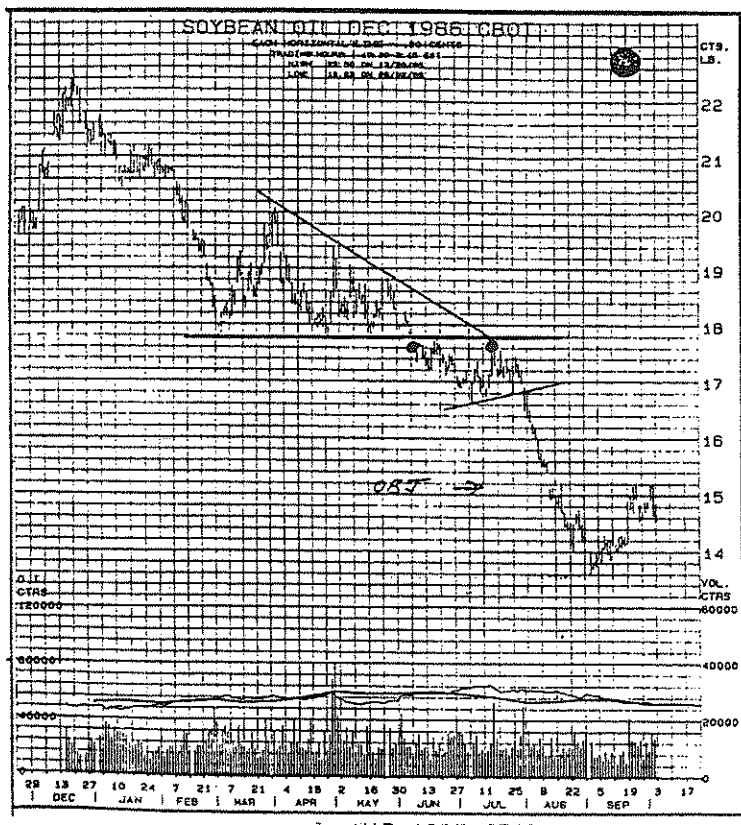
SOYBEAN OIL

In mid-1985, a massive H&S was completed on the weekly Bean Oil chart with an objective as low as 9.00.

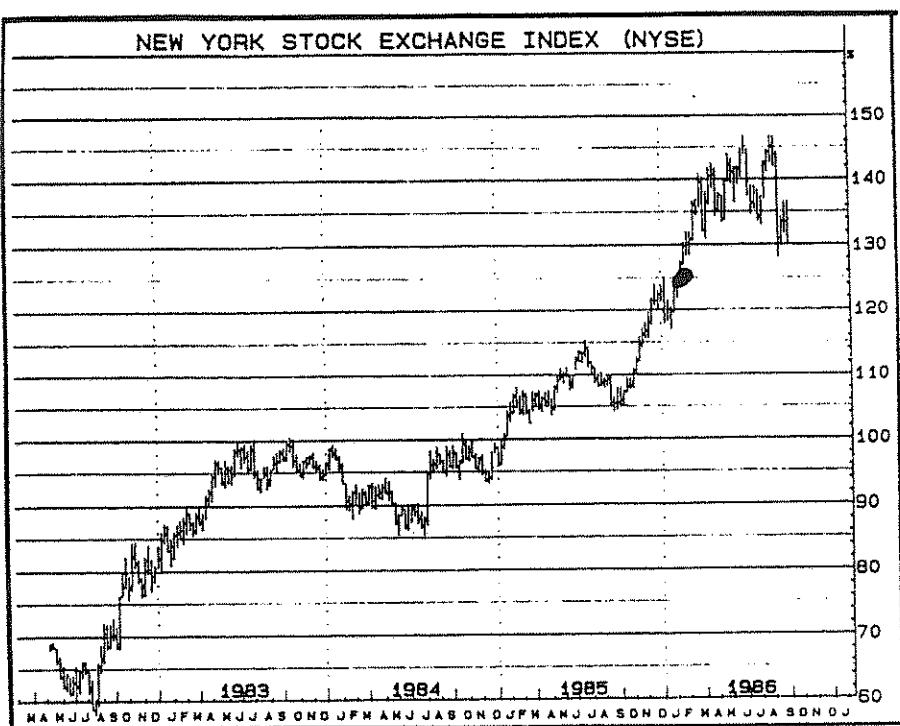
On June 9 the daily chart completed a descending triangle and launched the market out of a symmetrical triangle on the weekly chart.

Note the retest on June 19 and again on July 16.

The Factor had tried several short sales in the market during April and May. The error was not in taking small losses in those trades, but in not continuing to press the issue.

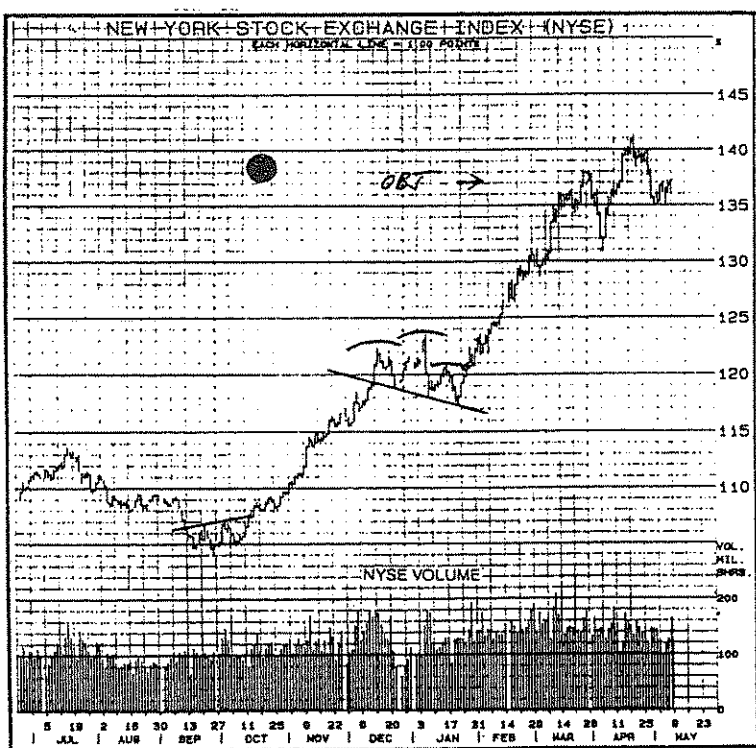


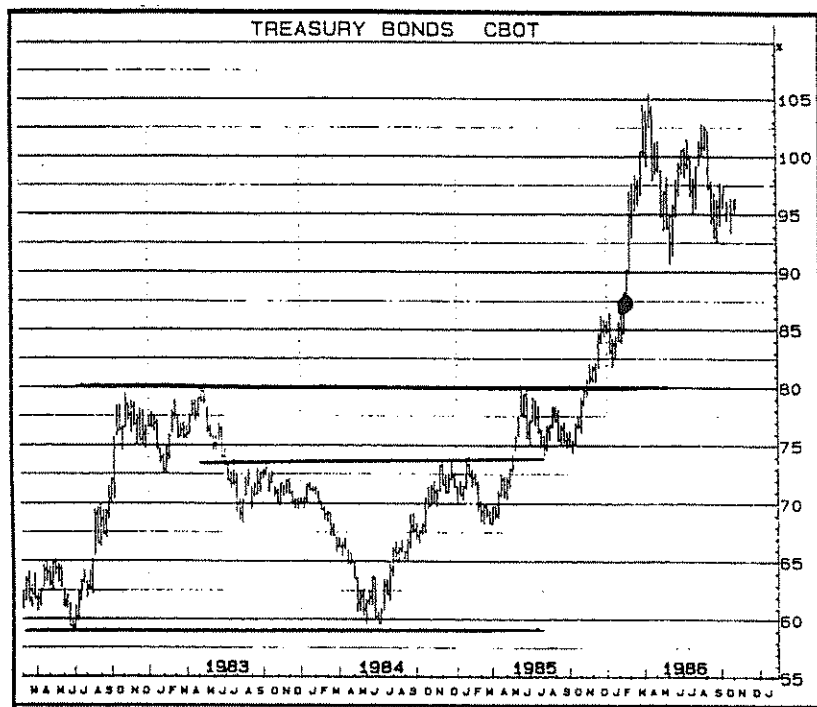
NEW YORK STOCK EXCHANGE INDEX (NYSE)

NYFE INDEX

The stock market was already in a strong bull trend in new all-time highs when the signal was given.

On January 28 the advance completed a classic failure of what appeared to be a head and shoulders top- thereby providing a buy signal.





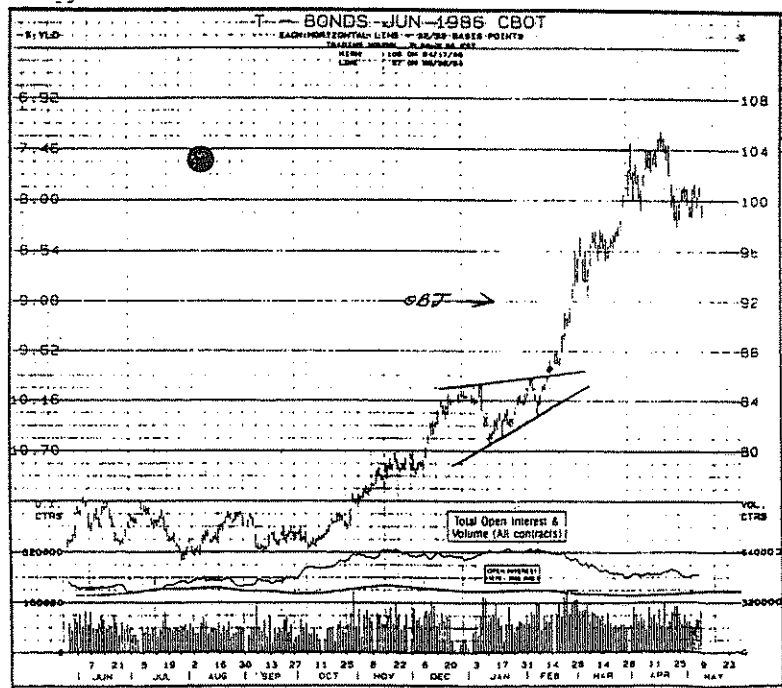
T-BONDS

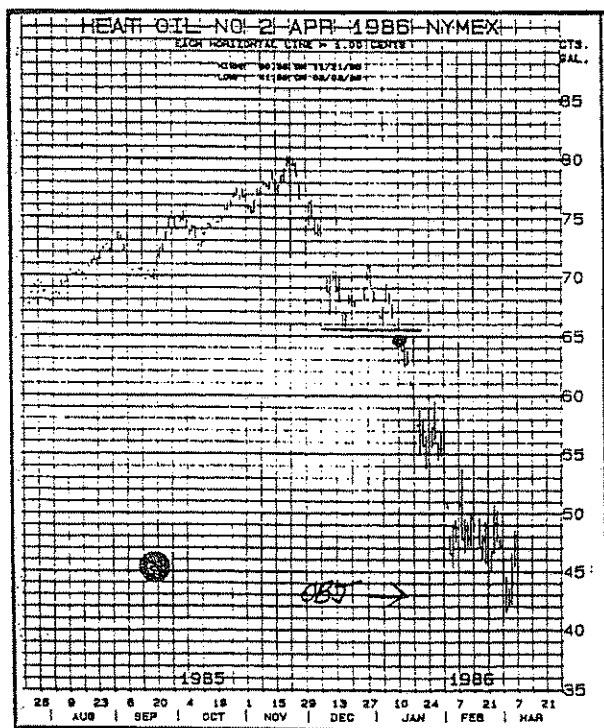
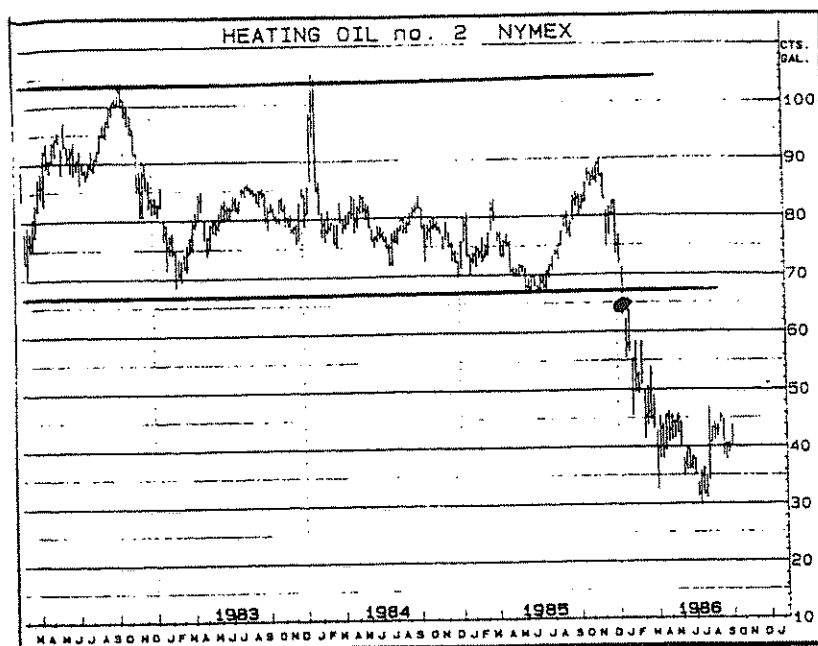
In December the market cleared important resistance at 80. This established an "unbelievable" objective of 100.

In January and February the market formed a rising wedge pattern as a retest of support. The up-gap on February 14 has a buy signal. My bias was bearish and I missed the signal.

Lessons:

1. Biases are dangerous. They are worthless.
2. No matter how outrageous a weekly chart objective may seem, it should not be totally discounted.



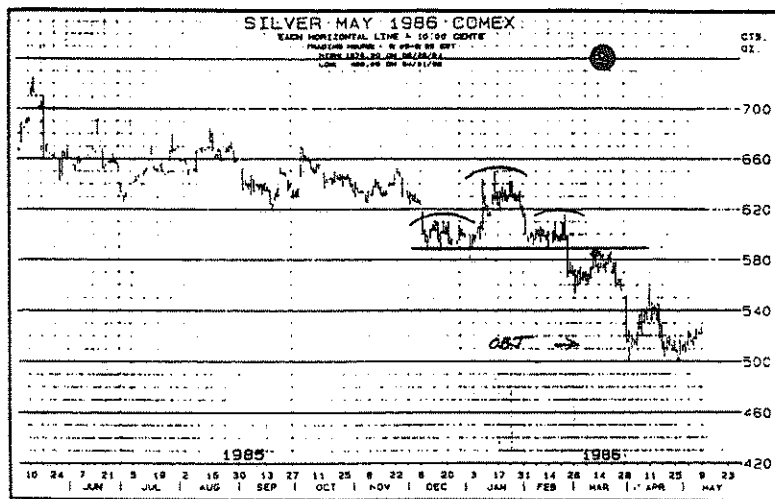
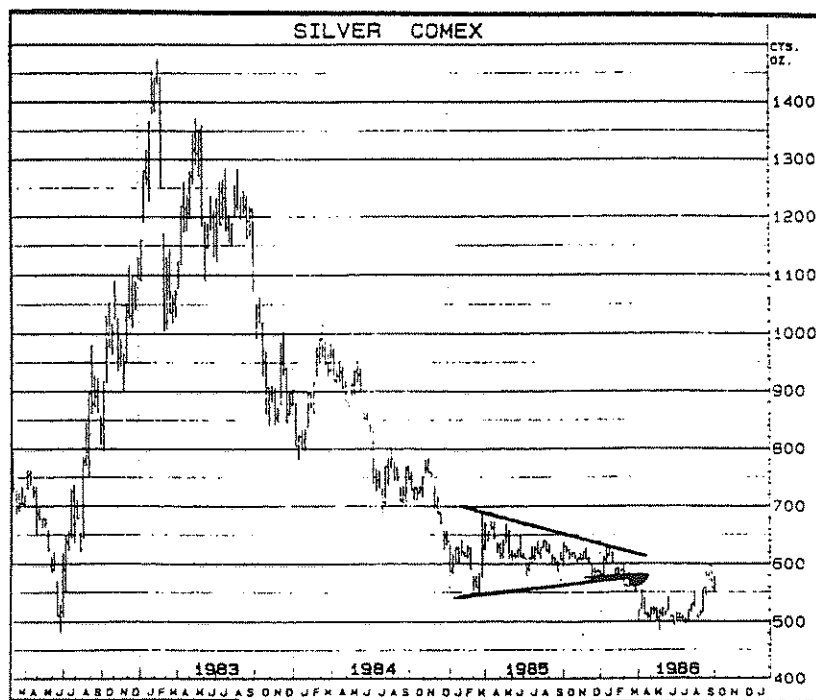


HEATING OIL

For a couple of years The Factor had commented on the rectangle in Heating Oil that extended back to 1979. This was a "grand-daddy" pattern if there ever was one in commodities. Following a sharp drop in November, the completion of a small descending triangle on January 13 launched the breakout of the weekly chart rectangle.

Lesson:

I had this market figured out absolutely perfectly. I was talking about \$35 when the market was at \$80. Analysis and forecasting are worthless when not combined with pulling the trigger. This trade would have made my year, but I wasn't in it. There is no excuse.



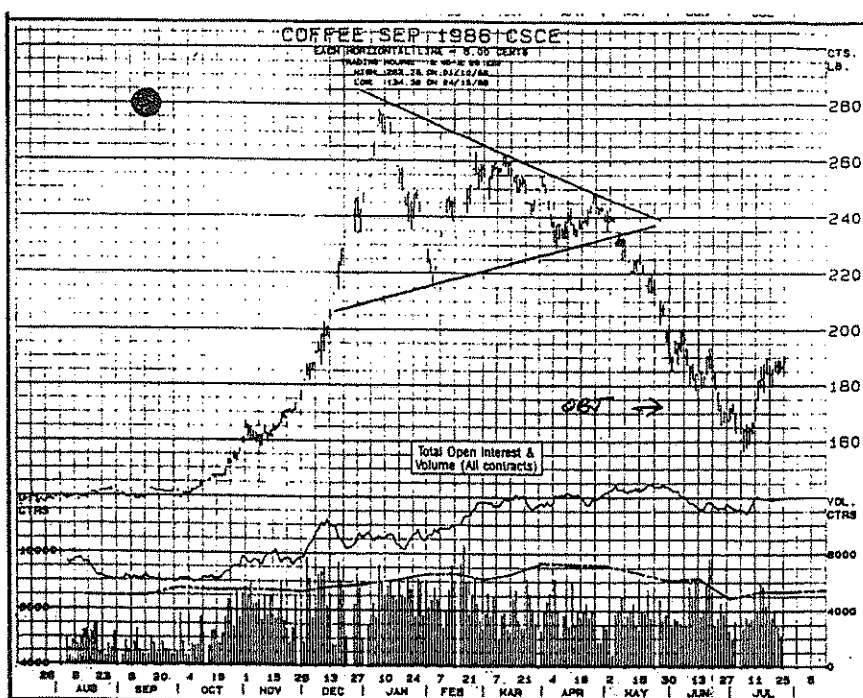
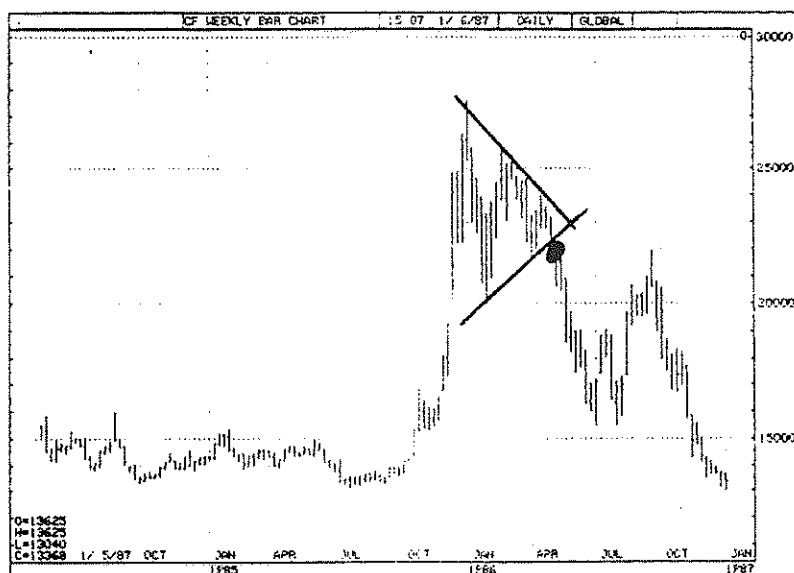
SILVER

These charts display the most profitable trade The Factor was involved in all year.

In late February Silver (daily chart) completed a 12-week continuation H&S. This action simultaneously completed a symmetrical triangle on the weekly graph. The Factor Hotline established a short in mid-March at the retest point. The market hung at the retest level for 2 weeks before finally moving down to the objective.

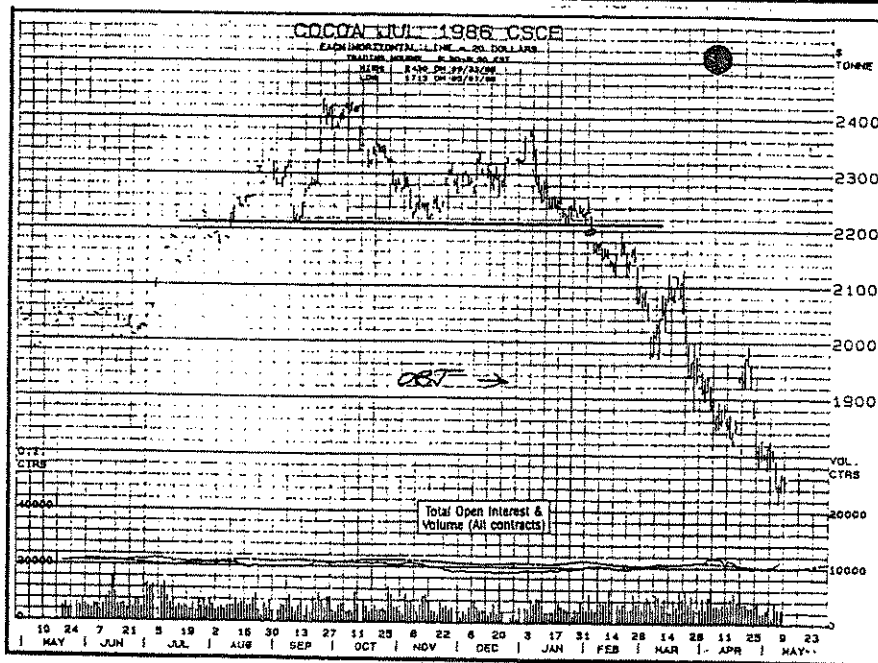
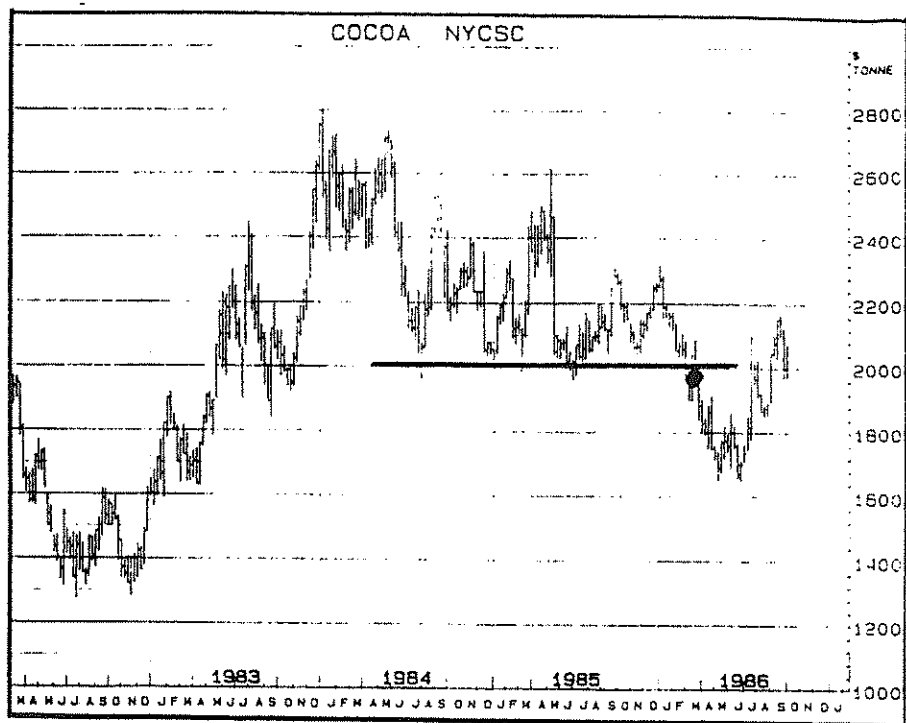
Lesson:

Despite the trying retest, the market never reentered the completed pattern.



COFFEE

I think this was one of the two most classical charting events of 1986, with Heating Oil being the other. Both the daily and weekly charts completed carbon copy 5-contact point symmetrical triangle tops with the gap down day on May 7.



COCOA

On February 3 the daily chart completed an "M" top of major magnitude. Note the unsuccessful retest on February 18.

Note that this daily chart breakdown launched the completion of a 2-year descending triangle on the weekly chart.

D-MARK

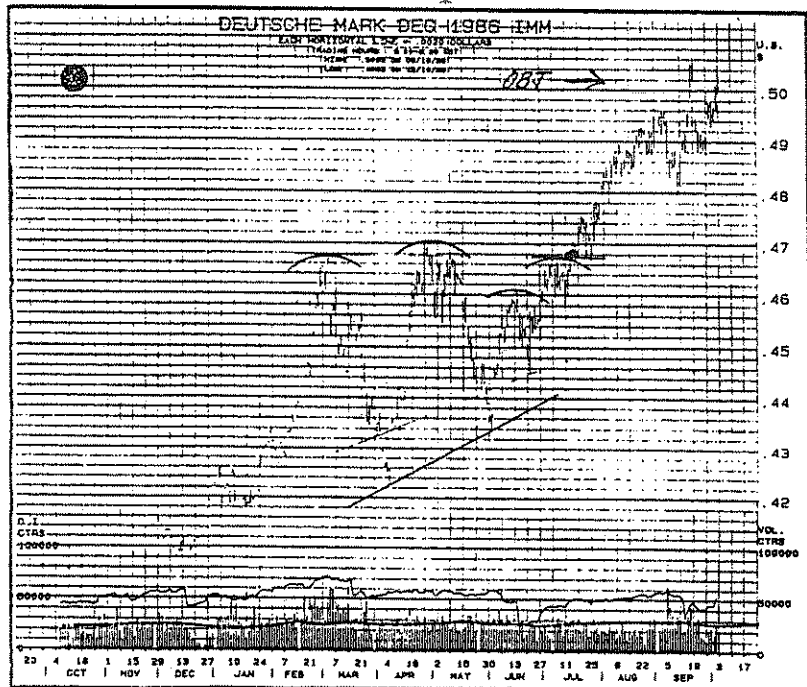
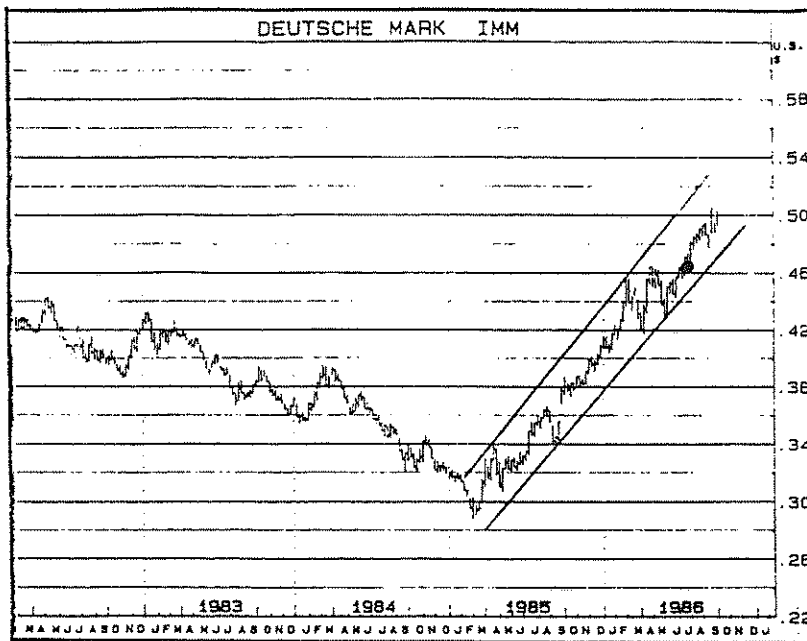
Head and Shoulders failures, as a tradeable classical chart pattern, are more common in commodities than stocks.

This market gave a buy signal on July 16.

Note that the market had been trending on the weekly chart within an up-channel.

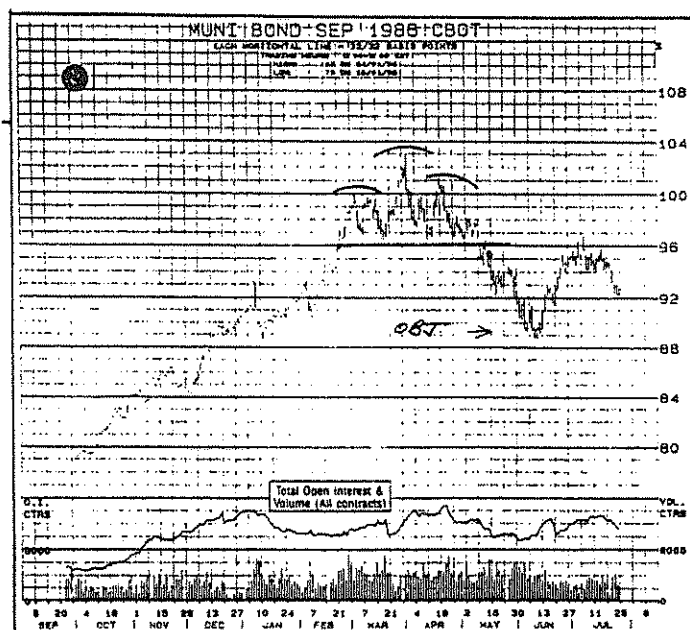
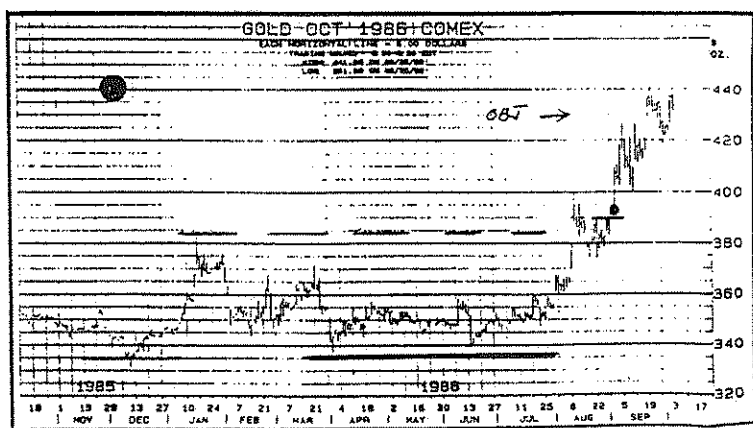
Lesson:

The completion of a continuation pattern following the successful test of a major trendline is usually an important and reliable trading signal.

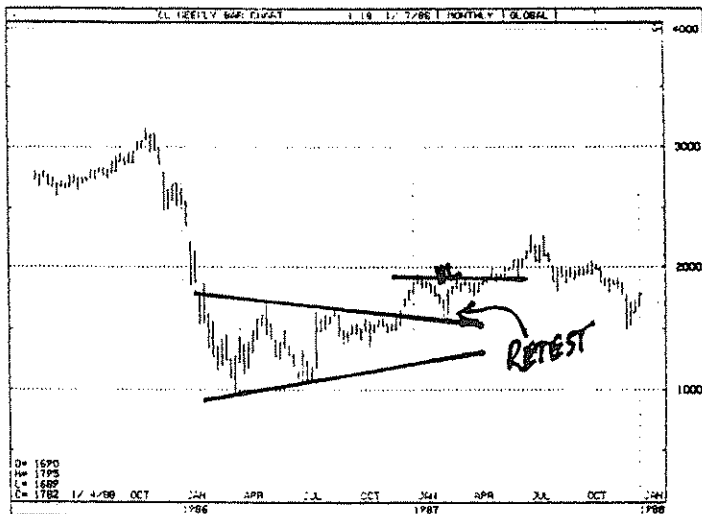


HONORABLE MENTIONGOLD

On August 2 Gold confirmed the completion of a "W" bottom.

MUNI BONDS

On May 12 and then again on May 15, the market complete a complex H&S top.

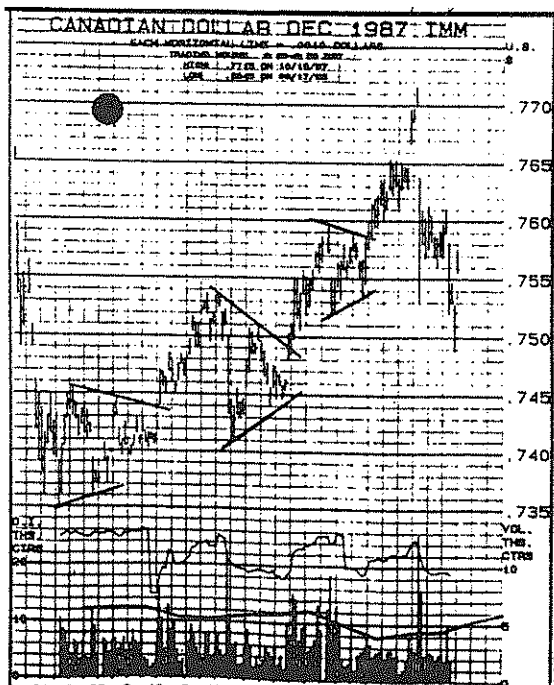
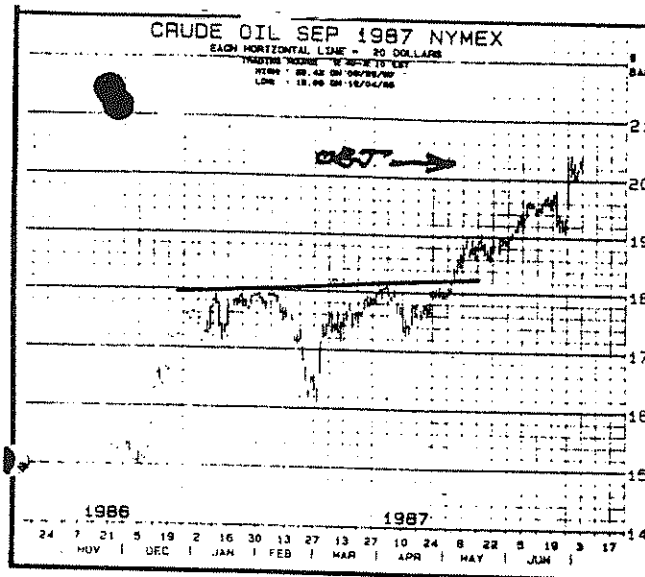


CRUDE OIL

In December, 1986 Crude Oil completed a 10-month symmetrical triangle bottom on the weekly chart. The retest of this triangle took the form of a continuation H&S on the daily chart.

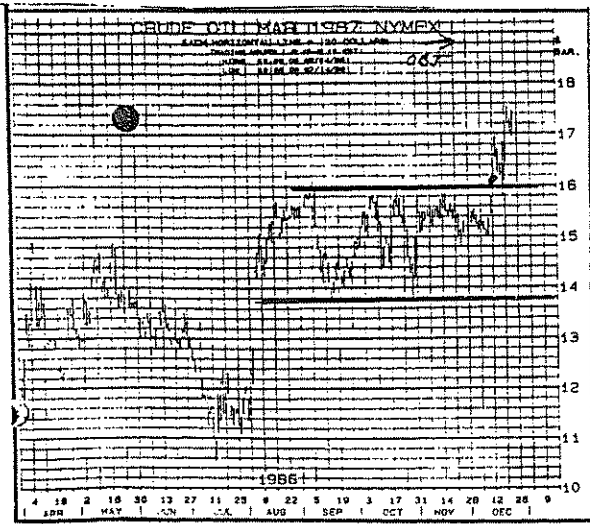
HONORABLE MENTION

14



CANADIAN DOLLAR

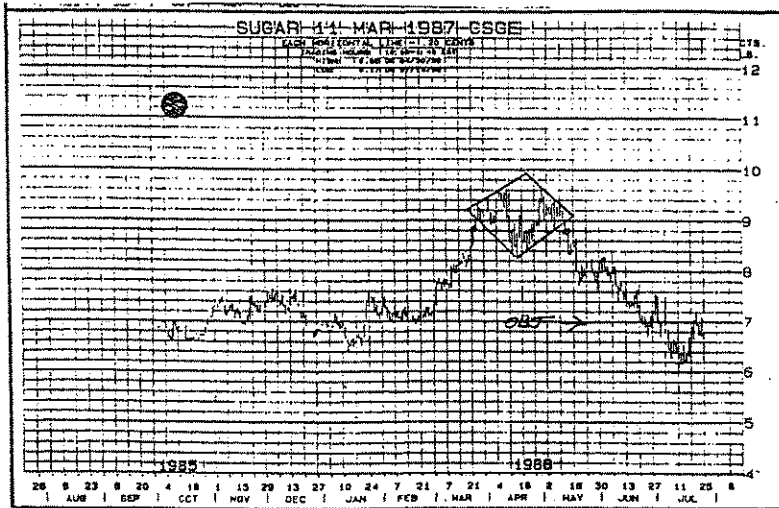
The May through October rally took the form of three symmetrical triangles on the daily chart. Each triangle just met its objective before a turndown of prices.



HONORABLE MENTION

CRUDE OIL

The advance on December 12 completed a rectangle. The swing objective of this pattern remains unmet at 19.30.

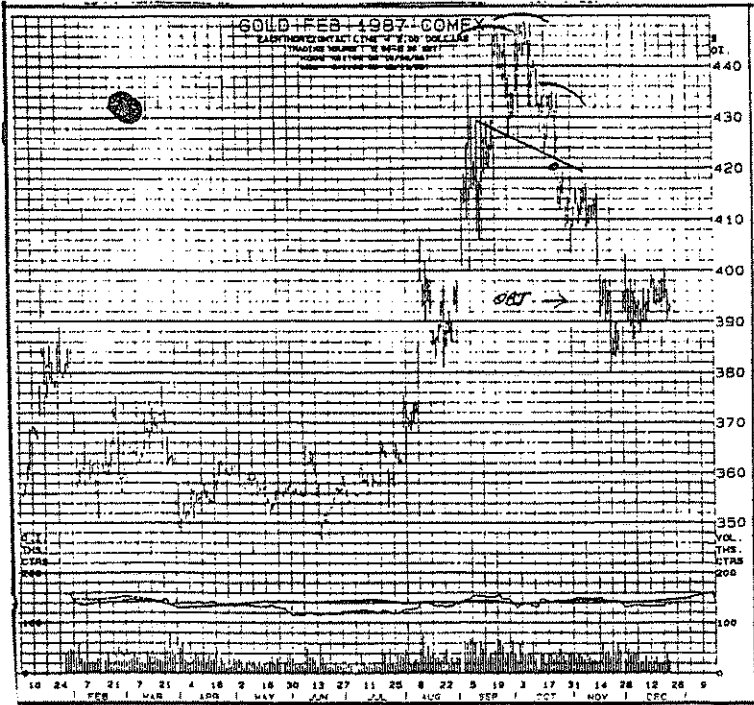


SUGAR

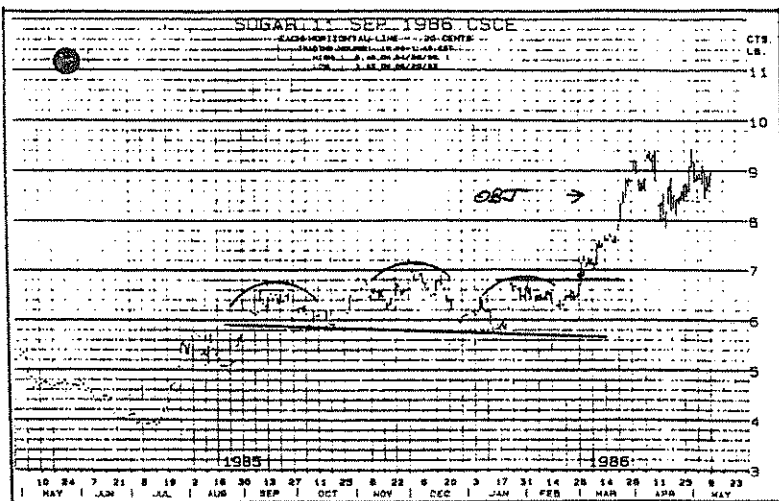
A Classic "M" type ton was completed on May 13.

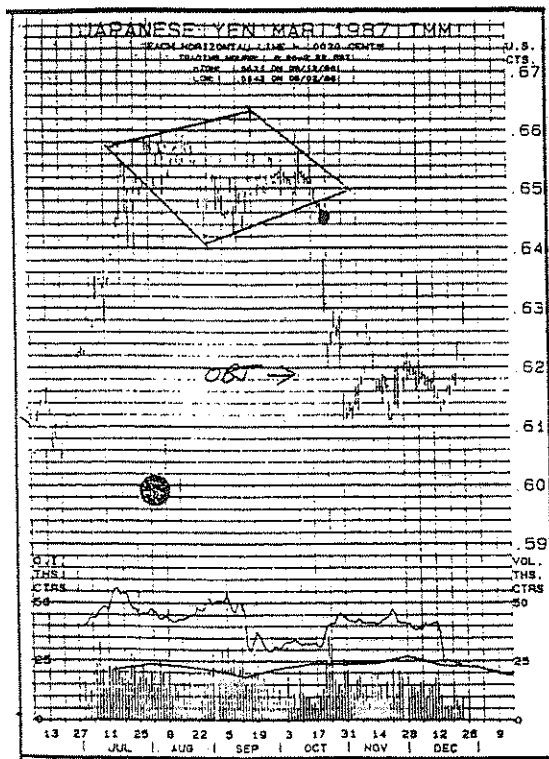
HONORABLE MENTIONGOLD

After the bull advance in July through September, on October 23 a H&S ton was completed.

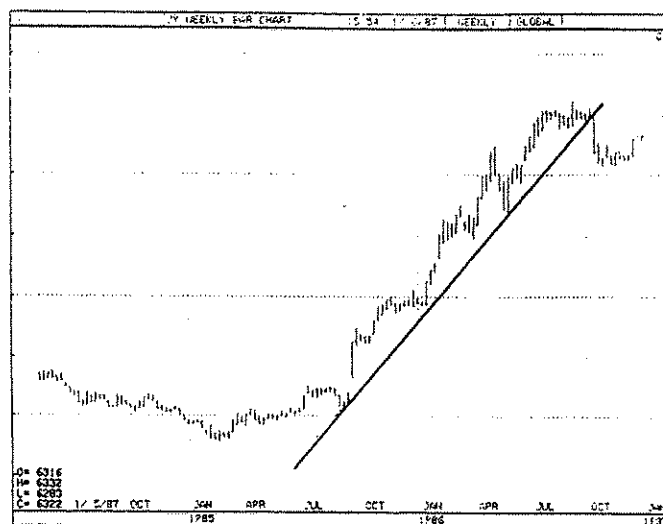
SUGAR

On March 1 the market climbed out of a possible H&S ton.



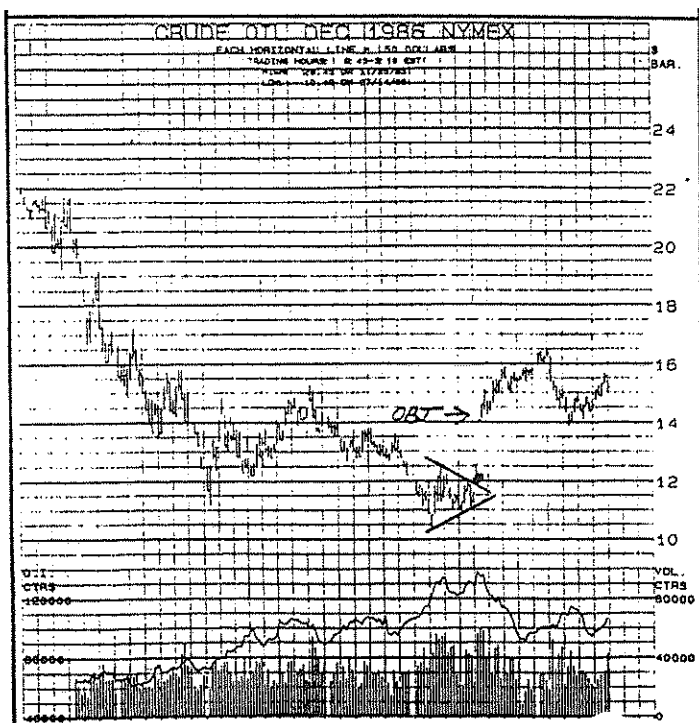


HONORABLE MENTION



JAPANESE YEN

On October 22 the market completed a diamond top, and in the process, penetrated the major uptrend line.



CRUDE OIL

On the weekly chart (not shown), the decline into July retested the March low, setting up a possible double bottom. A small symmetrical triangle was completed on August 4.

BEST DRESSED - 1986SUMMARY

MARKET	PATTERN	WEEKLY PATTERN	LARGEST INTRA DAY LOSS	LARGEST CLOSING LOSS	RESULT *
J-Yen	H&S Fail.	Trending	**	**	\$3,000
J-Yen	Diamond	Trending	**	**	4,250
Soybean Oil	Desc. TRI.	SYMTRI	**	**	1,800
NYFE	H&S Fail.	Trending	\$350	**	8,000
T-Bonds	Wedge	Trending	\$350	\$300	7,000
Heating Oil	Rectangle	Rectangle	\$400	\$300	8,400
Silver	H&S	SYMTRI	**	**	3,500
Coffee	SYMTRI	SYMTRI	\$300	**	21,000
Cocoa	Fail. Top	Desc. TRI	**	**	3,100
Crude Oil	Rectangle	Double Ton	\$350	**	7,000
D-Mark	H&S Fail.	Channel	**	**	2,750

* Using profit taking procedures recommended by The Factor Trading Manual.

** Less than \$250.

THE FACTOR

Ten Best Dressed List
1987

Written in January, 1988

Introduction

Each year at about this time, I publish "The Factor Ten Best Dressed List".

Enclosed is the 1987 edition.

The Best Dressed List displays what I consider (in retrospect) were the ten most outstanding examples of classical charting principles for the past year.

As in the past, the criteria for selection were as follows:

1. A well-developed and clearly defined "no question about it" pattern development on the daily chart, preferably with important weekly chart significance.
2. A measured move objective of at least \$2,000 per contract.
3. A decisive breakout with no pattern reentry.

Whether or not The Factor was involved in these market situations was not a consideration in selection.

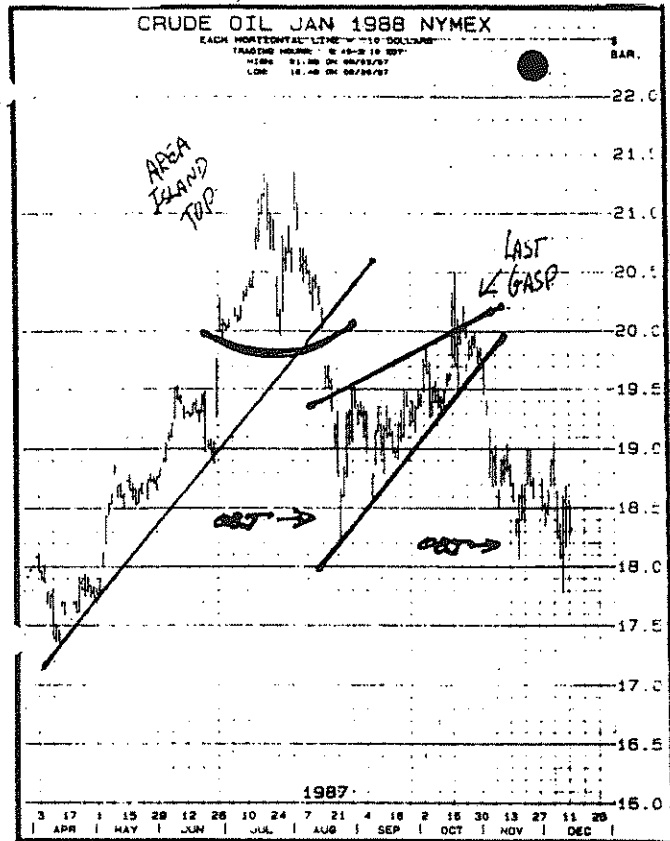
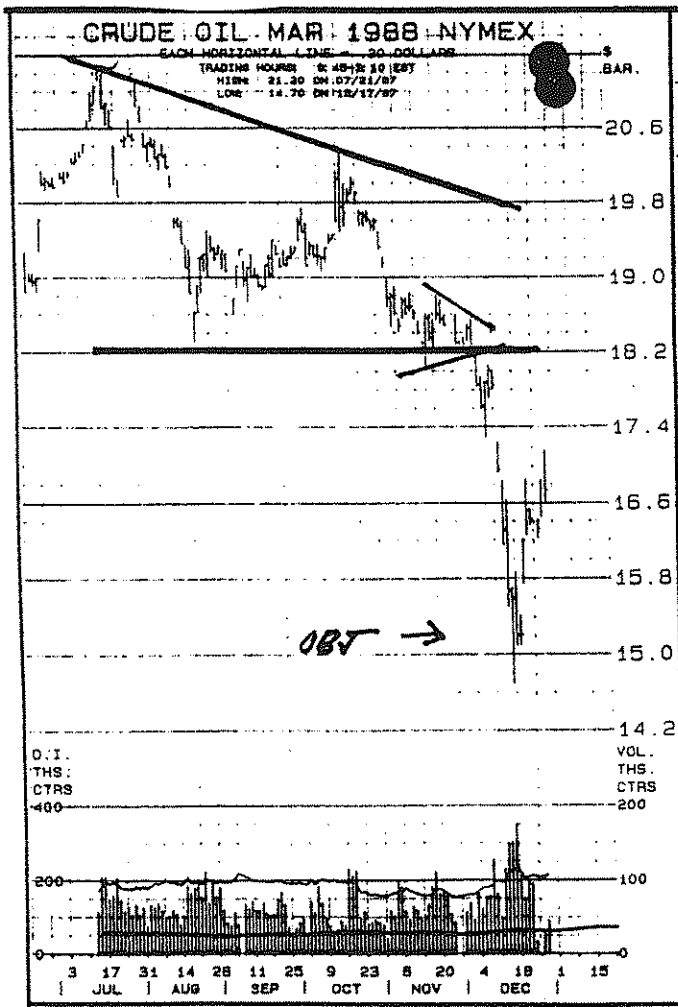
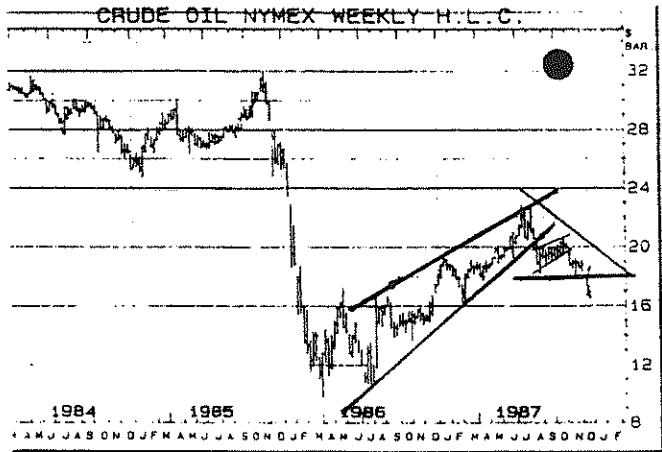
Perspective

A review of past charts will never directly make us money. But, a constant review of past market behavior can allow us to refocus our thinking on the type of trades we want to be involved in.

The examples in this document represent the type of market moves we should strive for and concentrate to capture in our trading ventures.

As I have said in the past "Best Dressed" reviews, the ideal year would be one whereby we only trade 10 to 15 times, but yet catch 80% of what proved to be the Best Ten.

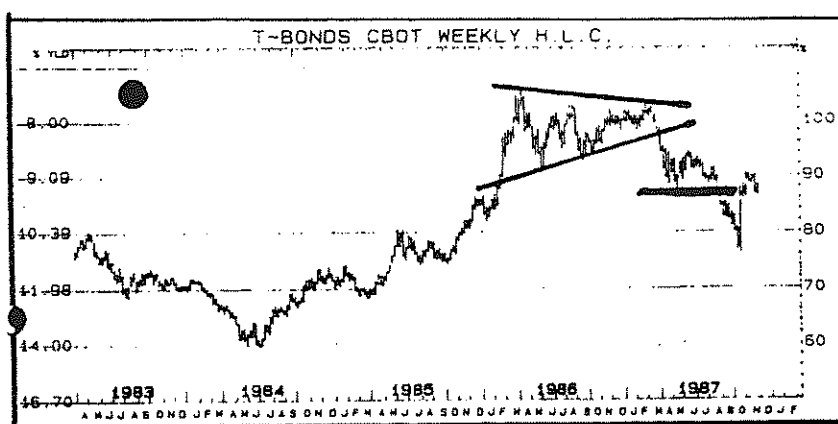
We may never achieve this goal -- but yet it must remain our aim.

BEST TENCRUDE OIL

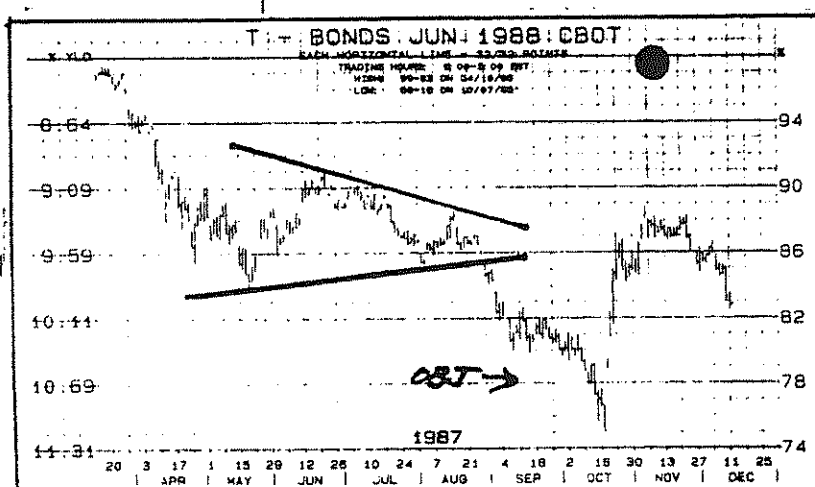
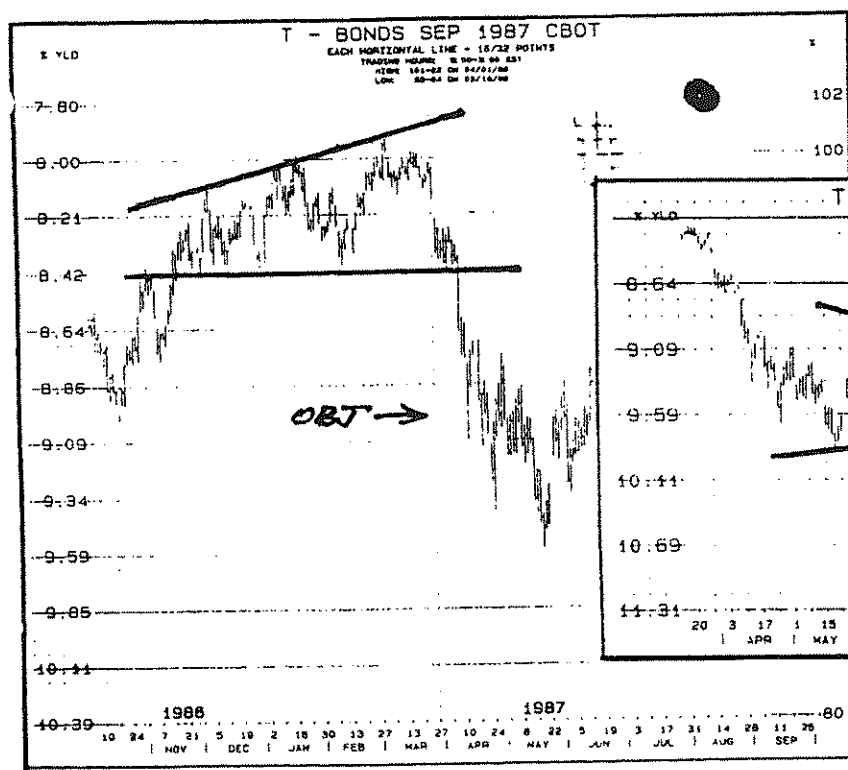
This Best Ten is actually a series of three events. The weekly chart from the 1986 low took the form of a bear wedge.

The decline on August 17 penetrated the wedge and completed an "island double top" on the daily chart. A rising wedge retest of the island was completed on November 2.

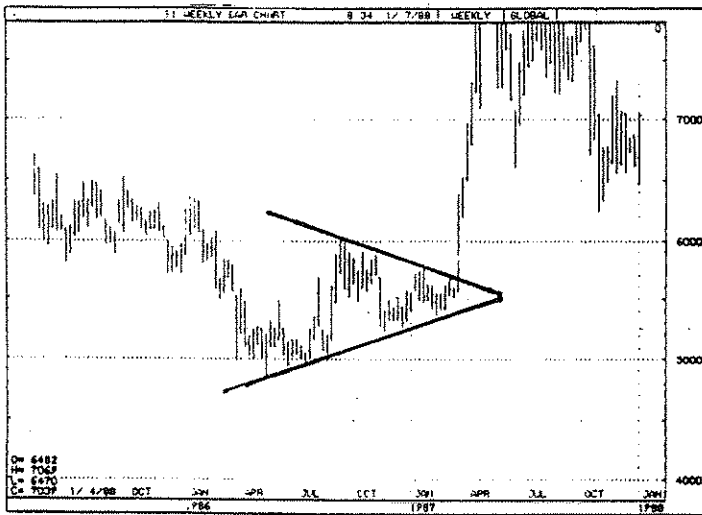
Finally, on December 7, Crude Oil completed a descending triangle on the weekly and daily charts.



BEST TEN



Two Best Ten are found in T-Bonds. First, the decline on April 9 completed a one-year symmetrical triangle on the weekly chart and a 5-month broadening right angle triangle on the daily chart. Following the March - May decline, the market formed a continuation H&S on the weekly and a symmetrical triangle on the daily chart. The decline on August 28 led to the final down-thrust.

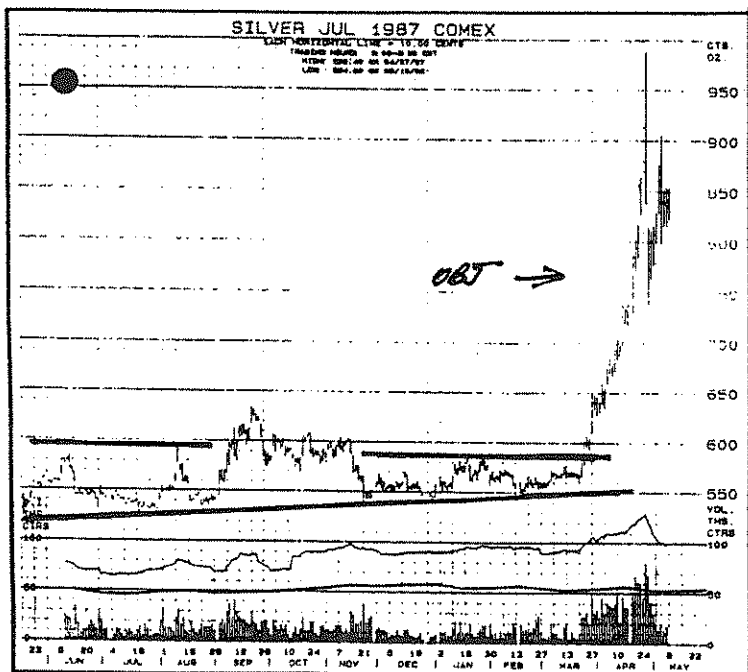
BEST TENSILVER

I missed this move completely because my bias at the time was bearish. I was expecting the weekly chart triangle to break out down and viewed the daily chart as a continuation H&S.

Instead, on March 24 the daily chart completed a compound fulcrum bottom.

The triangle on the weekly chart had the necessary 5 contract points to allow a "reversal" interpretation.

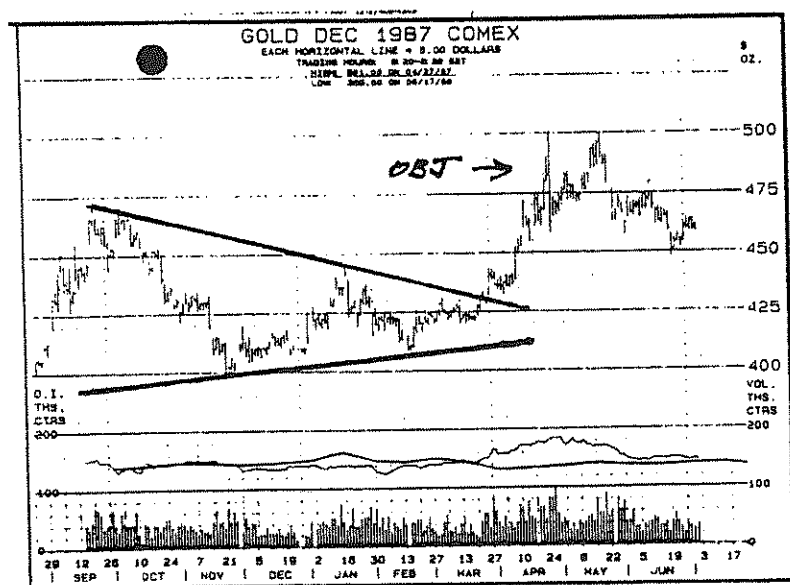
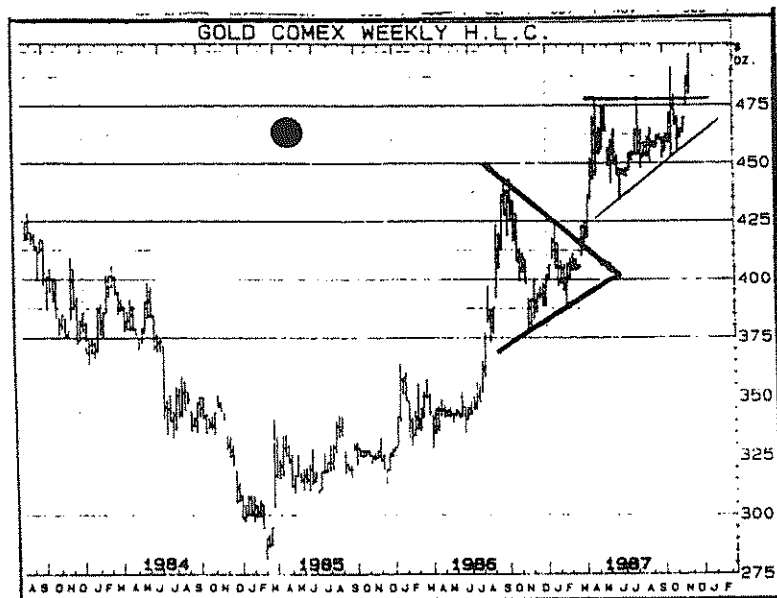
Lesson: Every year I am painfully reminded of the dangers of having a bias. Here, I was waiting for the thief to enter the back door, and he snuck in and out of the front door before I knew what was happening.

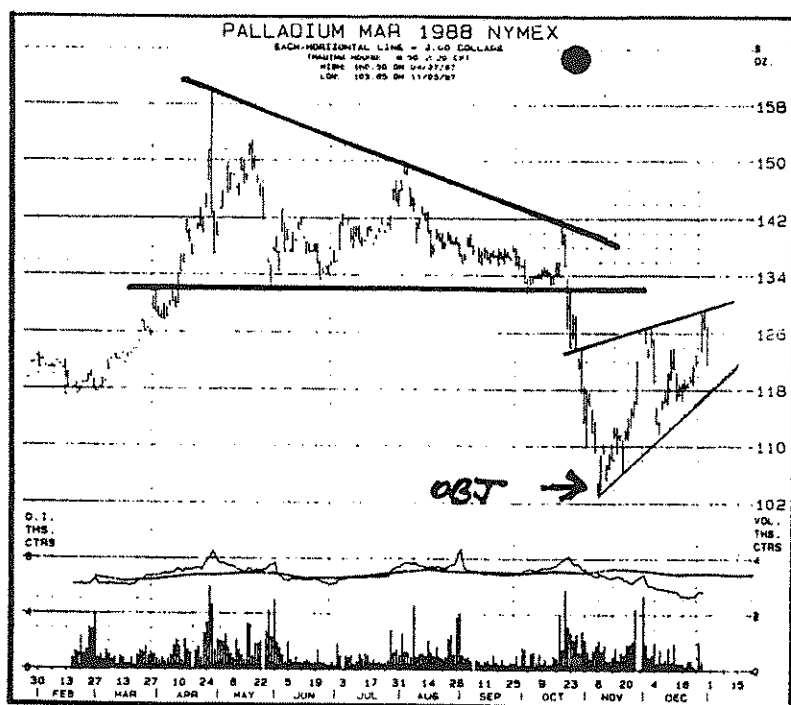


BEST TENGOLD

On March 27 Gold completed a 6-month symmetrical triangle on both the daily and weekly charts.

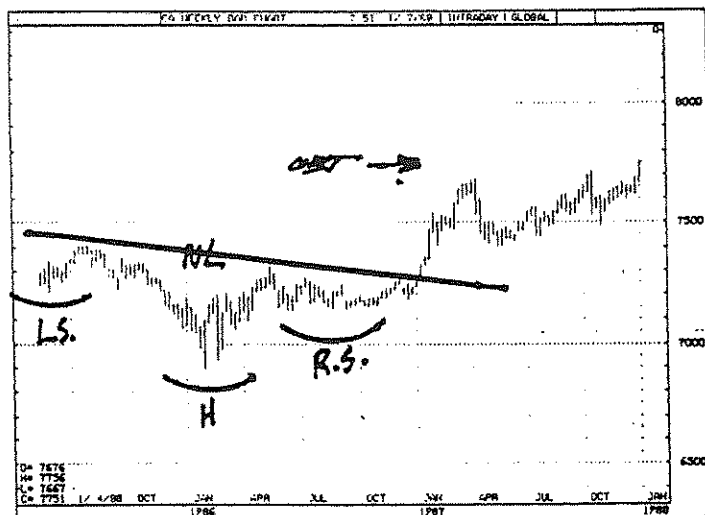
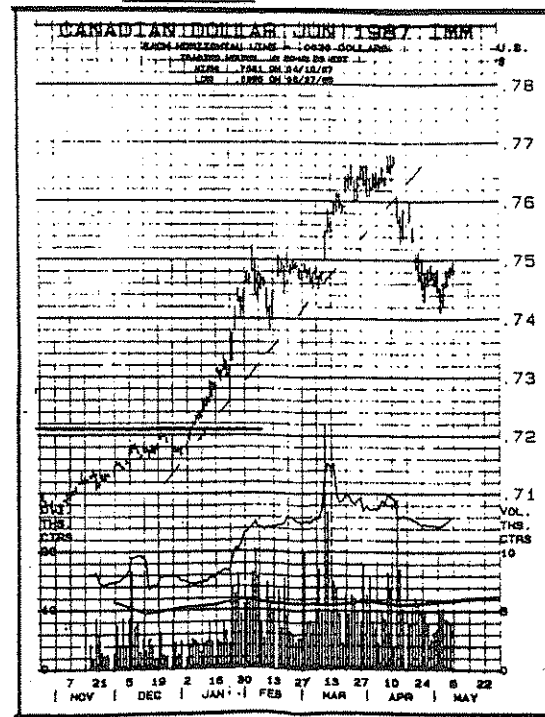
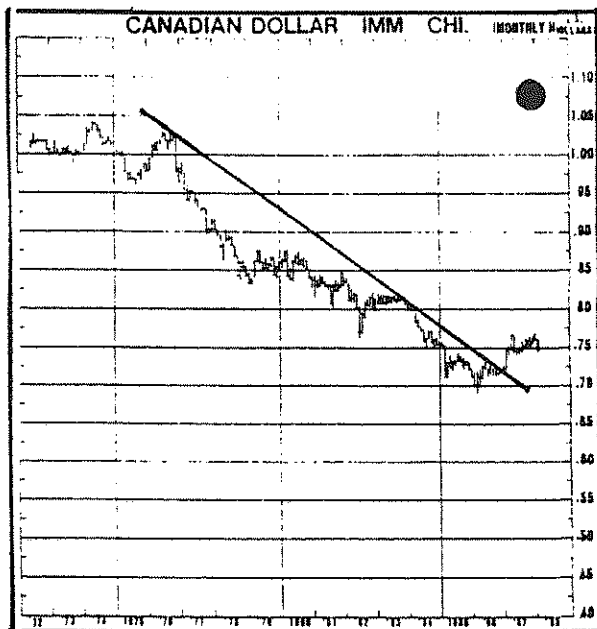
Note that immediately following the breakout, the market stalled out for 2 weeks, but yet never placed the breakout price in serious threat. This stalling type price action is not uncommon, but definitely tests a trader's nerve.



BEST TENPALLADIUM

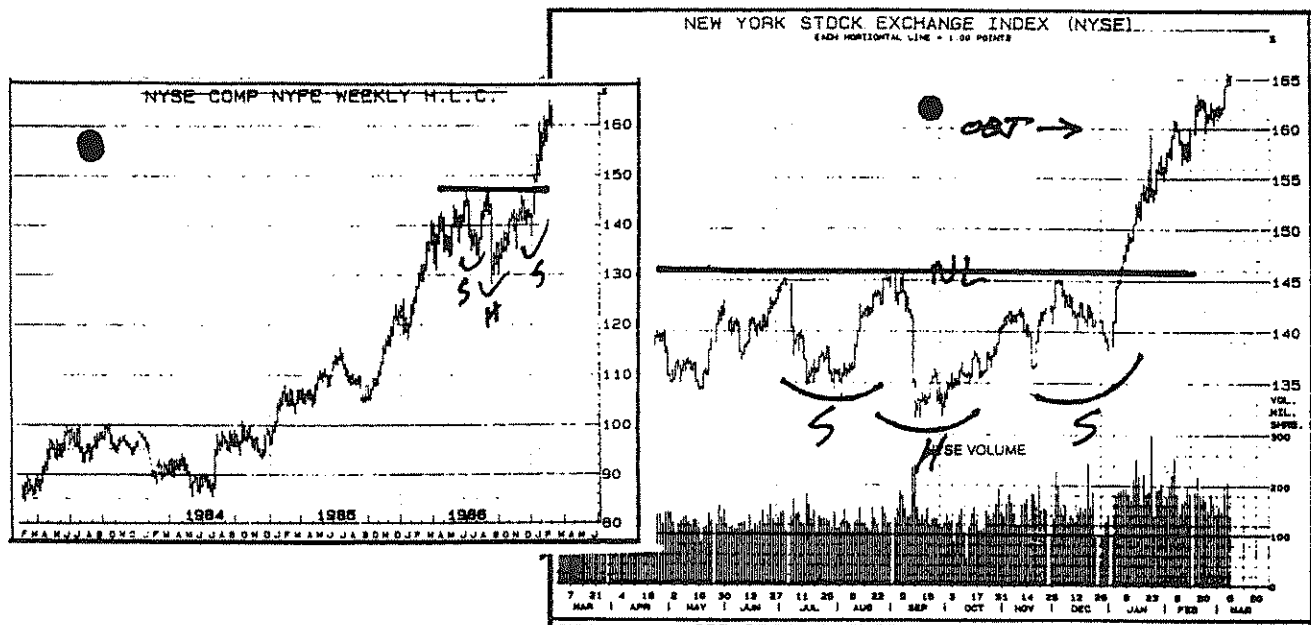
This market is too thin for me to trade or comment on via The Hotline, but this descending triangle top should go down as a modern day classic. Incidentally, this market is just now re-testing this triangle in the form of a wedge, and a decline below 119.00 should be followed by a move to 96.00

BEST TEN

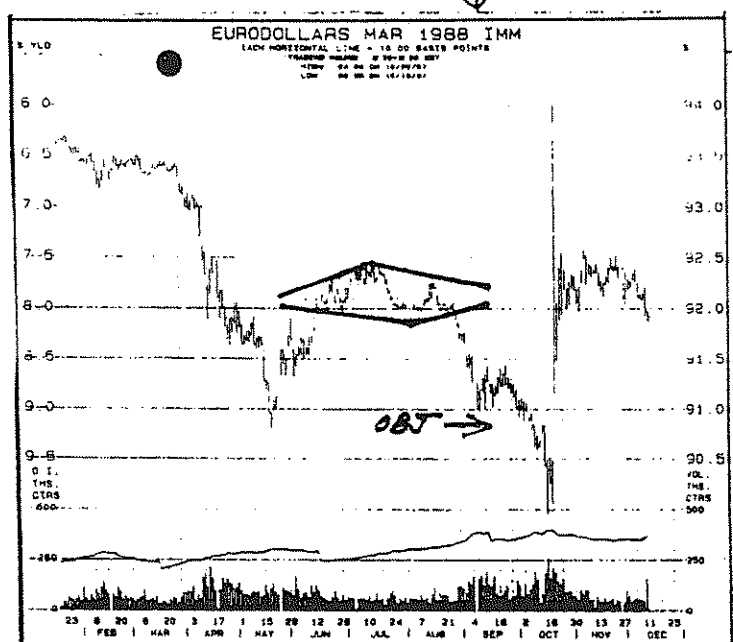
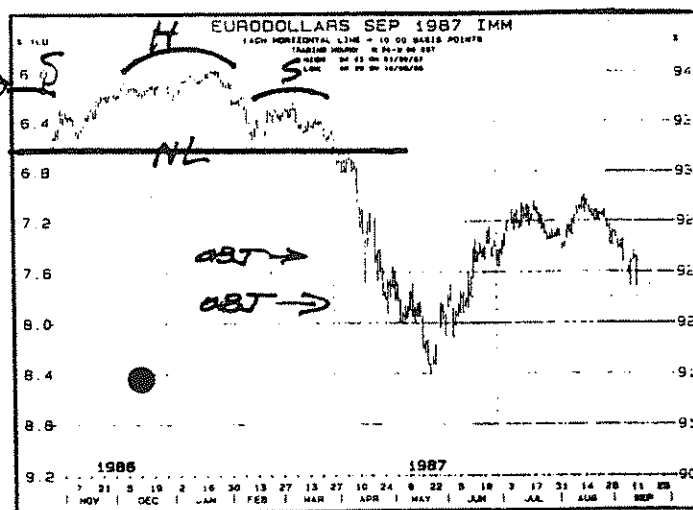
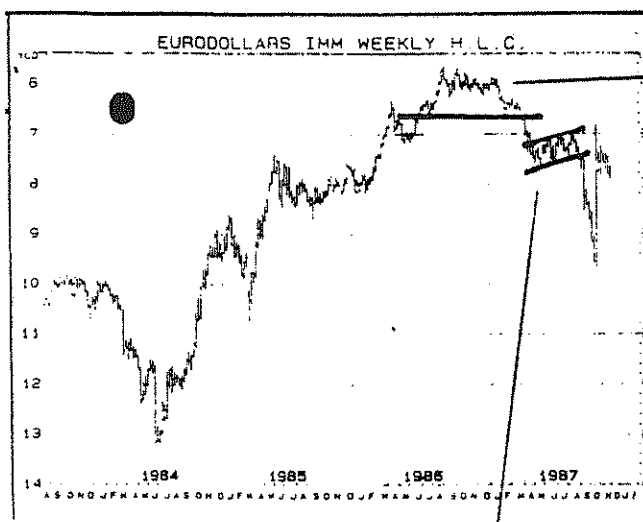


CANADIAN DOLLAR

More often than not, the really best trades each year are characterized by something important taking place on both the weekly and daily charts. In this case, the monthly chart also got into the act. Here, the completion of the weekly H&S penetrated an important 10-year trendline. The move fell just shy of the objective before the gap decline on April 14 ended the intermediate thrust.

BEST TENNYFE

From June through December, 1986 the NYFE weekly and daily chart formed a continuation H&S pattern. The breakout on January 26 required only 12 trading days to reach the objective.

BEST TENEURODOLLARSH&S TOP

From June, 1986 through March, 1987 Euros developed a massive H&S top on the weekly and daily charts. The breakout in early April started the move.

DIAMOND

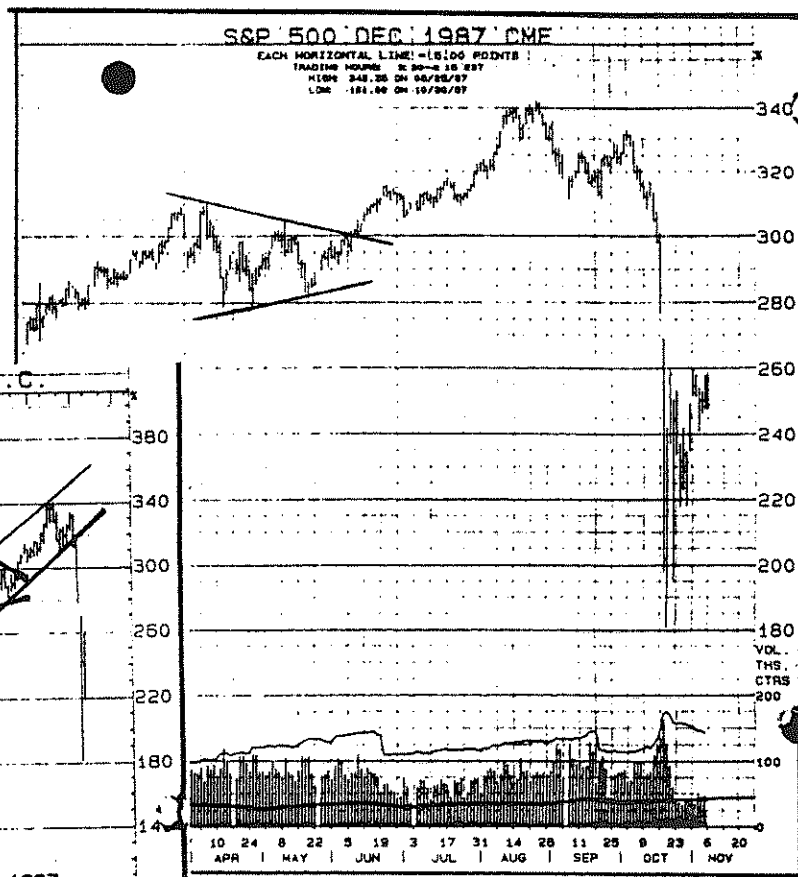
Following the April through May decline, Euros staged a recovery. This recovery took the form of a flag on the weekly chart and a diamond on the daily chart. On August 27 the diamond was completed

BEST DRESSED - 1987

MARKET	SUMMARY		LARGEST INTRA- DAY LOSS	LARGEST CLOSING LOSS	RESULT*
	DAILY PATTERN	WEEKLY PATTERN			
T-BONDS	BROADENING TRI SYM TRI	SYM TRIANGLE H&S	** **	** **	\$4,800 6,500
EURODOLLARS	H&S DIAMOND	H&S FLAG	\$300 **	** **	2,750 2,500
NYFE	H&S	H&S	\$300	**	6,100
CANADIAN	RECTANGLE	H&S	**	**	3,600
PALLADIUM	DESC. TRI	DESC. TRI	**	**	2,600
GOLD	SYM TRI	SYM TRI	\$350	**	5,000
SILVER	FULCRUM	SYM TRI	\$400	**	8,500
CRUDE OIL	ISLAND WEDGE DESC. TRI	WEDGE WEDGE DESC. TRI	** ** **	** ** **	1,300 1,400 2,800

* Taking Profit at the objective.

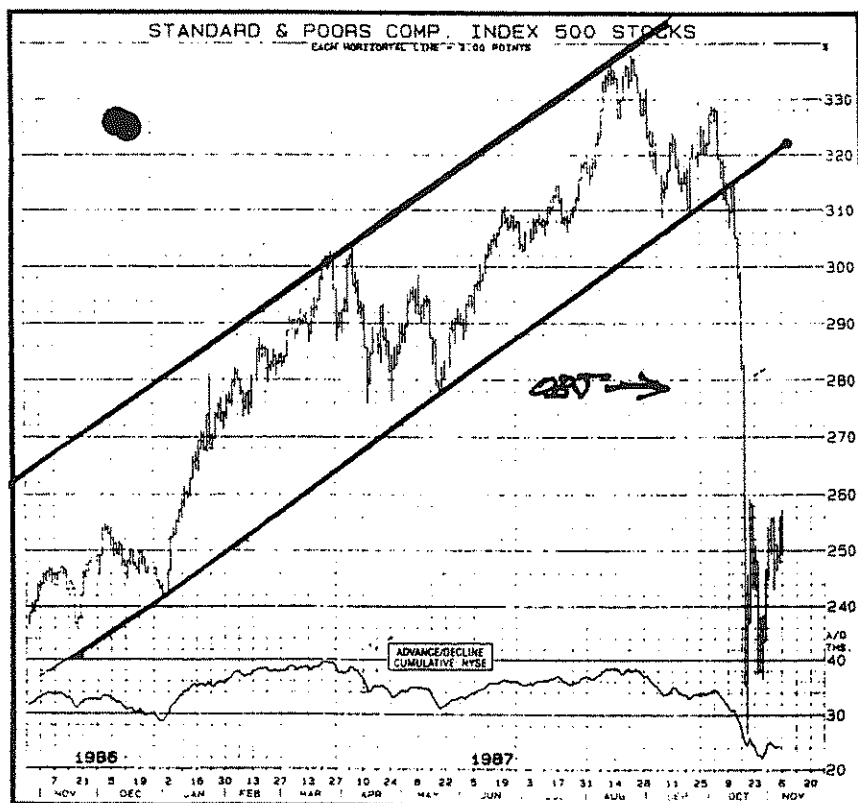
** Less than \$250



S&P 's

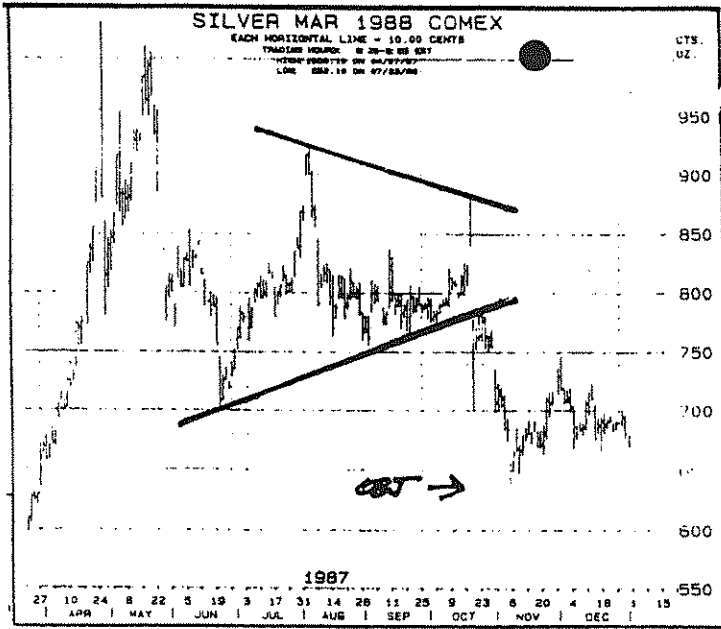
The symmetrical triangle completed in early June led to the final run to glory in the stock market.

The breakout of the one-year channel on October 9 is history. This channel breakout was made a bit tricky by the rally on October 13 that would have put any channel breakout short position at a loss.

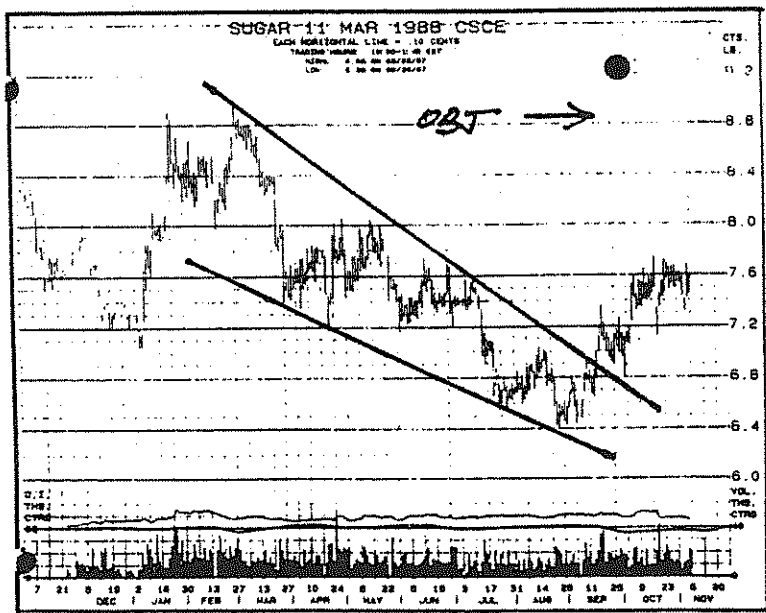


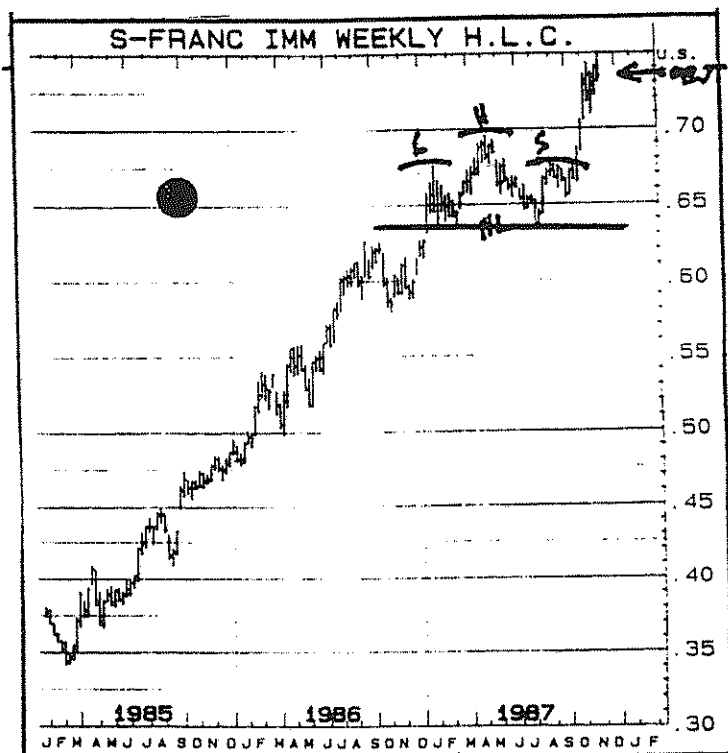
HONORABLE MENTIONSILVER

On October 20 the Silver market completed a 17-week bearish symmetrical triangle. Interestingly, this sell signal came at a time that people were supposed to be "flighting" to quality. Following a retest, the decline missed the objective by 10¢.

SUGAR

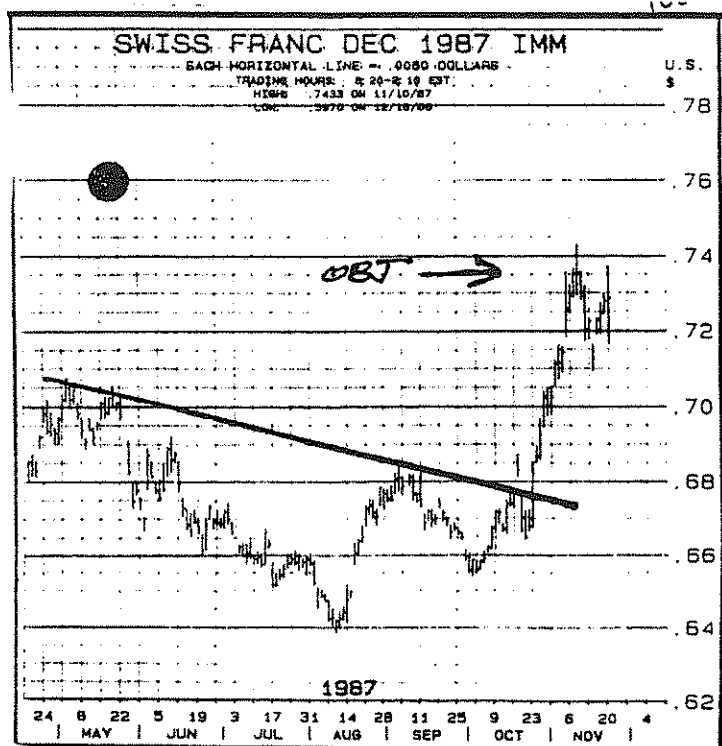
On September 16 Sugar completed a 7-month falling wedge. The objective of 8.80 was just recently met.



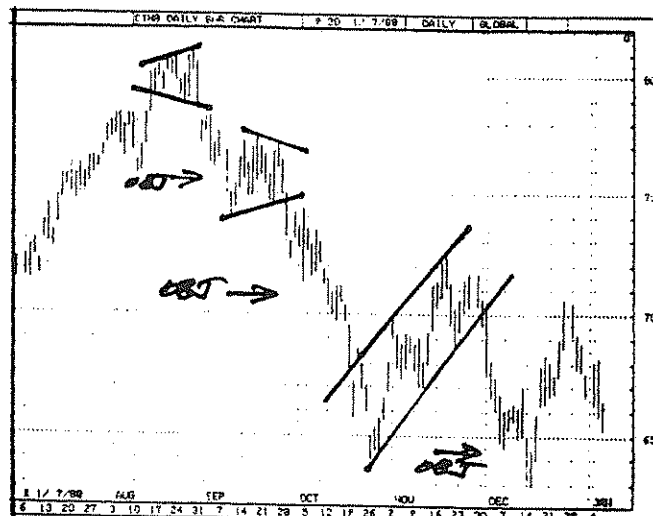
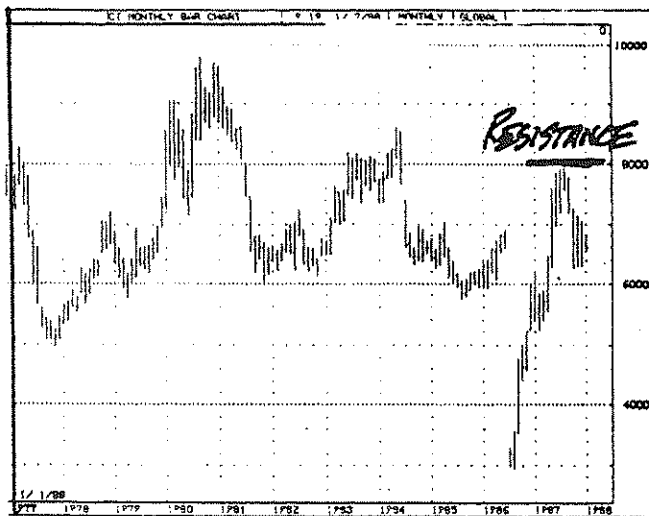
HONORABLE MENTIONSWISS FRANC

During most of 1987 the Swiss spent forming a H&S top on the weekly chart. However, the rally above the right shoulder high in late October completed a H&S Failure with an objective of 73.50.

Had it not been for the one day false breakout on October 19, (does this date mean anything else to you?) this situation would have easily made it to "Best 10". The market broke out for real on October 23 and ran to the objective without a single "lower low" day.



HONORABLE MENTION

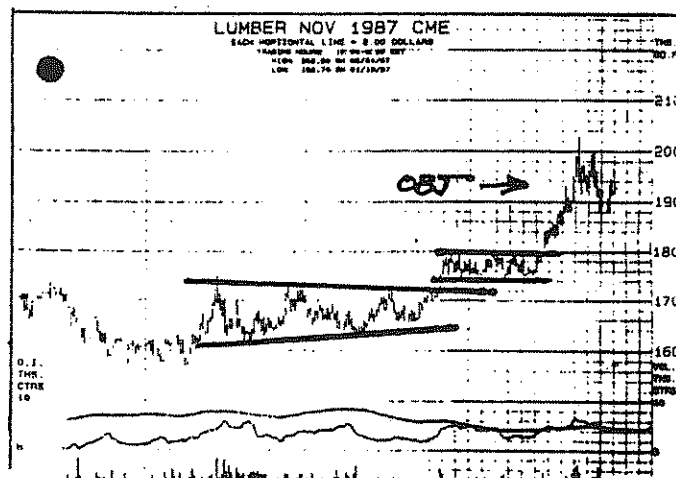
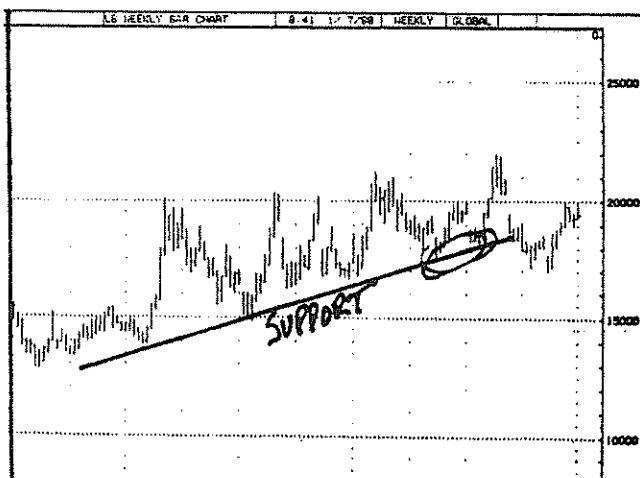


COTTON

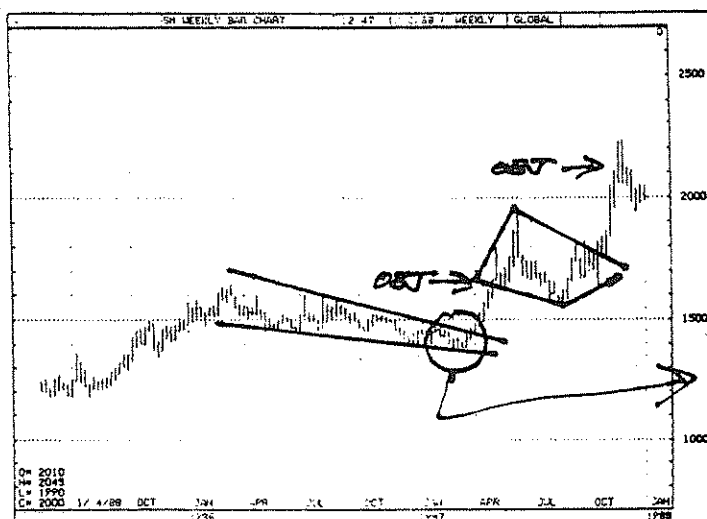
A one-year rally led cotton into major resistance by August, 1987. Then 3 patterns led the market lower: A broadening top, a symmetrical triangle and a wedge.

LUMBER

From January through May, the daily Lumber charts formed a symmetrical triangle in an area of support on the weekly chart. Following a 2-day blast-off in June, the market consolidated again for 8 weeks before a final run to the objective.

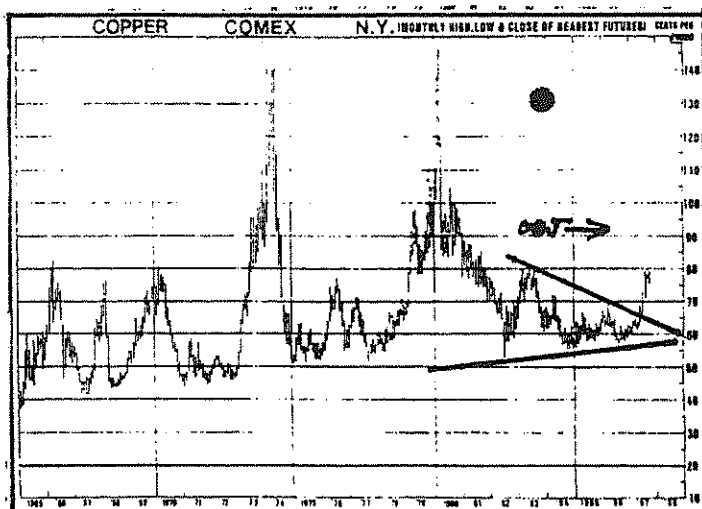
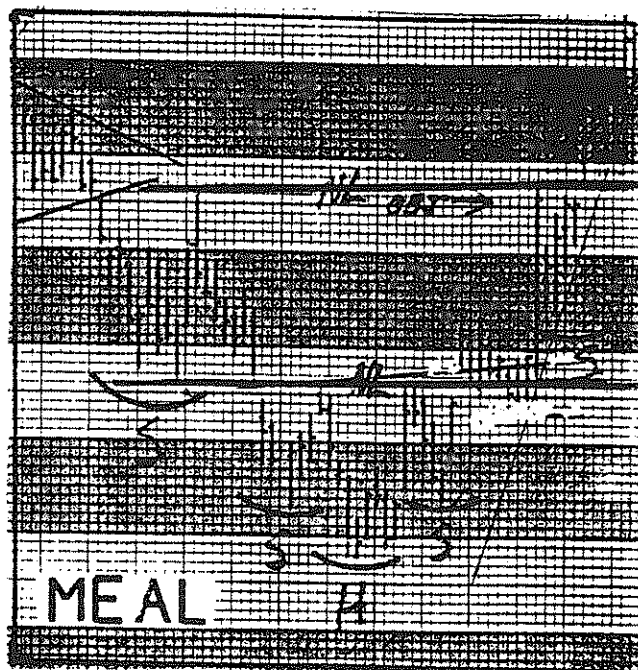


HONORABLE MENTION



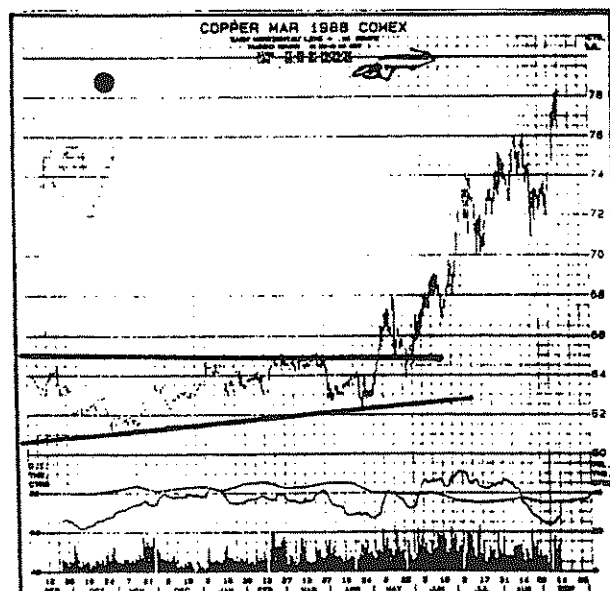
SOYBEAN MEAL

The decline from early 1986 through March, 1987 took the form of a falling wedge on the weekly chart. At the bottom, the daily chart formed a double H&S bottom. Also note the continuation diamond on the weekly chart completed in November. This weekly chart pattern was great, but the breakout of the daily chart was too sloppy to be named Honorable Mention.



COPPER

From 1982 through May, 1987 Copper (monthly chart) formed a massive symmetrical triangle in the area of historic support. In May the daily chart completed an ascending triangle with a longer term objective of around 90.00. This market is not listed in the top 10 because a) the breakout was very tricky, and b) the break in late August would have made it difficult to hold positions all the way to the 90¢ target.



HONORABLE MENTION - 1987

SUMMARY

MARKET	DAILY PATTERN	WEEKLY PATTERN	LARGEST INTRA- DAY LOSS	LARGEST CLOSING LOSS	RESULT*
S&P	SYM TRI CHANNEL	SYM TRI CHANNEL	\$750 1,200	\$350 950	\$6,000 3,500***
SILVER	SYM TRI	SYM TRI	2,300	1,800	3,750***
SUGAR	WEDGE	NONE	**	**	2,000
SWISS FRANC	H&S FAIL	H&S FAIL	**	**	6,875***
CRUDE OIL	H&S	ASC. TRI	**	**	2,000
CANADIAN DOLLAR	SYM TRI	SYM TRI	**	**	2,250 (3 patt)
COTTON	BROADENING SYM TRI CHANNEL	---	400 ** 400	400 ** **	1,300 2,000 2,600
LUMBER	SYM TRI	TRENDLINE	**	**	2,240
MEAL	H&S	WEDGE	**	**	1,800
COPPER	ASC. TRI	SYM TRI	350	**	1,875***

* Taking Profit at the objective. The S&P results reflect NYFE Prices.

** Less than \$250.

* Would have required more than one entry attempt.

DISCUSSION

If you accept that the sole goal of commodity trading is to generate profits; and you accept that catching a few big moves (rather than many smaller ones) is the way to generate the largest profits; and you accept that classical charting principles can be used as a primary method for identifying and entering large move trends -- then read on.

Once the above concept is accepted as valid and one's ambition is to adopt this concept, the problem (and a very large one indeed) becomes one of implementation.

What exactly is the goal? The goal is to catch the full extent of 80% of the 10 to 20 best chart trades each year and to limit one's trading to only these trades. Is there even one subscriber among you who can suggest a more profitable approach? I believe not. But, knowing what to do and doing what one knows best -- herein lies the problem.

What then must we do, do differently, or not do at all to move closer to trading the markets the way we should? What aspects are involved?

What I present below is not a solution to the problem, but rather elements of the problem and concept itself. I cannot provide the solution -- for I too am still working on how to get there.

THE GOAL: To limit one's market actively to 10 to 20 trades per year -- and catch the full measured move of 80% of those trades that in retrospect were among the ten best of the year.

Things that stand in our way:

1. We may think...."It can't be done." "Why try....it is impossible."
2. Love of trading. The more trades we do in a year, the harder it becomes to make a distinction between an average trade and an outstanding trade.
3. Becoming too technical. Technical trading is a means (to profits) and not an end.
4. Use of intra-day charts. We lose the forest from the trees. Become too short term oriented.

5. Using too many technical indicators. The more "filters" we adopt, the more reasons we will find not to be in the outstanding trades.
6. Making trading decisions during trading hours.
7. Using only Commodity Perspective Charts. They do not provide enough days and make the most recent trading range fill the page.
8. Not starting our analysis with weekly charts.
9. Being unwilling (emotionally) to trying a trade a second or third time. Often big moves provide a couple of false starts.
10. Trying to anticipate a big move by being prepositioned instead of waiting for the breakout. If we try to preposition, it creates too many trading events during a year and may "wear us out" for the big ones.
11. Taking profits too soon -- not letting a big trade run its measured course.
12. Lack of patience in waiting for a major price pattern to fully develop.
13. The thinking that "all the major moves are done forever". The future will not provide as many classical chart plays as the past".

Things We Can Do:

1. Gear our thinking toward to 2 to 3 entries per month.
2. Not watch or follow markets during the session.
3. During our major analysis of markets only on weekends -- using CRB weekly, monthly, and daily charts.
4. Using only open orders to enter and exit positions.
5. Only be involved with market situations that provide a minimum of \$2,000 per contract measured move potential.

THE FACTOR

Ten Best Dressed List
1988

Written in April, 1989

Introduction

Each year at about this time I publish "The Factor Best Dressed List."

Enclosed is the 1988 edition.

The Best Dressed List displays what I consider (in retrospect) were the ten most outstanding examples of classical charting principles for the past year.

As in the past, the criteria for selection were as follows:

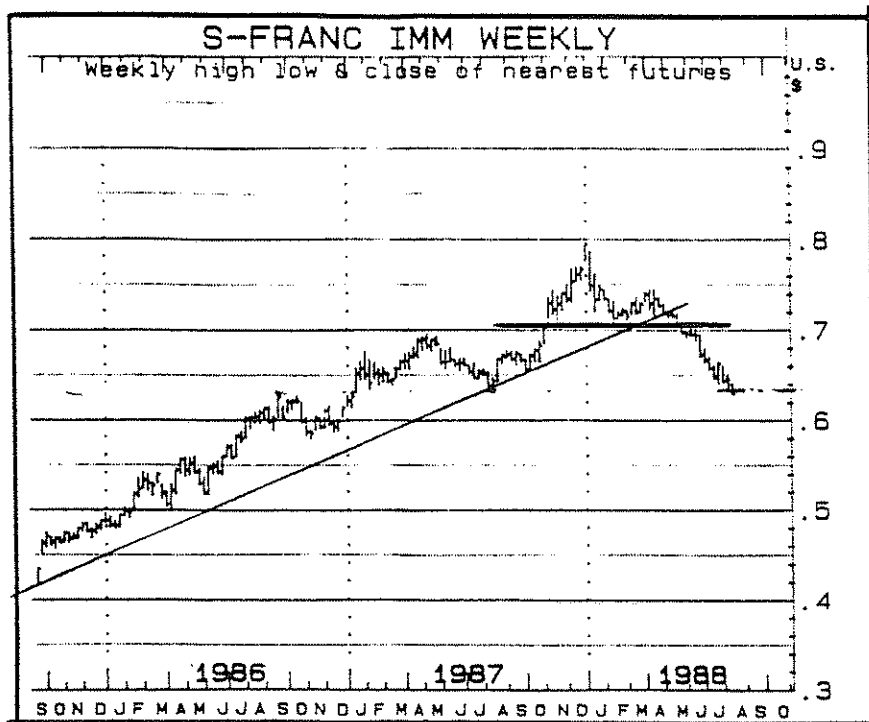
1. A well developed and clearly defined ("no question about it") pattern development on the daily chart, preferably with significant weekly chart significance.
2. A measured move objective of at least \$2,000 per contract.
3. A decisive breakout with no pattern reentry.

Whether or not The Factor was involved in the selected market situations was not a conscious consideration.

Perspective

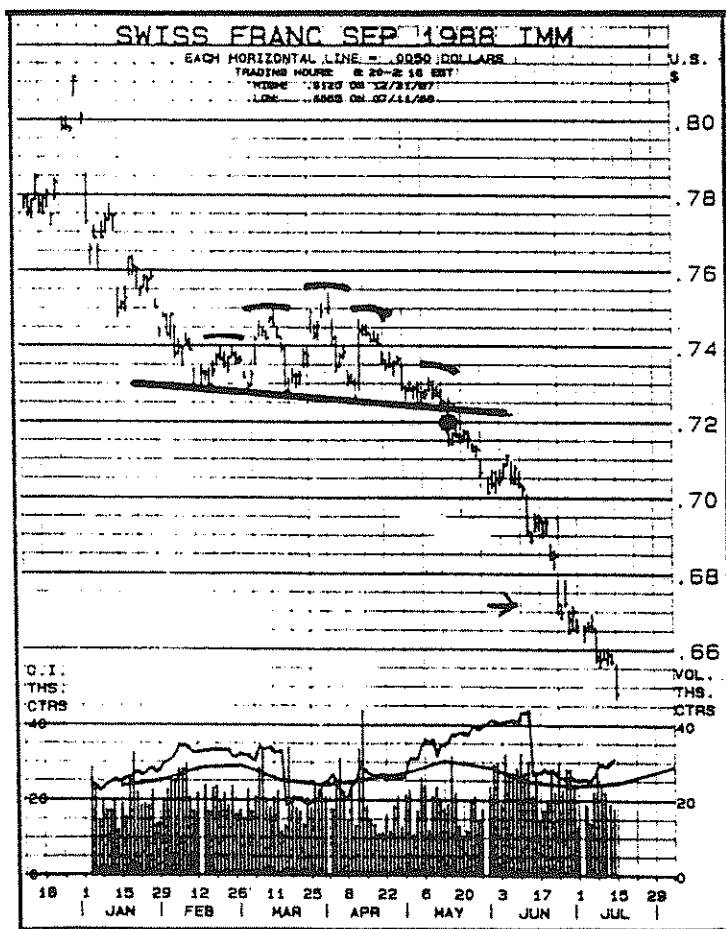
A review of past charts will never directly put a single dime in our pockets. But a constant review of past market action of this variety can force us to maintain before us a "standard reference" as to the types of market situations we desire.

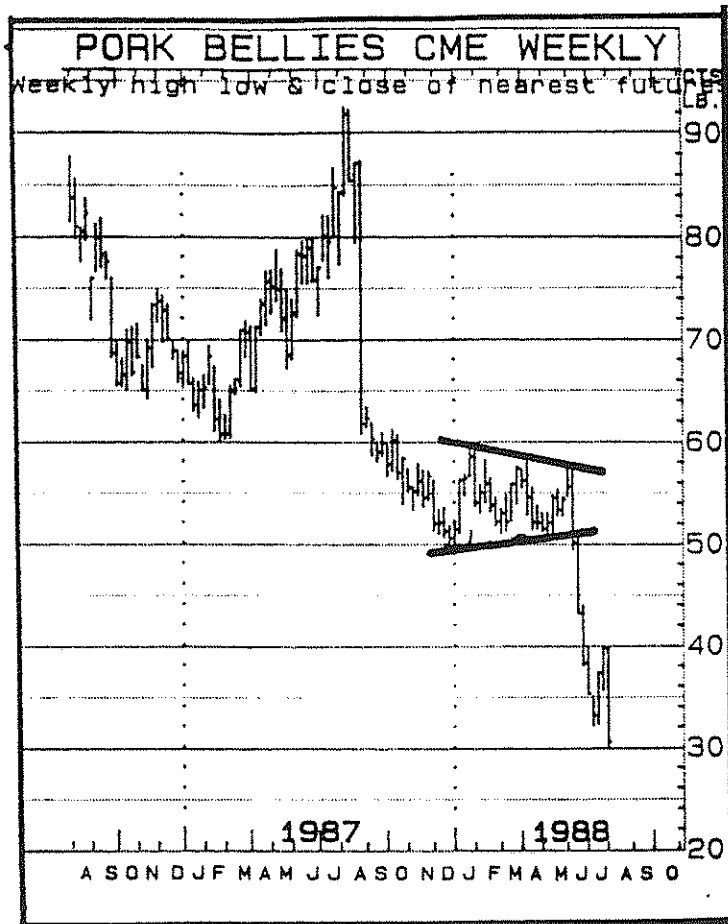
In past years, The Best Dressed List serves as our reorientation session. During the year it becomes easy to "lose the forest from the trees." Working with charts everyday, one tends to become shorter and shorter term. At least, that is the danger. With The Best Dressed List, we step back and reexamine the forest in its entirety. It is the type of market situations contained within this report that should remain our sole goal as analysts and traders. Our focus should be to catch these types of market situations -- and only these types of market situations.



BEST DRESSED - 1988

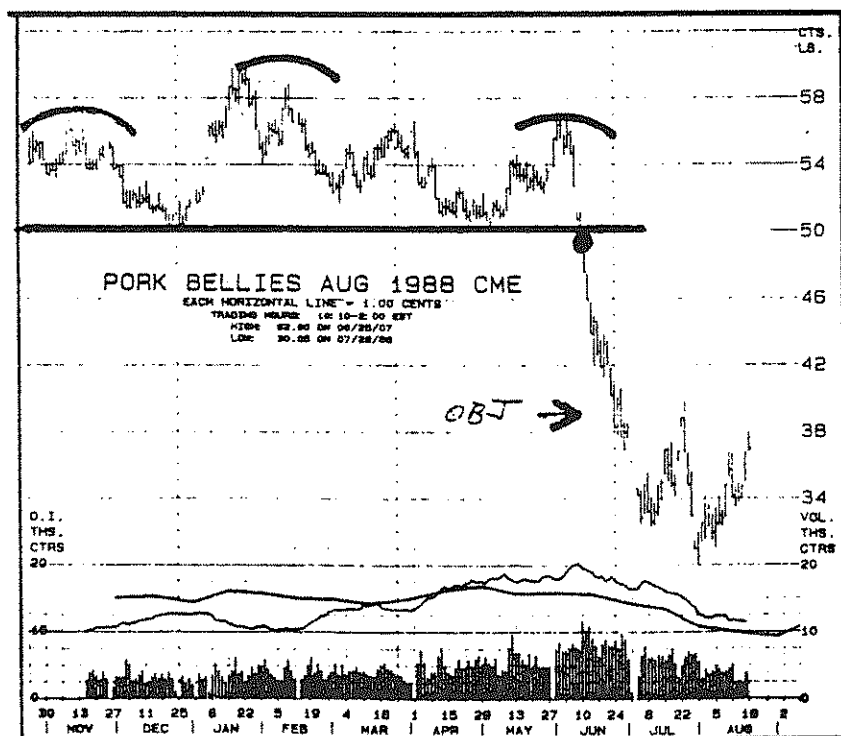
Swiss Franc - One may follow the markets for a very long time to find as good an example of a complex head and shoulders pattern that developed in the Swiss Franc during early 1988. That the completion of this pattern also penetrated an important trend line and completed a failure top on the weekly chart was a strong indicator that the trade would be very profitable.

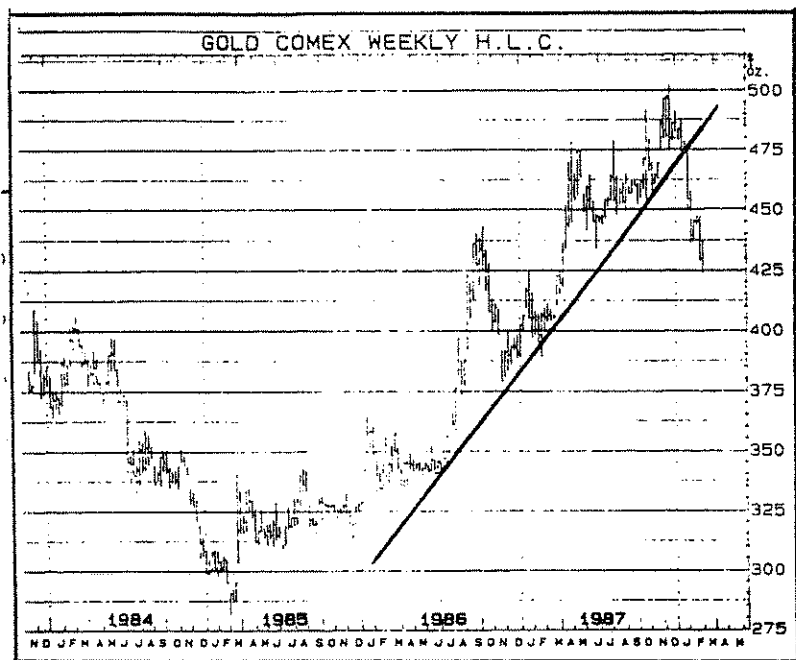


BEST DRESSED - 1988

Pork Bellies - I do not normally trade the livestock markets, but this technical development was too good to overlook.

The completion of a head and shoulders pattern in June also completed a symmetrical triangle on the weekly chart.



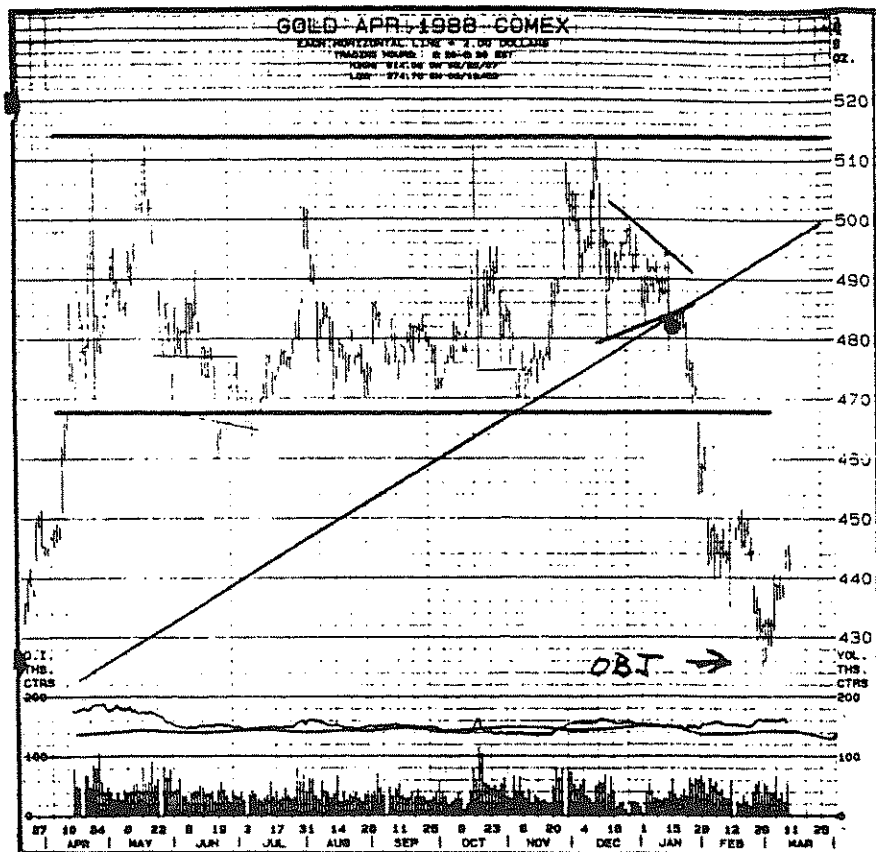
BEST DRESSED - 1988

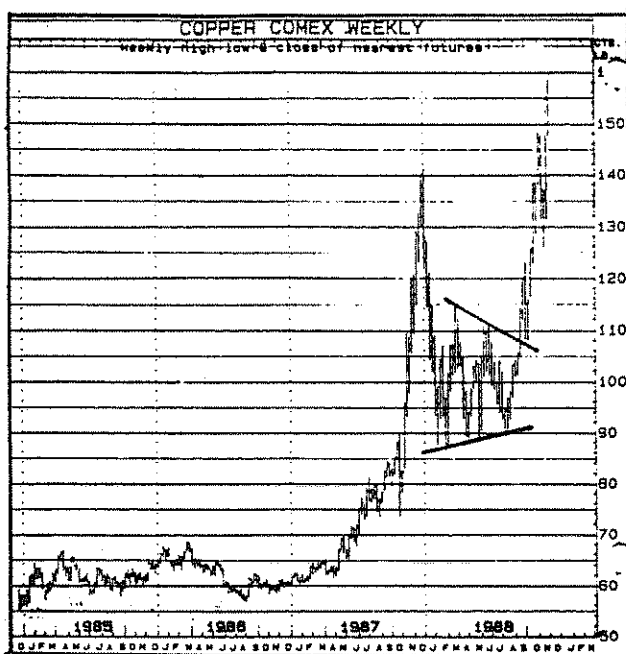
Gold - This decline in Gold is a classic example of charting principles.

This market is also an example of how a smaller pattern will launch the completion of a larger pattern.

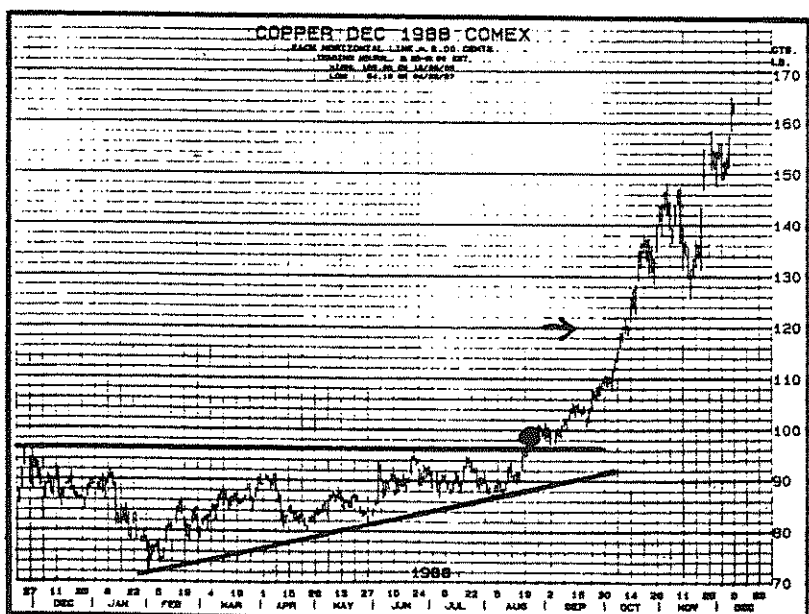
The completion of a 4-week symmetrical triangle in January launched the completion of a 9-month rectangle.

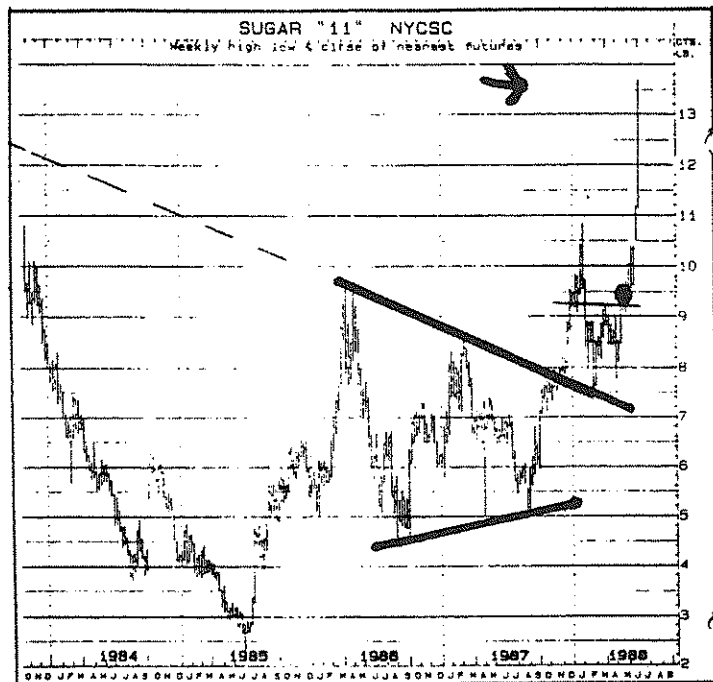
Also note that the completion of the smaller symmetrical triangle penetrated an important trendline on the weekly chart.



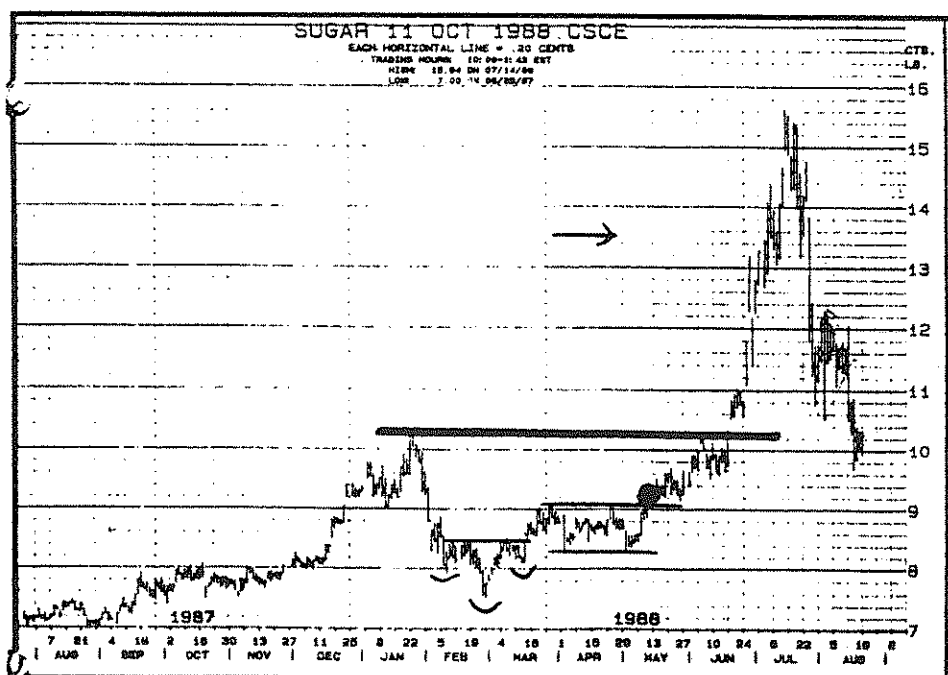
BEST DRESSED - 1988

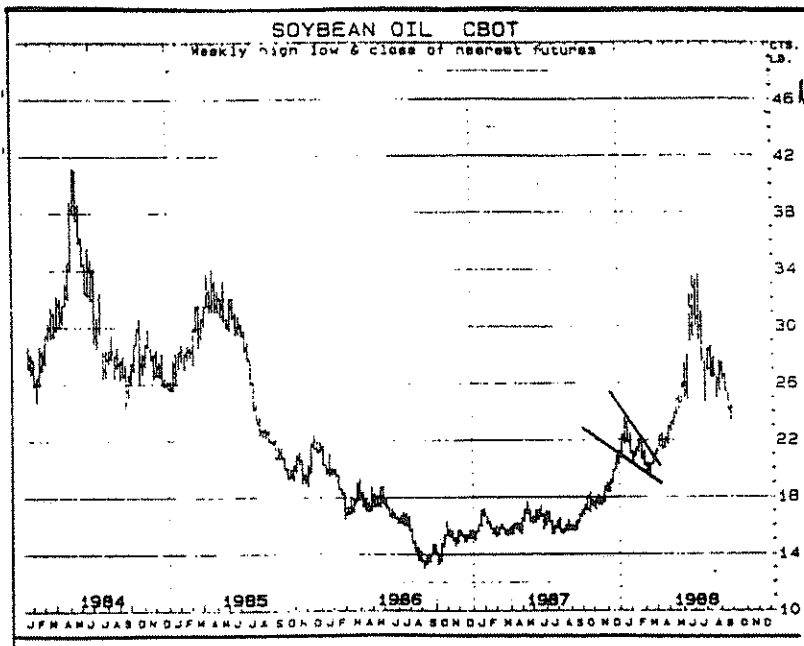
Copper - following the 50¢ decline from the late 1987 top, Copper regained its bull market footings and developed a symmetrical triangle on the weekly chart. The completion of this triangle was launched from an ascending triangle on the daily chart.



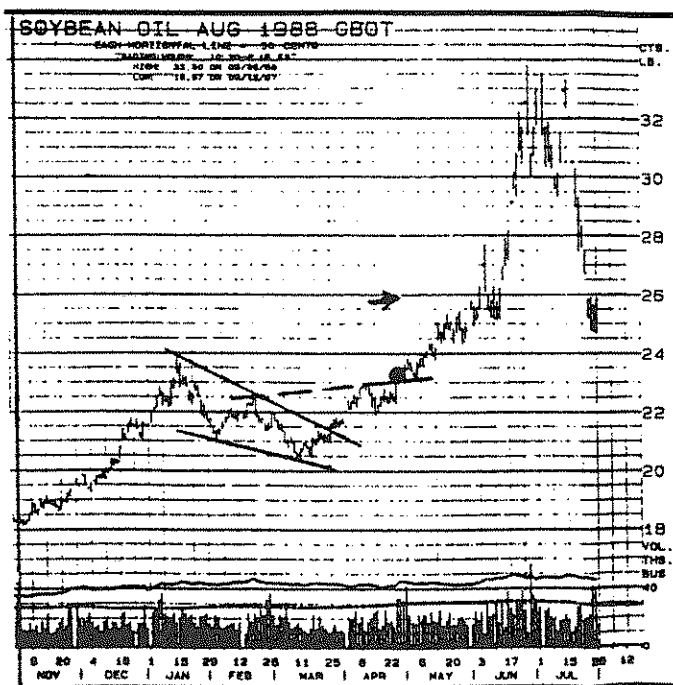
BEST DRESSED - 1988

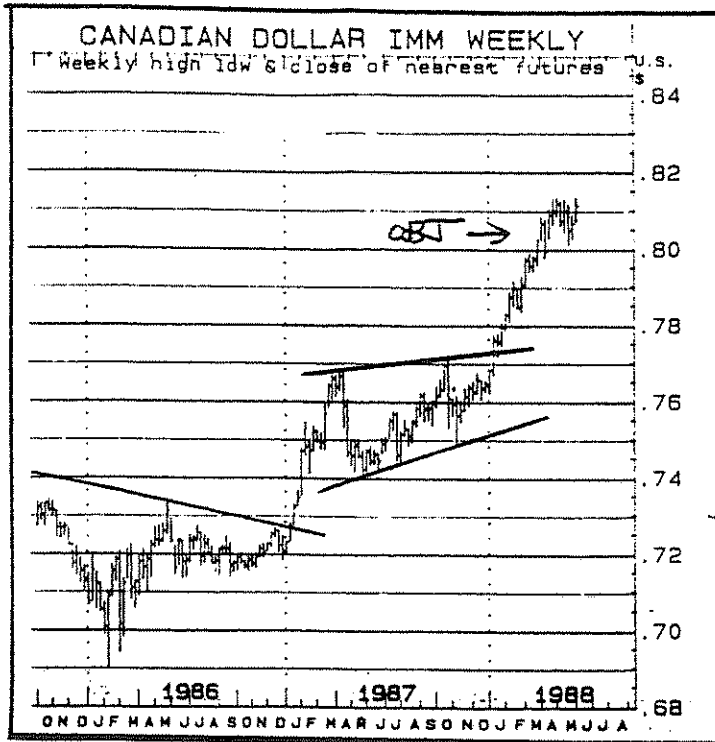
Sugar - the decline during late January and February served as a retest of the earlier completion of a massive symmetrical triangle on the weekly chart. This retesting process took the form of a double bottom on the weekly chart.



BEST DRESSED - 1988

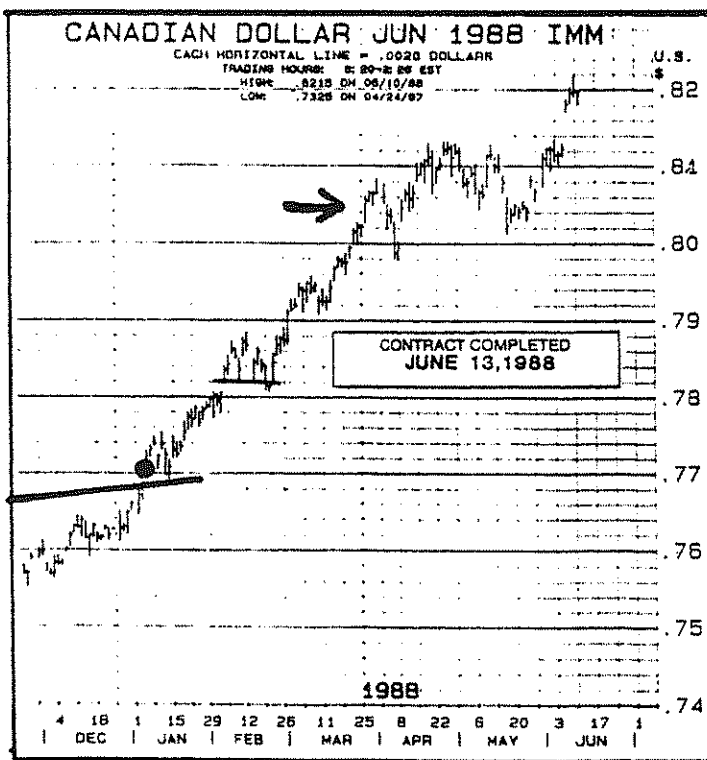
Soybean Oil - In late March the Bean Oil market completed a falling wedge on both the daily and weekly chart. Following a run up during early April, the daily chart formed a continuation H&S pattern that could have been used to pyramid the long position.



BEST DRESSED - 1988

Canadian Dollar - each market tends to have its own unique behavior. The Canadian Dollar tends to develop extensive periods of extremely narrow trading ranges followed by sizable trends.

The completion of the H&S bottom in the CD led to a 3-month trend. But then, the CD became locked into a 9-month trading range that took the form of a running wedge. This wedge was resolved in January 1988.

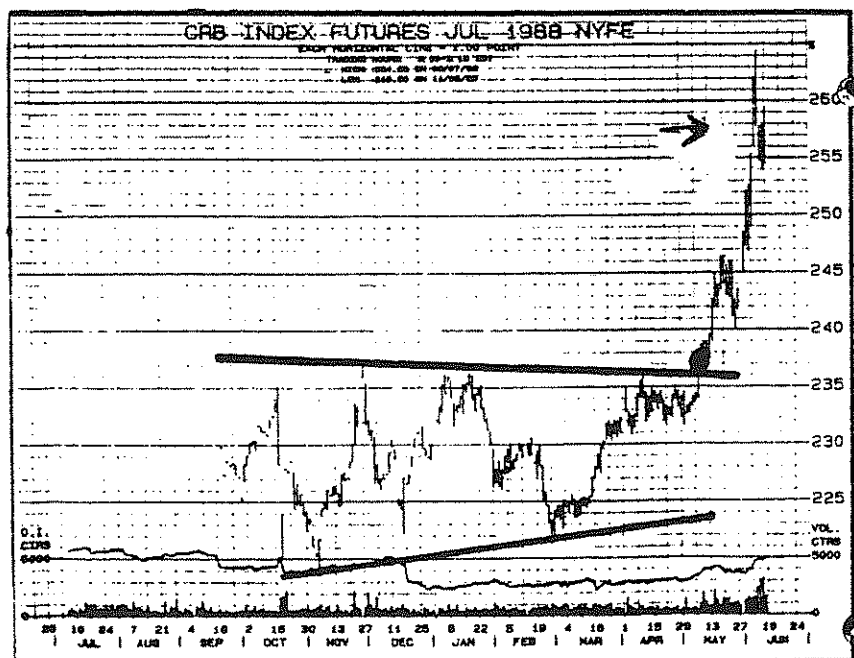


CRB FUTURES PRICE INDEX (1967=100)

Weekly high low & close

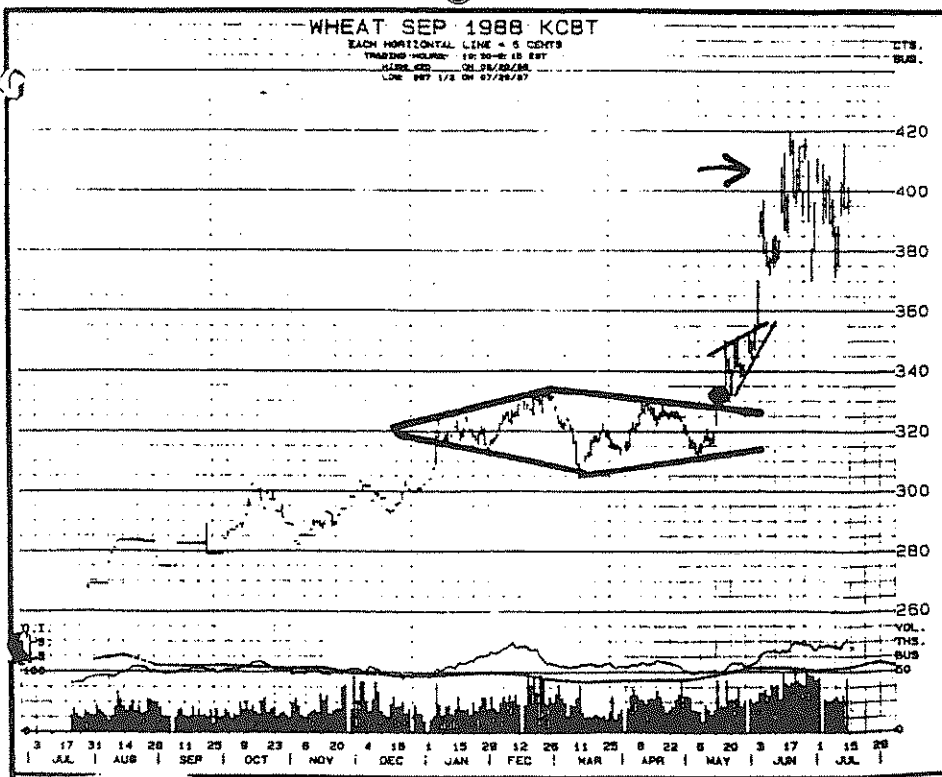
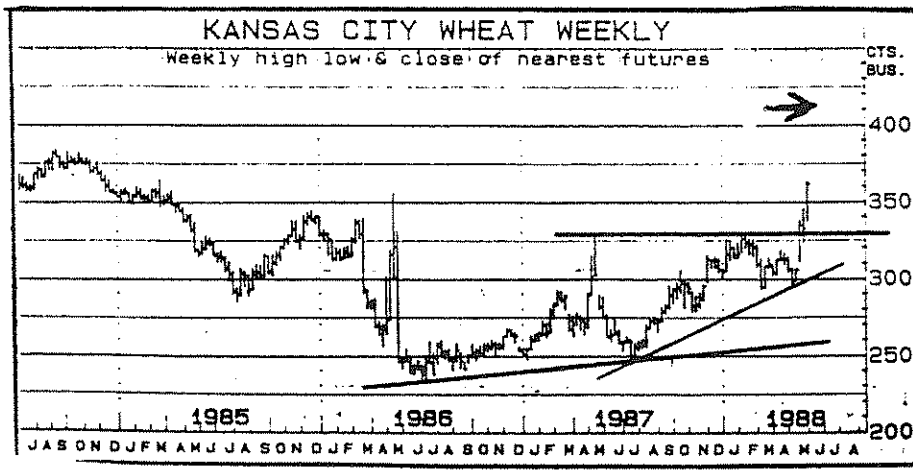
1984 1985 1986 1987 1988 1989

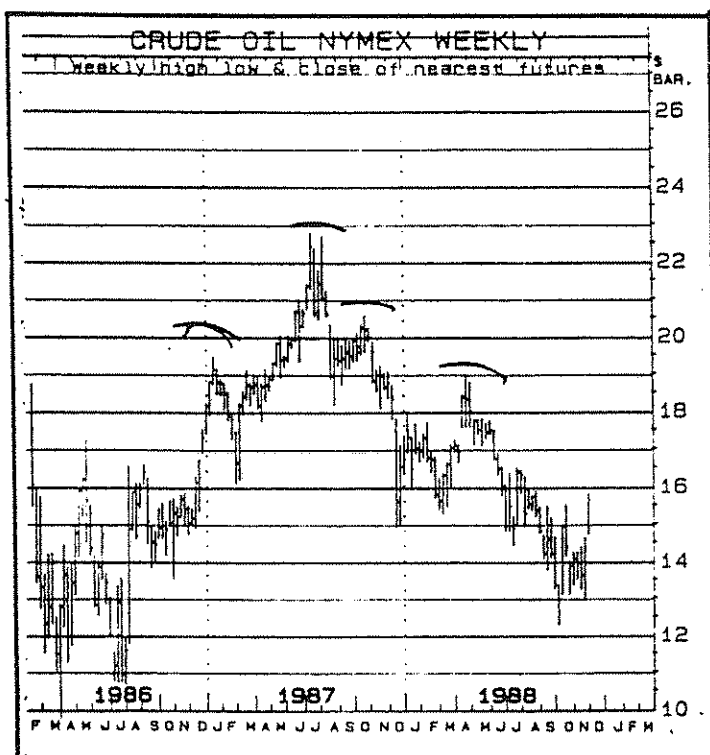
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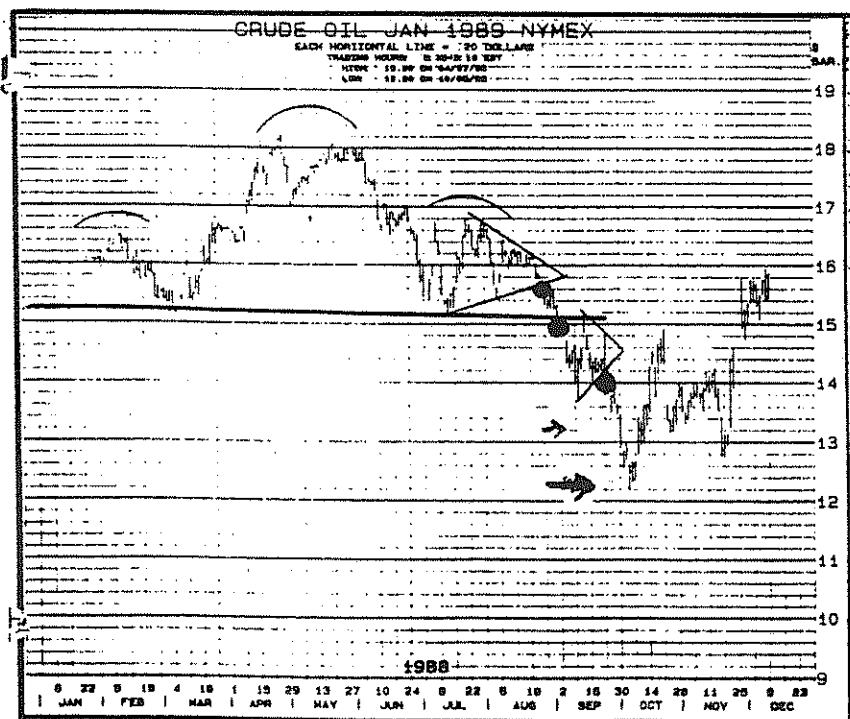
BEST DRESSED - 1988

K.C. Wheat - The ideal trade is when the completion of a substantial daily chart pattern also completes a significant pattern on the weekly and/or monthly chart. The completion of this perfectly formed continuation diamond pattern in May also completed an ascending triangle on the weekly chart. The target of the weekly chart was reached in a matter of weeks.



BEST DRESSED - 1988

Crude Oil - I oft get asked the question about pyramiding a position. I never like to pyramid based on the fact I have open profits in an existing position - but prefer to look for additional chart developments that might be substantial enough to justify a separate position. The result is pyramiding - but each layer is based on its own chart pattern. Such was the case in Crude Oil. The decline during the 3rd. Quarter developed separate bearish patterns. The completion of a symmetrical triangle launched the completion of a head and shoulders top. The retest of the H&S took the form of another symmetrical triangle.



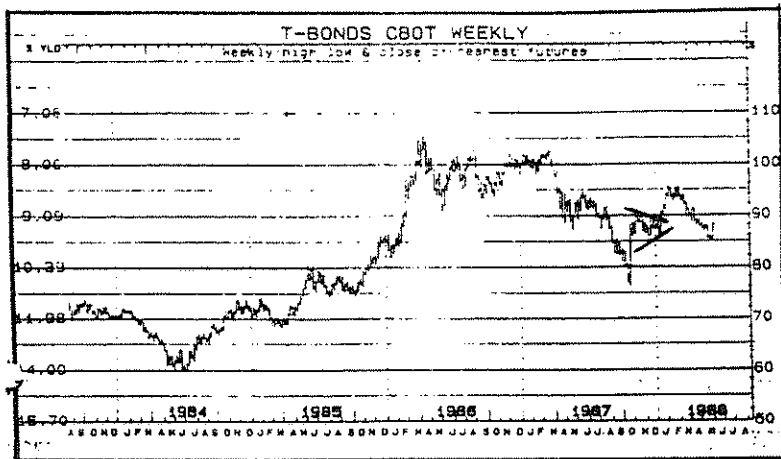
SUMMARY

<u>MARKET</u>	<u>DAILY PATTERN</u>	<u>WEEKLY PATTERN</u>	<u>LARGEST INTRA- DAY LOSS</u>	<u>LARGEST CLOSING LOSS</u>	<u>RESULT*</u>
CRB Index	Symmetrical Triangle	Channel	**	**	\$8,000
Canadian Dollar	Ascending Tri.	Running Wedge	**	**	3,500
Sugar	Rectangle	Double Bottom	**	**	4,816
Copper	Ascending Tri.	Symmetrical Triangle	\$300	**	5,500
Gold	Sym. Triangle/ Rectangle	Trendline	340	\$300	4,350
Pork Bellies	Head & Shoulders	Symmetrical Triangle	**	**	4,200
Swiss Franc	Head & Shoulders	Trendline/ Failure Top	425	375	5,500
Soybean Oil	Wedge Head & Shoulders	Wedge	** **	** **	2,520 1,500
K.C. Wheat	Diamond	Asc. Triangle	300	**	3,700
Crude Oil	Sym. Triangle Head & Shoulders Sym. Triangle	Rounding Top	** 300 350	** ** **	1,500 2,400 1,300

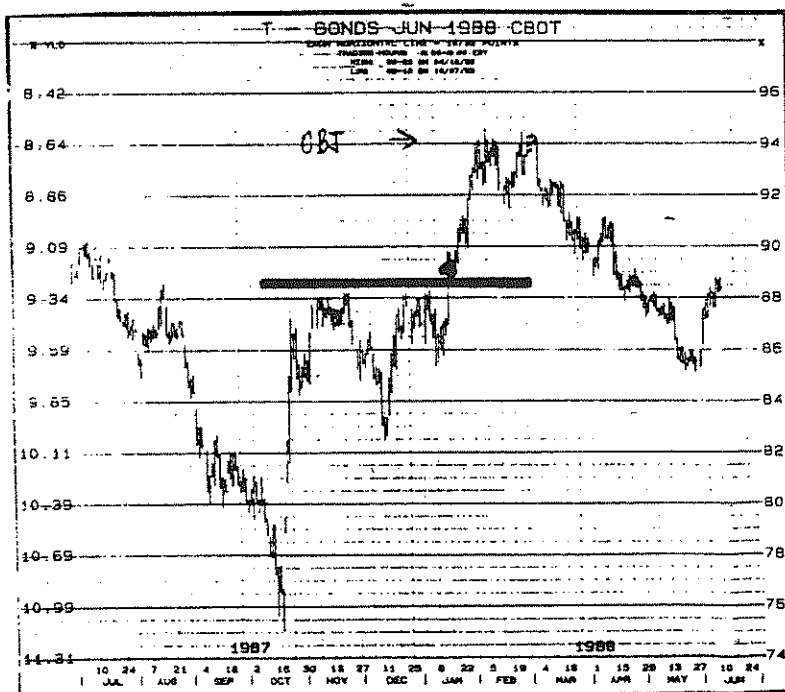
*Taking profits at the objective of the pattern.

**Less than \$250 per contract.

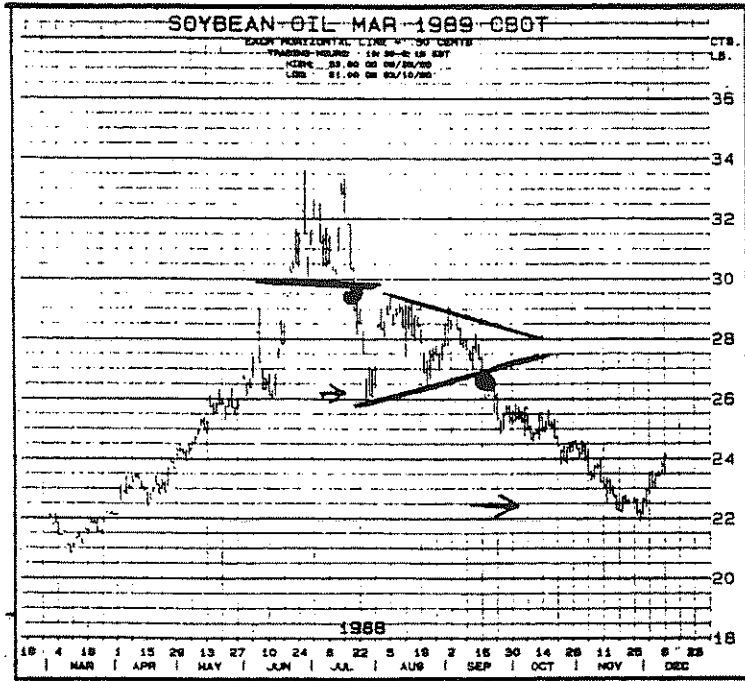
HONORABLE MENTION - 1988



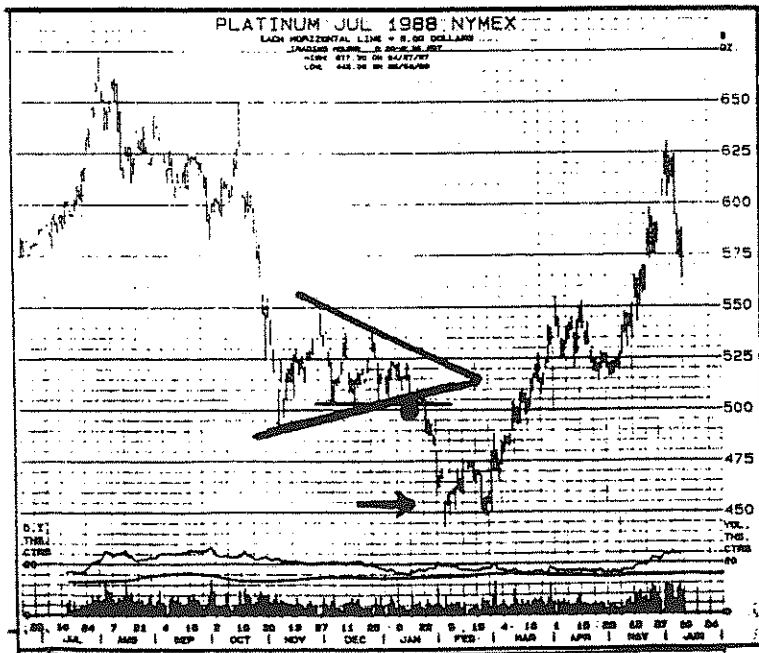
T-Bonds - The completion of a continuation head and shoulders (or ascending triangle) on the daily chart and a symmetrical triangle on the weekly chart led to the January/February advance in Bonds.



HONORABLE MENTION - 1988

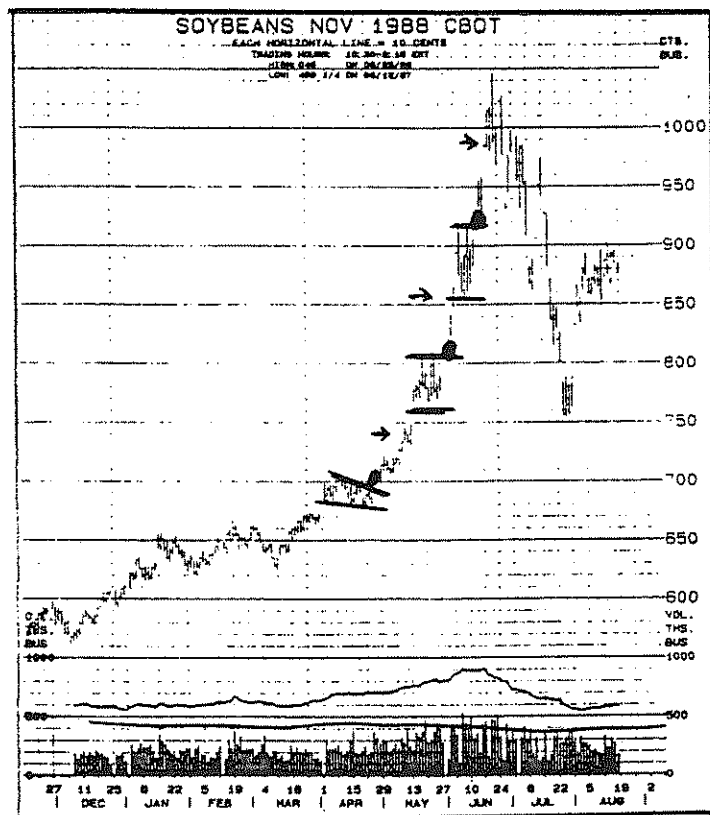


Soybean Oil - The 1988 decline consisted of an "M" top (completed in July) and a symmetrical triangle (completed in September).

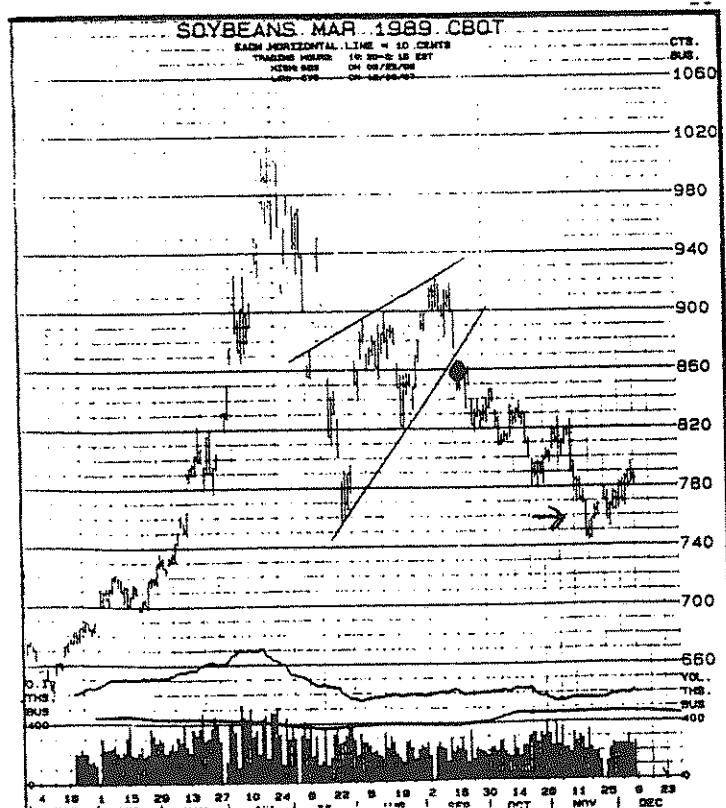


Platinum - While the breakout of the symmetrical triangle in Platinum was not very clean, prices eventually trended to the target.

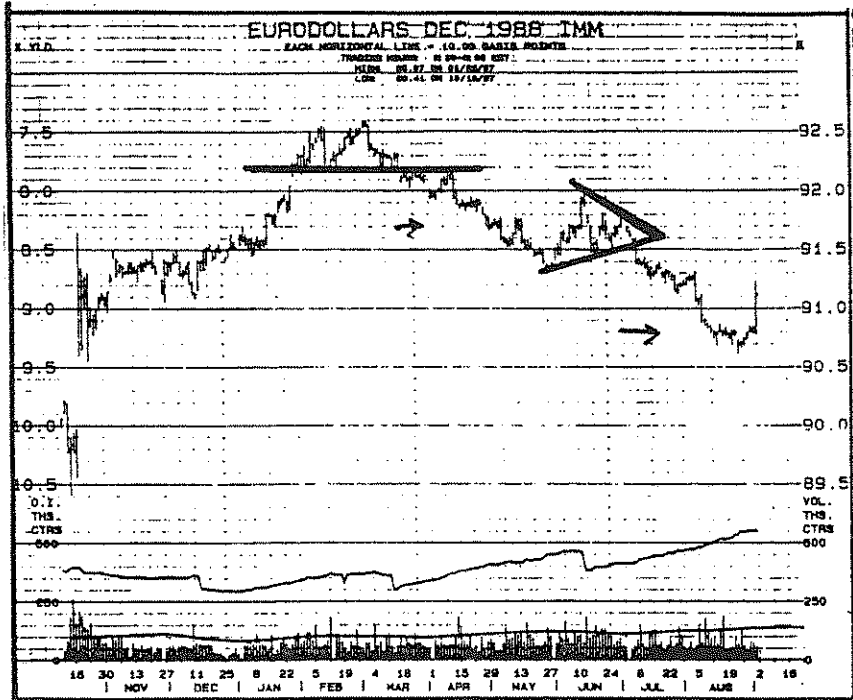
HONORABLE MENTION - 1988



Soybeans - Often times, a strong trend does not offer very long or deep corrections, but only brief periods of consolidation. Such was the case in Soybeans. The bull market of 1988 was characterized by only brief areas of pauses. There is a saying in futures trading that "when the market finally pulls back enough so that you want to buy, it is probably too late." By the time Soybeans had a meaningful correction to its bull market, the bull market was finally over.

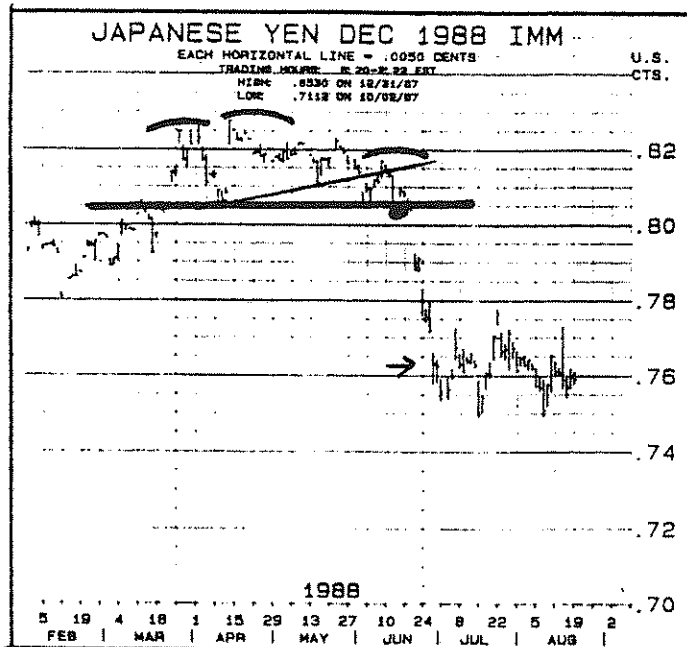


Soybeans - The advance in Beans that began in July took the form of a rising wedge. The buying during this advance was done by those traders who missed in the earlier bull market in Beans and thought the Bean market owed them another advance.

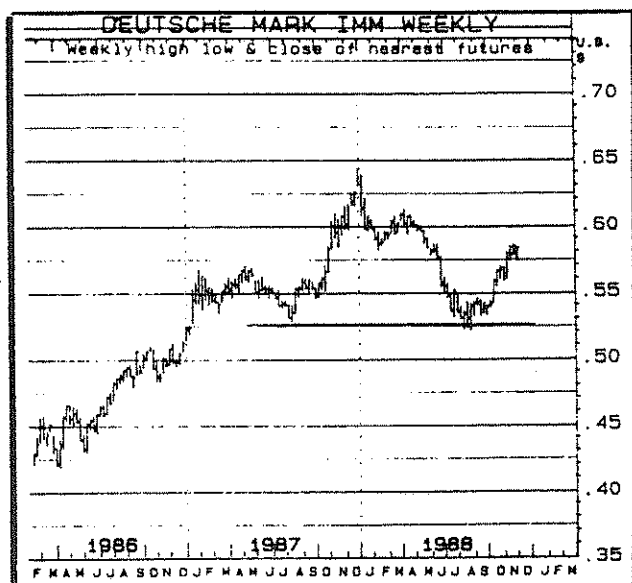


HONORABLE MENTION - 1988

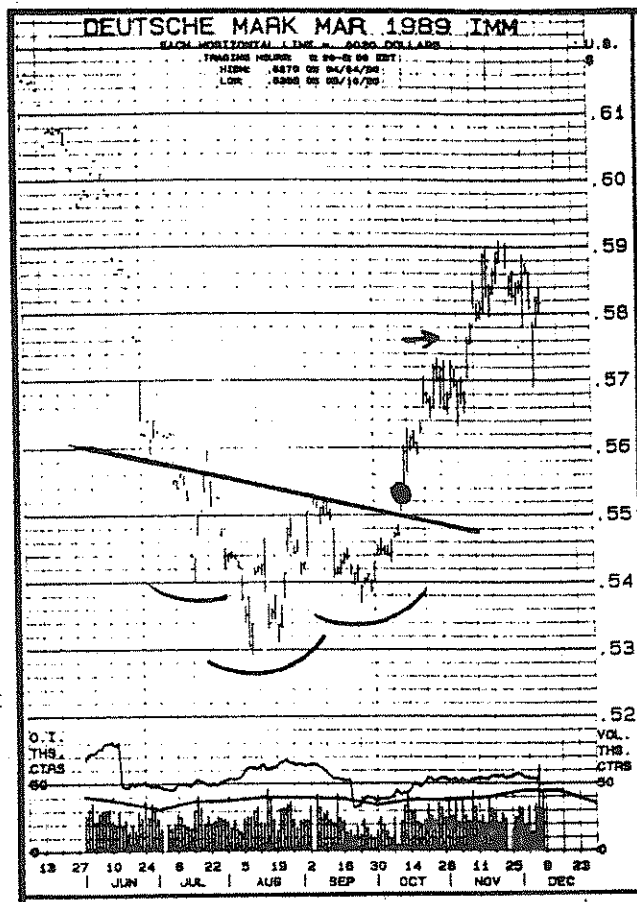
EuroDollars - The decline in EuroDollars was characterized by the completion of a double-top in March and a symmetrical triangle in July.



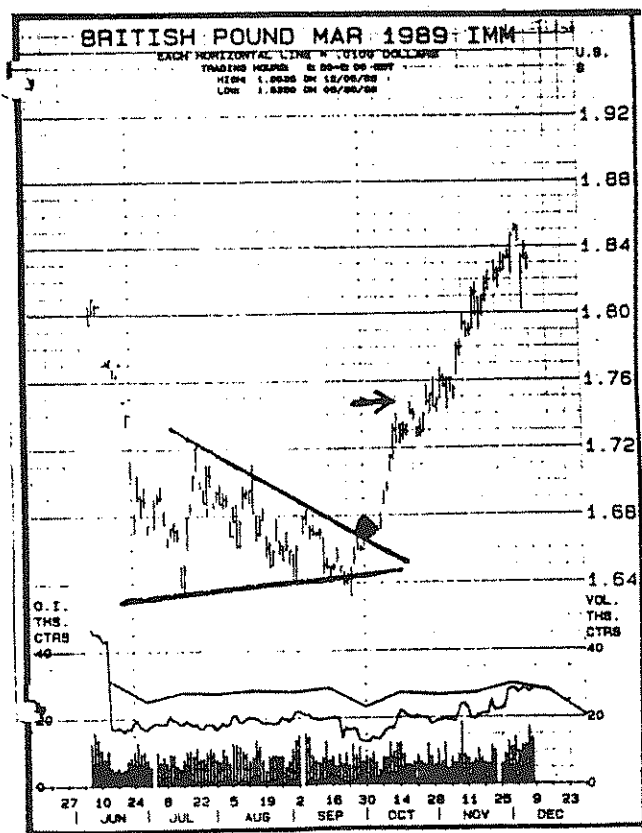
Japanese Yen - When at first you don't succeed, try again. A head and shoulders completion in May failed, but the market formed an even larger pattern - completed in June.

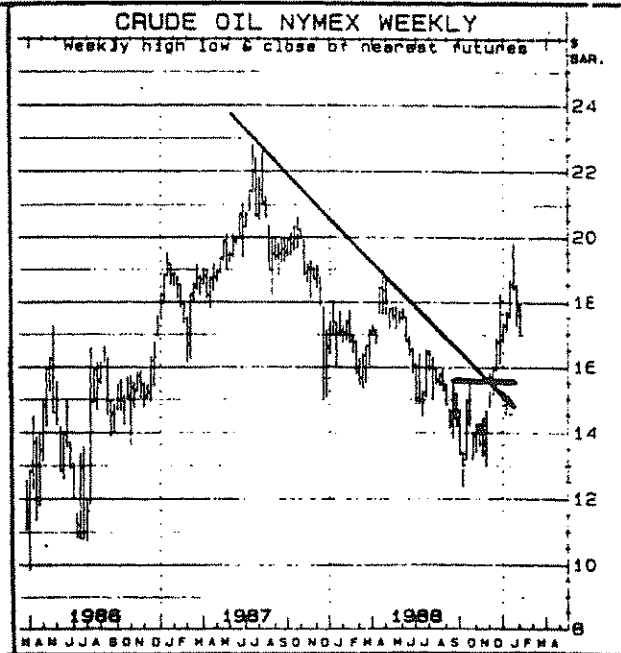


D-Mark - The decline during the first 8 months of 1988 stopped right at support as represented by the low in 198. In October a head and shoulders bottom was completed.

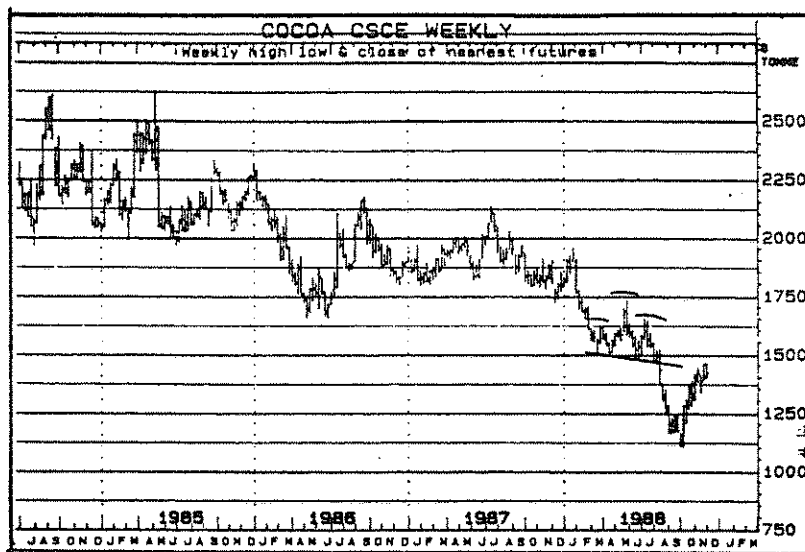


British Pounds - This symmetrical triangle is an excellent example of what Edwards and Magee term as the "end-around." In late October there was a 1-day downside completion of the pattern. However, the breakout failed, prices closed back within the pattern, and a strong uptrend began.

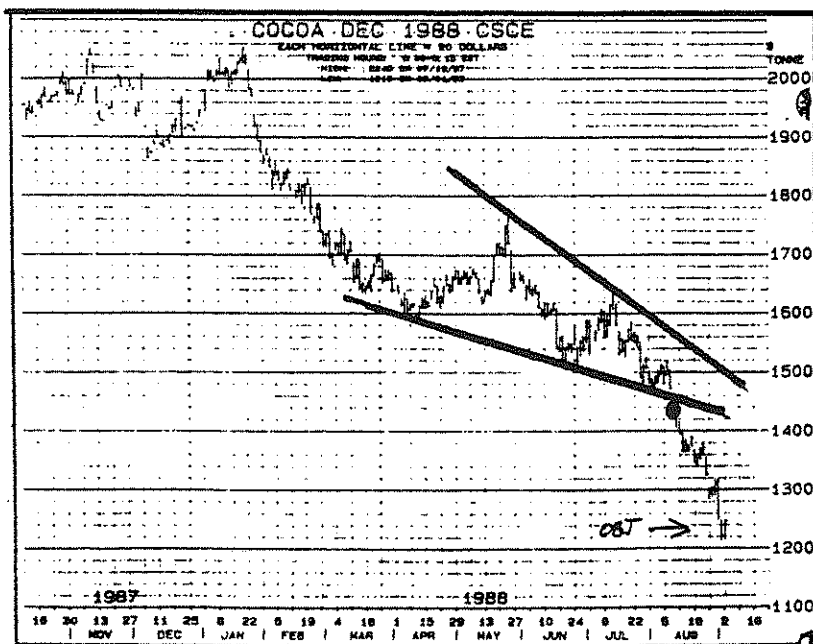




Crude Oil - in late November 1988 the members of OPEC announced measures to reduce the output of Crude Oil. Often times such a manipulation of the fundamentals does not work to turn prices. In this case it did. Crude Oil prices remain in an uptrend today based on the double bottom completed in late November.

HONORABLE MENTION - 1988

Cocoa - Falling wedges normally carry a bullish implication, as rising wedges normally carry a bearish implication. However, at times wedges do serve as continuation patterns. In these cases, the wedges are termed running wedges. The completion of the running wedge in Cocoa in August also completed a continuation head and shoulders pattern on the weekly chart.



SUMMARY

<u>MARKET</u>	<u>DAILY PATTERN</u>	<u>WEEKLY PATTERN</u>	<u>LARGEST INTRA- DAY LOSS</u>	<u>LARGEST CLOSING LOSS</u>	<u>RESULT*</u>
T-Bonds	Cont. H&S	Sym. Triangle	**	**	\$5,000
Soybean Oil	"M" Top Sym. Triangle	-- --	** **	** **	1,800 2,100
Platinum	Sym. Triangle	--	\$700	\$500	2,250
Soybeans	Pennant Flag Flag	-- -- --	** 500 **	** ** **	2,000 2,000 3,000
Soybeans	Wedge	--	**	**	5,000
EuroDollars	H&S Sym. Triangle	-- --	300 **	** **	1,000 1,750
Japanese Yen	H&S	--	825	750	5,000
D-Mark	H&S	--	**	**	3,000
British Pounds	Sym. Triangle	--	**	**	4,062
Oats	Desc. Triangle	Desc. Triangle	300	**	2,000
Cocoa	Wedge	H&S	**	**	2,000
Crude Oil	Dbl. Bottom	Trendline	**	**	2,300

*Taking profit at objective

**Less than \$250

THE FACTOR

Ten Best Dressed List
1989

Written in January, 1990

Introduction

Each year at about this time, I publish "The Factor Ten Best Dressed List".

Enclosed is the 1989 edition.

The Best Dressed List displays what I consider (in retrospect) were the ten most outstanding examples of classical charting principles for the past year.

As in the past, the criteria for selection were as follows:

1. A well-developed and clearly defined "no question about it" pattern development on the daily chart, preferable with important weekly chart significance.
2. A measured move objective of at least \$2,000 per contract.
3. A decisive breakout with no pattern re-entry.

Whether or not The Factor was involved in these market situations was not a consideration in selection.

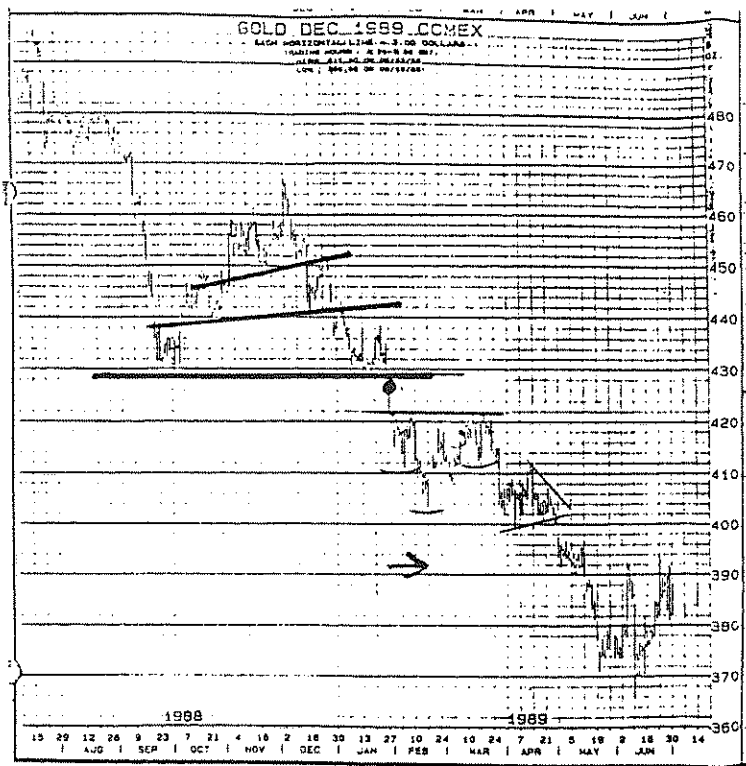
Perspective

A review of past charts will never directly make us money. But, a constant review of past market behavior can allow us to refocus our thinking on the type of trades we want to be involved in.

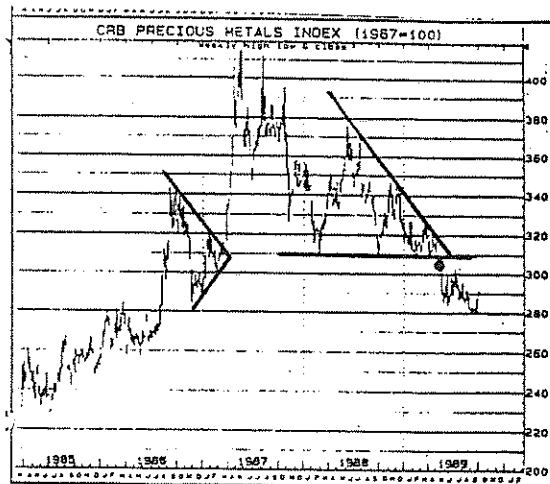
The examples in this document represent the type of market moves we should strive for and concentrate to capture in our trading ventures.

As I have said in the past "Best Dressed" review, the ideal year would be one whereby we only trade 10 to 15 times, but yet catch 80% of what proved to be the Best Ten.

We may never achieve this goal -- but it must remain our aim.



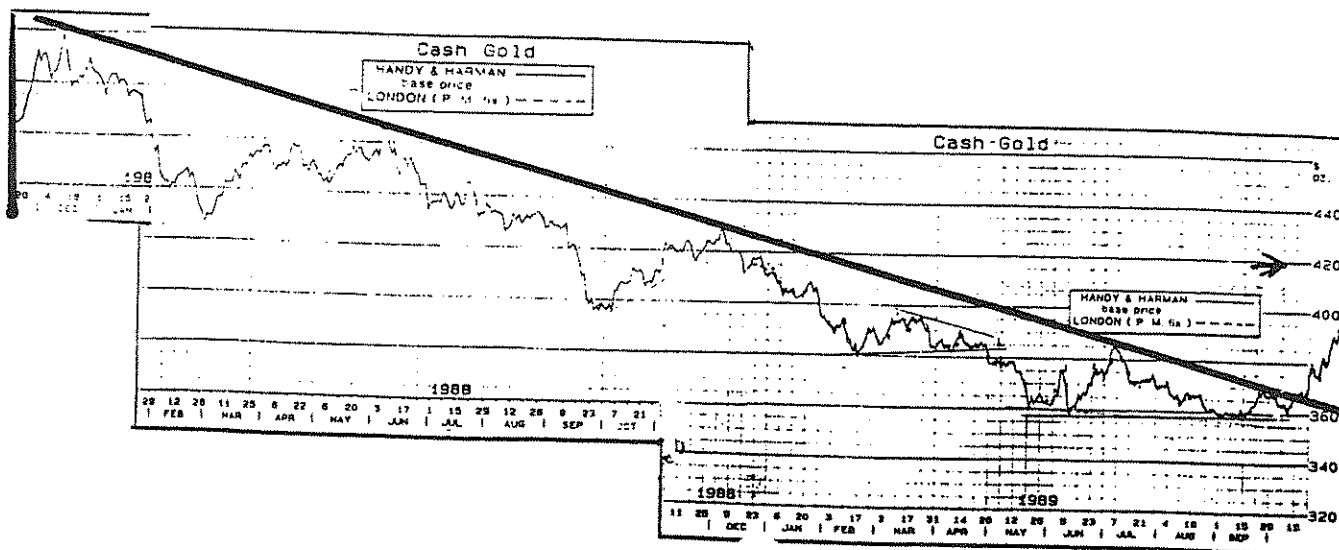
BEST DRESSED - 1989

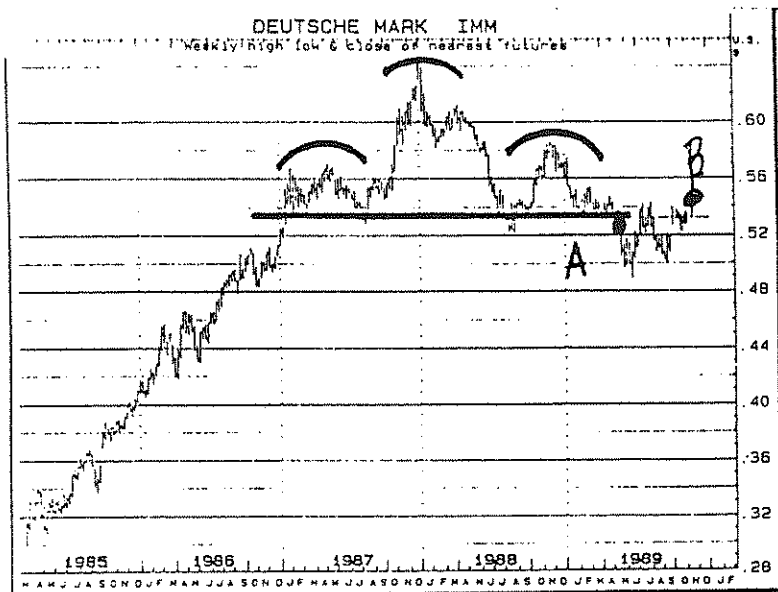


GOLD - In late January, Gold completed a rounding top/multiple H&S pattern. At the same time the Prec. Metal Index was putting the finishing touches on a massive descending triangle. A couple of smaller patterns (e.g., a

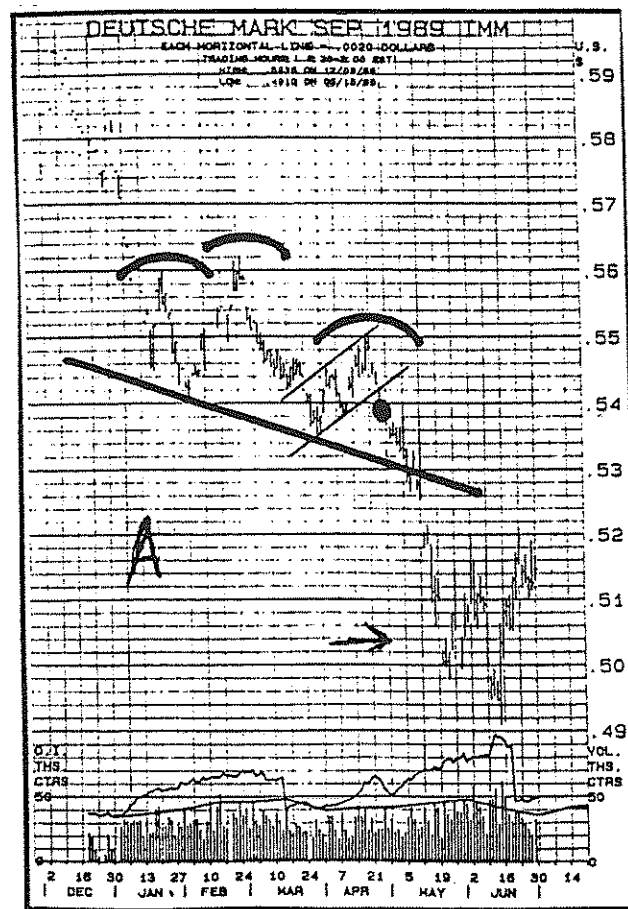
8-week H&S failure and a 4-week symmetrical triangle developed along the way to the target.

GOLD - Often the best picture of a market comes by pasting several graphs together to get a bigger picture. The downtrend line in spot Gold had many contact points. The final penetration also completed a "compound fulcrum"/double bottom.

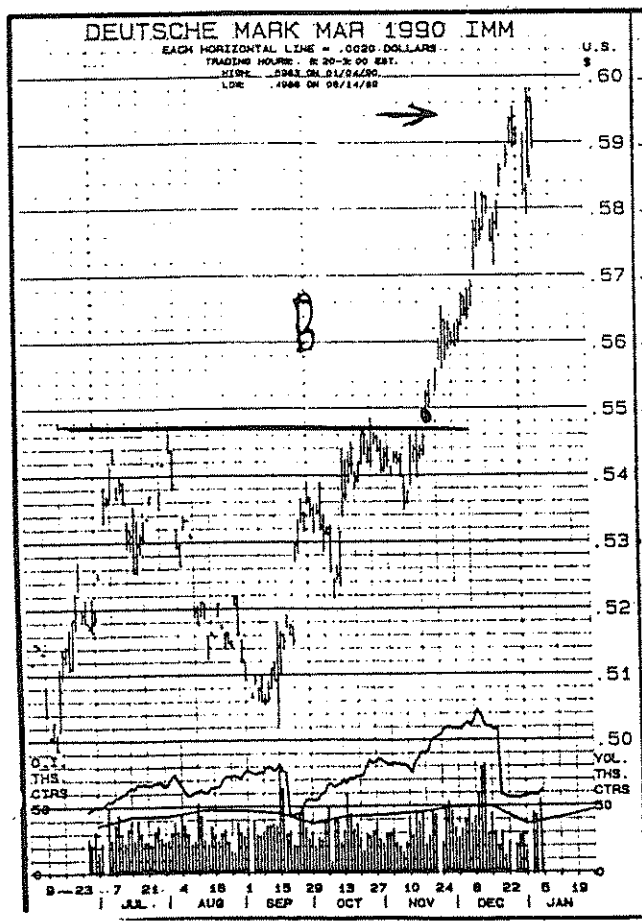


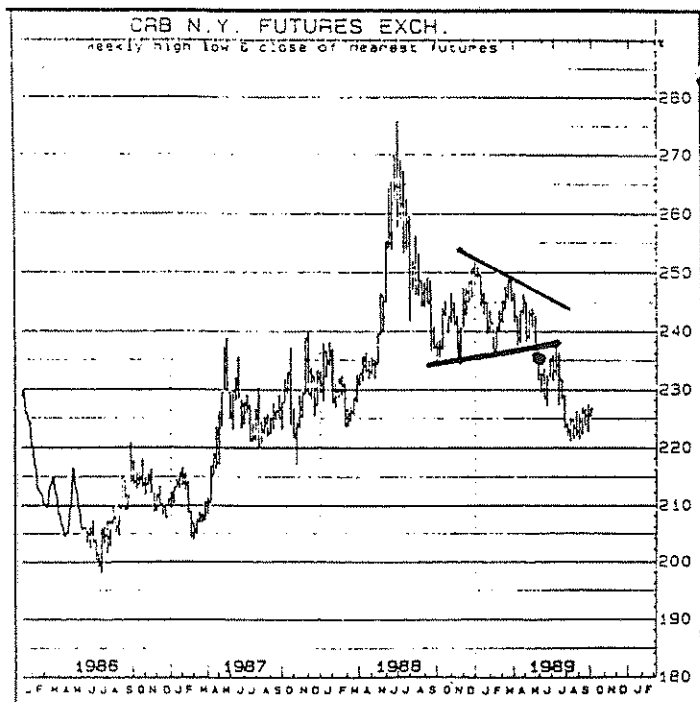


D-MARK (Event A) - The completion of the major H&S on the weekly chart was launched by the continuation H&S on the daily graph. Note the flag pattern on the right shoulder of the daily pattern.



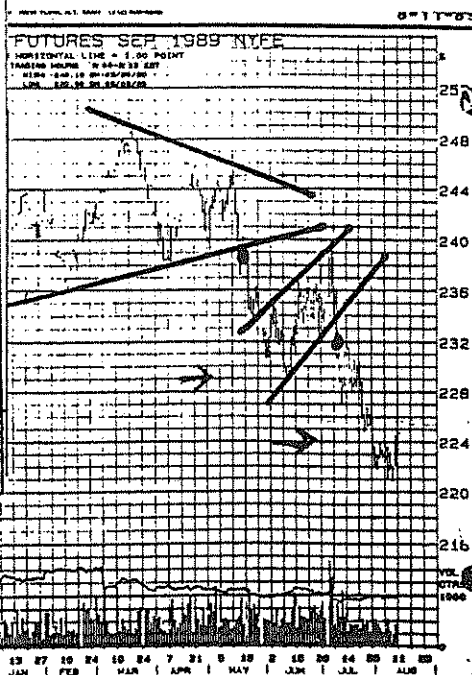
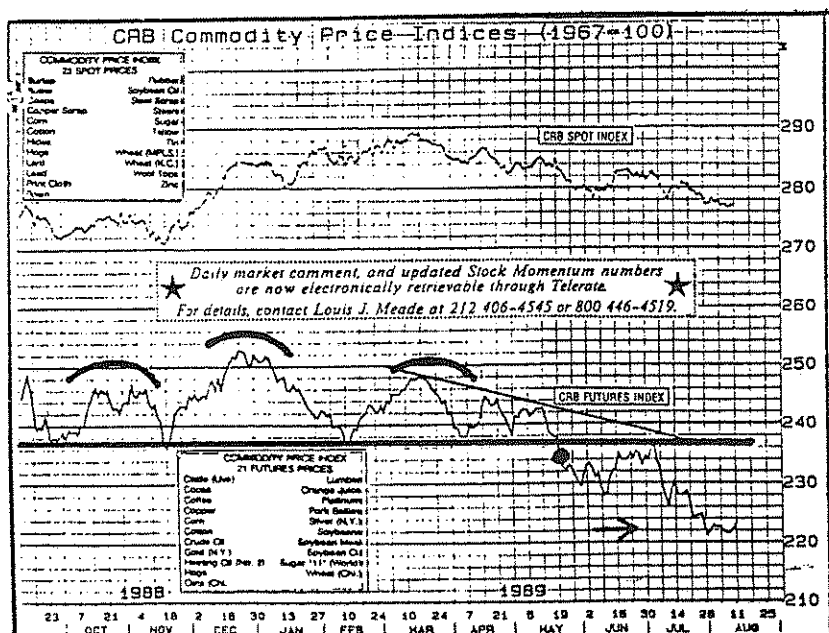
D-MARK (Event B) - In July the DM retested the H&S pattern on the weekly graph. Then, in November the retest high from July was penetrated, negating the weekly chart H&S and completing a double bottom on the daily chart.



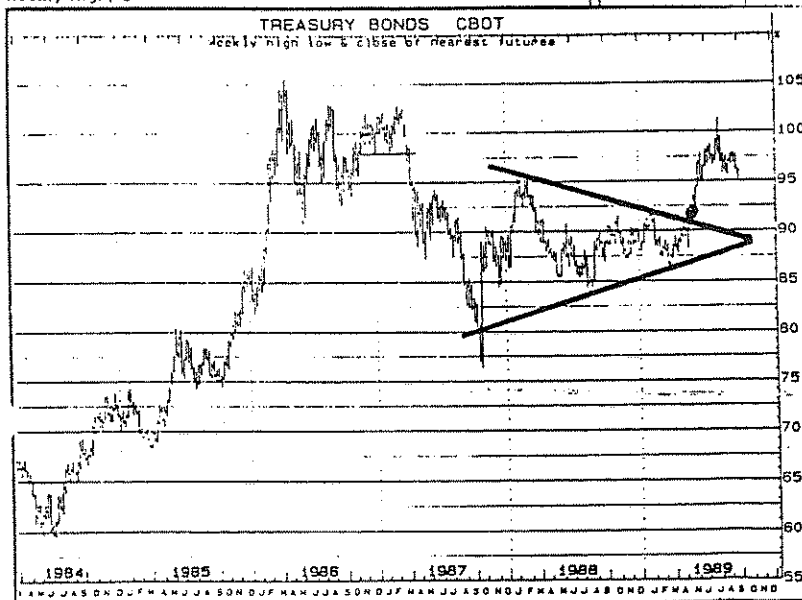
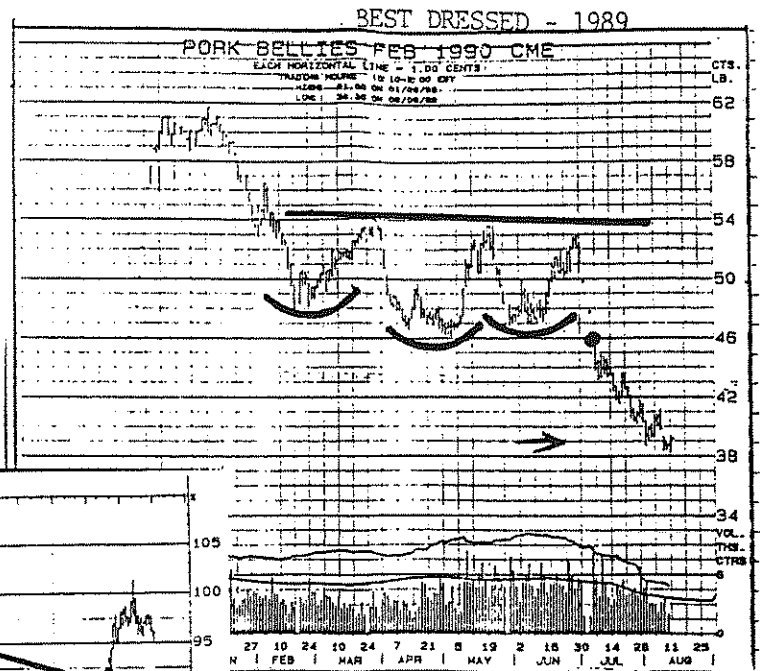


BEST DRESSED - 1989

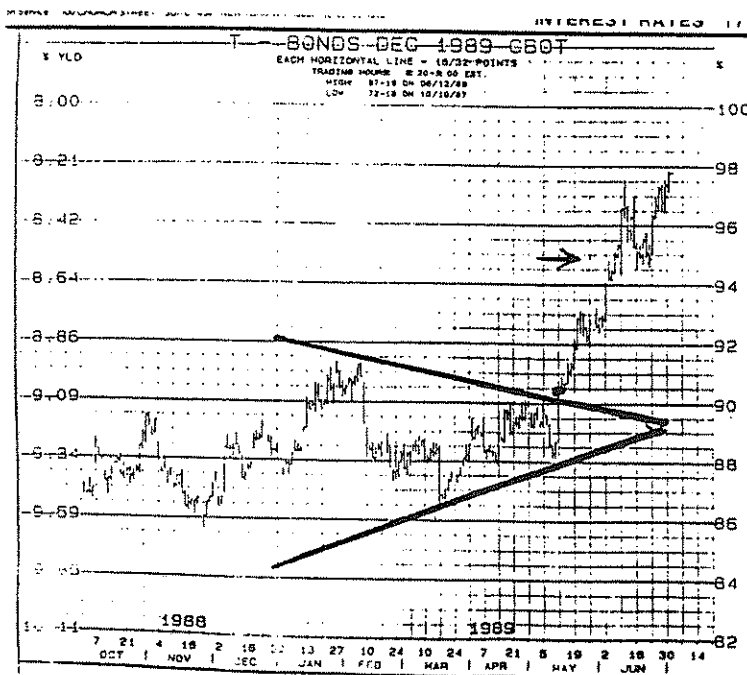
CRB INDEX - Whether a trader played the H&S pattern from the cash chart or the combination symmetrical triangle and wedge from the daily futures chart, the result was the same. The 222-224 target from the symmetrical triangle on the weekly chart was reached in August.



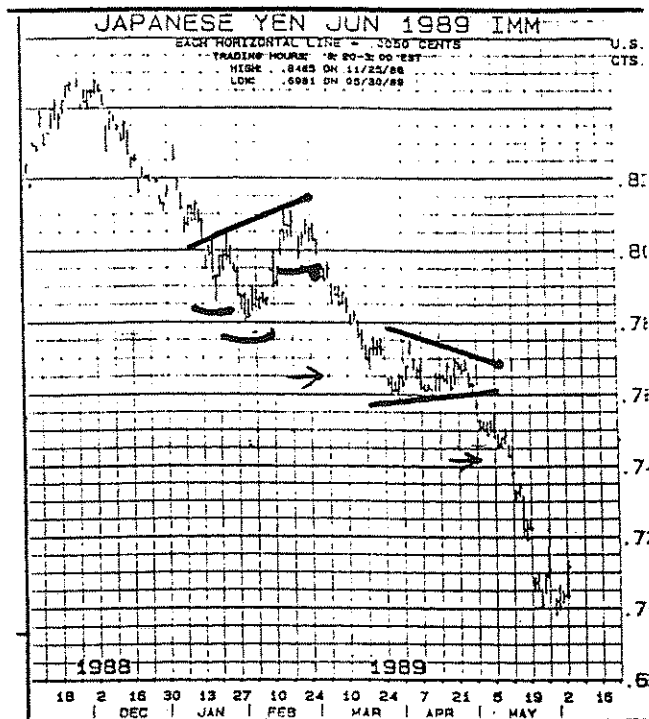
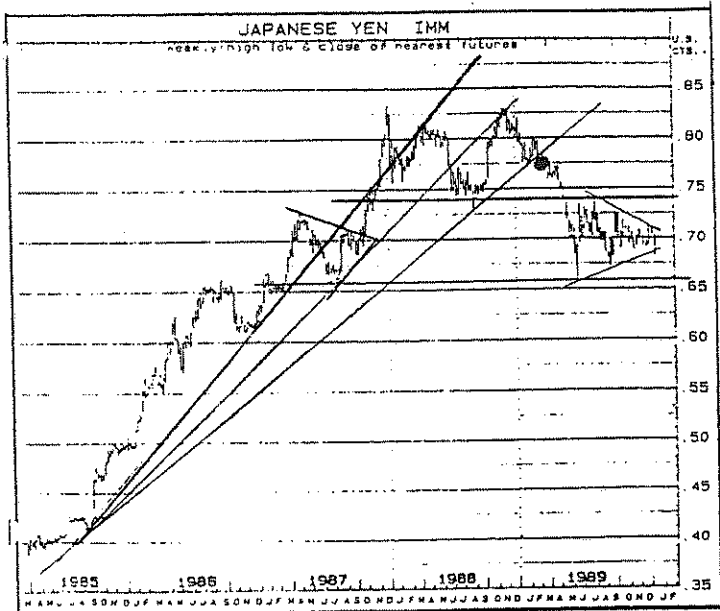
PORK BELLIES -- No doubt it is difficult entering a new short position after a market has been limit down for 3 straight days, but such a trade based on this H&S failure would have never looked back.



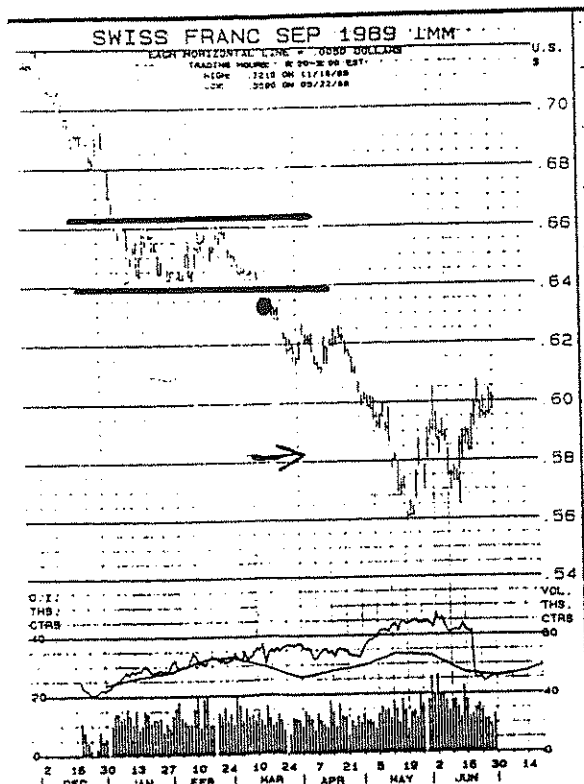
T-BONDS - In May the Bond market completed a symmetrical triangle on both the daily and weekly graphs on the same day. This ended the 16-month trading range in Bonds.



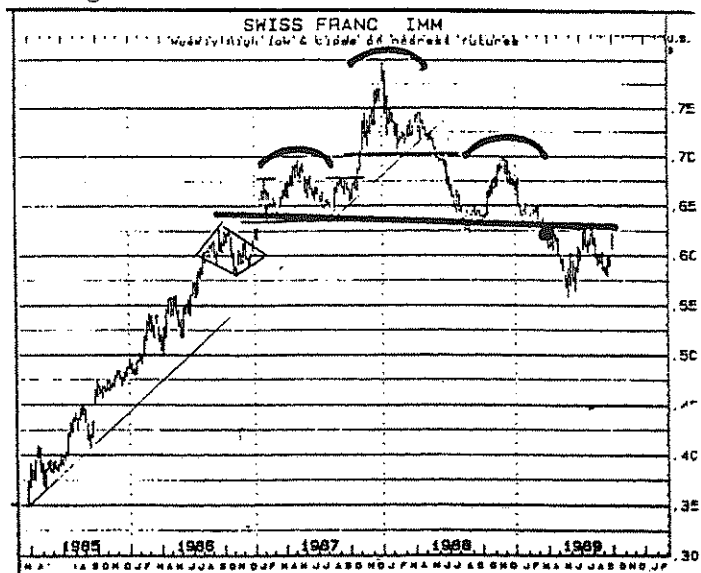
BEST DRESSED - 1989



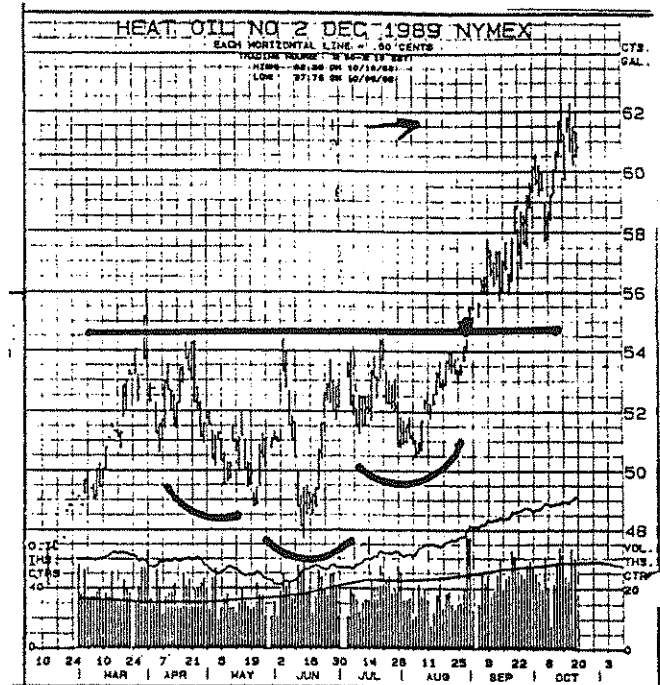
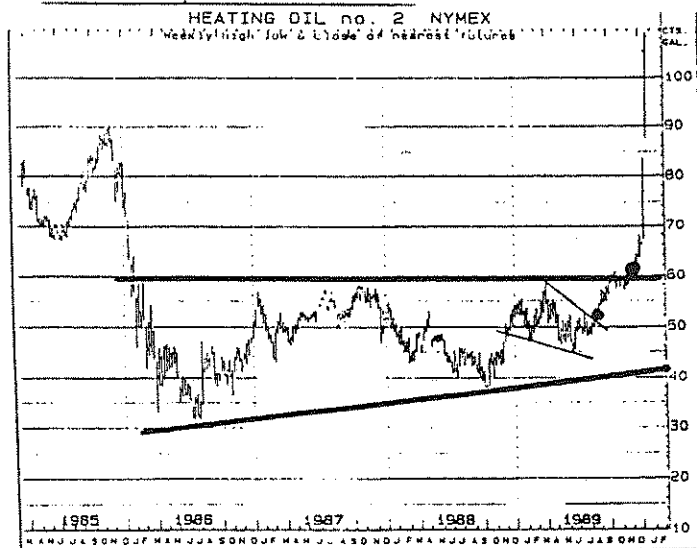
JAPANESE YEN - In March the Yen completed a penetration of the 3-fan principle by putting a H&S failure into the chart. After a quick 3-week drop, a secondary symmetrical triangle provided another down move. In the process, the Yen completed a 16-month double top on the weekly chart. While the objective of the weekly top was 66.00, the targets shown on the daily graph were much more conservative.



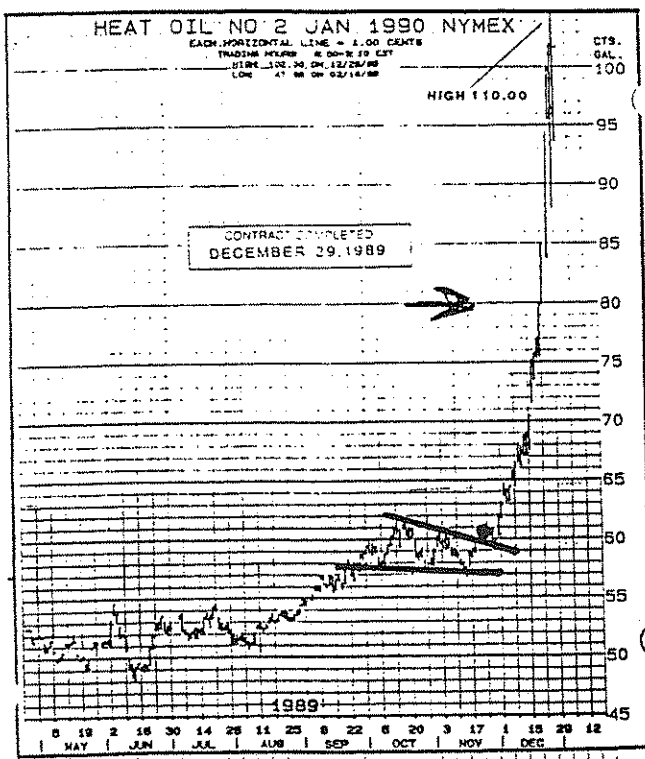
SWISS FRANC - It is not at all unusual for a market to hesitate briefly just prior to completing a major weekly chart formation. Here, the Swiss Franc paused just above the neckline on the H&S chart and completed a rectangle.



BEST DRESSED - 1989



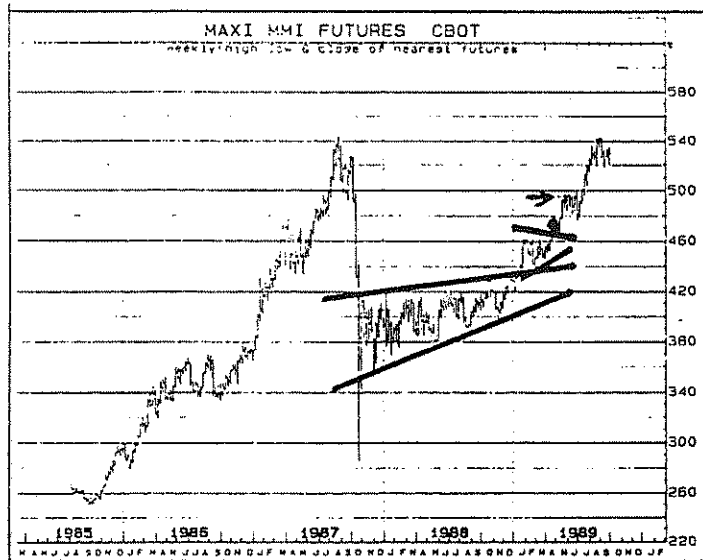
HEATING OIL - The completion of the H&S in August took place with expanding volume and open interest.



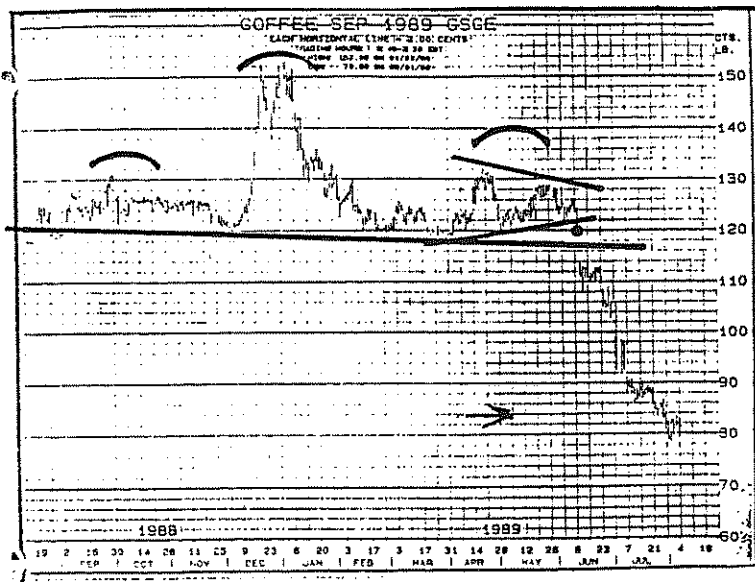
HONORABLE MENTION - 1989

Heating Oil - The completion of this small wedge in November had much greater significance than the wedge itself. The completion of this wedge also completed a major ascendi triangle on the weekly chart. Who could have guessed that the 90.00 target was believable, much less reachable within weeks.

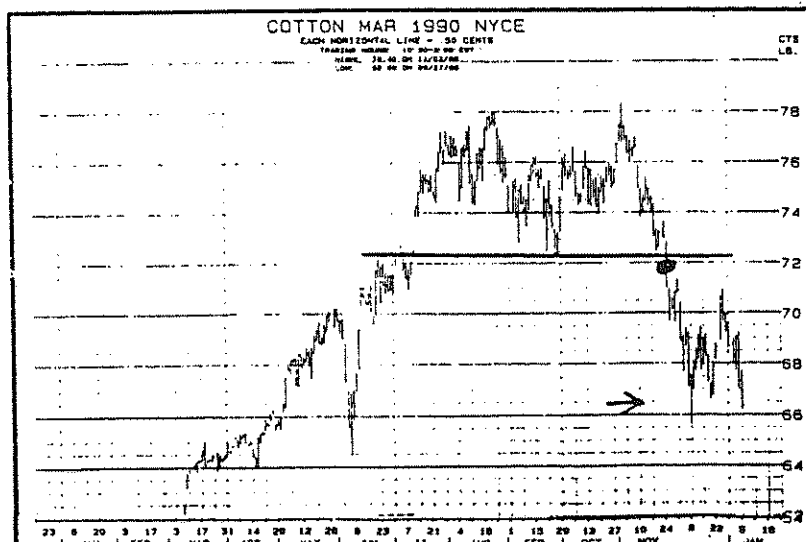
HONORABLE MENTION - 1989



MAXI INDEX - Following the 1987 Crash, the Maxi's developed a 15-month triangle. The upside breakout in February was followed by the development of a well defined symmetrical triangle on the weekly, daily futures and cash charts.

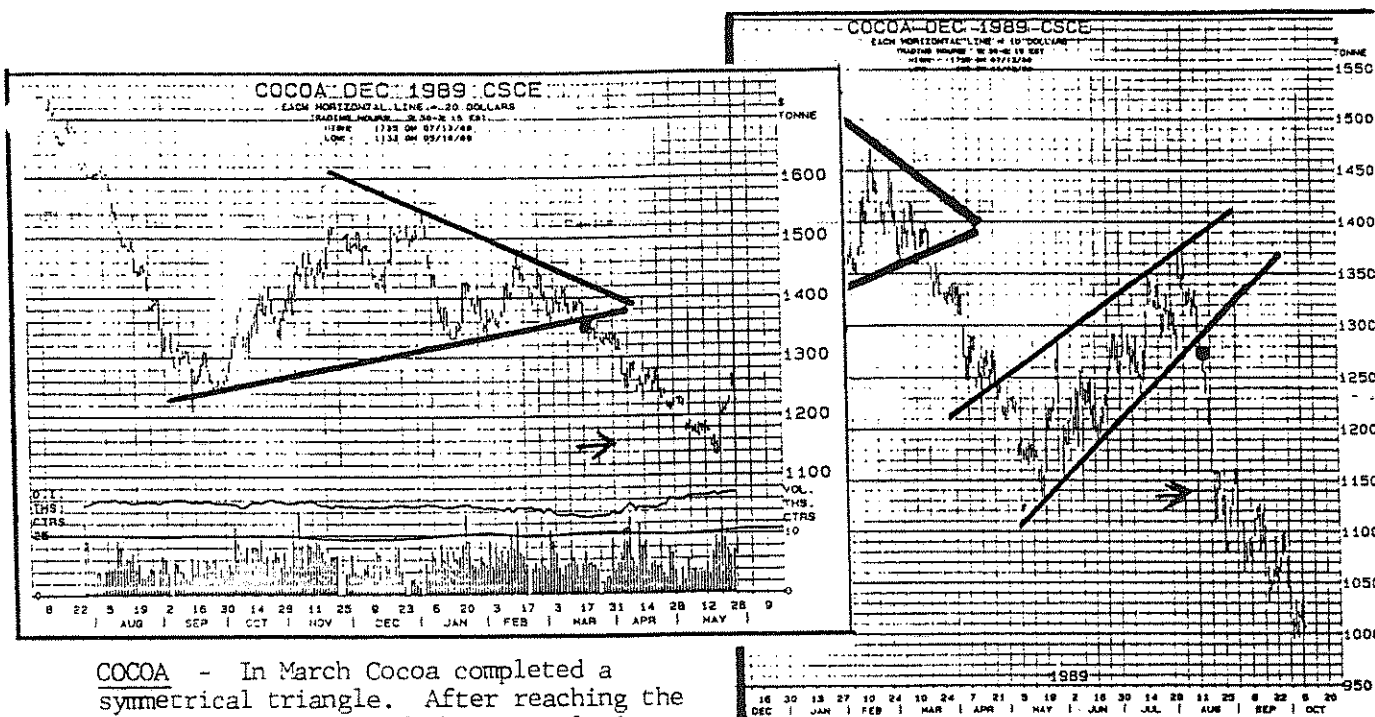


COFFEE - I would prefer to have a major breakout take place without any news or reason as to why. But periodically a major breakout is caused by major news. The head and shoulders in Coffee was caused by a breakdown in the Agreement between Coffee producing and consuming countries.

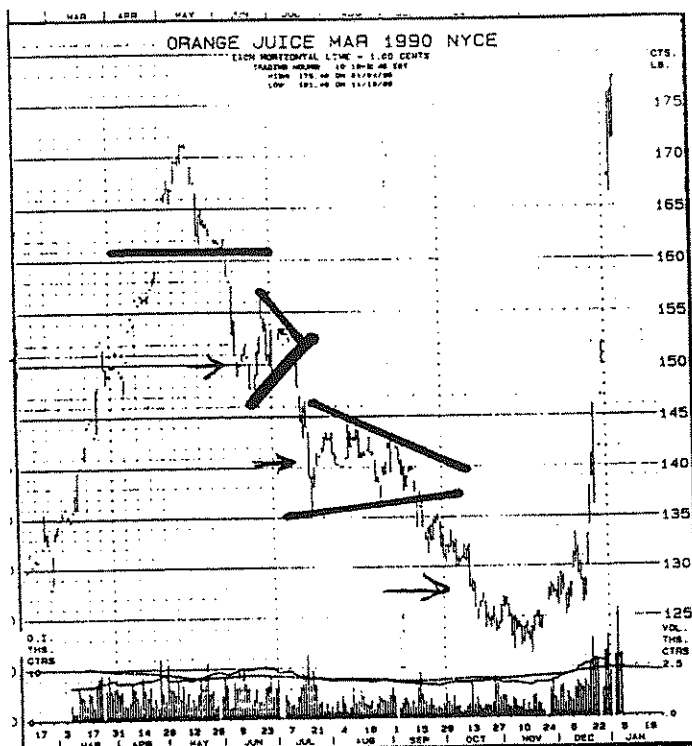


COTTON - After several months of volatility, Cotton finally completed a double top. The target was quickly reached.

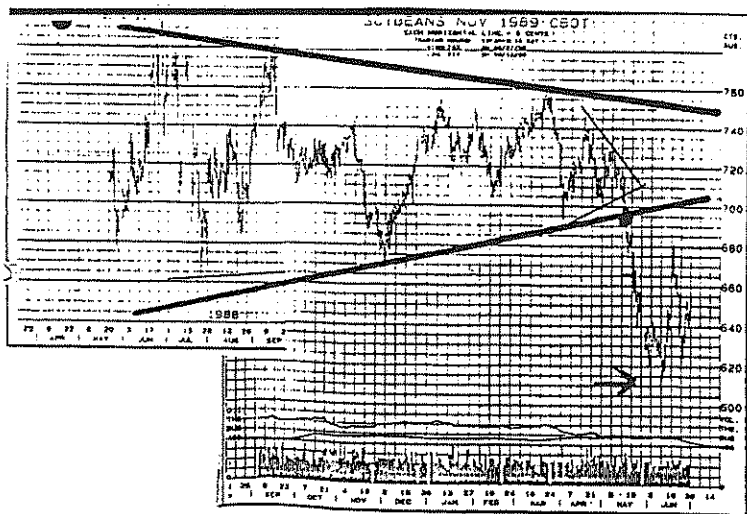
HONORABLE MENTION - 1989



COCO - In March Cocoa completed a symmetrical triangle. After reaching the target, Cocoa retested the triangle in the form of a rising wedge. The rising wedge was completed in August.

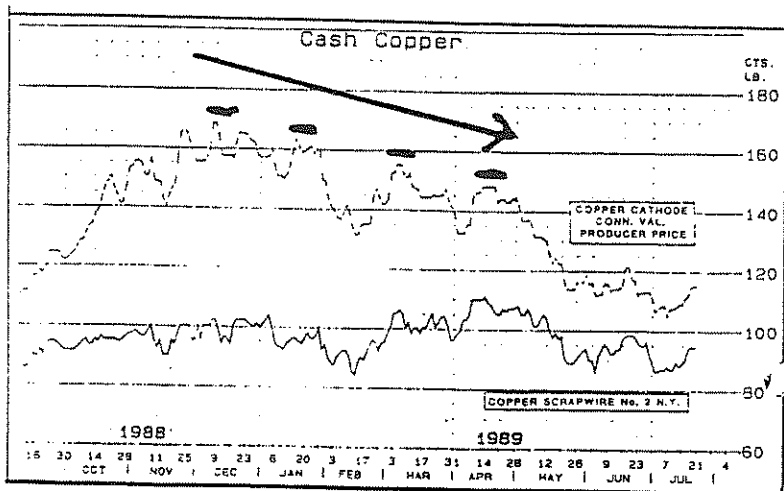


OJ - Picked for Honorable Mention for 1989 was not the Freeze rally late in the year but the sustained and systematic bear trend the preceeded the Freeze. This bear move was actually a series of three patterns: a failure top followed by two highly recognizable triangles.

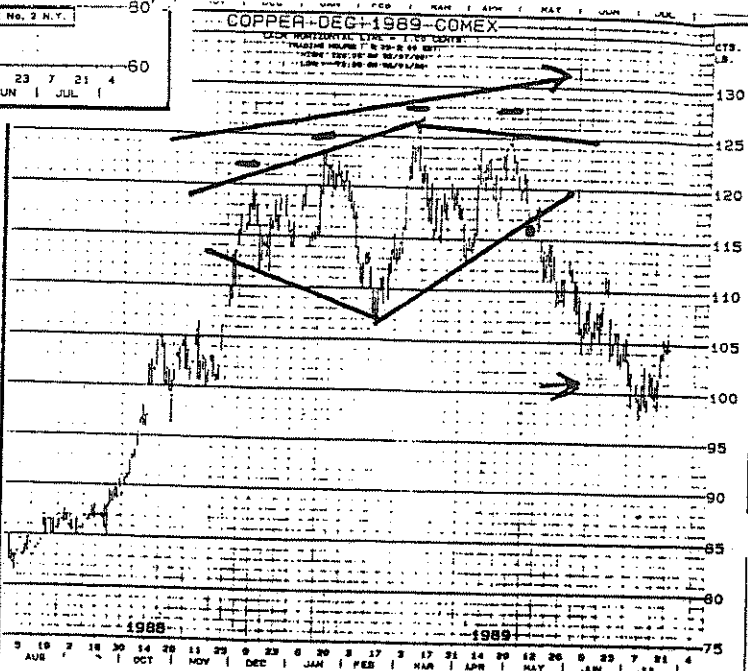
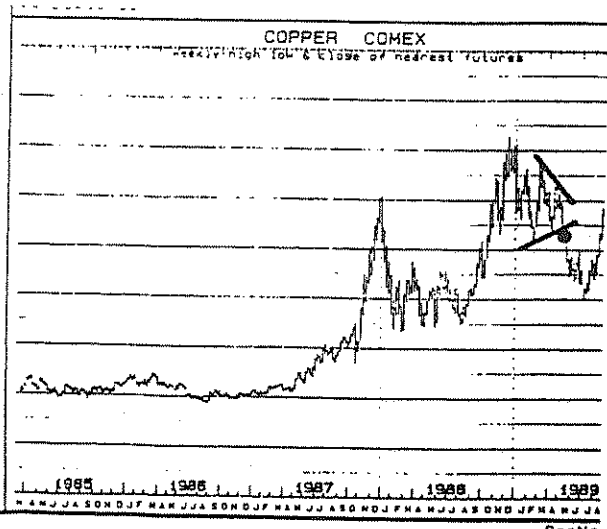


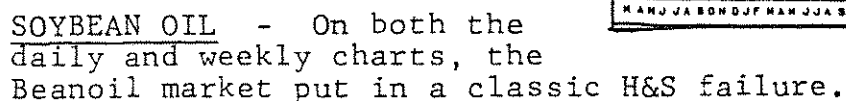
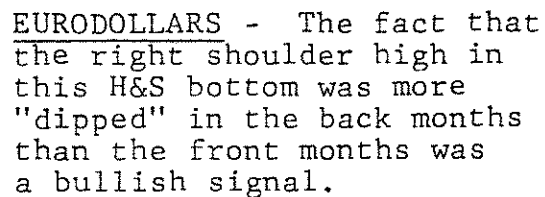
HONORABLE MENTION - 1989

SOYBEANS - Note the small symmetrical triangle that launched the completion of the life-of-contract triangle. The market quickly reached the objective, and after a hard retest in July declined much lower.



COPPER - The completion of the diamond top on the daily chart was confirmed by a symmetrical triangle on the weekly chart. The real interesting development was that the futures made a series of higher highs from Dec. thru April while the cash market was already in a down trend.





MARKET	DAILY PATTERN	WEEKLY PATTERN	LARGEST INTRA- DAY LOSS	LARGEST CLOSING LOSS	RESULT
T-BONDS	SYM TRI	SYM TRI	**	**	\$4,500
PORK BELLIES	H&S FAILURE	NEW LOWS	**	**	2,800
CRB INDEX	SYM TRI WEDGE	SYM TRI/H&S SYM TRI/H&S	\$500 **	** **	4,500 4,000
D-MARK	CONT. H&S	H&S	**	**	4,375
D-MARK	DBL BOTTOM	H&S FAILURE	**	**	5,500
GOLD	ROUNDING TOP	DESC. TRI	**	**	3,400
GOLD	DBL BOTTOM	TRENDLINE	**	**	4,500
SWISS FRANC	RECTANGLE	H&S	**	**	6,875
JAPANESE YEN	H&S FAILURE	TRENDLINE/DBL TOP	500	375	3,750
	SYM TRI	TRENDLINE/DBL TOP	**	**	1,875
HEATING OIL	H&S	WEDGE	**	**	2,730

* Profit at objective

** Less than \$250

HONORABLE MENTION - 1989

MARKET	DAILY PATTERN	WEEKLY PATTERN	LARGEST INTRA- DAY LOSS	LARGEST CLOSING LOSS	RESULT *
HEATING OIL	WEDGE	ASC. TRIANGLE	\$420	\$252	7,980
SOYBEANS	SYM TRI	—	**	**	3,000
COPPER	DIAMOND	SYM TRIANGLE	550	450	3,750
COCOA	SYM TRI WEDGE	—	** **	** **	2,000 1,400
O.J.	FAIL TOP SYM TRI SYM TRI	— — —	** ** **	** ** **	1,500 1,200 1,200
COFFEE	H&S	—	**	**	13,500
COTTON	DBL TOP	—	**	**	2,750
MAXI	SYM TRI	WEDGE	1,500	1,000	5,750
EURODOLLARS	H&S	—	**	**	2,250
SOYBEAN OIL	H&S FAIL.	H&S FAIL.	**	**	1,440

* Profit at objective

** Less than \$250

CONCLUSION

If you purchased this book to discover some magical indicator or secret technique to help you be right on 80 percent of your trades, then you wasted your money. Most traders seek such a magic indicator to avoid their emotional inability to accept losing trades. However, if you did not garner some new analytical method or new trading technique from this book, I did not do my job.

My primary goal was to get you thinking about the entire trading process in a slightly different light. I want you to discard the conventional wisdom that the key to improved profitability is some new trading approach or system. To that I say—baloney!

Once you establish a foundation of market knowledge and an understanding of the speculative process, the keys to increased profitability come from two areas:

1. An appreciation of the human component in the trading equation—discipline and patience.
2. Proper money management (risk control).

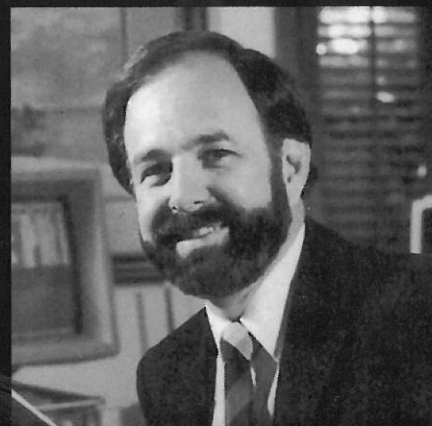
Most traders spend all their time on trade selection. I believe what you do with your trades once you have them going is more important than what trades you initiate.

Conventional wisdom leads its followers down the wrong path. If this book makes you start challenging the conventional wisdom, then Bruce and I have fulfilled our mission. Anything you may have learned about classical charting principles is an extra bonus.

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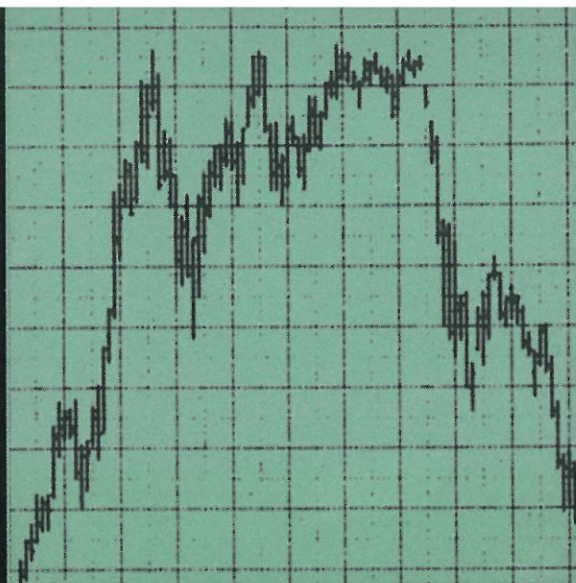
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Bruce Babcock is an internationally recognized expert on commodity futures trading systems. He has written six commodity trading books, the most recent of which are *The Dow Jones-Irwin Guide to Trading Systems* and *Trendiness in the Futures Markets*. He is a co-author of *Trading Strategies* and *High Performance Futures Trading* and has had numerous articles published in *Futures* magazine and *Technical Analysis of Stocks and Commodities*.

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